Texmaco Rail (TEXRAIL)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

TEXMACO

REGD. OFFICE : Belgharia, Kolkata - 700 056. Ph.: +91 33 2569 1500, Fax: 2541 1722 / 2448
Email: texmail@texmaco.in , Website: www.texmaco.in Texmaco Rail & Engineering Ltd.
Belgharia Works
CIN: L29261WB1998PLC087 404

20th May, 202 3

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326

Dear Sirs ,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Monday , 15th May, 2023 at 4:30 p.m. (IST) .

The same has been uploaded on the website of the Company i.e.
https://www.texmaco.in/wp -content/uploads/2023/05/Q4FY23_Result_C oncall_Transcript.pdf .

We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.

This is for your information and record.

Thanking you,

Yours faithfully ,
For Texma co Rail & Eng ineering Limited

K. K. Rajgaria
Company Secretary &
Compliance Officer

 “Texmaco Rail & Engineering Limited
Q4 FY '23 Earnings Conference Call ”
May 15, 202 3
MANAGEMENT : MR. INDRAJIT MOOKERJEE – EXECUTIVE VICE CHAIRMAN

–TEXMACO RAIL & ENGINEERING LIMITED
MR. A.K. VIJAY – EXECUTIVE DIRECTOR , FINANCE
–TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA – CHIEF FINANCIAL OFFICER
–TEXMACO RAIL & ENGINEERING LIMITED
MODERATOR : MR. NAVIN AGRAWAL – HEAD INSTITUTIONAL EQUITIES
–SKP SECURITIES LIMITED

Moderator: Good afternoon, ladies and gentlemen. Welcome to the Texmaco Rail & Engineering Limited's Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode. There will be an opportunity for you to ask questions after the management opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Navin Ag rawal, Head -Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.
Navin Ag rawal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you to this earnings conference call on behalf of Texmaco Rail and SKP S ecurities. We have with us Mr. Indrajit Mookerjee , Executive Vice Chairman, along with his colleagues, Mr. AK Vijay, Executive Director, Finance; and Mr. Hemant Bhuwania , CFO. We will have the opening remarks from Mr. Vijay, followed by a Q&A session. Than k you and over to you, Vijay -ji.
A.K. Vijay: Hi. Good evening to everybody, to all the participants. The results for the year ended 31st March 2023, as well as the Q4 is already in your hands. And as you might have gone through the results, the company had a difficult year -- in the year '22 -'23 beca use of the period that the impact of the COVID was still there. And as a result, if you have noticed the results, on Q1 the performance was very disastrous. In fact, rather, the company has incurred few losses in the first quarter. But nevertheless, with o ur sincere effort in the Q2, Q3 and Q4, we tried to make it up and not only build it up but made some small profit also.
So of course, we should have done better, had we had the full year of operating available to us, but in the first quarter due to the, n umber one, effect of the COVID, due to also the effect because the reason of this that our order book that time was from railways were not there, availability of wheelsets for the private parties were not there. So coupled with all these problems, we have to face huge losses in the Q1, which we tried to make up, and we are happy to share with our shareholders the company has been not only able to overcome that losses, but also made some profits. And from now onwards, looks like that we have a clean slate to move forward.
Just for accounting information, for the year, revenue was INR2,281 crores, it's -- I'm talking about net revenue and compared to INR1,653 crores the previous year. The EBITDA, gross profit and loss and profit before tax for the year were INR139.9 -- INR180 crores, I'm sorry, INR63 crores and INR28 crores against INR168 crores, INR68 crores and INR32 crores. So you are saying that basic ally both the years were virtually flat whereas we all know '21 -'22, the COVID was -- major effect was there because of COVID. But due to the -- as I stated above, the loss in the Q1 and non-reveal the wheel set, and non -reveal order by the railways, perfo rmance for this year was impacted.

The business perspective of the company, especially the government's focus on the rolling stock division and rail infra segment too is quite reasonably good. In fact, rather, this kind of going market in rail segment, we were not seeing in recent past. So we are hopeful that, yes, this position is going to continue as a focus of government is very much on the rail segment. It is similarly that what the focus government brought in for the road segment few years ago, the same focus is now on the rail segment. And seems to me that, yes, for next 5 to 7 years, this rail business is going to be very prospective.
Having said that thing, the company's order book is very comfortable. Today we are

sitting on
the order of almost 20,0 00 wagons and overall order value is INR9,000 crores order size, still

pouring in. We have also now started booking orders on export front, both in Rail EPC and Railway wagon divisions. So that also seems to be a good sign for the organization. Yes, that we are getting orders, not only from railways, but from private sector. We are getting orders for exports.

Similarly in the Rail EPC, we are diversifying into newer areas and making sure that our focus of operations remains an area which are well controllab le, because we have got our fingers in last pastime. And having -- not having the adequate experience in that line at that point of time, booking orders for things which were not within our control and as a result has to suffer additional cost over there. So having learned that education now we are more focused, looking only those orders, which are basically with well manageable, can be completed in a shorter duration time and which are normally profitable. So all these factors basically is helping us in improving our overall performance.

Now apart from this, the company also has expectation of the fresh tender from railways, which we are heading, that is going to come up and this is revolutionary tender in the sense that, railway is asking for -- maybe aski ng for supply of about 50,000 wagons, which would be purely to the design of the supplier. So we have now -- the concept which we have been talking to railways for long that you permit us to conceptualize and design and then manufacture the wagon supply to use, so that you get a better life, better efficiency and better payload ratio. So that railway has now heeded to, and accordingly they have now drafted a tender, which will ta ke care for these requirements.

This is a challenge, where only the robust manu facturers who have got that capability, not only manufacturing, but also designing, also of conceptualizing and also of making sure that the new product technology has been used in the designing, but also in the processes. So that's where basically we are now focusing on. This tender is likely to come up very shortly and hopefully our company stands a reasonable chance to bag business into the standard as well.

This apart also we understand railways are also further coming up new tenders for the conventiona l wagon requirements which will also be industry we'll be participating. And I hope that all the participants who are -- competent participants are there, they will also be bagging some orders into that busy business.

As far as the Steel Foundry division i s concerned, let me tell you, it was a very good year for us. We have been able to in spite of the first quarter not producing much, we have been able to jump into production, overall production by more than 40%. So this is a very good sign for us. And in fact, rather this improvement which we have got into the Steel Foundry division, we expect to continue in this year as well. The demand for export is also robust, demand for domestic market is also robust. And in fact rather we are now facing challenges ev en to meet our own requirements because of the requirements have been so large.

Hopefully, with our plans for some capex investment both in the rolling stock as well as the foundry segment, which is basically required for the balancing equipment, we should be able to overcome these challenges and increase our production, whereby we can continue to meet our demands both domestic as well export.

With this basic overall situation and all this thing, we are hopeful that, yes, the top line, bottom line will cont inue to grow for the company in coming year also and we are expecting that -- one thing I just have to add to this thing is that company has also entered during last year a joint venture agreement with European company for not only fo

r manufacture of wagon s for Indian market, but also for export. And this will also boost our operational capacity in India as well as for exports.

With this, I submit to our Chairman to add further on statement which we have made a presentation to the shareholders. Thank you.

Indrajit Mookerjee: Yes, I think Vijay, you have covered most of it. So I can only tell you in one simple statement that we are in the path of ascension. So every quarter has been better than the last quarter and we believe that sequentially we keep on improving because of the market, because we have also gearing our inner strengths to produce more and bringing in new design, collaborating with the foreign companies.

So all these put together, both in the freight cars, as well as in the foundry, there al so the capacity is being expanded right now. So we expect that the results should start moving up. We also are looking at more percentage of -- more numbers of private wagons to be done. We also are -- I think we have been very happy to say that we also ar e bagging the export orders, which are at very good profitability. So all this put together, I see that sequentially, there the company results should start going up. And I think most of the other details have been covered by Mr. Vijay.

So any question. He mant, would you like to -- anything else to talk about the finance or --

Hemant Bhuwania: Hello, sir. I think Mr. Vijay and you have covered all the points. So I have nothing to say from my side.
Moderator: So should we open the lines for Q&A, sir?
Indraji t Mookerjee: Yes.

Moderator: The first question is from the line of Ka ushik Mohan from Ashika Stock Broking. Please go ahead.
Kaushik Mohan: Great set of growth on the top line on this quarter, congratulations for that. Sir I just wanted to understand, in your press release you have mentioned about a fresh tender has been expected to be issued by Indian Railway for 50,000 new design modern wagons. Can I understand value in the price, like what is the total value of this 50,000 railway contract, can we pote ntially?
A.K. Vijay: See, this tender for 50,000, I covered in my narrative part, that expected tender about this thing. Value as far is concerned, is difficult to say something about now because the tender has not yet come out. So it will all depend upon the design, what design is basically being prepared that will require what kind of a component, what kind of advancement will be required. So it is very, very, as of today to fix a value for that will not be -- but then I can only add this, compared to the conventional wagon, it certainly will be a costly wagon.
And may even cost anything -- to double the cost what we charge for that, what is basically payable for conventional or 80% of that price, you don't know until unless you have designed and figured o ut what are the features you are going to add into these wagons, depending upon the actual requirement of railway, which will be known once the tender is out.
Kaushik Mohan: Perfect, sir. Sir, I have an add -on question on this. Like you have spoken about t he maintenance in this tender. So what could be the actual split between the tender value of the construction of the wagons and maintenance of the wagons?
A.K. Vijay: At present railway is charging all the vendors, almost about 5% of their freight earnings as maintenance charges for their wagons, because today's practices every wagon, whether owned by a private or by railways are maintained by railways. So of course, that 5% is a little too high to be charged to any one. It will be lower than that. But then again, depending upon what nature of guarantees, warranties they require, what nature of on -time they require, what is the -- because the downtime certainly Railway would like to reduce the new tender that wagon should not be u

nder downtime.
So all these factors taken together and all these things that this has to fix. But this is long -term contract, the value will be also large and that will depend upon, yes, what is the total your quantum of guarantees and warranties which are expected of the vendo r who is supplying the design environment.
Kaushik Mohan: Got it, sir. I have another question relating to your financials. Sir what can be the EBITDA margins that can we expect from the coming years -- the coming quarters?
A.K. Vijay: See, Ka ushik, let me just -- let me just brief you on how we performed over in that. So in Q1, we executed only 120 wagons and as a result of which, there were some unabsorbed fixed cost which has -- because of which we had resulted into losses. In Q2, our production ramped u p. We have received orders and the proto was approved somewhere in July. And we started the series production from August onwards. So in Q2, we did somewhere close to 500 wagons. In Q3, we crossed the number of 1,000 wagons. And in Q4, we crossed the numbe r of 1,400 wagons. So

as the production further picks up from here, you will definitely see a better EBITDA, what we have reported currently.
Moderator: The nex t question is from the line of Rahil Shah , as an individual investor.
Rahil Shah: Can you please repeat the volume wagon for FY '23, total number of wagons you produced?
A.K. Vijay: So production was somewhere around 3,200 wagons.
Rahil Shah: Okay. And can you share like what are you expecting to do for FY '24 given the order book you have?
Hem ant Bhuwania: See, currently, we have an order book of around INR9,000 crores, out of which, the Heavy Engineering consist of around INR6,700 crores order book of the INR6,700 crores. Steel Foundry is of INR400 crores, Rail EPC division is INR1,500 crores and our joint venture and subsidiary is for INR400 crores, altogether INR9,000 crores. So we expect with the further -- we can further ramp up by another 30% to 35% during this year, wherein the number of wagons will go up in the same proportion.

Rahil Sha h: Did you say 30%?
Hemant Bhuwania: 30% to 35% from here.
Rahil Shah: Okay. So that also relates to the like production volume for wagons?
A.K. Vijay: Yes.
Rahil Shah: Okay. And are you sharing any -- so how will that translate into revenues for FY '24? A ny --
A.K. Vijay: See, I would only like to add one point over here. Hemant has very amply clarified to you that how the situation is emerging and how we are doing about this thing, but 30%, 35% doesn't apply for particularly product for division wise. Alt ogether, company will be rising by 35% approximately.
A particular division can do much better whereas other divisions may remain little improvements, because of the reason of nature of business. Like in Rail EPC, we are now expecting that kind of a boost in the current year. So naturally the more -- major boost will come from our wagon and Foundry division. And together also, but the company overall will still perform more than 35%. So that is how the percentage increase will be greater in these segments than the segment which is Rail EPC.
Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.
Ankur Kumar: Congrats for a decent set of numbers, sir. Sir, my first question is on the margins. So if I look at Rail EPC segment, for this quarter, you are saying that we have moved from 1,000 wagons to 1,400 wagons. Sorry, question is on the Heavy Engineering segmen t. So in the Heavy

Engineering side of segment, we're making only 4% margin this quarter. So can you comment on the margin, because you said we made 1,400 wagons this quarter versus 1,000 wagons last quarter. But there is not much improve

ment, if I look at margins for the segment.
A.K. Vijay: Mookerjee sir, would you like to answer this?
Indrajit Mookerjee: So I think it 's -- Hemant you should answer.
Hemant Bhuwania: Yes, sure, I'll take that, sir. So in Q4, you see that our rollings in the Heavy Engineeri ng division, they have achieved a turnover of around INR550 crores, whereas the EBITDA margin that you say, yes, that is not up to the mark. We will definitely like to improve upon that. That can only go up once we perform, once we improve on the number of wagons that we execute.
Indrajit Mookerjee: Let me also add. You are finished, Hemant? Have you finished?
Hemant Bhuwania: Yes, sir.
Indrajit Mookerjee: Okay. Just let me add to this that as you are aware that the railway -- the Indian Railway orders are at a pretty challenging margin, not a very high margin. Whereas we are doing a large proportion of our volume with the railway wagons. So this is the reason why Hemant sir just now mentioned that we need to do more, so that we could make other than railway , private wagons also. And we see -- and also fortunately, we also have good amount of orders of private wagons. And on top of that, we are now finding the export market to be very lucrative. So we also have decided to go on manufacturing the -- to go on w inning bids for -- winning contracts for the exports.
So all this put together, we are looking at a very, very encouraging situation for the months to come. Yes, we have to do certain reorientation of our business. For example, there are certain business we have to -- we will have to -- not been. We are going to come down on some businesses which are already occupying our factory like making certain railway component shells, which are in that phase, we will make more numbers of locomotive shells. So instead of that, we make m ore wagons.
Then we also have at a very stage of planning to increase our capacity and also Mr. Vijay have already mentioned of our signing with a joint venture with a foreign company where we would make the -- where we will in crease the capacity of our production. So all this put together, private wagon exports and clubbed with certain reorientation on the business portfolio and the capacity expansion I think are going to give us very encouraging results to come.
Ankur Kumar: Sure, sir. And in the press release, you're also -- you're saying that cost reduction has been set as a major objective for this year and if I look at our biggest competitor, which has won this -- which has also won this railway order, they are talking abou t 8% to 10% of EBITDA margins. So do we think we can reach that level or that is like difficult to reach?
Indrajit Mookerjee: Hemant, do you like to answer? Because I think it is achievable. Hemant, would you like to answer?

Hemant Bhuwania: Yes, sure. So, see, the majority of the cost, what you see, it might -- the material cost around 80% to 84% of the cost what we incur is on materials. So we are trying to rationalize on the material cost, the components, which can be -- which can be manufacture d in-house, we are exploring the opportunities, the components, which can be outsourced to a vendor as a result of which we get a better space utilization and we increase on the number of production. So all these aspects on cost rationalization is being lo oked into and we are working on that. And I think within first quarter or by end of first quarter, we should come out with some cost rationalization.
Indrajit Mookerjee: Yes, it is a cost and the product mix, cost, product mix, expansion of capacity, short -term, is cost and product mix, medium -term is a capacity expansion and moving into some other related products like, we just have decided to build a strategic business unit for supply of components to the wagon manufacturers abroad, which is the export.

S o all these are the various [inaudible 0:24:54] with profitability, given the current base load being from the railways and individual segment, the current railway segment, we are on a cost strike, a strike to push the cost down, and various other aspects. So which is what we trying to do now.
Ankur Kumar: Got it, sir. And sir in Steel Foundry, our margins are much better than Heavy Engineering division. So do you think that are like sustainable?
Hemant Bhuwania: Yes, the foundry for steel -- the margin for Steel Foundry what we reported is on a sustainable basis. So we should be able to sustain this margin.
Indrajit Mookerjee: Yes, increase -- we are looking at an increased margins. So it's not only sustainable, we are looking at various other aspects. Curr ently, we are -- right now Steel Foundry is supplying most of its products to our wagon plant. So we are looking at capacity expansion in Steel Foundry.
Ankur Kumar: So can we increase margin in all the three divisions?
Ashok Vijay: See, this is basically, I would like to add one point here that the beauty of our business is this thing, it is a volume game. The moment the volume starts going up, all cost starts percentage wise coming down and the margins start shooting up and that is what basically focus is also with us.
Now today, whether they produce 1,000 wagons or 3,000 wagons or 5,000 wagons, you will find that overhead cost, more or less in a cost, it doesn't go up in the same proportion as the number of wagon production goes up, similarly in the casti ng division also. But same things apply to that. Of course, it goes up a bit, because the production is going, so other facilities to be created, infrastructure to be created, maintenance cost goes up and also certain production and direct costs also goes up like labour and all, but not in proportion. And that's just a big boost to the bottom line and that is where we are focusing about.
Hemant clarified to you beforehand that yes, we are focusing cost reduction and in fact, in our press notes also we cover ed that very prominent. Cost reduction is a milestone, which we would like to achieve in a major way in this financial year and actions already started. Mr. Mookerjee has put this as a target for the company executives to make sure that each and every divi sion, the cost reduction, it is not that only the direct cost reduction, it is the indirect cost reduction as

well, like how can we reduce the wastages, how can we reduce the -- your process time, how can we improve the efficiency of the machines ?
So that dependency on the outside agencies reduce it to that extent and in -house improvement in production comes. All these elements which are -- we can add to my cost reduction and at the bottom line have already had been drawn out and people are start working on this thing.
So fortunately for us, this is a time when we are able to boost the production also. So together coupled with this, certainly the margins will have a better outlook compared to what it has been there, irrespective of the prices remain same or we go little higher than this. So what we are talking to you today is based on the order book which we have today, especially from railways and based on that even also the margins are little meagre there, but still we would like to make sure that the compa ny makes a decent bottom line even in these orders. And then, of course, the additions of the orders for export, and addition of third -party, certainly will make differences in the bottom line to that extent further.
Moderator: Thank you. Mr. Kumar, we wou ld request you to join the question queue for any follow -ups as we have several participants waiting for the turn.
Ankur Kumar: Sure.
Moderator: Thank you. The next question is from the line of Vasudev from Nuvama. Please go ahead.
Vasudev: As you

mentioned in your press release and also in your opening remarks about this new tender for 50,000 wagons. So, firstly, how confident are you that this tender will come in Q1 and Q2?

And also, since all the wagon players are fully booked for the next three years, so how will railways give the order like, where is the capacity to execute them? So this is my first question.
Ashok Vijay: See, we are reasonably confident about the tender coming at, because of course we are in the industry, we are running the bus iness, so we keep the information and based on the information available to us and also the industry that this tender railway is pretty sure coming out of it. And as we indicated that is likely to come out in first quarter or latest by early second quarter . But then you cannot have any certainty about something with which we don't have control, but we are reasonably confident about this, to answer to your question number one.
Answer to your question number two, which is again, dependent upon the industry capacity. Now capacity today is a flexible game. As we explained, all -- during all our presentation that how we are now making sure that the capacity wise, with certain -- adding certain balancing equipment all this thing, we are constantly going to improve our capacity and capability to deliver the wagons.
So other wagon builders are also trying to do the same way, somebody will be doing little better, somebody will be doing little worse. But then yes, people will make effort to that. Our capacit ies have never been tested to the kind of infrastructure the company has created over the years. So this is the opportunity for us to test our capacity and we are coming up with our expectation. In fact, as Hemant has explained to you in the opening statem ent itself that how we have improved

the productivity from 120 to 400 to 1,000 to 1,400 and of course, we'll be reaching much, much larger milestones over there. So if you imagine that, yes, lastly, we were producing 1,800 wagons, prior to that we're produ cing about 2,200 wagons. We are now looking forward to producing about 5,000 and above. So that's the capacity will be built up by us and we will -- we are sure confident about it, if the tender comes our way, we'll be able to meet the requirements. Top o f this, as I explained, we also signed a joint venture agreement with a foreign party to manufacture wagons in India that will add to my capacity further. So these are all basically combined structure together. We are not overly concerned about the product ion capability of the company to meet the requirements in case additional tender is awarded to us.
Vasudev Ganatra: Okay. And just, sir with this JV, how much capacity is increased for us?
Ashok Vijay: So in the JV, we have initially planned 2,000 wagons o n a per annum basis. To start with, it will start with around 1,000 to 1,200 wagons and then again as the JV sets up fully, it will ramp up to 2,000 wagons.
Vasudev Ganatra: Okay. And so finally, sir, how is the execution going on for the current order of 20,000 wagons that we have, and if you can give us that how many wagons did we dispatch in FY '23 and quarterly split of course if you?
Ashok Vijay: See, this was already explained in my opening remarks, but again for you I'll just repeat that. So the tota l number of wagons executed in the production during the year was around 3,200 wagons and we still have an order book of around 20,000 wagons in hand, combined Indian Railways and private. We expect further ramp -up of around 30% to 35% in this year, so tha t is how the order book would be executed.
Vasudev Ganatra: Okay. I'll come back in the queue for more questions. Thank you.
Ashok Vijay: Thank you.
Moderator: Thank you. The next question is from Pritesh Chheda from Lucky Investment Managers. Please go ah ead.
Prit

esh Chheda: Yes, sir. Thank you for the opportunity. Sir just wanted to understand why is the wagon execution expected in FY '24, plus 30% number. So let's say about 4,000 wagons, 4,500 wagons, on a 20,000 wagon order. So if you could tell me what is the delivery schedule for this 20,000 wagons?
Ashok Vijay: Pritesh, let me tell you, I explained also that 35% is overall growth in the company, which we are targeting about, doesn't mean that the wagon will also go at 35%. So wagon can go some differe nt numbers, foundry can go some different numbers, Rail EPC can go some different numbers. Overall, we'll be suddenly going by 35%. That is what basically we have mentioned and we maintain that. As far as the capacity requirement is concerned, we have to d eliver 500 wagons, 500 -plus or more wagons to the railways every month and we are more than confident to meet that requirement.

Pritesh Chheda: So can you tell us what would be the volume schedule for FY '24, will it be 6,000 wagons, 7,000

wagon or 8,000 w agons?
Ashok Vijay: Our aim is to reach that levels.
Pritesh Chheda: Which one, 5,000 wagons, 6,000 wagons, or 8,000 wagons number?
Ashok Vijay: You always go by the mean, I understand that formula.
Pritesh Chheda: Okay. My second question is, on the gross contribution margin from wagon, what is the gross contribution margin for wagon?
Ashok Vijay: Yes, Pritesh, I don't answer these questions. This was base of the papers which we have shared with all the shareholders.
Pritesh Chheda: Okay. And what is the c apacity utilization, if you can share of the wagon?
Ashok Vijay: Right now, this is an interesting question and I love to answer this question, basically because I personally strongly believe that capacity -wise we are still not reaching our potentials. Tru ly speaking and suppose, for example, we are doing open type wagons, the company can produce 10,000 wagons in a year, but today we are doing a combination of wagon, in fact rather today presently, we are making some six type, seven type of wagons simultane ously. So that certainly makes a little dent on the capacity utilization.
Going forward, what we are trying to do, we are going to restrict ourselves to three types, four types of wagons, whereby we can do mass production and increase the number of wagons which you can deliver, instead of going for some seven types, eight types and all this thing in all orders, that's how basically the escalation is be ing done in the organization. And hopefully this year end, this story is a bit different to tell you.
Pritesh Chheda: And lastly, at the year end, let's say, couple of years, what kind of debt we will see on your balance sheet, because your balance sheet h as seen increased debt for last -- for many years now?
Ashok Vijay: Yes, that's right, because you are aware of the fact that our Rail EPC has not been doing that good, because the reason of certain orders which we book, our certain orders, which were lega cy orders, we were struggling there, so we have to rely upon that to complete those orders. I can only tell you that all the long -term or long tenure orders, more or less now standing complete, except for couple of such orders which are still under executi on, some in Bangladesh and some in Bangalore Metro.
Apart from that, all orders are basically now our newly booked orders which were under execution, and they are short -duration orders. So the requirement of working capital also for that will come down and certainly this will help me in rationalizing my finance cost also, which is substantially higher because our borrowings has gone up.
Truly speaking the overall borrowing, I'll request Hemant to share with you, but as far as the long-term borrowing s is concerned, I can tell you, it is still under very much control excepting

for our corporate loan, which we have to take towards the COVID period, the long -term borrowing is about INR100 crores. How much is the short -term borrowings, Hemant?
Hemant Bhuw ania: So we have our working capital short -term borrowing of around INR750 crores across all the divisions and our long -term borrowing as on March stands at around INR220 crores. This includes borrowing which we had taken for expansion of our capacity Raip ur Foundry, Calcutta and our Heavy Engineering division.
Pritesh Chheda: Yes, but that still doesn't answer how much of debt repayment you would plan to do over the next two years based on whatever cash flow or retention money getting released from the bal ance sheet?
Ashok Vijay: Pritesh, we have given you the answer very clearly that, yes, our total debt for this long -term other than the corporate loan which we have taken during the COVID period of INR100 crores is INR100 crores. And repayments are basical ly in five years' time. So on an average INR20 crores for this and INR20 crores for what my COVID loan. So this is altogether INR40 crores repayment is being made and we are making every last two years, we are making regularly since the loan was taken.
Apart from that all working capital loan, which is not required to be repaid, because it is relating to my operations and as the productions are going up, the operations are improving, there may be some more balancing working capital loan maybe required, but that is basically adequately supported by the current assets, which are being used for production purpose.
Pritesh Chheda: But any release of retention or debtors or any because of this old projects which can deleverage our balance sheet by any chance, or because we have the receivable of INR780 crores and then your other current assets, is there anything on closure of projects?
Ashok Vijay: Yes, basically it is all the long -term debt -- debtors and all this thing are slightly higher, because of our busine ss in the Rail EPC segment. We explained earlier also that Rail EPC segment, number one, the management, they can view that this division requires a focused approach and cannot be done collectively with other divisions working.

As a result, the Board has p roposed to basically bifurcate these two divisions, one is the brick - and-mortar division, other is the Rail EPC division. So Rail EPC division is being bifurcated into two separate companies to take approach that that business is very focused. And basicall y what we are trying to do is this thing that whatever jobs we have done and those jobs whatever amount which are claimable from the clients because of the delays and default from part of the client, that is where we are making more focused approach now wi th the divisions run being separately by individual business head.
And once the company is separated, it will be more focused that to that extent, the approach will be more focused. And certainly, We expect a substantial portion will be realized by us, whi ch will be adding to bottom line as well, on account of the various claims, which we have generated and launch with various clients, and they are under now discussion, negotiation and settlement.

Pritesh Chheda: Okay. That's it. Thank you very much and all the best.
Ashok Vijay: Thank you.
Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital Please go ahead.
Alisha Mahawla: Hi, sir. Good evening. Thank you for the opportunity. Sir, just wanted to know for the year '23, we have done 3,000 wagons or 3,200 wagons?
Hemant Bhuwania: So the production was 3,200 wagons. And if you see from the sales side, it was -- sales would be somewhere around 3,070 wagons -- about 3,090 wagons.
Alisha Mahawla: And can you give us a sp lit, ho

w much of that was for Indian Railways and how much was private?
Hemant Bhuwania: So railways was around 2,200 -- 2,260 and private was around 850.
Alisha Mahawla: And are they trending slightly lower than the monthly run rate that we would have pre ferred to do for the Indian Railways and is there any penalty in case we can't complete the order in time?
Ashok Vijay: So, Alisha, we already explained that in our opening remarks that, yes, we are ramping -up, these are at 120 wagons in Q1 then we move to 500 wagons, then 1,000 and then 1,400. So from here onwards you see that yes, we can only go northwards. And that would some -- the requirement for the railways as well.
Hemant Bhuwania: One more point Alisha, you need to note about this thing is t hat that, we were the only party required to do the prototype and then go for production as compared to my other wagon builders, who is getting -- who actually got orders for the wagons which are anywhere in their product range and they were not required t o go for prototype.
Our prototype requires almost three months to produce, so we started three months late compared to our peers. And as the result, last year we have to pick -up the production. Second point here is important we are doing a most difficult w agon, which is BCNA, compared to the open -type. BCNA is the covered type of wagon, which is almost about 1.5x to 1.6x of the normal open -type wagon. But, yes, that's no explanation for me not to do the quantity, but yes, it takes time to pick-up. We have t o build the ecosystem for that, we have done all that thing. And today now in a position to ramp -up the production and meet those requirements where the railway is given to us. And rather meet the requirement for private sector as well simultaneously.
Alisha Mahawla: Understood. But is there any penalty in case they can't finish it in 39 months?
Ashok Vijay: The contract do provide for that. But then of course there are reasons for that why it's not be imposed, but that we will take up according to the contractual conditions.
Alisha Mahawla: Understood. And you're doing about 850 wagons on the private side. Any challenges on procuring the rail wheel sets from the private side now, or that has largely been addressed?

Ashok Vijay: It used to be, but no mor e.
Alisha Mahawla: So that is no longer acting as a negative pressure on our margins?
Ashok Vijay: No, this is not now. It was for the first two quarters as well as previous year challenge.
Alisha Mahawla: Okay. And just my last question, you've spoken of incremental 50,000 orders that is expected in the next couple of months, which would be for more specialized wagons, plus the annual Indian railways will do plus exports. So what is the kind of capex we're looking at doing to expand our capacity to in anti cipation of the demand that we're seeing, whoever doing the JV, we're talking about 2,000 wagons. But is there any other capex that we're doing to increase our capacity?
Ashok Vijay: Yes, capex is there, but it is not substantial, because our infrastructur e today can take care of increased production and we are hopeful that our infrastructure can support up to production of

10,000 wagons also in the year. So that's not a major challenge. Of course, we will have to add certain balancing equipment's which we are constantly doing about this thing. Hemant explained also that why our capex loan is there. We have taken some capex loan to improve on our infrastructure, adding certain balancing equipment and also ramping up the capacity for my foundry.

So these toge ther, we should be able to position to cater to the requirement up to this number that shouldn't be previous challenge. And once we reach those numbers, we will certainly find ways and means, whereby without making massive capital expenditure or capital in vestment,

we further ramp -up capacity by improvement in the processes, etcetera. So we're constantly doing this thing and we'll be doing it. First time we have won the opportunity and now we are really coming up to the challenges which we have faced -- which we have been put.

Alisha Mahawla: Understood. And just one last clarification. I know you answered this earlier, but the margins on the wagon side is relatively lower and you're saying we don't have pressure on the railway side. And that a good amount o f operating levers had come -- the numbers ramp -up and we reached 1,400 wagons. And what is causing this negative pressure on the margins on the wagon side?

Ashok Vijay: Mr. Mookerjee just explained to you to the team members that yes, the railway wagon, t he margins are lower. Of course, but then there is a bulk and certainly it all -- that it has become, there is a number gain or the volume gain, the more the volume we have cost over it, will remain more or less constant -- in a constant factor, not going up in proportion to what the number of wagons produced is going up. So this is the advantage which people derive out of this. And accordingly, we are focusing on, going in the volume gain whereby on every incremental volume, we are not increasing the cost, which is adding to my bottom -line. So in spite of the -- there'll be a pressure of the margins in respect of the railway orders, we are confident of making reasonable money there as well.

Alisha Mahawla: Okay, sure. Thank you.

Moderator: Thank you. The n ext question is from the line of Sanjeev Kumar Damani from SKD Consulting. Please go ahead.

Sanjeev Damani: Good evening, sir. I just wanted to know that how much amount of claims that we have made which are likely to be realized in this year? So two figur es, how many -- how much claims we have made? How much we are likely to realize? Are there any arbitration amount also given in our favour , and do we have any surplus assets, non -core assets, which we can realize to reduce our interest burden? These are my questions, sir.

Ashok Vijay: Answer to your first question, we have identified claims which is substantial in four digits. Answer to question number two, we have substantial push -out that we have already submitted to the clients, other are being compiled basically because it requires a volume of data to be submitted along with that, which is already being assembled and accordingly we are going ahead with client system.

Answer to question number three, we have gone for certain arbitration also and the clien t has come out with some settlement proposals, which we are negotiating with them because arbitration is still a time consuming process and settlement can be arrived that the client will be always most welcome one. So that's the answer to question number t hree.

And your fourth question, which is there in respect of that, yes, whether this -- the surplus debt, which is the company has got or not, yes, company has large bank of surplus debt, but the company also take judicious calls on that thing, like we hav e certain investments in companies, certain investment in land. So all these things are there and we will be working on those very judiciously.

Sanjeev Kumar Damani: But right now there is no program and for this year, no chalked out program to realize anything from that side?

Ashok Kumar Vijay: I hope -- I'm not in a position to answer this question, because this is something sensitive which is the Board has to take a call first before we could actually answer to that. Mr. Mookerjee, anything fu rther you'd like to add?

Indrajit Mookerjee: No, I have nothing. There are claims as you have correctly said and these claims are all from the EPC. I think it is premature to keep on talking of numbers at this stage, but they're pretty large scales.

Sanjee v Kumar

Damani : Okay. And my second question is regarding -- are we the most efficient producer of wagons in the world with our technologies and processes, or are we somewhere into one to five or something like that? Can you kindly tell us?

Indrajit Mookerjee: We are improving the -- we are constantly endeavouring to improve our strategy for which we are -- we have a -- we have revamped our already strong design group. We also are -- as you know that, we are also -- we have a joint venture. S o the foreign partners have very strong design groups. So always our attempt at this moment to be ahead of that, yes. And all these are very important, because anything that railways would like to buy in future would love to have better performance paramet ers. So we are keeping that in as a very strong KPI for us.

Moderator: The next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.

Naitik Mohata: Just 2 quick questions from my end. One, what are we expecting the monthly run-rate for wagons in Q1, and what was it in Q4?

Ashok Kumar Vijay: So Mohata quarter, in Q4 we did 1,400. So in this year slowly from April onwards, we have started ramping up and we expect that, yes, in H1, within this year, we should expect a ramp up of around 30% to 35%.

Naitik Mohata: Okay. And the EPC order book that you have quoted like, we have INR1,500 crores order book in EPC segment. So what is the timeline of delivery in the EPC book that we are expecting?

Hemant Bhuwania: So EPC order generall y is to the tune of between 2 years to 4 years depending upon the nature of jobs, but yes, if you , our EPC division order book was to the tune of INR3,000 crores which we have brought down to around INR1,500 crores as Mr. Vijay explained that we are accept ing only those orders, which are for shorter duration and more of a supply part rather than on the erection and commissioning. So, INR1,500 crores I think should be -- the tenor for these orders will be somewhere within 2 years to 4 years.

Ashok Kumar Vija y: See let me also clarify to you because this discussion is very open. Rail EPC comprise of various sub works. We are market leader, especially in the field of signalling , in the ballast less track and in the overhead electrification. These are the core a rea, which we take contracts which are normally -- not have a longer duration. They are normally between 18 months to 24 to 30 months, not beyond that. There is another segment where we also are operating that was the track laying for the railway. This is a segment where the time taken at times contractually also is 36 months or long.

Now there the challenges lies long, because there are so many agencies working simultaneously the same thing, including civil agencies, including the bridge, including the -- your land acquisition agencies, including the planning agencies, including the designing agencies, altogether simultaneously keep working on the sites. So there is lot of challenges which we are earlier not aware of, now it seems to be. And accordingly, we have reduced our exposure to a very large extent on this. And excepting for couple of old contracts, we are not booking any new orders, especially in this segment until and unless this is basically predominantly loaded in favour of signalling , telecommuni cation or ballast less track.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Sir, on the wagon manufacturing, earlier you had said that next year which is FY '24, the target for wagon ma nufacturing would be closer to 6,600 wagons in a year as per the 39 months contract. So is it right to assume that while overall business will grow at 30%, 35% or more, your wagon manufacturing from IR would be growing 100%?

Ashok Kumar Vijay: See, we never mentioned that

it should cross 6,000 or so. So but what we mentioned was basically we will be meeting our obligation who are distinguished translate into the business of about 500 -plus wagons per month for the railway segment. As we have rece ntly seen, and if there are no challenges and everybody is -- the wheelsets or our clearances from railways

because railways also have to take these wagons for deliveries, so we will -- we should be able to ramp up our capacity.

We are geared up ourselves to meet the obligation which we have taken under the contract and also that simultaneously we can do some private also, so this basically we are doing. Depending upon the overall ground realities that whether the requirement for these wagons, whether the availability of these wagons are enough with the railways, we will be able to cope up and meet the requirement, which the railway given to us.

Sarvesh Gupta: Okay. And secondly, this bifurcation of the Rail EPC division So basically you are contemplating de merger of the Rail EPC division business into a separate listed company. So is that the right understanding?

Ashok Kumar Vijay: No, we are only demerging, we are only doing a slump sale to our wholly -owned subsidiary companies to make a management focus, e specially to these budgets -- these divisions. Not doing

a demerger.
Sarvesh Gupta: Okay. But that would mean at the consolidated level, is still everything would remain the same, except that maybe there are two management teams to take care of the two bus inesses, right?
Ashok Kumar Vijay: Yes, of course. They are two separate companies, these are separately owned by separate management team, who will be focused on their business, they are responsible for their business.
Sarvesh Gupta: Understood, sir. And, sir, on the margins part, now in Q4 of this year, our gross profit margin has dropped to 17% from 20% last year. So this is almost a 300 basis point decline. And that is the main reason I think we are also losing out on the -- so if we have to explain the loss in EBITDA in terms of margin from last quarter, I see 2 concern. One is your gross profit margin has fallen from 20% to 17% quarter -on-quarter.
And second is your -- the employee and other expenses have also increased more or less in the same proport ion as your increase in revenue. So neither is our operating leverage, wherein we were thinking that our fixed cost will be absorbed over higher base, but our fixed costs are also increasing rapidly in the same line as revenues? And secondly, our material cost is increasing, even when we see the raw material steel prices everything more or less being in shape for everyone else. So what is the reason why both these things are not working in our favour ?
Ashok Kumar Vijay: I'll answer you in brief about this t hing. Number one, the last point first, the steel prices depends -- the cost of material depends upon the nature of wagon, which you -- nature of product which you are manufacturing. You'll appreciate that. So suppose in year 1, you produced X type of wago n, in year two you produced Y type of wagon and year three, you produced Z type of wagon, the cost for all the sales doesn't remain the same.
The story doesn't applies to similar fashion, which is there. Similarly, in case you are doing more of private wag ons, less or railway wagons or more of rail wagons and less of private wagons, the ratio changes. So all these factors, we take into consideration while basically doing the production planning and all this thing. But since the railway requirements are urge nt and railway

pressure is there, initially we took time, basically because we had to do the prototype -- the prototype must be completed.
Once we're over with prototype, we'll come up with the mass pro

duction. So these cost factors were accordingly being higher when we make the wagons which are normal wagon. So similarly, in case suppose we are making some different type of wagons, the cost can be different. So this cannot be equated. If we are not making one type of product, although we are making wagon, but the wagons we are making eight types of wagon presently.
So there are a variety of things, which goes into this thing, so cannot be equated by 17% and 20%. Yes, the margin has been lower as we explained earlier, our management team explained earlier, that railway orders, the margins are lower. This order has come only in this year, it was not there in the last year, which we have now started executing in the year 4, if you see that railway supplies are larger as a result, they were low margin in the wa gon, the other product margins were reasonably well. But then yes, the quantity was quite low.
The third thing which you mentioned about this thing that the cost is also going in proportion to that is not correct. Cost is not going in proportion to that. T here are certain expenses which are basically incurred one -time, and those are kind of a nature, which you need to actually account for.
So those were the nature expenses, which have been accounted for, maybe have accounted for in Q4, as a result, the oth er expenses are slightly higher. But overall, period if you see the cost is not going in proportion to what the actual production is going around. In fact, rather my overhead cost, becomes more or less at a constant level once the production start increasi ng.
And the benefits of the higher production in my cost saving starts reflecting. So that will be reflected in the coming quarters, which will be basically going ahead from quarter one itself.
Sarvesh Gupta: Sir, what would be this element of one -time sor t of a cost in quarter four other expenses?
Ashok Kumar Vijay: We have basically written -off certain amounts about INR5 crores, that also there were some one - time cost of INR5 crores, which were incurred. So those were the basic cost which were there.
Sarvesh Gupta: So, only INR5 crores is the one -time, then remaining INR48 crores would be more or less going forward also it will remain at the same level?
Ashok Kumar Vijay: How can I say, it will remain same, because the product always changes. I told you -- explained to you what the wagon production level. They all depends on product mix. So we'll be rationalizing the products being in a manner, whereby the margins are reasonable and we are able to deliver you the results which we are basically -- that our shareholders are expecting from us.
Sarvesh Gupta: Understood, sir. And on the cost rationalization target, so what would be a yearly sort of a reduction that we may be able to achieve in our overheads because of the cost rationalization

measures that we have done at 30% above and want to implement in FY '24?

Ashok Kumar Vijay: It was 1 or 2 quarters, we are already working in a big manner. Our targets are very large. But then yes, we want to see whether in actual operation how much we are able to actually implement those. Ideas are there, we are working on those ideas. We will come out with that. But please give us quarter and two to come back to you on these questions.
Moderator: The next question is from the line of Dhaval Sheth from Dhaval Shet h Financials. Please go ahead.
Dhaval Sheth: Two, three questions. First is on Kalindee Rail. So as we have come to know that Kalindee Rail is on block to sell. So what is the update on it?
Ashok Kumar Vijay: I don't know, where from your information and n ews are coming, at least I can't answer this question because this is not the -- this is not the management stand ever taken by us.
Dhaval Sheth: Okay. Kalindee is not on block what we have learned from your an

swer?
Ashok Kumar Vijay: How can I say you on block, not block, you have asked me some hypothetical question which I can't answer.
Dhaval Sheth: Okay. When will the JV start with the foreign player, when will it start?
Ashok Kumar Vijay: Yes. The JV basically, we have signed agreement now. Of course, within a month or two, we'll be completing the complete diligence part of this thing signing the agreement, detailing and all this thing. And from there, the company to come into production as per our plan is normally 10 months to 12 months.
Dhaval Sheth: Great. Well, 10 to 12 months?
Ashok Kumar Vijay: That's right,
Dhaval Sheth: Yes. And as we all aware and most of the questions are on the net profit margin, which from the railway order book -- which is very keen. So what will be the -- to boost u p the net profit margin, what will be the total mix in the private, government on export orders going forward? Can you give some -- can you throw some light on it going forward, what will be the percentage mix going forward, government target an export ord er?
Ashok Kumar Vijay: Normally see, export in private, we have put in one block, we cannot do individually that. So between railway and private normally the ratios all along has been 80% -20%. We will be more happy if it does to 75% -25%, but it all depends upon what pressure what demand and what supply challenges are there. Based on that, it always keeps varying. But on an average we are doing 80% -20%.
Dhaval Sheth: Okay. And how much is our capacity utilization in this year and in this quarter?
Ashok Kumar Vijay: I think I explained earlier also, capacity -wise, for doing one particular type of wagon, we have capacity even for 10,000 number of wagons, but since we are doing variety of wagons simultaneously at train go the capacity cannot be fixed at 10,000 f or that. Accordingly it varies,

but we have explained is that going forward, we are restricting ourselves to four types of wagon, whereby we can be able to optimize the capacity and try achieving the maximum number what we are basically -- that infrastruct ure had been built.
Ashok Kumar Vijay: So in terms of percentage sir?
Hemant Bhuwania: Come again.
Dhaval Sheth: In terms of percentage, what is the capacity utilization?
Hemant Bhuwania: So if you -- the answer is very obvious on that. If my capacity is u p to 10,000 number of wagons for similar types of this thing and you get multiple type of capacity, certainly the quantum you start reducing it comes down, but we are anyway at the level of 50% -60% only.
Moderator: The next question is from the line of Raj Kishore as an Individual Investor. Please go ahead. Raj Kishore, your line is unmuted. Please proceed. It seems there is no response from the line of Raj. We will move to the next question from the line of Deepak Rajani from Darkini Inc. Please go ahead.
Deepak Rajani: My question is, is there any progress on appointment of a new CEO?
Indrajit Mookerjee: Yes, we are looking for a CEO.
Deepak Rajani: That we are aware that you are looking for a CEO. I'm saying, is there a timeline, is there any…
Indrajit Mo okerjee: Do you want me to tell you at what stage, how many people interviewed, how much is from where, these are the questions you're asking for then I have to apologize, I wouldn't be able to give you that. Because this is a classified information, I wou ldn't be able to tell you. Yes, as soon as we get someone replaced, we would be the first to go and tell you.

Deepak Rajani: Sir, my -- is it reasonable to many months after trying to hire a CEO and not successfully being able to hire a CEO, to give an ambiguous answer like this, but you are looking and it is classified, does this sound reasonable?
Indrajit Mookerjee: What is the answer that will satisfy you, sir?
Deepak Rajani: No, I mean,

the answer that would satisfy me, first of all, why is it that y ou don't have a CEO over the past several months? And why is it that you're unable to be able to hire and retain talent? What is stopping you from -- you are other companies that seem to be having great prospects. What is the difficulty? And are you -- can you least quantify it will take 3 months, it will take 6 months, some kind of time line, or you are going to say that this is classified and you can't share with us how long it's going to take, so the company is supposed to be …
Indrajit Mookerjee: I think you are getting worked up for no reason at all.
Deepak Rajani: I'm asking you a matter -of-fact question and you're giving me an ambiguous answer.

Indrajit Mookerjee: But if you wish me to tell you in how many months, I can only tell you that it should be as quickly as possible. I can't tell you the number of months, but it should be as soon as possible, because we are at the very final serious selection of CEO, does it satisfy?
Deepak Rajani: Sir, I don't think I have an option but to accept an answer like that, but I think you should introspect that that is the satisfactory answer?
Indrajit Mookerjee: I think you are making statements which are absolutely misplaced statements, like you just made some statements about our human resource policies and our ret ention of talent. I think these are unwanted questions.
Deepak Rajani: Sir the fact of the matter is that you hired somebody and he quit.
Indrajit Mookerjee: Mister, you have to tell us where have you seen the efficiency in this company, excepting that the Managing Director has left? Tell us the answer, give me the numbers. I will sit with you and give you the answers also.
Deepak Rajani: Fair enough, sir. I don't wanted to -- now, you are getting worked up.
Indrajit Mookerjee: It is very wrong to come to certain misplaced judgment. That's all I wanted to tell you. And I don't want to discuss on this point any further.
Navin Agarwal: Mr. Rajani, there was a question asked by you to the management, which they have answered that we are looking for it. I think we just need to give them the time and take the decision. There's nothing specific that they would be in a position to answer.
Deepak Rajani: Fair enough.
Navin Agarwal: Is there anything more you want?
Indrajit Mookerjee: I want to make this gentleman to be very careful when you're asking question because you are making misplaced judgments on retention and that works me up. Please do not ask such questions.
Navin Agarwal: I agree with you, Mr. Mookerjee. Mr. Rajani, if there is any further questions, plea se go ahead.
Deepak Rajani: No, that's it.
Navin Agarwal: Okay. Thank you, ladies and gentlemen. That was the last question in queue. As there are no further questions, I'd like to now hand over the conference to Mr. Mookerjee for his closing remarks. Over to you, sir.
Indrajit Mookerjee: So, thank you. But I think I personally am feeling extremely encouraged, because we have interested investors who are so interested in trying to know what we are doing and we have tried to speak on what we are doing, and I don't think we have tried to make any answers which are evasive. And I think we see a tremendous future not only in the industry but also in company,

because we are making many changes in terms of our mix, in terms of build ing up new divisions for later.
We just spoke of the export, which are really export the wagons, also export our railway components, because there's a very good market for component business in Europe and as well as in the western world and we share at a very proper international prices and we are trying to build -- through the businesses, we are trying to build up facilities

to build, to produce them, we are trying to load. If you are, you'll be knowing we have a unit called Hi -Tech which is -- which had world -class manufacturing facilit y. So we are debottlenecking Hi -Tech to produce world -class equipment's, components.

We talked of the private wagons, we talked about the exports. At the same time also we talked of number gain in the railway wagons, because it should produce more numbers. We will be covering a lot of our fixed costs. And last but not the least, I think we have made already very clearly in our announcement, is that we are on a specific cost reduction drive, which includes improvement of wastages, which includes manpower and which includes other consumptions like energy, consumables, etcetera. So there are specific actions are being taken and I think you will see that the manpower cost has come down -- gradually come down as we move forward. So this is a very, very clear exer cise for us on the short -term, medium -term is product mix changes, new divisions and capacity expansion.

So I think our path is very -- our directions, our vision is very well directed. We are very specific number oriented. So in the process, sometimes you find stumble, sometimes you move through like one gentleman was very upset because no Managing Directors are coming up, but things are not moving? They are moving as good as you have a Managing Director, because we have a very strong management width, the management bandwidth is very strong in our company. That's forgotten by this gentleman who were asking questions.

So all that I would like to say that we would like to deliver better and better results to you through the specific actions I had mentioned and we would like to get you a support. Your views, that will also help us a lot. But I think you're going to see different quite radical changes in the results of the company. That's all I can say, if I'm not say too much.

Navin Agarwal: Thank y ou very much, sir. Thank you for interacting with the investors. On behalf of SKP Securities Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen, you may now disconnect your lines. Thank you.

Call: Aug 2023

TEXMACO
REGD. OFFICE : Belgharia, Kolkata - 700 056. Ph.: +91 33 2569 1500, Fax: 2541 1722 / 2448
Email: texmail@texmaco.in , Website: www.texmaco.in Texmaco Rail & Engineering Ltd.
Belgharia Works
CIN: L29261WB1998PLC087 404
11th August , 202 3
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs ,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Tuesday , 8th August, 2023 at 11:00 a.m. (IST) .
The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp - content/uploads/2023/08/SKP_Texmaco_Q1FY24_Result_Concall_Transcript.pdf .
We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
This is for your information and record.
Thanking you,
Yours faithfully ,
For Texma co Rail & Engineering Limited
K. K. Rajgaria
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q1 FY '2 4 Earnings Conference Call "
August 08 , 202 3

MANAGEMENT : MR. INDRAJIT MOOKERJEE – VICE CHAIRMAN – TEXMACO RAIL & ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE – DEPUTY MANAGING DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. A.K. VIJAY – EXECUTIVE DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA – CHIEF FINANCIAL OFFICER – TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. NAVIN AGRAWAL – HEAD INSTITUTIONAL EQUITIES – SKP SECURITIES LIMITED

Moderator: Good morning, ladies and gentlemen. Welcome to the Texmaco Rail & Engineering Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management opening remarks . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.
Navin Ag rawal: Good morning, ladies and gentlemen. It's my pleasure to welcome you to this earnings conference call on behalf of Texmaco Rail and SKP Securities. We have with us Mr. Indrajit Mookerjee , Vice Chairman; along with his colleagues, Mr. Sudipta Mukherjee , Depu ty Managing Director; Mr. A.K. Vijay, Executive Director of Finance; and Mr. Hemant Bhuwania , CFO.
We'll have the opening remarks from Mr. Moo kerjee, followed by a Q&A session. Thank you, and over to you, sir.
Indrajit Mookerjee: Good morning, everyone. Th is is Indrajit Mookerjee , and it gives me tremendous pleasure in welcoming all of you to our investor call, where we are going to discuss about the company, our company's performances and we will be very happy to answer all the questions which you would like to ask us. So feel free to ask questions. Whatever -- we may not be fully successful in satisfying all your questions the way you want it, but we would -- as before, we would like to be transparent, and we'll let you know whatever we feel about your que stions and what your answers are.
I have also a great pleasure in introducing you to a new person who's joined our Board, and we are very, very happy to have Mr. Sudipta Mukherjee , who has joined us on 1st of June 2023 as a Deputy Managing Director. Mr. Mu kherjee comes with a great track record as well as experience in the industry and his addition to the Board as well as to the company is of immense support to the organizations, and I'm sure as investors to the company, you all will be also very happy to k now that Mr. Mukherjee is with us, and is in full swing operating with us.
So having said these words, you know that we are -- the railway industry is doing well, and this is an industry which is coming out with endless opportunities every year, which is i n line with the government's plan, national rail plan to be to be more specific, so more -- railways is trying to get more freight movement through the railways rathe r than from the track movement.
And all this put together, I think we are -- one of the pu rpose is to reduce the carbon emission.
And as you all know, that the percentage of freight to be carried by the railway, there is a target for steep growth, and we are all players in the same mission to help it to happen. So we are a part of that mission, and we feel very proud to be a part of it.
The order books are full. We are also looking for new orders that are flowing in. We are trying, and it's a question of how you improve your situation on the operations and how you make it

available at a proper c ost, lower cost, productivity, quality. These are the things which are of prime importance in our mind. Also, we also have, in our mind, the growth opportunities, because we're also looking at various growth areas, which are all connected with the rail segment, because we decided that we should only try to grow, where our competency levels are high and not go everywhere.
So putting all this together, I'm feeling that things are getting in the right place and we are also attaching more and more deals -- as the days pass, we will see better result

s to come.
With these few words, I would like Sudipta to say a few words, and then we can open up or we can have Hemant to speak a little bit on the financial side. And then we'll open up to discuss all questions. Su dipta?
Sudipta Mukherjee: Thank you. It's an honor and a privilege to having the -- I mean interacting with you on this occasion, and this is my first such opportunity on behalf of Texmaco. So I'm Sudipta Mukherjee: , I joined as Vice Chairman Mr. Mookerjee has explained, joined as MD -- as a Deputy MD from 1st June 2023. So you know, as in almost everything, what is in the order book and all this for the company as of now, and as Mr. Mookerjee has also touched upo n, the National Rail Plan 2030.
So actually, along with those orders and if we talk about the National Rail Plan, so what it calls for, it touches the areas like enhanced rail network, electrification, energy efficiency, trade capacity enhancement, modern rolling stock, experience of passenger enhan cement and all these areas.
So what I find that Texmaco is very uniquely placed in terms of catering to many of these segments. And when we also hear that this is not the end, I mean every day, there are certain or the other excitement in and around the wh ole railway industry happening in India, while we also had, I mean, off late that railways is still aiming to infuse around INR5.25 lakhs crores investment, towards the enhanced trade movement. So Texmaco being the primary manufacturer and one of the large st manufacturer in the country, can have a long -term view and a plan.
And of course, along with the rolling stock, along with its unique connections, collaborations, JVs and particular focus to components, which is embarking into new plethora of opportunit ies,

which make the company more stringent in the way forward and its performances. And I mean, this is what it is, and it's a very exciting time for the company, while we look forward to the opportunities with a positive side, with our unique capabilities . Still we are working inward to have more and more -- shine in those areas where -- which will make us perform better in the coming days and unleash as much as possible, and come out as one of the most preferred and one of the most successful company in t he segment.
So I would be very happy to answer if anything, if you have, and we as a team and I would also invite Hemant, if he has to say something on the results and take you forward and then we will be happy to answer -- for any questions. Thank you.

Hemant Bhuwania: Thank you, Sudipta. Thank you, Mr. Mookerjee. Actually, the results were out on 4th of August, and I believe they must be in your hand. And now I -- Mr. Mookerjee and Mr. Sudipta has briefed about the industry. We request the floor to be open for the question and answer session. We will be more than happy to answer your questions.
Moderator: We have a first question from the line of Balasubramanian from Arihant Capital.
Balasubramanian: Congratulations for good set of numbers. My first question is regarding wagons. Right now, we are executing around 300 to 350 wagons as per Indian railways data. Like we have a requirement of more than 500 wagons per month for Indian Railways. So like then we can ramp up on the execution side. If you could throw some light on the margin side on the wagons? Like if you look at, our margins are a littl e lower compared to our competitors. This is my first question.
Sudipta Mukherjee: So this is Sudipta here. I mean we have almost started making 500 -plus wagons in last 1 or 2 months. Are were correct that the performance was not up to the mark in the few of the months, and there are certain reasons and issues for the critical component supplies, which we have only option to buy from the dedicated source from railways, and subsequently, certain design and other issues. But we have started touching 500 figur e, and we are growing, and we are confident that we'll be able to consistently do it and even surpass 500. I mean, whatever the stipulation of railways. Other than the invite we will be performing immediately and touch upon other private sectors also from the --10 months.
Balasubramanian: Okay, sir. Sir, what would be the order book size as of now and like in terms of wagons and [inaudible 0:11:20] and you're also forming JV with of the European company. So like -- what kind of opportunities we have -- that the government have also announced around 50,000 wagons in the coming months. So if you could throw some light on that?
Sudipta Mukherjee: Yes. Excellent question. Actually, it will sum up and it will throw open the other new things which in Texmaco we ar e doing currently. So how we are looking at the business? One is that with the new railway order, Texmaco was one of the largest and, in fact, the second largest order getter in the segment from railways. So we have overcome the initial issues of supply ch ain and all other things. And we have dedicated the production setup for adding to the railway requirement, as I have also answered in my -- addressing to you in my first question.
In addition to that, it has other opportunities. Of course, as I have menti oned that, we have created a dedicated setup for catering to the domestic private sector, and you will immediately see -- I mean it has already started, but further it will be boosted up and consistent performance in that segment also in addition to the ra ilway. And other than that, to increase the capacity, because we have a huge infrastructure and we have other manufacturing plants also, we were looking for -- in the parts for right opportunities, where we are bringing in this new European JVs, which will also start manufacturing wagons in the coming days and other components of the freight industry.
And I mean, along with that, so we will clearly have 3 very good capable setup of catering to Indian railway, as well as private segment of the domestic marke t, as well as export market, so -- and components. So these are the 4 areas where, very clear concept of having dedicated

production process and systems are in process of making, and in 3 or 4 cases, it's already been done. And in the JV new plant, of cour se, it will take a few months to set up, but the work has started.
Hemant Bhuwania: Subramaniam, we also adjust them on the order book. So currently, the company is having order book to the tune of around INR8,000 crores, of which rolling stock is INR5,400 crores. Our Kalindee division is INR1,000 crores. Bright Power Division is INR550 crores.
Hydromechanical Bridges is INR100 crores, steel foundry is INR500 crores, other subsidiaries and joint venture is INR450 crores. So it is total ling around INR8,000 crores of order book.

Balasubramanian: Okay, sir. But on that steel foundry side, like what would be the capacity utilization? And we are also planning to demerge our Rail EPC business. So when that -- this demerger will complete?
Sudipta Mukherjee: Can you repeat the question because we couldn't hear you very well?
Balasubramanian: Okay. Sir, steel foundry side, like normally your capacity utilization...
Moderator: We have the next question from the line of Aakash from Dalal and Broacha Stockbroking.
Aakash Sawant: Sir, could you come again on the order book numbers?
Hemant Bhuwania: Sure. The order book is stood at INR8,000 crores, of which my rolling stock is INR5,400 crores. Rail EPC, Kalindee division is INR1,000 crores, Bright Power is INR550 crores, Hydromechanical and Bridges division is INR100 crores, Steel Foundry is INR500 crores. Other subsidiary joint venture is INR450 crores.
Aakash Sawant: Okay, sir. G ot it. INR550 crores was for?
Hemant

Bhuwania: INR550 crores was for Bright Power overhead electrification division.
Aakash Sawant: Okay, sir. Got it. Yes. So sir also -- sir, in the outlook, you have mentioned there are 4 key levers that you have for the growth trajectory. So one is the engine -driven wagon, second is the private sector values that you all are focusing on. What are the export margins that you all are focusing on? And fourth is, what you have said is the components for railways , freight ? So wanted to understand, as a fourth lever, sir, what kind of components are we involved in providing to the railways? And what kind of market size do we look at?
Sudipta Mukherjee: So once we talk about the components, basically, we understand that the freig ht and rolling stock component, the backward integrations or whatever. So with our JV, there is an opportunity to come into few teens of it, so which -- some of them already existing, but the market was not, I mean, open in that sense and some of them are under development. So in terms of figure, it is difficult to tell you at this point of time, but it should be around how much -- so exactly, it is difficult to tell, but it will be a substantial business way forward in terms of the trade components for Ind ia and maybe for global market.

Other than that, there are certain dedicated business, which we are looking for -- we are already -- which is already existing, is fabricated components in terms of locomotives, in terms of fabricated bogies. And for all these, most of the customers are from export customers. So there, we are having an opportunity to cater to the European market of freight rolling stock and others.
Indrajit Mookerjee: So this is Indrajit Mookerjee: , just wanted to supplement of -- what Mr. Sudipta Mukherjee: has said, is that, as you all know, that we have a pretty high precision and modern facilities for making such components, which we normally call our high tech division. And this is the right time to utilize the high tech to its fullest , and that's what we are trying to do, is to use the high tech facilities to cater to the component market. We may need to do a few marginal investments there, but these are all very precision and high technology machines, which are going to be used for ad dressing to the market that Mr. Mukherjee has just now said.
Aakash Sawant: Got it, sir. Also, sir, I guess, by the end of 2023, FY '23, we had around 16,000 odd wagons pending to be delivered to in railways, right?
Sudipta Mukherjee: Yes.
Aakash Sawant: Yes. And those wagons we need to provide them by August 2025, right? So what is the broad production plan? And how many wagons are we planning to produce this year for a monthly target that you are now planning to achieve by this year and by next year. So w hat is the outlook there for this year and next fiscal?
Sudipta Mukherjee: So far the present contract is concerned for railways, so we have a plan to supply a little more than the asking rate, but it will be in the range of 450 to 500 wagons a month. And in addition to that, we will be doing the other wagons.
Aakash Sawant: Okay. So 450 to 500 wagons for supplying to Indian Railways? And in addition to that, you'll also be producing for the private sector, right?
Sudipta Mukherjee: Yes.
Aakash Sawant: What will be our total monthly capacity? What will be our rate of production, sir? For wagons?
Sudipta Mukherjee: In totality now, we are in the range of 500, few less few more, but you will see the performance -- I mean, the performance is continuously improv ing, and we are hopeful from the current month itself, it will -- actually, we can touch upon all these segments differently with our targets.
Aakash Sawant: Okay, sir. So I mean will you all be able to -- let's say, by the end of FY '24, will we be at the rate of like 700 to 800 wagons p

er month?
Sudipta Mukherjee: Look, that is always a good target to have, but as I said that the -- roughly the market is -- I mean, the requirement is that Texmaco is all geared up to reach that target. But I will not say

today, it's not about a forecast . I've given a glimpse from which you have been able to calculate, I am happy. And in fact, we are working in and around -- to achieve that in and around with immediate effect.

Aakash Sawant: Okay, sir. So basically, you are trying to say that we'll be around that rate of 500 wagons per month for at least the short and medium term?
Sudipta Mukherjee: More numbers, you will see -- saying accurate number is of course fine, but more than that, you will see that all these 3, 4 seg ments, our performance would be much more strong, and hold from this month itself, as it has been in last couple of months or so.
Aakash Sawant: Correct. Correct, sir. Yes. I mean, there is definitely a ramp up in terms of production. Also sir, I think on one of the business channels, Hemant sir had come and spoke about the penalty or some provision that you all have a big impact on the expenses in this quarter, due to which you all had a big impact on the EBITDA margins. Wanted to understand more about it? Is it a penalty that we are paying or what what is it exactly?
Sudipta Mukherjee: Can you repeat your question once more?
Aakash Sawant: Yes, yes. So I think there is a very low EBITDA margin this quarter, right, of a very high production. So one of the reasons that was highlighted was that, you all have made a provision for the downsizing of orders that were made by Indian Railways, right?
Sudipta Mukherjee: Yes.
Aakash Sawant: So is it a penalty, is it in the nature of a penalty that you are paying to Indian Railway or what is it, and do we expect any further hits on our P&L in the coming quarters, with respect to that?
Sudipta Mukherjee: Look, in the contract of -- I mean in Indian Railway contracts, normally what happens that, you have a timeline t o supply and even if there is a certain thing minus, as a matter of process, the options of the contracts are being exercised. So then there is a process of appeal and there is a process of going into it. And while you still are on the execution of the con tract on a later date, the final decisions are being taken. So in that way -- I mean, in terms of certain tranche, which the company is executing, we took a call for a deferment or to start the first tranche prior to that. So there were certain financial i mplications as per the contract, which were foreseeable. So to make it clear and to start with a fresh listing, we have made this provision.
Indrajit Mookerjee: So actually, let me also add to Sudipta [inaudible 0:24:15]...
Moderator: Sir, we are unable to hear you?
Indrajit Mookerjee: I'm saying that this is Indrajit Mookerjee . So in addition to what Sudipta has mentioned, I would like all of you to know that we made a conscious decision about this provision. And also, we wanted to be absolutely transparen t in saying, that we felt that this amount that we have decided to make a provision for the time being, we have to discuss with railways further. So we are doing that because there are certain clauses which are not very reasonable. But in order to go forwa rd, we decided that we will make this a provision, but we'll continue to discuss with railways, because we think we have very strong grounds for -- to argue on this amount. So that's the only addition that I wanted to say.

Aakash Sawant: Got it, sir. So yo u all will be appealing for it, but currently, you all have taken a conservative provision in the books?
Sudipta Mukherjee: Yes.
Aakash Sawant: Yes, sir. And just wanted to know on the -- I me

an, are you planning to enter the passenger rail segment, or are there any plans to venture into metro or passenger coaches or Vande Bharat?
Sudipta Mukherjee: We definitely have our aspiration to move to the passenger segment. But we have decided that instead of jumping into it, we should gradually build our competencies and then move it. And keeping that in mind, we have -- as I think Sudipta had already mentio ned to you, that we have embarked a new strategic business unit, a new profit centre , which is the components. Now the components -- so making and manufacturing, is a very logical step towards moving into the passenger segments, because that's where it wou ld require a lot of fabrication work.
So this is a very logical move to that. And then our aspiration is that, there are so much of demand and opportunities in the market, we need not get into, to join the fray and try to get something in a hurry. But we are preparing ourselves in the various dimensions, so that we are prepared to enter into the passenger movement. So it is taking a bit of time, but we want to get it right first time. We don't want to get into a new business and start making losses. So we are -
- so that's the situation. The answer to your question is, yes. But it is a little long run than

immediate entry.
Aakash Sawant: Got it sir. So we are planning to move forward steadily, which makes sense. Also, sir, last 2 questions from my side, what is the order intake? New orders that we have taken on our board -- in our book this quarter? And secondly, the new railway tender that's going to come for steel wagons of around 40,000 to 50,000 wagons. What kind of order potential -- win potential do we have in that tender that is going to come?
Sudipta Mukherjee: Look, we are steadily -- over the years, we are steadily focusing even a little less than 30% of the order, which we -- whatever the railway comes up with. And this is the first consistent order book, and we -- whatever we are executing was the first of its kind, which has made everybody to think of a long -term plan. And I think the initial planning and the homework has been done well. And once I said that we have been able to create excess capac ity, in addition to whatever be the askin g rate of the present contract.
So we'll be definitely eyeing at -- in the new tender for a continuity, in terms of Indian railway order book, healthy order book. And Indian Railway has been one -- I mean, the main customer for the company so far. And we definitely want it to be in the good books in terms of our production capability and along with our foray into other dimensions of the Indian Railways.
Aakash Sawant: Got it, sir. So we -- will you be planning to av ail at least 25% to 30% of that tender?
Sudipta Mukherjee: I said a little less than 30%, it may be 20% to 25% or whatever it depends on the coating. You know there is a coating process, L1 and all this. So I said that we will eye as much as possible, because we have enough capacity now to produce.

Aakash Sawant: Got it. And what is the order intake for this quarter?
Sudipta Mukherjee: Around 1,500 wagons, 1,500, 1,600 wagons.
Aakash Sawant: They must be on the private side, right?
Sudipta Mukherjee: Yes.
Moderator: We have a next question from the line of Sandesh from HSBC.
Sandesh : Yes. Sir, I wanted to ask you 2 questions, firstly, on how do you see the order outlook bid pipeline for wagons from Indian Railways and from the private sector for the current year?
Sudipta Mukherjee: So we are all hearing as you have heard that there are certain new tenders Indian railway is coming up with. I have also read whatever the figure, I mean, someone had questioned that 40,000 wagons tender is coming. So in ad dition to that, there is a requirement in the market for private rakes of around, I believe, aro

und 200 rakes orders available in the market, which will be scouted by various private players.
And out of that, we may have, of course, again, I say that there are many manufacturers in the market. But in terms of delivery and all these things, we may eye at around -- overall Indian Railway and private, that a 30% stake -- near 30% stake of the old potential. And we are also -- maybe very hopeful, I mean, f or this financial year itself to have around another 300 to 500 wagon orders from export market also.
Sandesh : And sir, which are the main countries which you export to?
Sudipta Mukherjee: We export to basically historically various African countries. But now we have, of course, certain new opportunities which have come up in European market also. And other than that, we have been -- U.S., Australia and all these things are also with the existing customers.
Indrajit Mookerjee: Yes. Actually, we have a reall y strong export of our foundry product to the U.S. And we are -- our product is considered to be [inaudible 0:32:41] the demand is ever growing there. And as Sudipta mentioned that currently, we are trending around in -- our market share is pretty high in the African countries. We also earlier supplied to many European countries also, also neighbouring like Sri Lanka an d Bangladesh. Right now, we see also an uptick in demand from Europe, because Europe is suffering for want of components and wagons, because of the dried supply from Ukraine. So that throws up pretty good opportunity. So these are all our countries of conc entration and we have a separate team looking into the export market.
Moderator: We have a next question from the line of Kaustav Bubna from BMS PL Capital.
Kaustav Bubna: Hi sir. I had a couple of questions. Firstly, this INR400 cores to INR500 crores whi ch you were talking about in terms of capital raising, what will it be used for? What would the incremental capital raise which will happen and how much ever time, what will the money be used for?
Sudipta Mukherjee: We got the question. We have requested H emant to respond to that.

Hemant Bhuwania: Hi Kaustav. Kaustav we had got an in -principle approval from our board to raise up to INR500 crores in one or more tranches. So we are talking to few of the financial advisers on this, that what would be the mode of raising the capital. And once we materialize on that, we can definitely come back to you again, on what would be the exact quantum and the mode of raising funds.

Kaustav Bubna: No, no, no. My question is not on the mode of raising funds. My question is, why are you raising these funds? What will you use these funds for?

Hemant Bhuwania: There are primarily 3 reasons to it. One would be definitely on -- the working capital requirement for our Heavy Engineering and Steel Foundry division. Second would be -- certain portion would be required for our Rail EPC division. Third, that we have certain high -cost borrowings, which we will want to reduce that. And the fourth is that there would be certain capital expenditures that we were required to do. So the funds would be mostly utilized towards that.

Kaustav Bubna: Okay. Now my next question is on the demerger of the Rail EPC business. If that business is suffering, right, and has -- I'm assuming has a big recent portion of debt on it. Why are you demerging it? D on't you want to have good financials in that business when you list it -- when it lists separately? And is there any plan to -- what are your plans in this business? We haven't spoken about it on this call. How do we plan to realize this? Are we looking f or investment in that business? Are we looking for external investors in that business? Because you spoke about restructuring in the last many months and I just wanted an update on how you're looking at the same business?

Moderator

: Sir, we are unable to h ear you.

Sudipta Mukherjee: Yes. See, basically, the core thought that, yes, a demerger of our EPC division into 2 of -- initially they thought that demerger or a transfer of 2 EPC division into 100% subsidiary by the way of slum sale . But then our lawyers and consultant advised us, that no, demerger would be a better option. So we are going ahead -- Board has recommended that yes, we evaluated the proposal and we go ahead -- we should go ahead with demerger -- we can think of demerger too. The reason is that we have a different manag ement altogether for Rail EPC division and for our rail engineering steel foundry division. So we thought that it would be better that we separate these 2 companies. Secondly, we need to have a special focus on Rail EPC division. So we think that yes, it s hould be diverse. And further, the policies and the principle of a brick -and-mortar business cannot be tuned or in line with the Rail EPC division, so we thought of demerging this.

Moderator: We have a next question from the line of Ankur Agrawal: from RC Wealth Solutions.

Ankur Agrawal: What is the debt in the book, sir?

Sudipta Mukherjee: Ankur, you are still not audible. I will request the moderator if you can put in the question to us.

Moderator: So he is asking about the debt?

Hemant Bhuwania: So curre ntly, we have a debt long term and working capital combined together to the tune of INR1,000 crores, of which around INR165 crores is the long term debt and around INR830 crores, INR840 crores is the working capital debt.

Ankur Agrawal: Sir, what was the r eason behind the cancellation of the order by the Railways?

Sudipta Mukherjee: Ankur, the railway order has not been cancelled . So it is a judicious and conscious call of management to surrender this order, the second tranche of order. Actually, what has happened, we have received an order of 20,000 plus wagons in May 22, which was to be delivered over a period of 39 months in 6 equal tranches. So the company has successfully executed tranche 1. Company is currently executing tranche 3. So what financi ally suited best the company, the company has taken a judicious calls of surrendering tranche 2.

Ankur Agrawal: That repeat order that you will get is it over now ?

Sudipta Mukherjee: No, the order that we have surrendered, we have surrendered order.

Ankur Agrawal: How much have we supplied to the Railways in the month of July?

Sudipta Mukherjee: Can you come again, please?

Ankur Agrawal: How much have we supplied wagon to the Railways in the month of July ?

Sudipta Mukherjee: We did 476 in the month of July.

Ankur Agrawal: Any plan to reduce that?

Sudipta Mukherjee: Reduce?

Ankur Agrawal: Yes, to reduce that?

Sudipta Mukherjee: Why to reduce our production? Yes, we didn’t get you, why we should reduce our production?

Ankur Agrawal: No production , debt.

Sudipta Mukherjee: Debt. Ankur, I just mentioned that once we have this fund coming in as an additional equity, so once the certain portion would be utilized towards the reduction of high -cost debt.

Moderator: We have our next question from the lin e of Hari an individual investor.

Hari : What is this quantity of second tranche that you have surrendered, sir? And the second question is regarding, is Bright Power included in this demerger, sir?

Sudipta Mukherjee: Not getting you. Can you please repeat your question?

Hari: Sir, what is the quantity of second tranche that you have surrendered now?
Sudipta Mukherjee: 3, 3, 4, 5.

Hari: Okay, okay. And is Bright Power included in this demerger, sir? Bright Power is included in demerger, sir?
Sudipta Mukherjee: Yes. Bright Power forms a part of our Rail EPC segment. So Bright Power and Kalindee, bot

h
would be demerged.
Hari: Okay. And the last question is like, we are expected to ramp up every quarter the turnover, but the first quarter, the turnover i s less than the previous year fourth quarter. Like we are expected to be ramping it up? Like any specific reason, sir, not reaching the turnover?
Sudipta Mukherjee: In terms of the -- I mean, you are talking from the last quarter to the previous quarter, s o there's certain challenges in terms of the -- some design and brake system issues. So I mean all over the countries, there were certain issues of supply of one of the company, which led to a disruption in the supply chain for brake system for plate rolli ng stock.
Hari: The problem has been solved, sir?
Sudipta Mukherjee: Pardon?
Hari: Is the problem sorted now sir?
Sudipta Mukherjee: Yes, it is sorted out now.
Moderator: We'll take a question from the line of Harshwardhan Pisal and Individual Investor.
Harshwardhan Pisal : First of all, congratulations to the Texmaco team. Sir, I have a question. We are expecting a 10,000 order wagon from the coming 40,000 order tender. So what -- if it materializes, what will be the execution period of that order?
Hemant B huwania: Harsh, just a correction over there. We never said that we would be expecting an order of 10,000. The tender what we expect is for 40,000 and our share generally is between 20%, 25%. So if we extrapolate the number, the number comes to 10,000. So in case the number is 10,000, we would be happy to accept this order in our domain.
Indrajit Mookerjee: Yes. Actually, I wanted to add to Hemant, is that it will be a management decision of how much order to take at what price, because as you know that we have lots of demand. So we obviously would like to go for those wagons or those units, which will give us better margin. So this is very premature right now to talk how many numbers of orders that will come to us.
Harshwardhan Pisal : Okay. But what will be the execution period for that order? Means 12 months, 18 months if it gets -- if it passes through?
Indrajit Mookerjee: We have no idea. We are depending, and we are making all our statement based on hearsay. So it will be not correct to state any specific numbers or time period for supply, because orders -- because the tender is not yet out.

Harshwardhan Pisal : Okay. And one last question, sir. Let's say, if in next 18 months, railway floats another tender, would we require another fundraise to take in that order, in the next 18 months, after this order so when railway comes with another tender?
Indrajit Mookerjee: Not required.
Moderator: We have a follow -up question from the line of Balasubramanian from Arihant Capital.
Balasubramanian: Sir, I just wa nt to understand capacity utilization on the steel foundry business side?
Sudipta Mukherjee: Steel Foundry, we are -- whatever we are planning as on today, we are almost having more than 85% utilization, and we are investing further capex and our productio n will further go up in the next 3 months' time. And also the company has further plans in and around the steel foundry, which maybe in the coming years, we will be able to let you know.
Moderator: We have a follow -up question from the line of Sandesh from HSBC.
Sandesh : Sir, I wanted to understand how is the margin profile for your wagon business? For both the Indian Railways and private? And is the understanding correct that private sector is slightly more better in terms of margins for the wa gons?
Sudipta Mukherjee: It is very difficult to -- I think you've asked a very difficult question. So I don't want to say margin in quantified terms, because that's not correct. But I must say you that, yes, the margin, as you know, it's not a very big br ainer, that the margin will depend on the price of the wagons. And the private wagons, n

ormally we did at a higher price. So obviously, the margin will be superior.

Sandesh : Okay, sir. And sir, any standard like -- is it 1% or 2% high, based on your histor ical experience, any ballpark that it is usually 1% or 2% higher or if you can mention that, that would be helpful?
Sudipta Mukherjee: It depends on the price and of course, the requirement specific to product. So it's very difficult to define that how muc h percentage, but we are hopeful to keep better margins in terms of our improved efficiency. And, of course, our capability enhancement -- capacity enhancement.
Moderator: We will take the last 3 questions for the day. We have a follow -up from Kaustav Bubn a: from BMSPL Capital.
Kaustav Bubna: So basically, in the last -- since October, whenever we got the first railway tender from the Indian railways, since then, and now including this -- expected 40,000 to 50,000 wagon order, that would total about 140,000 wagons ordered in the last 1, 1.5 years, right? So I wanted to understand, what is the total amount of wagons that Texmaco expects the railway industry to get under the National Rail Plan until 2030 or whenever that is, so that we could kind of understand what is the order potential for these wagons for the next 3 to 5 years? Or more.
Indrajit Mookerjee: You should be able to answer, because this is not 3 years...

Sudipta Mukherjee: So it's a very, very thoughtful question. But as I said and as all of us h ave mentioned that, we see a continuity of the current scene, at least in the coming 4 to 5 years. If not more, because we are equally excited the way you are. But what we -- we can assure you that we are capable to deliver and meet with the requirements.
Indrajit Mookerjee: We have prepared ourselves and prepared even more, to see...
Kaustav Bubna: Is there any way you could give some sort of inclination as to, what that number could be? I mean, is it another 2 lakh to 3 lakh wagons? What is it -- is it po ssible?
Sudipta Mukherjee: Sir, it's very difficult for us to predict something. But as you know, I mean, all of us know that railway -- this government's focus to strengthen the infrastructure and with all these plans. Still, I believe things are evolving. And we are part of the journey, we can only introspect and make ourselves ready to cater to, but going through a definite number is -- predicting a definite number is, we are not the right qualified person...
Indrajit Mookerjee: Actually, this is going to be a speculation, which we should avoid. But as Sudipta has said, that the first 90,000 or whatever the wagon orders for, that was for a period of 3 years. So the hearsay is that there will be more orders flowing in. So I don't know how long -- what will be the requirements for their supply. But you yourself can make your own calculation, based on the railway, what a very high percentage of falling by themselves, and they want to go up their market share by, I think, 15% or so in a span of 4 to 5 years. So I think you would be able to do a better calculation than us.
Moderator: We have a next question from the line of Hari an individual investor.
Hari : The turnover of this EPC is very low compared to capital employed. So can you throw some light on that, sir?
Sudipta Mukherjee: I would request Mr. Vijay here. And so far, he has been silent. So I thought he should speak on the expense of energy .
Ashok Vijay: Basically, in the EPC business, as we earlier explained to you also, we have 2 wings. One, basically, which is known as the Kalindee division, the other one, which is known as the Bright Power division. As far as the Bright Power division is concerned, we are constantly progressing and progressing well. Our targets for Bright Power is in the near future to go more than double. And we are working on that direction. The orders, we hav

e opened a new era of the orders, basically targeting the export market. So first target is the Rail EPC business, other is the Kalindee, we are also getting export orde rs in price order .
As for the Kalindee division, we have earlier also informed investors, that it's a basically considered view and decision is taken by the company , [inaudible 0:52:17] not for large. Rail layout businesses, which is one of the focus areas, which Kalindee used to do earlier. Basically, the big difference is, this involves a lot of capital to be deployed over there and we get stuck for no fault of ours, because there are so many other industries also involved, including the people who a re doing the earth work and people who are doing the river bridges and all. So this is the

area where we really have to come out of this and do only limited jobs, which is a smaller area and the developed area.
Apart from that, the other areas of focus, wh ich we are doing, our strength area, are signalling the last left track and AFS . Now in all these 3 areas, we are doing well. We are booking new

orders also. But since we are not doing much on the track laying on the ground. So that is about -- volume -wise, we are getting a little lower of that, but it is not going to impact the company's performance, as per the margin bottom lines are concerned, because that is a low margin business, where we would not like to focus rather, we will put our resources on the capital available, into the business and where the markets are better, and we can really do a better performance.
So it's a transaction which we have at present -- at this moment of time is there. But yes, you'll find that both the rail EPC divisions will be doing much better in the coming period.
Moderator: We'll take the last question for the day from Harsh wardhan Pisal an Individual Investor.
Harshwardhan Pisal : I had a follow -up question to my previous question. If railways float another wagon order in next 2 years, do we have capacity for -- to take in that order? Or do we -- would we require a fund raise then after a year or so? After, let's say, we get this 20%, 25% orders of this 40,000 wagons. After this incremental order comes in, do we ha ve capacities for that?
Sudipta Mukherjee: There are 2 parts of your question as we have understood. In terms of the production capacity, of course, the way things are planned and has shaped. So normally, orders are -- remains in a continuation and to be d elivered for a period of time. So we do not find any challenge, because we're into the business of making wagons only. So we explained and we hope that your word become true and more orders we get. So then our endeavour will be fulfilled.
And in terms of r aising fund to manufacture wagon, so the raising fund for manufacturing wagon, it may be a bit too immature to tell that what is going to happen after 3, 4 years. But the way the plan has been made to execute and for growth of the company in all the trajec tories. So we feel that we'll be able to earn also .
Harshwardhan Pisal : Okay, okay. Actually, I'm covering this railway sector since last 2 years, I do think that many more orders government might float next year as well.
Navin Ag rawal: Thank you very much , ladies and gentlemen. This is Navin Ag rawal from SKP Securities. I'd now like to hand over the conference to Mr. Indrajit Mookherjee for his closing remarks.
Indrajit Mookerjee: It's been a pleasure last 1 hour talking to our good well -wishers. And I must say that we are looking to a brighter future, and we expect that we will deliver through our organization. We have also stepped up the organization, and we are looking at various measures of capacity improvement, cost reduction and also new areas to move into. One of them I have already stressed upon on the component business, I think, which

is going to be a very good business for us.

Mr. Vijay has already said -- mentioned that we are trying to consolidate some part of our -- to consolidate the business in some part of our EPC and some portion like electrification has shown us tremendous opportunities. We want to cash on them. But we don't want to go gung -ho and do everything lik e a wall -to-wall carpet. We are choosing where to go, which fits into our future strategy and vision and what will make us to make good money.
So it's a very well -structured strategy, which we are following. And with the good wishes of all of you and somet hing very unforeseen striking us, I think we are in the right path right now. So I would like to thank all of you for your participation and wish you all the best, till we meet again, 3 months from now. Thank you.
Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2024

8th February, 2024
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Friday , 2nd February, 2024 at 11:00 a.m. (IST).
T
he same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp - content/uploads/2024/02/Q3_FY24_RESULT_CONCALL_TRANSCRIPT.pdf .
W
e would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
T
his is for your information and re cord.
T
hanking you,
Y
ours faithfully,
For Texmaco Rail & Engineering Limited
K
. K. Rajgaria
Company Secretary &
Compliance Officer

“Texmaco Rail & Engineering Limited
Q3 FY202 4 Earnings Conference Call”

February 0 2, 202 4

ANALYST : MR. PARVEZ AKHTAR QAZI - NUVAMA GROUP

MANAGEMENT : MR. INDRAJIT MOOKERJEE – EXECUTIVE DIRECTOR &
VICE CHAIRMAN - TEXMACO RAIL & ENGIN EERING
LIMITED
MR. SUDIPTA MUKHERJE E – MANAGING DIRECTOR -
TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA – CHIEF FINANCIAL OFFICER
- TEXMACO RAIL & ENGINEERING LIMITED

 Moderator : Ladies and gentlemen , good day and welcome to the Texmaco Rail & Engineering Limited Q3 FY20 24 Earnings Conference Call hosted by Nuvama Group . As a reminder, all partici pant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Parvez Akhtar Qazi from Nuvama Group. Thank you and over to you, Sir!

Parvez Akhtar Qazi : Good morning friends . On behalf of the Nuvama Group, I welcome you all to the Q3 FY2024 conference call of Texmaco Rail & Engineering. Today w e have with us from the management side Mr. Indrajit Mookerjee - Executive Director and Vice Chairman of the company; Mr. Sudipta Mukherje e - Managing Director of the company; and Mr. Hemant Bhuwania – Chief Financial Officer of Texmaco Rail. I would now hand over the call to the management for their opening remarks. Over to you, Sir.

Indraj it Mookerjee : Good morning and I wish to welcome all our well wishers and the investors for this call. I would als o like to thank you for sparing your time to discuss business with us. I also would like to admit that you all are our very valuable partners and all our inspiration on business come s from all of you and we would be very happy if we can satisfy or if we can meet your expectations. We continuous ly thrive to do the same thing.

We had a quarter which ended on December 2023. So we had a board meeti ng in which our unaudited results were cleared by the board of directors and as you would see we have already publ ished the results in the national dailies as well as we inform ed the stock exchange , that you would see that we have a increase d growth on the sales turnover by somewhere at about 12% and the profit before tax has gone up to the extent of about 45 - 50%.

Now I am happy to report that we touched re cord productions of wagons which is the best ever that we had seen in the recent past from our multip le workshops, mu ltiple manufacturing facilities, which we have in Calcutta. We also have been able to work on the cost front; of course, the cost reduction i

s an ongoing exercise. In addition , our Q IP, which allowed us to raise funds and that made us to re tire about 200 Crores of high cost debt. So, I must also admit that the impact of that cost reduction is not too hig h in this quarter because our QIP process was finished only in the month of December. So the impact that we got is only for one month . So th is is what we have done now and I think I should spend a little more time in looking at the future as we see befor e I would request my esteemed colleagues to chip in and say their views and answer to the various queries.

 I think the future looks very good , and if you look at the macro level, the investment in the rail segment is somewhere close to about 2.4 lakh Crore that h as been the investment budgeted, and I think about very large amo unt of that is getting invested, which is a very good news that whate ver the Gov ernment of India and the Ministry of Railway have announced or allocated as budget, and it is getting i nvested, which really means that capital is getting formed and that i s a very good sign for us. The second thing that we see that this is goin g to continue in order to keep pace with the growth of the GDP target that the country has. Now out of this 2.4 lakhs, which is the yearly budget for the whole year that the railways have allocated for Indian Railway s a substantial portion is coming in the zone or in the domain where we operate. So it i s a question of really making it to operate, with skills, with eff iciency and with also effectiveness. So we promised during our last call as well as when we had gone to our investors in December that we have a strategy which has got two pro ngs. One is the s trategy on the short and medium -term. In the short and medium - term we have decided that we should like to get the best val ue, extract the best value out of the places, out of the areas where our competencie s are the best. When I say this, I would say that Tex maco has been in operations for the last 70 years, making wagons for last 70 years, and we know that we have a very strong competencies in the building of wagons, in the design, in the development for ne wer generations of wagons. So we de cided that we will concentrate on where we excel but then this also gave rise to other benefits , and these benefits are, if you want to make wagons, you need lots of components. For example, we need the foundry, the casti ng items, we need other mechanical components. So we decided that we should be moving into this area and deep dive to get the best value out of our foundry. So we expanded our foundry capacity marginally and we also did whatever was possible to debottlenec k our foundry operations, we have raised our capacity by 20%. We also are very strongly looking at the other component business which could be for India as well as it cou ld be for exports. So that i s a new strategic business unit that has been formed , which is going to look after only the components and we see the future to be excellently good. So this is what we have decided to do as far as the immediate medium -term exercise because we strongly believe that the allocations on freight movement will keep on going up. This budget is one of the point ers which I have said that three more dedicated corridors are going to come up and when that comes up , you nee d more wagons and now you need advanced wagons. The wagons which can carry more lo ad which can reduce the carbon footprint and I a m happy to say that we are very strongly we have revamped our design and development grou p to work in this directio n and I could also say that we are talking to some of the international majors also to see how we could improve our wagon designs and cost of manufacturing etc . So that i s the medium -term. In the longer te rm as you would see that out of these 2.

4 lakh Crores which is a allocated budget up a substantial part of it is going for commuter mobility, which is really the mobil ity of the passenger movements , be it Vande Bharat, be it urban transportation s in terms of Metro or the light Met ro, which has been

 announced in this yesterday's budget, there has been an indication of that in Honorable Finance Minister 's speech. So with all th ese together, we feel that that i s an area which cannot be left behind, but we want to move to that area having been properly prepared. We just d o not want to be a player just going in without bringing in much value. So some actions are also going on in this direction and hopefully our team will be very happy to announce to you that in course of time our entry p lan into the commuter mobility. Having said this, I once again would like to thank all our investors who have had belief in us, who all have had trust in us to make us to grow and I must say that you are the inspirations based on w hich we work.

With this, I woul d like to hand over to the tea m, which is Sudipta , whom we are very happy to have. He comes with a wealth of knowledge in the industry, in the freight car industry and also with Hemant Bhuwania who is our energetic CFO, I think one of the youngest CFO that Tex maco ever had . I strongly believe this will take u s forward. May I now open the forum for question? Any question that comes your mi nd, we will try to be honest. We have always been honest to respond. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Piyush Bora from Stambha Investments . Please go ahead.

Piyush Bora : First of all, thank you so much for the good set of numbers. I have three questions. Now as per the deviation report, working capital requirement was 250 Crores . Does by increasing this amount will reduce your short -term borrow ing? This is my first question.

Hemant Bhuwania: So to reply to this, yes , you are absolutely right. While we we re on road, we had committed that our working capital requirement would be 250 Crores and 250 Crores would be for reduction of high cost debt , 100 was for Cape x and 150 was for general corporate purpose. So we wish to make a statement that as of December, 200 Crores of hig h cost borrowing has already been paid and the balance 50, if you ask as always, has already been cleared . So the com mitment of 250, we have h onored. Out of the working capital requirement of 250, we have drawn till date ar ound 180 Crores for reduction in creditors , inventory and making the working capital smooth and the balanc e amount is still lying with us.

Piyush Bora : And cou ld you please gi ve the break up for general corporate purpose amount of 132 Crores ? Means what is going to cov er under that?

Heman t Bhuwania: As we told earlier that this general corporate purpose would be primarily for investment in our joint venture companies. We have 3 joint venture companies, Touax , Nym wag and

 Webtech , and this apart, there might be some ups and downs in Capex on working capit al. So we have kept up on that.

Piyush Bora : Now my second question is regarding your Hindalco JV. Could you please put some lig ht on that because I have read this in our annual report and the same data is also available in Hindalco. Hindalco , I guess have the corporate announcement for that, but we do not have any, that i s why , could you p lease throw some light on that?

Sudipta Mu kherje e: This understanding was done for co-promoting new technology wagons and o f course also for the passenger mobility. How to introduce aluminium and how to have eco friendly solutions around. So having said so it requires our ecosystem to be built in and bot

h the companies are working together. So in the suitable time we will get to know. It is too early to commen t on that and exactly when it can be l aunched, but the working is on.

Piyush Bora : So do you have any n umber of total market for that?

Sudipt a Mukhe rjee: I am sorry, I do not have an y number to help that. But I can give you a premise that on which we thought of doing this and what is the relevance of it . If you see that with the growth trajectory of bringing down the logistic cost, I mean the logistic cost through railways and railway is also looking for new technology wagons where they pay to tier ratio of the freight rolling stock is better and it is upgraded than what we have today because normally majority of the rolling stocks were historic ally of steel and then we introduced some rolling stocks and of cours e aluminium maybe a very good solution in certain product specific transportation and of course as you know the life cycle cost would be much lesser. So it is more on a futuristic kind of a technology sphere which we are looking into through these understanding in the trade as wel l as in the passenger mobility.

Piyush Bora : Okay. Thank you.

Moderator : Thank you. The next question is from Rahul Jain from JM Financial. Please go ahead.

Rahul Jain: Sir, congratulations on a good set of numbers. My first questi on will be what is the sco pe of work in passenger rail side do we do, and what can be the opportunity for us on this passenger side, a nd again what are the long -term plan for this busines s?

Sudipta Mukherj ee: To answer you straight yes, the company is actively considering, but for us the thought process is more into the entering into the ecosystem of this first because there is a huge growth and huge traction towards the growth of the pass enger mobility , but if you say that our understanding is t hat we are l argely dependent on global supply chain and which may not be in real terms in a proper ratio, in terms of the requirement of the rolling stocks. So

 our focus would be primarily to enter into that segment first, a nd gradually of course we have certain other understandings with few global majors also. So we will wait for the suitable time to get it.

Indrajit Mookerjee : Can I just chip in Sudipta if you allow me. We are taking a very systema tic, disciplined approach towards our migration or towards diversifyin g our business to passenger mobility. So in this there are a few elements which are essential for bringing value to this and this elements are in bits and pieces. For example, you need t o do certain things on engineering , electronics, car body, shells, etc., etc. and we have the general competency , we are at this point of time are developing our specific compe tencies in these are as and that i s what we are doing right now. Now once we do t hat, we ourselves will attract the global companies to come to us inst ead of we go and approaching them, they will come to us because everyone in this world knows that in the passenger mobility that India investment is one of the largest in the world which could run into som ething like I would reckon we will be in the range of 1.5 lakhs Crore . So people, all the global majors , whoever are not present, are interested, they also tell us, but in order to make them to be more attractive, we a re looking at these elements and that is why Sudipta had mentioned that this disciplined approach is not an endless process. we w ill come to a conclusion and we will tie up things quite quickly, and definitely we will keep our investors informed of that and that is the time we will be ready for entry because I think there are lots of rooms for more players to c ome and play, but we have to play profitably. We do not want to get to a situation with the doubt that we may not make sufficient money because retur n

on investment is something which is number one in our mind.

Rahul Jain : What I collect is that whatever you do on the passenger side will be more with the global tie-ups, what usually happens in the industry so that the things are readily available. Is my understanding cor rect.

Indrajit Mook erjee : To some extent correct because we also get global support, oth erwise the vendors do not simply buy someone to make metro trains who does not have experience. So obviously there certain qualification is there, ce rtain amount of req uirements and the qualifications from the buyer side and we have to satisfy them and that is the reason I mentioned that we decided to move with all the arms and ammunitions in our possession s o that we will be one of the suppliers of choice to the vendors . I am sorry, I meant wrongly, I did not mean vendor, I meant customers.

Rahul Jain : Sir my second question will be, after paying off the debt, and also utilizing working capital money from QIP. How much interest cost should we expect in Q4 as well as full year of FY2025.

 Hemant Bhuwania: You see we will be in this year financial year 2024 we will be repaying the total debt, high cost debt of 250 Crores, as was commented, and this was borrowed at somewhere around 12% to 14% interest. So on an average you se e that there would be a net saving of around 30 to 35 Crores in terms of interest finance cost next financial year.

Rahul Jain : So total 30 to 35 Crores interest cost saving will be there, Right.

Hemant Bhuwania: Finance cost, yes. Saving on account of fin ance cost.
Rahul Jain : Sir my third question is can you give how many wagons did we produce in Q3 and what was the peak production during the quarter or till date, and also what is the production target for Q4 coming year that is FY2025.
Sudipta Mukherje e: To answer you in Q3 we produced 1756 number of wagon and we were 750 wagons plus in a typical month two month basis w hat we committed earlier also, and in the coming quarter I mean you can expect a growth of around 30% on the wagon production, and this tr ajectory of growth will of course continue to the extent anything beyond 1000 per month.
Rahul Jain : So that will happen by mid FY2025 that can be expected.
Sudipta Mukherje e: Yes of course. I said that, I repeat that in the next quarter also you can find minimum 30% growth over and above whatever we have done last and this momentum will go till it stabilizes or around lit tle more than 1000 and also just to assure you that we are also not stopping there, we are looking beyond.
Indrajit Mookerjee : One more t hing I am saying that you would be happy to know that the production in the company has gone up by more than 300 % with very marginal invest ment so the incremental wagons are giving phenomenal rate of returns . I am sure we have come to a point when we need to increase our cap acity but as Sudipta has said that we see very clearly through proper manufacturing process, bringin g in technology in manufacturing, we are seeing ourselves to growing at that drastic rate as Sudipta has said, well there will be a point where we have to think of increased capacity if the market remains buoyant.
Rahul Jain : So what I understand is that once we cross 100 0 wagons per month of production that i s where you will start doing additional Capex right now whatever was happening was with the minimal C apex. Is my understanding correct?
Sudipta Mukherje e: You are very right, but I am interested t o put it in the other way round, that we thought that will definitely need Capex to go beyond anything which we are producing in the 1700 -1800 per quarter this time , but without waiting for the Capex , we have been able to do further few

 engineering and we are confident of ach ieving during the course of introduction of that Capex to reach to that kind of a growth of 30% or even more. So which is actually what Mr. Indrajit Mookerjee wanted to mention that the return on this growth would be much higher and maybe aft er putting those Cap ex, our capacity would be much more beyond 1000.
Rahul Jain : Sure, sir. My next question will be, how mu ch ton of pr oduction happene d from the steel foundry in Q3? If you can give that number, which you usually give.
Sudipta Mukherje e: Yes. So Q3 we produced around 10500 metric ton nes and in nine months, the production was around 30 600 metric ton nes, and we are also hap py to let you know this will also grow in the coming quarters , from the immediate next quarter itself.
Rahul Jain : Last question is, can you give the order book break up? The overall order book break up .
Hemant Bhuwania: So the total order book stands at 8500 Crores plus as of date of which freight car would be somewhere around 5750, infra and green energy would be 1100, rail electrification 900, steel foundry 325, joint venture and other subsidiaries 425.
Rahul Jain : What was the last number JV …
Hemant Bhu wania: Joint venture and other subsidiaries?
Rahul Jain : How much was that?
Hemant Bhuwania: 425.
Rahul Jain : Okay, sir. That i s it from my side. Thanks a lot for the answer and all the best.
Moderator : Thank you. The next question is from the line of Bala Subramaniyam from Ar ihant Capital. Please go ahead.
Bala Subramaniyam : Good morning, Sir. Congratulations for good set of numbers. My first question regarding like what would be the mix of private and railway wagons in this quarter, S ir?
Sudipta Mukherj ee: We have produced around 400 wagons of private and around 1360 of railway wagons.
Bala Subramaniyam : On the export side, like we have seen a lot of traction from African countries and especially in that US, Australia and the African countries. So what is our export share in this quarter and are we getting a ny traction in those countries?

 Sudipta Mukherje e: Yes, absolutely and we al ready started manufacturing wagons to supply to Liberia and from the next quarter you will see that the disp atches are on, and, I mean, many, at least three to four more opportun ities are of active discussion, a nd we hope that by the time we finish those by next September, so we will have more in the kitty, and last qu arter, we exported to Cameroon.
Bala Subramaniyam : Sir, in this 100 Crore Cape x specifically like for what and when the Cap ex will be

completed and I have seen that document like for repayment of debt and working capital, the funds has been utilized to more than 180 Crore on each. But on the Capex s ide, it ha s been not utilized till now.
Sudipta Mukherj ee: I will hand it over to Hemant, but as you have to understand that our fund raising t he whole process was completed in the month of December only and we are talking in January. So it was not possible for us to exhau st the fund within the short span of time and the break up and all these I think Hemant can explain to you.
Hemant Bhuwania : Yes, you are right, 100 Crores of fund was raised for Capex of which there has been certain commitments already mad e. However, the ou tflow of the fund has not happened as of now as and when the purchase order are being matured, the payments will be made. So we are from out this 100 Crores and we expect tha t yes within this year this Capex of 100 Crores would be met.
Indrajit Mookerjee : You asked some quest ions on exports, is that right?
Bala Subramaniyam : Yes, sir, exports like regarding like US, Australia and African countries like what are the tractions you are getting?
Indrajit Mookerjee : Yes, I think very apprehensively which Mr. Sud ipta Mukherjee our Managing Director mentioned to you, but I just would like to ad

d one more p oint on top of that. I think i t is important. This, I do not know whether you are aware, but Tex maco has a joint venture with the wagon manufa cturing company from Czech Republic and that happens to be one of the top most manufacturer of Europe and we are building a wagon manufacturing plant under a joint venture with them. One of the purposes of this joint venture is to access the European market. So I expect stron g participation of our wagons as well as our wagon components in the European market. So that is going to boost up the expor t further and also on firmer footing. So there will be some buyback by them. So I think by 2025 this will start getting reflected be cause this is the time required for building up the factory. So I thought I will just keep this for knowledge of all our investors.
 Bala Subramaniyam : Got it, Sir. Thank you, Sir. What is the capacity utilization levels on our steel foundries and that wago ns plant, and are we facing any suppl y chain iss ues which has happened earlier?
Sudipta Mukherj ee: Capacity utilization of th e fou ndry, we are in the level of 85% or 90% of that, a nd of course we are doing certain more upgradation s to in crease the upper li mit and in terms of wagon , we still feel that we can do further better from whatever we have in terms of infrastructure available with again the little engineering into it, putting engineering and I mean arranging it in a different way. So for wagon I cann ot say that what is the percentage because it is ever growing and we feel that further capacity of around say at least 40% ca n be increased from the existing one which we are o f course doing and working upon . This is on a continuous focus that how we can i mprove further from the existing one and if required we will also look beyond. Have I been able to answer you or you have any point to mention.
Bala Subramaniyam : Sir, my next question regarding our supply chain especially on that wheel set side like earlier if you look at 10 to 12 months back, not only our company, the whole industry was facing the issues for wheel sets like ri ght n ow what are the scenarios on that wheel set side and the supply chain side?
Sudipta Mukherj ee: Wheel set h as improved a lot be cause the railway factory has increased their production i n terms of the requir ement of railways are concerned, and for private sector we will see as it gets always improve d and we do not find any problems with wheel sets at least. On the other component of course, while we were having the business, I cannot comment w hat others are doing , but Texmaco had a very strong and focused and a proper planning for backward integration of various items and components, which we develo ped for our own use as well as als o for the market. So, I mean, we have been able to manage it in that wa y. It has not been a struggle for us and we do not find it immediate pro blem for us in the coming days in the level which we have committed.
Bala Subramaniyam : Any plan in future to ent er into wheel sets manufacturing, Sir? Wheel sets m anufacturing and the components.
Sudipta Mukherj ee: The opportunity arises d efinitely we will look into it. But at the end of the day it has to, I mean, we have to al ways keep our focus, a s Mr. Mooke rjee h as emphasize d also that you need to earn money and it should not b e on a knee jerk reaction. Many things which sounds very good and is very good for the op tics, but we are into the business and we have to mean business. So if it is commensurat e to the capa city we require and there are abundance, so there is no point to get into a business. I am not talki ng specific, I am talking i n genera l. So if that situation arises, d efinitely will look into it. It i s in the radar.

 Ba

la Subramaniyam : Got it, Sir. Thank y ou, Sir.
Moderator : Thank you. Next question is from Janam Shah from Ventu ra Securities. Please go ahead.
Janam Shah : Hello Sir. I have only one question , that it was mainly regarding as the Finance Ministry yesterday said that 40000 rail bogies ar e to be converted to the Vande Bharat standards and they will be used for the Vande Bharat trains. So are th ere any implications or any thing th at we would be having or the manufacturing or anything that could benefit like the refurbishing could help us?
Indrajit M ookerjee: It is a very, very interesting question and I must compliment you for being right on top of it. It is, I think you may have heard before us. We are interested .
Janam Shah : So we have like we have the bandwidth to just refu rbish and probably restr ucture.
Indrajit Mookerjee: We have been thinking of it even before the budget announcement to incre ase our, as again I said ou r value additi on. So we are in the process, but I think it i s too premature to say as what we are doing right now. But as an inve stor, I would like you to say and feel satisfied thinking that this is very much in ou r strong focus to build our competences to move in this direction.
Janam Shah : Okay, sir . Thank you so much.
Moderator : Thank you. The next question is from Ankit Babel from Subhkam Ventures . Please go ahead.
Ankit Babel : Good morning Sir. Few questions from my side. Sir, your operating margins a re still shy o f this double digit mark. So once you reach this thousand wagons per month mark, what could be your operating margi ns?
Hemant Bhuwania: We cannot comment on the forward -looking statement. So yes, operating margin requires a lot of improvement. We are working on that and definitely going forward you will see a much improved number in terms of my operating margin.
Sudipt a Mukherj ee: So, you also must have seen some improvem ent already in this quarter. So, I hope that this will continue.
Ankit Bab el: 30% growth in wagon production in Q4. I understand it is o n the base of Q3 which was 1756. On this base you are expecting a 30% growth right.

 Sudipta Mukherj ee: Yes, I just indicated the growth for b etter understanding.
Ankit Babel : Pardon.
Sudipta Mukherj ee: Yes, it is on the last quarter. If you refer the last quarter I indicated a figure that you can expect.
Ankit Babel : So around 2250 to 2300 wagons is your target for the current quarter that is the Q4 approx.
Sudipta Mukherj ee: We are planning on that . You are right.
Ankit Babel : With repayment of high cost debt you believe your interest cost will come down by 30 -35 Crores in FY 2025, right?
Hemant Bhuwania: Yes, absolutely.
Ankit Babel : So the curre nt run rate is around 35 Crores on a quarterly basis, which is around 140 Crores . So is it fair to assume that your interest cost would be around 100 Crore s next year? Even at a higher top line.
Hemant Bhuwania: Absolutely yes. This reduction of interest cost will definitely help us in improving our bottom li ne and the number we have told reduction of 30-35 Crores that should definitely happen.
Ankit Babel : I had one more question in this was that the incremental growth which you would be witnessing in your revenues, the working capital requirements for that would b e from internal accruals or you will increase your debt?
Hemant Bhuwania: That would be probabl y the internal accruals as such.
Ankit Babel : And from 1st of April, the demerger of Kalindee Rail would be there, right.
Hemant Bhuwania: Effective date i s 1st of Apr il. However, if you see this BSE , the designated Stock Exchange has sent the scheme of along with all the documen ts to SEBI for its approval and SEBI generally takes two to three weeks time for its approval. In the meantime we have started approaching the lenders al

so for the NOC. So once we get a clearance from SEBI and the lenders, we approa ch the NCLT and we expec t that by mid of next financial year, the demerger should happen, but effective date will be 1st of April 2024.

 Ankit Babel : Once the demerger will happen around how much debt it will ta ke away from the balance sheet.

Hemant Bhuwania: That would be around 200.
Ankit Babel : 200 Crores that will go away , okay, and what would be the t op line of Kalindee Rail for this year? This full year.
Hemant Bhuwania: We will not be able to comment on the full year. For the nine months we can tell around 360 Crores.
Ankit Babel : And the profitability.
Hemant Bhuwania: So they are the break even or marginal profit. So they are not making money over ther e.
Ankit Babel : So this Kalindee Rail has a lower margins and that could be one of the reasons why your overall margins are l ower. So once this goes away, your margins will go up.
Indrajit Mookerjee: Yes, actually I also want to, there i s sometimes some things which do not come to our eyes all the time. You would see that the reason why Kalindee's margin has come down. Is becaus e there are lots of additional work has been done by Kalindee for which we have not been paid. So these a re all have got into and a ccumulated to the recoverable claim from the customer and as you know, the claim process in India is a very sluggish process. So we have our dedicated agency now working with us to recover the claims as quickly as possible under the practical circ umstances. So, if you would look at this notional claims, the financial num bers will look quite different.
Ankit Babel : Sir, my last q uestion is, you did mention that you are targeting 1000 wagon per month, mark, maybe from the Q1 onwards and you also expect it to accelerate from here also. So, based on your order book and the execution timelines, so for next year, what are you r plans as compared, I mean, as far as the production of wagons or the volume of wagon is concerned for the full year? I mean can it be like 12 000-13000 wagons or more or what?
Sudipta Mukherj ee: You see in this quarter we did around 1756 wagons next year as we told that yes we expect a certain growth or what the numbers were told will be somewhere between that and further from that number also we expect a growth of around 20 %, 15% from there. So yes, next year if you see on a collective from 12 month basis that we will have a much improved number what we have shown in nine months. So yes to answer to your question there would be a substantial jump in terms of revenue .
 Indrajit Mookerjee: Possibl y then we will taper off with our manufacturi ng capacity and then beyond that we have to look at that in 2025-2026 we have to look at depending on the market situation, we have to somewhere assess whether we need to go up on our capacity maybe we have to build looking at the railway budget outlook , but our present capacity I think will squeeze out the b est by the end of by next year.
Ankit Babel : Just one more additional question. What kind of inflows you are expecting in FY 2025? Order flows from the wagon side.
Sudipta Mukherj ee: I think we have been typically holding our take around 25 % to 30% of the market and we feel that there will be off take of wagons of around 25000 to 30000 more tenders should come. So already another 12000 is on the horizon other than the 10000 advanced wagon and we believe that another 20000 should co me in couple of months. So we will definitely maintain that thing other than the private, our focus should be on the private market more other than ou r shareholding in the railways.
Ankit Babel : Why I was a sking this question was that if you execute some 12 000-13000 wagons next year and for a

further growth in FY2 0206, you need at least 15 000-16000 worth of wagons as inflows in this year . So do you have this year means FY20 25, so do you have that kind of a visibility?
Sudipta Mukherj ee: We have a visibility, but only I would just try to correct you a bit on the other thing as I said that we will focus on private mo re and if you see from the order to conversion ratio, it is only a lead time of six months on an average. So I do not hav e around 18 months, I mean , around 18 to 19 m onths order book in this asking, I mean, performance rate in which I a m performing including the growth. So private wagons will keep on coming in every month or every quarter and railway when the tender will come, I feel that we will be very com fortable for the coming months.
Ankit Babel : So Sir, I am t alking about cumulative, I mean, private plus tender based wagons in totality somewhere around 15 000-16000 wagons is we have that visibility.
Sudipta Mukherj ee: We will share whether we wil l give 15000 or 20000 because if railway comes up with an order of 20 000-30000 I cannot commit 1500 0 and order we will take, I say that we will continue to maintain because it is always a progressive and now it is a long -term contract. The last o rder which we have received of 34 00 wagons also so that is also over a period of 18 months. So whatever will be progressively coming in, I said that we will definitely eye at maintaining a 25% to 30% stake in the railway tenders and of cours e we eye more to fill up our basket towards the private customers and exports. The private market is very buoyant .

 We expect with the declaration of these corri dors by the Honorable Finance Minister, there will be a big boost in the private procurement.
Moderator : Thank you. Next question is from Mehul Mehta from Nuvama PCG. Please go ahead.
Mehul Mehta : Yes. So what I want to know is that if I look at capital employed in segment wise in terms of wagon business, there has been four time increase in ca pital employed Q-o-Q. So in quarter three FY 2024 over quarter t wo FY2 024 and even in steel foundry business there is double digit like 13% increase Q -o-Q in capital e mployed. Despite like in revenue growth being in single digit. So what would have led to this capital employed growth? Th at is my question.
Hemant Bhuwania: Capital employed, yes, it has gone in mainly because of the reason that we had paid high cost debt for our heavy engineering and steel foundry business. That has led to more and more of , what do you say, 300 Crores of capital employed. Secondly, if you see in steel foundry also there has been certain Capex that we have done this year in steel foundry as well as in freight cars. So that has also led to an increase in the segmental assets and the net what you say this capital employed.
Indrajit Mookerjee : So I think in terms of the capital which is taking place and giving results ou t there is a lag .
Mehul Mehta : Apologize to repeat the question, but like in when you are saying repaying of debt, despite that there is four ti mes increase in capital employed I a m not getting to understand because when you are repaying then capital employee goes out. So hope m y question is correct.
Hemant Bhuwania: You see the segmental liabilities, if you see quarter -on-quarter, my liability wa s 1200 Crores for heavy engineering which has come to 950 Crores and similarly you see in my capital the segmental liability which was 161 for steel foundry has come to 111 Crores . So this is primarily on account of reduct ion in my tra de payables and reduc tion in my borrowing cost.
Mehul Mehta : My second question is with regard to export business, how would it have been like say for the q uarter export and domestic business revenue break up in terms of quarter three and nine months?
Sudipta Mukherj ee

: So out of this 10000 I can tell you the quantum the figure is not yet re ady here. I mean, in terms of the foundry that in the last quarter that we are saying that we discussed around 10500 metric ton. So out of that 2500 would be around expor t and in the wagons I think it was aroun d 25 wagons which were export in the last quarter out of 1756.

 Moderator : Thank you. Next question is from Mohit Kum ar from ICI CI Securities. Please go ahead.
Mohit Kumar : Good afternoon, Sir. Congratulations on g ood set of num bers. My first questi on is you did mention about you are expecting wagon tender in the next 6 to 12 months, but I understand that there is another tender of 20000 wagon which is expected to be closed in March. Do you think that the tender is on time and we get clos ed in this particular quarter or do you think it will get delayed and do we have the capability to part icipate in this particular tender ?
Sudipta Mukherj ee: I will come to you r last question first, that we have definitely the capability to participate in this tender . We definitely have the capacity to produce further wagons and I cannot speculate on behalf of our esteemed customer that whether it can get delayed or not. But apparently looking at the various procurement requirements which is coming up, I can share my belief that I stron gly believe it is as per a long -term plan which Indian Railway has and it is here to sustain f or another 7 t o 8 years minimum with the same consistency if not more. So I do not find any extraordinary reason which I cannot specu late that it can delay the requirement.
Mohit Kumar : My second question is of course we closed the tender in this particular quarter, why was there under subscription in the last tender in the sense of the 20000 wagon, they completed only 11000 wagons , the competitive intensity in this particular tender.
Sudipta Mukherje e: So railway is now coming up with all these tenders where they do not go by your historical capacity. What was active per year for a manufacturer, they give you the opportunity t o quote th at during the, I mean, in the given time of the procurement cycle or the delivery period has been stipulated in a contract they give the manufacture an option that how much you will be able to d eliver. So it is based on those declarations they could comple te that 10000 plus wagon and the balance were kept on arranged and we expect that it will be clocked with the tender coming very soon. So that was the reason.
Mohit Kumar : So given the fact that we are the same set of people who are participating in the tenders and all this capacity is full. Does it mean that the new tenders will come, it will not come for delivery for FY 2025 and 2026, it will come for FY20 27 because given that I think this tende r the delivery timeline was FY 2027, 2026.

Sudipta Mukherj ee: It is difficult to speculate. I do not believe. I believe there are enough wagon building capacity in the cou ntry and I believe that, I mean , many are working in and around it, it is a matter of choice and a moment when you did not have a choice then you go for it. But when you know that there are multiple things coming in, you are also having the opportunity to

 do away your strategy that whether you want to come in or you do not want to come in. S o I can give you an example. I mean few week s before ther e we re a 1000 wagon tenders 500 and 500 which were not a regular type of wagon and the delivery period of t hat were for six months . So people w ho have felt that yes, we c an do, they opted for it. People who have felt that we do not want to, th ey have not opted for it. So it is not a loss in a way, it i s a calculated risk every time you get into a contract. So you need to weigh your self and then

what you can digest, whether you are affording to take. S o we are very clear and focused in our appro ach that we w ant to choose that much where we continue to make our business profitable as committed and even beyo nd.

Mohit Kumar : Understood, Sir. My last q uestion, out of 5760 Crore s of freight wagon order book how much is private and the related question is that how is t he inquiry pi peline from the private wagons?

Sudipta Mukherj ee: Mohit out of 5725 close t o 1100 is for private and the balance is for Indian Railways and the intake of private orders, you see that in the current quarter we have executed clo se to 390 wagons exactly have executed and the inflow of order s for private was close to 400. So whatever we are executing on the private, we are getting ba ck those orders by the way of repeat . So intake of orders is not at all a challenge.

Mohit Kumar : Understood, Sir. T hank you and best wishes, thank you.

Moderator : Thank you. Ne xt question is from Vaibhav Shah from JM Fin ancial. Please go ahead.

Vaibhav Shah : Thanks for the opportunity. For the freight wagon and order book, so can we give the number of wagons that are y et to be delivered as of December?

Sudipta Mukherj ee: So we hav e our order book of close to 17 000 wagons, of which 14500 is for Indian Railwa ys and 2500 approximately is for private. So to answer you, maybe if I am able to that the order comes on transit a nd so far after closing of the December transit we are ahead of the monthly asking rate and to complete our third tranche of the 20000 order book we require around 460 wagons to further deliver of that particular time in the month of Februar y.

Vaibhav Shah : Sir, so 17000 wagons pertains to 5725 Crores of o rder backlog.

Sudipta Mukherj ee: Come again, I did not get you.

Vaibhav Shah : So 17 000 numb er of wagons pertains to the 5725 Crore s backl og that we have as of December.

 Sudipta Mukherj ee: So yes, we have a n order book of 17000 wagons or 5750 in terms of value. Ye s, absolutely right.

Vaibhav Shah : And secondly, what would be the debt as of December?

Sudipta Mukherj ee: So debt as of D ecember is around close to 800.

Vaibhav Shah : And which should ha ve reduced to 750 now.

Sudipta Mukherj ee: Yes, in terms of if you say absolutely. Yes, 100%.

Vaibhav Shah : Okay. Thanks a lot Sir. That i s all. Those are my questions.

Moderator : Thank you very much. That was the last question. I would now like to hand the conference back to Mr. Parvez Akht ar Qazi from Nuvama Group for closing comments.

Parvez Akhtar Qazi : We thank all the partners for taking out time to attend the call. Sir, do you hav e any closing comments to make?

Indrajit Mookerjee : Thank you very much f or the que stions which came from our i nvestors. Actually I would take it little differently. I would not say that the questions came for answers. I think t hese questions also gave us lot of thoughts for our improvement. So I would like to compliment all those who to ok the pain of going thr ough or I would not say pain, but who took all the time to go through our financial res ults and had asked us questions. So I would genuinely take you to be our partners and we will try in future , we have a very vibrant tea m at Texma co and we would try our best to meet up to your expectations in the future. I would like to thank you for ta king part.

Moderator : Thank you very much. On behalf of N uvama Group, that concludes the conference. Thank you for joining us ladies and gentlemen. You may now disconnect y our lines.

Call: May 2024

"Texmaco Rail & Engineering Limited
Q4 FY '2 4 Earnings Conference Call "
May 17 , 202 4

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR
AND VICE CHAIRMAN – TEXMACO RAIL &
ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR –
TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA –CHIEF FINANCIAL
OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. NIKHIL ABHYANKAR - ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Earnings C onference call of Texmaco Rail s & Engineering hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nikhil Abhyankar from ICICI Securities. Thank you and over to you, sir.

Nikhil Abhyankar : Thank you, Manav, and good morning to everyone. So on behalf of ICICI Securities, I welcome you all to the Q4 FY '24 Earnings Conference call of Texmaco Rail & Engineering. Today, we have with us from the management side, Mr. Indrajit Mookerjee, ED and Vic e Chairman; Mr. Sudipta Mukherjee, MD; and Mr. Hemant Bhuwania, the CFO. Without wasting much time, I would now like to hand over the call to the management for their opening remarks. Over to you, sir.

Indrajit Mookerjee : This is Indrajit Mookerjee. Good morning to all of you, and welcome you to today's call. It is a moment that we would like to share with you in regard to our company's performances. Our yearl y results were approved by our b oard yesterday and also the Q4 results at the same way. So I'd like to say that we are in the journey that we had been -- that we have promised to all our well-wishers and the investors to the company that there are certain very specific vision, strategy that we have.

And we also have a very strong tactical plan and we are in that move right now to make the best out of the positive situation of the rail industry in -- specific mention to manufacture -- manufacturing of wagons or freight cars whichever -- whatever way we want to term it a nd also our component businesses which includes steel foundry which includes component business.

So I'm happy to report that for the year we have increased our sales by almost 57% from the same period last year and profit has gone up by 532%. Now I also must add that this is in spite of the fact that we already have our EPC division together and that results are already a part of this profit that we have -- just now I have said, just like the fact that EPC exhibition has been a nonperformer, has not done as we expect it to do and so some of the burden had to be taken. Otherwise, things would have been even better.

But be that as it may, we have a very clear plan for EPC division. We have plan for our -- increasing the production. We promised that we will go up on our wagon production to a level of 600 to 700 range in the month. And I am very happy to inform my friends that we have touched a level of 850 numbers, and we are doing all our best to keep a sustained movement. There are a lot of management tools. We have, to some extent, restructured the organization. We have br ought in some balancing equipment so that this is not considered or this is not a flash in the pan, but it would be a sustaining improvement.

So this is as far as -- we also -- I think I have missed in here that we have also with debottleneck our foundry which is in casting capacities to by about 20% by adding balancing equipment both

in Urla as well as in our Belgharia. And as you know that Belgharia is one of the iconic unit of -- if I can use that word again, as far as the steel foundry is concerned because the product from our Belgharia, which is a Calcutta foundry is the only compa ny whose product is approved by the Association of American Railroads.

As a result of that we already export to the global measures in the U.S and we expect that that's going to be another very strong market. There are ce

rtain plans also are in the anvil for foundry expansion. We also have to say that our component business, we are giving our refocus to the business because that's something which goes very strong for the manufacture of the wagon and the market is very strong, particularly the market in Europe and the U S. because of various geopolitical reasons which is supporting India, not only in this respect, but for all engineering aspect, all engineering products, the export market in Europe and the U S are very, very strong because China's export has come down i n the U S and the Europe is suffering because the Ukraine's production has come down.

So all this put together, I look to be very strong run for the future, and the plans are in place. With the good wishes of all of you, hopefully, we will be able to achieve our target even for the coming year.

Having said this, I give it back to you -- for any questions which three of us are here. We have Mr. Sudipta Mukherjee who is our Managing Director. We have Mr. Hemant Bhuwania who is our Chief Financial Officer and we would be three of us together, we'll be very happy to address to any questions, any doubts that you may have in regard to operations of our company.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first quest ion from the line of Piyush Bora from Stambha Investments . Please go ahead.

Piyush Bora: So I have two questions. Out of that -- firstly, congratulations management for the good set of numbers. Now my question is regarding the margins what we have posted in this quarter. In spite increasing sales, we have seen a decline in EBITDA margin which stood at 7% i n this quarter. This is the lowest which is -- with compared with our peers like JW or TWL. So could management provide a guidance and the steps which are -- which management is taking to increase the margin and any scope of improvement they are seeing in the future traje ctory?

Hemant Bhuwania : Yes, you are absolutely correct. So if you see the Q4 results which shows that I would like to focus on the other expense whic h previous quarter was INR 23 crores which has gone up to INR47 crores. So there has been two items which we have considered in quarter 4 which has made the results a bit on the lower side as compared to our peers and competitors.

So one is on account of Rail EPC Division, that is Rail Infra and Green Energy which Mr. Ind rajit Mookerjee just explained. There was a loss of around INR 13 crores which has been booked in the current quarter, that is Q4 of the previous financial year.

This apart, there was also a bad debt w ritten off to the extent of INR 14 crores in freight car division which has been considered over here. So if these two expenses had not been considered yet, the results would have been at par, as we mentioned with our peers and competitors.

Sudipta Mukherjee : Piyush, this is Sudipta. In addition to Hemant what he has explained I just would like to touch upon on the scope of improvement for the future. The answer is yes, you will find that the EBITDA percentages will improve significantly in all the segments. So , that I want to confirm to you.

Indrajit Mookerjee : Yes, you can -- this is Indrajit Mookerjee. You can take Q4 to be our kind of a guidance which are a few one -off items which Hemant has just now mentioned, which is the some write -off as well as some non performance of the EPC business. But if you take those two one-off items out from the other expenses, that gives us kind of a guidance parameter. Even after taking this out, I think we are at about 11% EBITDA level on the Q4. So the rest of it is mathematics.

Piyush Bora: Okay. So are you expecting that in future we will able to clock that? So you are optimistic for that?

Indrajit Mookerjee : Yes, that's our plan a nd unless som

ething very unforeseen we should be able to achieve those numbers.

Piyush Bora: Okay. That is the part of business. That is not a big deal. Now my second I can say instead of question, it is -- it can be a suggestion. Instead of giving dividend as I have seen that mana gement declared dividend of INR 1.50 -- mean s like INR0.5 to per shareholder. Why management is not looking to reduce that in our debt? Because in this qua rter, I can see that out of INR 34 crores operating profit margin INR28 crores we are paying as an interest cost. So by instead of distributing the dividend, we can reduce that in our -- the absolute debt. So can we have that thought process? Is there anything?

Sudipta Mukherjee : I think Hemant you also did we had debated this internally sir and I think let Hemant will give an answer for this.

Hemant Bhuwania : So, Piyush, yes, there are certain divisions which we have declared and dividends are declared because there are a few tenders which comes up which some of the conditions in the tender mentioned that the company should be a dividend -paying company in the l ast 3 years or 5 years. So that is one of the reasons. And secondly, since last year, we had made a profit of INR28 crores. Thi s year, we made a profit of INR 178 crores, PBT. The Board has taken a call that the dividend percent be increase d to 50%.

Sudipta Mukherjee : I just want to add, Piyush, to you that -- see this is the starting of a good journey for us. And we are confident that -- we are confident that we will be able to continue with this jou rney. And I think it's -- we our board felt that it is important that we also share the good news and the numbers that we have done with our shareholders.

And this is the reason why it has been done. If you look at the payout ratio is it not too high -- moderate payout ra tio. So we thought that -- the b oard took a decision that it is important that

the confidence of the shareholders are also boosted by showing that your -- it is because of you that we have done it because the investors who have supported us during our time whe n it was not very good. And that's a very small payout -- payback that we can give to our investors.

Piyush Bora: Okay. Understood.

Sudipta Mukherjee : We have a confirmed plan, Piyush, to reduce the debt and we are confident that we will be generate enough.

Hemant Bhuwania : That’s not an issue because we are generating fund.

Sudipta Mukherjee : Yes. So it's not a challenge for us at all.

Piyush Bora: Actually, I was not aware that into tendering there is a certain requirement. This is a new thing which I came to know today. So thank you.

Hemant Bhuwania : That's okay. But for us, the primary driving force us to say that -- to pay this little confidence to our investors because you have -- which stood us earlier and we should give it as one of our goodwill to you. And I think it's not a go odwill it's something which you should also share with us.

Piyush Bora: Thank you so much. This is the question I have and once again thank you for considering my questions a nd congratulations for great a set of number.

Moderator: Thank you. W e have our next question from the line of Rahul Modi from Nippon India Mutual Funds. Please go ahead.

Rahul Modi : Sir, couple of questions from my side. Firstly, if you can just throw some light on how the EPC business is shaping up because I believe, as you mentioned that there were losses this quarter. But that's okay in terms of quarterly, but from an annual point of view how do you see the business ramping up? And as you mentioned in the opening remarks, there's a plan. So some thoughts around that. That's my first question.

Secondly, on the write -off that we've taken on the bad debts, how old were these bad debts? And was it private? Was it government dues which are there? And thirdly, s

ome thoughts on the order book currently and the order inflows that we see during the quarter?

Hemant Bhuwania : So Rahul, I will take the second question first on the bad debt. So yes, this bad debt -- the bad debt what we have written -off -- the amount which we have written -off. All these amounts were more than 4 years' old in our book, and we had written off in th is quarter.

Moving on to your question on the EPC part. Yes, EPC, again, we have two segments over here. One is Rail Infra and Green and second is Infra Electrical. So yes, Rail Infra an d Green Energy had a lot of INR 13 crores in this quarter which we have considered.

So two plans you must be knowing. O ne is on account of demerger of Rail Infra and Green. And secondly, we have stopped taking all long -term contracts for this division, for this segment. There are no long -term contracts currently, which are inflowing to this division.

There are a few old contracts three to four old contracts which are currently under execution, which is Bangladesh, one of the majors. Second is Bangalore Metro this WDFC and EDFC. So yes, we all are working together that how fast these core orders can be completed. And once these orders are comple ted, there can be certain more amounts which needs to be provided for. But as and when we progress, we'll come to know on that.
Sudipta Mukherjee : Along the third question order inflows.
Indrajit Mookerjee : All our pending -- as Hemant has mentioned, the pending projects are all coming to a close, excepting, I think two projects which is Bangalore Metro and Mumbai Metro. All others are -- all major projects are coming to a close. And of course, the Bangladesh Railway. So we are -- we have taken a conscious decision of not going and bagging any more orders for the time be ing until we decide to reorganize our EPC business strategy.
And secondly, as we have mentioned earlier that we also have decided to demerge. But whether we demerge or no demerge, we also have to -- even if it's a demerge company, we have to take care of the business. And I think it's not very judicious decision to demerge up this business in a situation, even in the demerge company when the rail segment is looking so encouraging.
So I hope that the purpose is to reduce -- continuously reduce the drag from the EPC to our Texmaco and I think you will see it as we progress.
Rahul Modi : And this last, sir, on the order book in terms of the wagons business, the order book ratio and what kind of order inflows that you've seen during the quarter?
Indrajit Mookerjee : I request Mr. Sudipta Mukherjee, our Managing Director to respond to you.
Sudipta Mukherjee : So the order book we have as on date is more than 14,000 wagons and it is continuously coming.
And if you see the situation in the market, I mean, so far, the requirement is concerned, there is around 15,000 plus wagons already floated by railway and your company has keenly participated in those. We are awaiting opening of that.
And further in this financial year, we feel that there will be another 20,000, 25,000 tender is expected to come. Other than that, there is a significant growth in the private wagon requirement.
With the push by the government in the infrastructure segment , there is a requirement of specialized wagons in terms of cement industry and steel manufacturing companies. And also along with this, the movement of coal, you know, of utmost focus by the government and by all stakeholders.
So last year, I think it was one of the best year in terms of procurement, where we have seen around more than 5x, 6x procurement in a particular year. And in this year, already around

17,000 -plus wagon tenders have been floated by the private companies. So we believe that consistency of 14,000,

15,000 minimum per annum would be there.
And if you have seen our results as committed, we have maintained a ratio of 70 -30 because we wanted to have a good mix for higher returns. And we believe that we will continue to focus on the pie in the similar fashion, and we also have an intent to grow in the capacity of both of this.
Rahul Modi: All right. Thank you.
Moderator: Thank you. W e have our next question from the line of Akash from Dalal & Broacha .
Akash: Yes. First of all, congrats to the managem ent for a great set of numbers and thanks for the opportunity. So my question will be more on the -- with the long -term vision of Texmaco, I mean during the QIP and part the of GIP has spoken about getting into the passenger rail segment as well. So what steps have you taken there? I mean, what new businesses are we l ooking at within railways?
Indrajit Mookerjee : And it's a very, very good question. I have to tell you that we are exactly walking the talk of what we have said, while going for QIP fund raising for the QIP process. We said that we would like to be first to build our strength in the wagon industry, com e back -- if I could use th is word within invited commas w e want to be back to t he glory that we were earlier.
And by doing that, we've decided not to defocus in too many other areas. We wanted to be doing the best what we know for the last 70 years and which is wagon manufacturing. And we also decided that we will go deeper into that segment, and we will be -- being so much of scope there for component business.
So we will do steel foundry business, we shall increase our component business and exactly what that's what we are doing. And that's the result that you have seen in our yesterday's published results. So in a nutshell, whatever we have promised in the QIP, we are walking the talk.
Akash: Okay, sir got the point that you all are focussing currently on freight side. So on the freight side, I have a question like what is the peak capacity, peak potential that we can reach in terms of both capacity and margins?
Indrajit Mookerjee : I would -- Sudipta will respond to that. I think you also -- Sudipta, remind me, you also asked a

question on the growth. So we have a very clear vision for the growth in our strategy, and that will pan out. It will play out in course of time where we -- or definitely, we'll have to move out from our passenger dominance -- sorry, to the -- from the freight car dominance to the passenger movement dominance. And there is a very clear strategy for that, that we have in mind.
We want to be in that segment after we are fully prepared. We don't want to take the risk to move to that. That was one question. Your second question, I think, Sudipta, you...

Sudipta Mukherjee : So in terms of capacity, I mean, of course, we call it elastic because for wagon industry, you do not need -- if you have the basic infrastructure with tools and techniques, you can achieve it. But having said that, in the current infrastructure, we feel t hat we can still grow anywhere around 20% to 30%. And we will also not shy away if the requirement comes more for -- with our further plans of expansion.
Moderator: Thank you, sir. We have the participant disconnected. We'll move on to the next participant. We have next question from the line of Lester Poon from Pedder Street Investment . Please go ahead.
Lester Poon: I have a question about the tender of the contract you received in November last year. From my calculation, the wagon price has gone up from about INR 3 million in 2022 to about INR 4 million last year. Is that due to different specification of the contract or simply because demand and supply -- types of demand and supply in the industry?
Sudipta Mukherjee : Could you please repeat the question. We don't get you because the voice was not clear in be

tween.
Hemant Bhuwania : Yes. Actually to be very frank with you we couldn't your voice was muffled because of certain network problem maybe. So I please request you to repeat the question and my apologies.
Lester Poon: Okay. I read that last year, in November last year, you received a contract of INR 13.7 billion for 3,400 wagons. S o that work out to be about INR 4 million per unit per wagon. That is higher than the contract in 2022 which was about INR 3.3 million per wagon. So that was an increase of close to 30%. Is that due to special features of the wagon or is that simply because of the tight demand and supply situation in the industry? Can you hear me now?
Hemant Bhuwania : Yes. So I could hear you. So the type of the wagon and the design and the specification was different. That is the main reason of increase of price. But I mean it is not related to any demand and supply issue. That is a type of wagon where the value was su pposed to be more.
Lester Poon: So it's because of the spec of the contract, so the value of each wagon is higher?
Hemant Bhuwania : Yes -- the answer is yes.
Lester Poon: Yes. So in general the wagon price has been stable despite the industry demand is stronger?
Hemant Bhuwania : Yes. So I mean we do not -- there is not a crisis even if there is in industry, Indian railways follows a certain norms of changing. And there are various types of specifications where you are supposed to quote. And we also, of course, there are steep targ ets for supply, but we also weigh our ways that in which wagons we want to get aggressive to have better contributions.
Indrajit Mookerjee : No -- I also say there is a discussion.
Sudipta Mukherjee : Railways distribute the back -end on a base price value and that is an escalation, de -escalation matrix, which is being done.

Indrajit Mookerjee : Normally, it goes up as the material cost goes up. So that's a phenomenon. And you also asked whether the industry price is going up. I think there is some -- appreciation in the private segment. The railway is, of course, okay. So I'm just encouraged that the private prime sector also remaining the same, stagnant pricing. But I don't think it puts lot of pressure on us, and that's what we are doing is trying to work on our costs, and we are trying to bring down the cost of production deficiencies.
So in my introductory speech, I said various management tools have been used in the production. And some of the management tools being efficient. So more efficient employer you are, better you are. But currently, this is the situation. I don't know whether we answered your question.
Lester Poon: Okay. I understood. Just and then a short question. When will you reach your target of 1,000 wagons a month?
Sudipta Mukherjee : So as far -- I mean, of course, it is very soon, maybe within a quarter or so.
Lester Poon: Okay. Understood. In our next call, we may hear that you have already achieved 1,000 units.
Moderator: Thank you. W e have our next question from the line of Vishal Thakkar from Balaji Investments. Please go ahead.
Vishal Thakkar: Good morning Sudipta ji for the wonderful results. I have two, three questions to ask you. Can

you hear me?
Indrajit Mookerjee : Yes, please.
Vishal Thakkar: Okay. My first question is a s far as order book is concerned, you didn't mention the value of order book we have. So can you tell me what is the order book value, total?
Hemant Bhuwania : So Vishal, yes, w e have an order of close to INR 8,000 crores. If you see the breakup f reight car division would be INR 5,500 crores; Rail Infr a and Green Energy would be INR 750 crores; Infra Electrical which is Bright Power is INR 1,150 crores. Our various joint venture and subsidiary is close to INR 500. So a ll together, it is close to INR 8,000 crores of order book for company as a whole -

- sorry, we didn't mention this earlier.
Vishal Thakkar: Okay, no problem. Now my next question is regarding the -- what I was looking at the revenue of our operations which is around INR1,100 crores or INR 1,100 crores. So when I'm looking at your peers, the cost of material consumed by you and your peers like JWL and Titagarh, your cost of material consumed is coming around 86% of the revenue from operations whereas JWL and Titagarh is 76% of the total sale s. Why is the difference of 10% is there? Did you get my question?
Indrajit Mookerjee : The question we got from you, it's very difficult to answer this question because we don't know how others calculate. I would -- I will refrain from getting into the comparison with peers. The only thing that I can tell you is that if you look at the cost, if you at the yearly results, the material cost is...

Sudipta Mukherjee : 82%.
Indrajit Mookerjee : So it's 80%. If you look at it actually you look at 86 because you look at the Q4, but if you look at the yearly results which is the material, I think the material cost is INR2,879 crores and the total income is INR3587 so it's walks out to be 80.2%, but it’s very [inaudible 32:46] for us to say what others are doing, I can only say that we are constantly working through variou s ways to bring down the cost.
Sudipta Mukherjee : So the product mix is also -- whic h contributes to the variation a nd in your company, I mean, we almost do all kind of along with the railway, the railway segment, it has been more because our railway orders were more and the type of product, it varies from 80% to 86% or whatever. In some companies, it may be less. We ca nnot comment on the others, but this is what is...
Indrajit Mookerjee : Actually, as to say that extending on that is, no, it will not be very fair to compare unless we be apple -to-apple comparison. So there are so many factors there beneath. But I can only assure you that in our company, we are very, very cautious and we are taking many actions for reduction of our manufacturing costs through higher productivity and lesser wastage.
Vishal Thakkar: And my next question is regarding the debt part. W e owe almost debt of around INR240 plus -- around INR 600 crores. Whereas when I look at your financial assets and current assets, we hold investments and bank balance to a tune of around INR 860 crores.
Why not we repay some of the debt and reduce our interest costs so that our margin goes up and profitability goes up. So what we are doing about INR 860 crores we are already holding in terms of investments, bank balance -- cash equivalents, so many, INR 860 crores we are holding. Why not repay the loan?
Hemant Bhuwania : So Vishal, absolutely correct. So this balance what you are seeing INR 800 crores, this includes the funds which we have received during QIP 2 towards end of March which was line in the bank escrow account, and we could utilize this only in first week of April.
So just to update, in April, again, we have reduced the borrowing to the extent of INR 175 crores in first week of April. So the borrowings which we are seeing, the public result it further goes down by around INR 175 crores.
Going forward, as communicated during our road shows that, yes, we plan to make this a debt - free company in next 2 to 3 years' time. So we stand by that.
Vishal Thakkar: And last question is regarding demerger. Are we going ahead with the demerger?
Hemant Bhuwania : So Vishal, yes, we have applied to stock exchanges. They have given certain queries to SEBI. SEBI is yet to approve that. So once SEBI approves, then it would be decided -- we get an approval for that. We have also applied the NOCs from all the lenders. So we have got the NOCs from few of the lenders. A few of the NOCs are awaited. We expect that in another 10 to 15 days' time. And once eve

rything is available, we will take a call on this.

Moderator: Thank you. We have our next question from the line of Prateek Bhandari from AART VENTURES . Please go ahead.
Prateek Bhandari: I just wanted to understand where are we in terms of steel foundry production? What was the number in Q4?
Management: So steel foundry, Prat eek, you see, we have done the highest ever production, that is close to 35,100 metric tons against last year of 25,700 metric tons.
Prateek Bhandari: Against last year of?
Management: 25,700 metric tons.
Prateek Bhandari: 25,700. Okay.
Management: So there has been a growth of around 42% to 43% as compared to last year.
Prateek Bhandari: Okay. And you stated that we are targeting wagons production of around about 1,000 wagons per month. So where we were in terms of the wagons production in quarter 4?
Management: So quarter 4, we were close to around 850 mark. So if you see the entire quarter, the entire quarter, we delivered 2,300 -plus wagons in the entire quarter. And in the month of March, we delivered 850 wagons.
Prateek Bhandari: Okay. So delivered 2,300 -plus wagons, right, in the entire Q4?
Management: Yes.
Prateek Bhandari: Okay. Okay. And -- so like where are we seeing the margins going up for the financial year '25? What kind of guidance you would like to give in terms of the top line and the margins?
Sudipta Mukherjee : So Prat eek, forward -looking statement, we would like to refrain ourselves on commenting on that.
Prateek Bhandari: But there will be growth in all these segments that we can commit to you. So commenting on the exact number would be different . But yes, management has a plan for significant growth in all these sectors.
Prateek Bhandari: All right. Thanks a lot.
Moderator: Thank you. W e have our next question from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : Sir, what was our wagon production for the entire year FY '24?
Indrajit Mookerjee : It is 7,028 numbers.

Vaibhav Shah : Okay. And sir, next year, we are targeting 1,000 wagons per month from first quarter or from the second quarter onwards?
Indrajit Mookerjee : So we will achieve 1,000 -wagon mark for the capacity or the capability or the sale. We said that within a quarter is our target. And it depends on the combination and value and the mix of the wagon. So in numerics, it looks like it will be 12,000, it could be, it could be even more, or it could be in and around that or even less. £
So it depends on the market dynamics, what kind of private mix and orders we get and all. And to answer you, we are targeting to achieve 1,000 -wagon mark within a quarter.
Vaibhav Shah : Okay. And sir, secondly, out of the 14,000 -odd wagons orders we have on the backlog, what would be the share of private orders out of that?
Indrajit Mookerjee : So it is in the range of today around 15%.
Vaibhav Shah : And sorry, in value terms?
Indrajit Mookerjee : In absolute value terms, it should be around INR 500 crores. And one thing to mention that for private orders, it is not like railway that they planned 2 year, 3 years before. It is a continuous process, and it keeps on -- the inquiries keeps on coming.
Vaibhav Shah : Sir, if I take 15% of share in private, so it comes roughly around 2,000 wagons and value you're mentioning is INR 500 crores. So the per w agon value compared only at INR 24 lakhs. So -- the math doesn't...
Indrajit Mookerjee : I said, around 15%. And it was, I think, the exact number, if you like to say, it is around 1,000 wagon order we have for private. And actually -- it was my mistake. You are correct, it is INR 800 crores, not INR 500 crores.
Vaibhav Shah : So INR 800 crores and the number of wagons is around 2,000, right -- 1,

500?
Indrajit Mookerjee : Yes.
Vaibhav Shah : Okay. And sir, lastly, overall, on the 7,000 number wagons for FY '24, we can see a broadly 20%-odd growth in next year, 20%, 25%?
Management: We will definitely able to grow. In fact -- I mean, to be specific, as I say, it could be even better. I mean we are doing every thing to outperform ourselves.
Vaibhav Shah: Okay. Thank you sir. Those are my questions.
Moderator: Thank you. We have a follow -up question from the line of Akash from Dalal & Broacha. Please go ahead.

Akash: Sir, I actually wanted to understand what would be your debt reduction layout l ike how much are you planning to repay in '25 this year, how much in FY '26? What the broad plan is?

Hemant Bhuwania : So Akash, yes, if you see currently, we have a debt what has been shown is INR 241 crores in long term and INR 388 crores in s hort term. Altogether, it's INR 630 crores about long term, short term. We have already repaid as we talked INR175 crores in the month of A pril. So the debt stands at INR 450 crores as of now. And the debt reduction, which we have done is mainly on account of long -term borrowings.
So lo ng-term borrowing from this INR 241 cror es has further gone down by INR 175 crores. So now that we have a very small portion of long -term borrowing and the balance is working capital. Working capital we wish to continue. Long -term borrowing based on the internal approval, we wish to pay within financial year '25. If not, definitely by financial year '26.
Moderator: His line got disconnected again. We have Akash's line back with us. I will reconnect him.
Akash: Yes, sir. That was helpful on the debt reduction plan. And secondly my question was on the margins front, sir, our competitors, Jupiter, Titagarh, they have done somewhere around 12% to 13%. So will we ever be able to touch those kind of margins?
Hemant Bhuwania : So Akash, yes, if you see the opening remarks that there were certain aberrations in the Q4 results because of our Rail Infra and Green Energy and also because of the written -off -- bad debt written -off we have taken. So if we remove these two numbers and we compare apple -to-apple with the freight car division to the freight car division of our competitors, I think we should be close to that number. Our EBITDA would be somewhere around 12.5% to 13%.
Akash: Sir, actually, if I remove that impact of INR 28 crores that you said, I think that somewhere back to 10% . 12% is still a bit far?
Hemant Bhuwania : How 10%?
Akash: So sir, basically, so we have done an EBITDA of...
Hemant Bhuwania : Akash, you're not considering other income?
Akash: Yes. I'm not considering other income.
Hemant Bhuwania : Okay. What I was saying is after considering the other income.
Akash: But other income will then to increase our base of income -- so then margins should even reduce further.
Hemant Bhuwania : So, Akash -- we further plan to improve on those numbers that we have mentioned. So the numbers which we showed, the EBITDA, including the other income is close to 9.5%, what has been shown in Q4. We'll further try and improve on this number.
Sudipta Mukherjee : So because we have the losses of like the other income. We also have the plus and minus effects because we saw also Q4 also have the carry forward losses and write -offs, all has come in one quarter. S o they nullify with each other, b ut I think your point is taken that the whole exercise is to go up on the percentage EBITDA.

And we are on the constant run for it. So if you look at it as a stand alone business, you will see that the EBITDA is rising, and we are obviously taking care of the other issues, other business areas which are affecting the core area. So that's the reason why we are talki

ng of demerger, we
are talking of so many other thing s.
Akash: Got it sir. Thank you.
Moderator: Thank you. W e have our next question from the line of Dhavan Shah from Alfaccurate Advisors . Please go ahead.
Dhavan Shah : Yes, my question is on the gross margin front. So you mentioned that we did some capex and some manufacturing related some changes which will lead us to improve some gross margins. So what kind of improvements do we see from that initiative? And by when can we see numbers?
Sudipta Mukherjee : So this is a continuous process we are doing. If you have seen, I mean, the results quarter -to-quarter, it shows improvement. And the gross margins, even if you see that last 8 quarters, the average of this financial year, it has gone up. And we feel that it's continued to grow another -- I mean, the same product category, if we have to say, that it will be no less than the industry standard.
Dhavan Shah : So we did roughly the 20% to 25% gross margins also in the earlier years. So would it be possible to reach out to that number?
Sudipta Mukherjee : Absolutely, yes.
Dhavan Shah : By when can we expect that numbers?

Sudipta Mukherjee : So as I said, that is continuous quarter -to-quarter, we will see improvement, and you will see that happening in this financial year itself.
Dhavan Shah : Okay. In FY '25, so you are saying that we can reach to 22%.
Sudipta Mukherjee : Yes.
Dhavan Shah : Okay. And sir, one last thing is on the freight market share. What is our market share in the overall freight business?
Hemant Bhuwania : Typically.
Dhavan Shah : So I think there are 90,000 kind of wagon order. So what kind of market share for Texmaco?
Sudipta Mukherjee : So it is typically has bee n -- ranges between 25% to 30% t hat has been in last couple of years.
Dhavan Shah : Okay. 25% to 30% market share for Texmaco.
Sudipta Mukherjee: Yes.
Dhavan Shah: Thank you so much.

Moderator: Thank you. W e have our next question from the line of Rahul Jain from JM Financial PMS. Please go ahead.
Rahul Jain : Thank you for the opportunity. So I have two questions. My first question will be...
Sudipta Mukherjee : You have to be little louder, Rahul sir.
Rahul Jain : Sir, my first question will be -- I mean you are going to achieve this 1,000 wagons per month production in a quarter or so. And once this stabilizes and since the demand being so strong around 30, 35 wagons per annum procurement from the Indian Railways a nd private side. So do you look to expand your capacities in FY '25 or '26 to take 1,000 wagons -- higher production than what you are doing currently doing or targeting?
Sudipta Mukherjee : The answer is yes. I will use one simple narrative just to make you understand that where your company operates. So our market is the Indian Railway domestic market, the private specialized wagon market, the export market. So I mean, all of our verticals h ave the access to work beyond our country, and we work in US we work in Europe.
And we are continuously working to grow that market also. As Vice Chairman has mentioned in his introductory remark, that due to geopolitical reasons, there is a focus on Indian companies to come up. While we have a vibrant demand in domestic market, there are huge traction for good manufacturers and qualified manufacturers across t he -- I mean in Europe and in U S too.
So having said that, we are working to expand our capacity and our footprint to grow our businesses -- I mean, much better than what we are today.
Rahul Jain : Sure si r. Sir, my second question will be, since you see a lot of opportunities in the export market, which are the components you are looking to cater to these opportunities? Also, if you can highlight new areas on the component side you are looking to develop t o expand the value chain which will thereby expand your re

venue streams in the coming next 2 years to 3 years?
Sudipta Mukherjee : So if you see that what is our, first of all, being in the territory where we are, we are a freight railcar manufacturer. So we are working to grow export of wagon, freight wagon per se, in totality, although there are huge requirement of components. I mea n all these exports works well where you are competitive because we are having global competition in and around it. And we are also working to supply components of the freight wagons.
While I say components of freight wagons, it includes fabricated and machine components, which are qualified for the European and American market, and also the castings. So these are the two areas. And along with that, so far, the new horizon is concerned, we are coming into other systems. I'm looking forward to come into other systems with our partners. So far, the freight wagon is concerned and maybe certain ecosystem of passenger mobility, too.
Rahul Jain : Sure, sir. Sir, one last question is what are your plans on passenger coaches side? Can you just highlight anything on that side?

Sudipta Mukherjee : We consider passenger mobility as a segment, not only the coaches making. So for making the coaches, you need certain kind of eligibility, but there are many other things also goes into it, which are very high value added. And in India, we feel there is a huge requirement to have that ecosystem in place, which is not enough in tune with the plan of the government. So we think that we want to build our capability at 360 -degree level, and we are working on it, again.
Rahul Jain : Can you highlight some of the components which you will be...
Sudipta Mukherjee : At this moment, it would be too early to comment until or unless I have a clear presence in something. You will get to know in the coming days. We are working on many things.

Moderator: Thank you. W e have our next question from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.
Mahesh Bendre : Sir, my questions have been answered.
Sudipta Mukherjee : Can you repeat, please? We can't hear.
Moderator: Sir, his questions are answered. We'll move on to the next participant. We have our next question from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : Sir, what are our capex plans for FY '25 and '26?
Indrajit Mookerjee : Hemant, capex plan.
Hemant Bhuwania : So we have done a capex of around INR 80 crores last year. We further plan to do a capex of around INR 80 crores in financial year '25 also. The entire fund has been tied up. This is basically the funds which we have received from QIP 1, that would be utilized. Certain portion has already been utilized and certain in would be utilized in financial year '25.
Vaibhav Shah : Okay. Sir, secondly, what would be our current wagon capacity as of March '24?
Hemant Bhuwania : So see, capacity, again, what Sudipta told, there is no capacity as such. What we have achieved? We have achieved our 7,000 -plus wagons in the entire year last year. Last quarter, we have achieved 800 -plus wagons. And from the same facility, we aspire to g row the production to another 25% to 30% very soon.
Vaibhav Shah : Okay. And sir, lastly, within the f reight car division, if you can just share the -- maybe the margin numbers for the Steel Foundry business. Were they around 35%, 35% mark?
Hemant Bhuwania : 35%?
Vaibhav Shah : EBIT margin in Steel Foundry business?
Hemant Bhuwania : EBIT margin in Steel Foundry business. Actually, we have merged the segment, Vaibhav that is not readily available. I'll come back to you on this separately.

Moderator: Thank you. We have our next question from the line of Chintan Patel from Abans Investment Managers. Please go ahead.
Chi

ntan Patel : I was just keen to know typically usually what are the considerations when we surrender any of the orders that the government gives?
Hemant Bhuwania : So, Chintan, if you can please come again. Your voice is -- your voice was too low. Can you just speak a bit louder, sir?
Chintan Patel : Yes. So typically, in the past, there have been times when we have surrendered some of the orders. Just wanted to know the -- what is the methodology or what is the criteria that is usually behind the surrender of orders?
Indrajit Mookerjee : Not some of the order...
Hemant Bhuwania : So it is not a question of some of the orders. If you know that railway first time came up with a long-term contract and the orders which were alluded was supposed to be supplied in tranches, and it is called a severable contract.
So where if you do not -- I mean railway can also -- of course, in each contract, there is a term that railway can also reduce and you can also -- I mean, take care of the -- I mean, you can also try to amend the quantity. That's how, in that particular po sition, we found it prudent business decision to say, buy to a particular tranche of some quantity.
And today, we are producing more than the asking rate and we have got ridden of any liquidated damages of the railway contract by doing so, which is a positive side of the whole thing.
Chintan Patel : So lack of capacity or supply should not be an issue, right?
Hemant Bhuwania : We do not have lack of capacity or supply. I suppose I have a contract with you, where we both as a partner has the right to go out without -- I mean, affecting the relationship or the continuity of the business. So both can look into it for its own benefi t, right?
Chintan Patel : Right, right. And...
Hemant Bhuwania : If you also see at that point of time, we also wanted to have a proper ratio and a product mix into our manufacturing portfolio by performing in the private sector where you have better margins, I mean better value. And so we wanted to achieve the 70 -30 equation at least for the last financial year, and we have achieved that.
Indrajit Mookerjee : But that surrender was a judicious financial decision by us. It was a really judicious financial decision. It was not a knee -jerk decision at all.
Chintan Patel : Okay. Okay. And finally, 1 final question is with regards to the segmental, let's say, over the next 2 years, that's how most of the planning is then, do we believe the growth rates of foundry should be better than that of the freight car business?

Sudipta Mukherjee : It could be. We have plans around foundry to further expand. But if you see it is -- our foundry is one of the most efficient in the railway segment. And in the -- from the present infrastructure, we still believe to grow around 20% to 25% in this financia l year.
Chintan Patel : Okay. And this order book, which we have mentioned around INR 700 crores?
Hemant Bhuwania : One thing to add, I'm sorry, that if you see our part of the total production, I mean there is a opportunity, but which we want to respond positively in the export market for the foundry. It has a huge traction and customers are looking forward for a long -term contract. And for this financial year, at least we want to increase our export to more than 50%, whatever we have done in the last year. I'm sorry.
Chintan Patel : And the margin profile of foundry business is better than that of the wagon car business?
Sudipta Mukherjee : In export, it is yes. In domestic, it depends on the market rate, but we believe normally it's better.
Chintan Patel : Finally, this order book is executable over what period?
Hemant Bhuwania : Which order book?
Chintan Patel : The order book tha t you have mentioned around INR 8,000 crores, it's executable over what period?
Hemant Bhuwania : So this is something some contracts

are over the 2 years, some are for within an year. But a significant chunk would be done in this financial year itself.
Chintan Patel: Thank you. All the best.
Hemant Bhuwania: Thank you.
Moderator: Thank you. We have our next question from the line of Vishal Thakkar from Balaji Investments. Please go ahead.
Vishal Thakkar: Sir, follow -up question is there. As you mentioned, we are going at 1,000 wagons per month, that is what you're targeting. So looking at what we are presently doing around 850 wagons per month for the coming quarter and then 1,000 wagons for the entire yea r. So it comes to around 11,500 wagons for the coming year. So are we targeting this kind of numbers for this coming year? That is what you're giving guidance, rough guidance to the investors?
Sudipta Mukherjee : Sir, while we want to manufacture 1,000 wagons very soon, to have that feel we can make 1,000 and beyond. But at the same time, our main intention is to make the profitability better. So more than 1,000 wagons, we would look forward for a better combinatio n of wagons where we can give you better returns of our efforts.
Vishal Thakkar: No. So when I'm looking at your numbers, you said you like in this financial year, you manufactured 7,020 wagons. And with the guidance you are -- the target you're keeping, so it

comes to around 11,000 wagons. So are we looking somewhere around this kind of numbers? Or you're still not sure about giving this type of guidance?
Indrajit Mookerjee : While we said that we will be doing in this range of 1,000, it could be a little bit here and there, and the rest of it can be calculated. But we have to be very careful about giving a very proper -- we don't -- it's very difficult to give you a forecast i n a forum like this. So we would like to be careful and avoid giving a projection. But we would like to give our intention and our capability to do that.
So our production of 1,000 is a target production. This could be -- this could also depend on the profitability. Sometimes, you may have high profit product coming in. So with a lower rate, lower numbers, productivity. So we've got to really balance which we are constantly doing. So it could be in that region. So that's the best way to put it forward.
Vishal Thakkar: Okay. And there is one personal question I need to -- I have a request for you. There is one more group company of yours, which is based in Belgharia itself, Texmaco Infra. Can you have the management of that company to at least share the investor presenta tion to the investor because you're based in the same office and same place. So it's just a request to you if you can put forward that because we are investors in that also.
Indrajit Mookerjee : I don't think this is right forum, but I will keep your request very unofficially in the back of our mind.
Moderator: That was the last question for today. And I would now like to hand the conference over to the management for closing comments.
Indrajit Mookerjee : Okay. So I would like to thank all our investors for taking interest in the company. I would -- we would like to assure you that we are working very sincerely and very honestly to achieve what the number -- kind of numbers that we would like you to see. An d you -- our whole focus is to improve our production, to improve the shareholder value.
That's the whole objective with which -- the new team is right on. We have a very new energetic team, which is very dynamic. And we also keep on changing some of our strategies depending because of the market environment. Everything is not stagnant. So we also changed our strategy

based on what we think is the best. So sometimes what we see now will change. But then if we do the changing, we would like to keep you all involved because after at the end of the day, we are here to increase the shareholders', s takeho

lders' value. That's one of the major purpose of our operations.

So I'd like to thank all of you for your interest in the company. I hope that we have been able to answer you satisfactorily. But one thing that I can tell you that we are absolutely -- we would like to tell you that whatever we tell you is honest, committ ed results and honest attempts of doing well.

There is one more -- there are two more areas which have not got touched upon here, and I would like to mention very strongly to you that, one is the area of the risk management. We have a very

new setup for risk management with very strong actions being taken with the Chief Risk Officer who is working with us now and -- to ensure that most of the risks are understood well in advance and we mitigate them.

And the second one is our care for ESG. As you would know that one of our foundry already moved to green power or moving into green power that's in Urla. We have similar actions in our other factory, in our other operations to move to green. We have a rene wable energy group now which is looking at various other opportunities to take care of that. Our governance is also a very major area.

So I would like to say that we are working also on water harvesting, rain water harvesting and so many other things. So in short, we would like to tell you that ESG and the ERM which is our patented terms of [inaudible 1:07:16]. These two are also very important activities which we are in and I have not been able to mention it because it didn't come. I forgot to say that in my introductory remarks, but I thought I rather -- be late rather than never. So thank you very much once again for your patient listening to our questions and your interest in the company.

Sudipta Mukherjee : Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

20th May, 2024
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Friday , 17th May, 2024 at 11:00 a.m. (IST).
The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2024/05/Q4FY24 -Result -Concall -Transcript.pdf .
We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
This is for your information and record.
Thanking you,
Yours faithfully,
For Texmaco Rail & Engineering Limited
K. K. Rajgaria
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q4 FY '2 4 Earnings Conference Call "
May 17 , 202 4

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR AND VICE CHAIRMAN – TEXMACO RAIL & ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA –CHIEF FINANCIAL OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. NIKHIL ABHYANKAR - ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Earnings C onference call of Texmaco Rail s & Engineering hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nikhil Abhyankar from ICICI Securities. Thank you and over to you, sir.
Nikhil Abhyankar : Thank you, Manav, and good morning to everyone. So on behalf of ICICI Securities, I welcome you all to the Q4 FY '24 Earnings Conference call of Texmaco Rail & Engineering. Today, we have with us from the management side, Mr. Indrajit Mookerjee, ED and Vic e Chairman; Mr. Sudipta Mukherjee, MD; and Mr. Hemant Bhuwania, the CFO. Without wasting much time, I would now like to hand over the call to the management for their opening remarks. Over to you,

sir.
Indrajit Mookerjee : This is Indrajit Mookerjee. Good morning to all of you, and welcome you to today's call. It is a moment that we would like to share with you in regard to our company's performances. Our yearl y results were approved by our b oard yesterday and also the Q4 results at the same way. So I'd like to say that we are in the journey that we had been -- that we have promised to all our well-wishers and the investors to the company that there are certain very specific vision, strategy that we have.
And we also have a very strong tactical plan and we are in that move right now to make the best out of the positive situation of the rail industry in -- specific mention to manufacture -- manufacturing of wagons or freight cars whichever -- whatever way we want to term it a nd also our component businesses which includes steel foundry which includes component business.
So I'm happy to report that for the year we have increased our sales by almost 57% from the same period last year and profit has gone up by 532%. Now I also must add that this is in spite of the fact that we already have our EPC division together and that results are already a part of this profit that we have -- just now I have said, just like the fact that EPC exhibition has been a nonperformer, has not done as we expect it to do and so some of the burden had to be taken. Otherwise, things would have been even better.
But be that as it may, we have a very clear plan for EPC division. We have plan for our -- increasing the production. We promised that we will go up on our wagon production to a level of 600 to 700 range in the month. And I am very happy to inform my friends that we have touched a level of 850 numbers, and we are doing all our best to keep a sustained movement.
There are a lot of management tools. We have, to some extent, restructured the organization. We have br ought in some balancing equipment so that this is not considered or this is not a flash in the pan, but it would be a sustaining improvement.
So this is as far as -- we also -- I think I have missed in here that we have also with debottleneck our foundry which is in casting capacities to by about 20% by adding balancing equipment both

in Urla as well as in our Belgharia. And as you know that Belgharia is one of the iconic unit of -- if I can use that word again, as far as the steel foundry is concerned because the product from our Belgharia, which is a Calcutta foundry is the only compa ny whose product is approved by the Association of American Railroads.
As a result of that we already export to the global measures in the U.S and we expect that that's going to be another very strong market. There are ce

rtain plans also are in the anvil for foundry
expansion. We also have to say that our component business, we are giving our refocus to the business because that's something which goes very strong for the manufacture of the wagon and the market is very strong, particularly the market in Europe and the U S. because of various geopolitical reasons which is supporting India, not only in this respect, but for all engineering aspect, all engineering products, the export market in Europe and the U S are very, very strong because China's export has come down i n the U S and the Europe is suffering because the Ukraine's production has come down.
So all this put together, I look to be very strong run for the future, and the plans are in place. With the good wishes of all of you, hopefully, we will be able to achieve our target even for the coming year.
Having said this, I give it back to you -- for any questions which three of us are here. We have Mr. Sudipta Mukherjee who is our Managing Director. We have Mr. Hemant Bhuwania who is our Chief Financial Officer and we would be three of us together, we'll be very happy to address to any questions, any doubts that you may have in regard to operations of our company.
Moderator: Thank you very much. We will now begin the question and answer session. We have our first quest ion from the line of Piyush Bora from Stambha Investments . Please go ahead.
Piyush Bora: So I have two questions. Out of that -- firstly, congratulations management for the good set of numbers. Now my question is regarding the margins what we have posted in this quarter. In spite increasing sales, we have seen a decline in EBITDA margin which stood at 7% i n this quarter. This is the lowest which is -- with compared with our peers like JW or TWL. So could management provide a guidance and the steps which are -- which management is taking to increase the margin and any scope of improvement they are seeing in the future traje ctory?
Hemant Bhuwania : Yes, you are absolutely correct. So if you see the Q4 results which shows that I would like to focus on the other expense whic h previous quarter was INR 23 crores which has gone up to INR47 crores. So there has been two items which we have considered in quarter 4 which has made the results a bit on the lower side as compared to our peers and competitors.
So one is on account of Rail EPC Division, that is Rail Infra and Green Energy which Mr. Ind rajit Mookerjee just explained. There was a loss of around INR 13 crores which has been booked in

the current quarter, that is Q4 of the previous financial year.

This apart, there was also a bad debt w ritten off to the extent of INR 14 crores in freight car division which has been considered over here. So if these two expenses had not been considered yet, the results would have been at par, as we mentioned with our peers and competitors.
Sudipta Mukherjee : Piyush, this is Sudipta. In addition to Hemant what he has explained I just would like to touch upon on the scope of improvement for the future. The answer is yes, you will find that the EBITDA percentages will improve significantly in all the segments. So , that I want to confirm to you.
Indrajit Mookerjee : Yes, you can -- this is Indrajit Mookerjee. You can take Q4 to be our kind of a guidance which are a few one -off items which Hemant has just now mentioned, which is the some write -off as well as some non performance of the EPC business. But if you take those two one-off items out from the other expenses, that gives us kind of a guidance parameter. Even after taking this out, I think we are at about 11% EBITDA level on the Q4. So the rest of it is mathematics.
Piyush Bora: Okay. So are you expecting that in future we will able to clock that? So you are optimistic for that?
Indrajit Mookerjee : Yes, that's our plan a nd unless som

ething very unforeseen we should be able to achieve those numbers.
Piyush Bora: Okay. That is the part of business. That is not a big deal. Now my second I can say instead of question, it is -- it can be a suggestion. Instead of giving dividend as I have seen that mana gement declared dividend of INR 1.50 -- mean s like INR0.5 to per shareholder. Why management is not looking to reduce that in our debt? Because in this qua rter, I can see that out of INR 34 crores operating profit margin INR28 crores we are paying as an interest cost. So by instead of distributing the dividend, we can reduce that in our -- the absolute debt. So can we have that thought process? Is there anything?
Sudipta Mukherjee : I think Hemant you also did we had debated this internally sir and I think let Hemant will give an answer for this.
Hemant Bhuwania : So, Piyush, yes, there are certain divisions which we have declared and dividends are declared because there are a few tenders which comes up which some of the conditions in the tender mentioned that the company should be a dividend -paying company in the l ast 3 years or 5 years. So that is one of the reasons. And secondly, since last year, we had made a profit of INR28 crores. Thi s year, we made a profit of INR 178 crores, PBT. The Board has taken a call that the dividend percent be increase d to 50%.
Sudipta Mukherjee : I just want to add, Piyush, to you that -- see this is the starting of a good journey for us. And we are confident that -- we are confident that we will be able to continue with this jou rney. And I think it's -- we our board felt that it is important that we also share the good news and the numbers that we have done with our shareholders.
And this is the reason why it has been done. If you look at the payout ratio is it not too high -- moderate payout ra tio. So we thought that -- the b oard took a decision that it is important that

the confidence of the shareholders are also boosted by showing that your -- it is because of you that we have done it because the investors who have supported us during our time whe n it was not very good. And that's a very small payout -- payback that we can give to our investors.
Piyush Bora: Okay. Understood.
Sudipta Mukherjee : We have a confirmed plan, Piyush, to reduce the debt and we are confident that we will be generate enough.
Hemant Bhuwania : That’s not an issue because we are generating fund.
Sudipta Mukherjee : Yes. So it's not a challenge for us at all.
Piyush Bora: Actually, I was not aware that into tendering there is a certain requirement. This is a new thing which I came to know today. So thank you.
Hemant Bhuwania : That's okay. But for us, the primary driving force us to say that -- to pay this little confidence to our investors because you have -- which stood us earlier and we should give it as one of our goodwill to you. And I think it's not a go odwill it's something which you should also share with us.
Piyush Bora: Thank you so much. This is the question I have and once again thank you for considering my questions a nd congratulations for great a set of number.
Moderator: Thank you. W e have our next question from the line of Rahul Modi from Nippon India Mutual

Funds. Please go ahead.
Rahul Modi : Sir, couple of questions from my side. Firstly, if you can just throw some light on how the EPC business is shaping up because I believe, as you mentioned that there were losses this quarter. But that's okay in terms of quarterly, but from an annual point of view how do you see the business ramping up? And as you mentioned in the opening remarks, there's a plan. So some thoughts around that. That's my first question.
Secondly, on the write -off that we've taken on the bad debts, how old were these bad debts? And was it private? Was it government dues which are there? And thirdly, s

ome thoughts on the order book currently and the order inflows that we see during the quarter?
Hemant Bhuwania : So Rahul, I will take the second question first on the bad debt. So yes, this bad debt -- the bad debt what we have written -off -- the amount which we have written -off. All these amounts were more than 4 years' old in our book, and we had written off in th is quarter.
Moving on to your question on the EPC part. Yes, EPC, again, we have two segments over here. One is Rail Infra and Green and second is Infra Electrical. So yes, Rail Infra an d Green Energy had a lot of INR 13 crores in this quarter which we have considered.

So two plans you must be knowing. O ne is on account of demerger of Rail Infra and Green. And secondly, we have stopped taking all long -term contracts for this division, for this segment. There are no long -term contracts currently, which are inflowing to this division.
There are a few old contracts three to four old contracts which are currently under execution, which is Bangladesh, one of the majors. Second is Bangalore Metro this WDFC and EDFC. So yes, we all are working together that how fast these core orders can be completed. And once these orders are comple ted, there can be certain more amounts which needs to be provided for. But as and when we progress, we'll come to know on that.
Sudipta Mukherjee : Along the third question order inflows.
Indrajit Mookerjee : All our pending -- as Hemant has mentioned, the pending projects are all coming to a close, excepting, I think two projects which is Bangalore Metro and Mumbai Metro. All others are -- all major projects are coming to a close. And of course, the Bangladesh Railway. So we are -- we have taken a conscious decision of not going and bagging any more orders for the time be ing until we decide to reorganize our EPC business strategy.
And secondly, as we have mentioned earlier that we also have decided to demerge. But whether we demerge or no demerge, we also have to -- even if it's a demerge company, we have to take care of the business. And I think it's not very judicious decision to demerge up this business in a situation, even in the demerge company when the rail segment is looking so encouraging. So I hope that the purpose is to reduce -- continuously reduce the drag from the EPC to our Texmaco and I think you will see it as we progress.
Rahul Modi : And this last, sir, on the order book in terms of the wagons business, the order book ratio and what kind of order inflows that you've seen during the quarter?
Indrajit Mookerjee : I request Mr. Sudipta Mukherjee, our Managing Director to respond to you.
Sudipta Mukherjee : So the order book we have as on date is more than 14,000 wagons and it is continuously coming. And if you see the situation in the market, I mean, so far, the requirement is concerned, there is around 15,000 plus wagons already floated by railway and your company has keenly participated in those. We are awaiting opening of that.
And further in this financial year, we feel that there will be another 20,000, 25,000 tender is expected to come. Other than that, there is a significant growth in the private wagon requirement. With the push by the government in the infrastructure segment , there is a requirement of specialized wagons in terms of cement industry and steel manufacturing companies. And also along with this, the movement of coal, you know, of utmost focus by the government and by all stakeholders.
So last year, I think it was one of the best year in terms of procurement, where we have seen around more than 5x, 6x procurement in a particular year. And in this year, already around

17,000 -plus wagon tenders have been floated by the private companies. So we believe that consistency of 14,000,

15,000 minimum per annum would be there.
And if you have seen our results as committed, we have maintained a ratio of 70 -30 because we

wanted to have a good mix for higher returns. And we believe that we will continue to focus on the pie in the similar fashion, and we also have an intent to grow in the capacity of both of this.
Rahul Modi: All right. Thank you.
Moderator: Thank you. W e have our next question from the line of Akash from Dalal & Broacha .
Akash: Yes. First of all, congrats to the managem ent for a great set of numbers and thanks for the opportunity. So my question will be more on the -- with the long -term vision of Texmaco, I mean during the QIP and part the of GIP has spoken about getting into the passenger rail segment as well. So what steps have you taken there? I mean, what new businesses are we l ooking at within railways?
Indrajit Mookerjee : And it's a very, very good question. I have to tell you that we are exactly walking the talk of what we have said, while going for QIP fund raising for the QIP process. We said that we would like to be first to build our strength in the wagon industry, com e back -- if I could use th is word within invited commas w e want to be back to t he glory that we were earlier.
And by doing that, we've decided not to defocus in too many other areas. We wanted to be doing the best what we know for the last 70 years and which is wagon manufacturing. And we also decided that we will go deeper into that segment, and we will be -- being so much of scope there for component business.
So we will do steel foundry business, we shall increase our component business and exactly what that's what we are doing. And that's the result that you have seen in our yesterday's published results. So in a nutshell, whatever we have promised in the QIP, we are walking the talk.
Akash: Okay, sir got the point that you all are focussing currently on freight side. So on the freight side, I have a question like what is the peak capacity, peak potential that we can reach in terms of both capacity and margins?
Indrajit Mookerjee : I would -- Sudipta will respond to that. I think you also -- Sudipta, remind me, you also asked a question on the growth. So we have a very clear vision for the growth in our strategy, and that will pan out. It will play out in course of time where we -- or definitely, we'll have to move out from our passenger dominance -- sorry, to the -- from the freight car dominance to the passenger movement dominance. And there is a very clear strategy for that, that we have in mind.
We want to be in that segment after we are fully prepared. We don't want to take the risk to move to that. That was one question. Your second question, I think, Sudipta, you...

Sudipta Mukherjee : So in terms of capacity, I mean, of course, we call it elastic because for wagon industry, you do not need -- if you have the basic infrastructure with tools and techniques, you can achieve it. But having said that, in the current infrastructure, we feel t hat we can still grow anywhere around 20% to 30%. And we will also not shy away if the requirement comes more for -- with our further plans of expansion.
Moderator: Thank you, sir. We have the participant disconnected. We'll move on to the next participant. We have next question from the line of Lester Poon from Pedder Street Investment . Please go ahead.
Lester Poon: I have a question about the tender of the contract you received in November last year. From my calculation, the wagon price has gone up from about INR 3 million in 2022 to about INR 4 million last year. Is that due to different specification of the contract or simply because demand and supply -- types of demand and supply in the industry?
Sudipta Mukherjee : Could you please repeat the question. We don't get you because the voice was not clear in be

tween.
Hemant Bhuwania : Yes. Actually to be very frank with you we couldn't your voice was muffled because of certain network problem maybe. So I please request you to repeat the question and my apologies.
Lester Poon: Okay. I read that last year, in November last year, you received a contract of INR 13.7 billion for 3,400 wagons. S o that work out to be about INR 4 million per unit per wagon. That is higher than the contract in 2022 which was about INR 3.3 million per wagon. So that was an increase of close to 30%. Is that due to special features of the wagon or is that simply because of the tight demand and supply situation in the industry? Can you hear me now?
Hemant Bhuwania : Yes. So I could hear you. So the type of the wagon and the design and the specification was different. That is the main reason of increase of price. But I mean it is not related to any demand and supply issue. That is a type of wagon where the value was su pposed to be more.
Lester Poon: So it's because of the spec of the contract, so the value of each wagon is higher?
Hemant Bhuwania : Yes -- the answer is yes.
Lester Poon: Yes. So in general the wagon price has been stable despite the industry demand is stronger?
Hemant Bhuwania : Yes. So I mean we do not -- there is not a crisis even if there is in industry, Indian railways follows a certain norms of changing. And there are various types of specifications where you are supposed to quote. And we also, of course, there are steep targ ets for supply, but we also weigh

our ways that in which wagons we want to get aggressive to have better contributions.
Indrajit Mookerjee : No -- I also say there is a discussion.
Sudipta Mukherjee : Railways distribute the back -end on a base price value and that is an escalation, de -escalation matrix, which is being done.

Indrajit Mookerjee : Normally, it goes up as the material cost goes up. So that's a phenomenon. And you also asked whether the industry price is going up. I think there is some -- appreciation in the private segment. The railway is, of course, okay. So I'm just encouraged that the private prime sector also remaining the same, stagnant pricing. But I don't think it puts lot of pressure on us, and that's what we are doing is trying to work on our costs, and we are trying to bring down the cost of production deficiencies.
So in my introductory speech, I said various management tools have been used in the production. And some of the management tools being efficient. So more efficient employer you are, better you are. But currently, this is the situation. I don't know whether we answered your question.
Lester Poon: Okay. I understood. Just and then a short question. When will you reach your target of 1,000 wagons a month?
Sudipta Mukherjee : So as far -- I mean, of course, it is very soon, maybe within a quarter or so.
Lester Poon: Okay. Understood. In our next call, we may hear that you have already achieved 1,000 units.
Moderator: Thank you. W e have our next question from the line of Vishal Thakkar from Balaji Investments. Please go ahead.
Vishal Thakkar: Good morning Sudipta ji for the wonderful results. I have two, three questions to ask you. Can you hear me?
Indrajit Mookerjee : Yes, please.
Vishal Thakkar: Okay. My first question is a s far as order book is concerned, you didn't mention the value of order book we have. So can you tell me what is the order book value, total?
Hemant Bhuwania : So Vishal, yes, w e have an order of close to INR 8,000 crores. If you see the breakup f reight car division would be INR 5,500 crores; Rail Infr a and Green Energy would be INR 750 crores; Infra Electrical which is Bright Power is INR 1,150 crores. Our various joint venture and subsidiary is close to INR 500. So a ll together, it is close to INR 8,000 crores of order book for company as a whole -

- sorry, we didn't mention this earlier.
Vishal Thakkar: Okay, no problem. Now my next question is regarding the -- what I was looking at the revenue of our operations which is around INR1,100 crores or INR 1,100 crores. So when I'm looking at your peers, the cost of material consumed by you and your peers like JWL and Titagarh, your cost of material consumed is coming around 86% of the revenue from operations whereas JWL and Titagarh is 76% of the total sale s. Why is the difference of 10% is there? Did you get my question?
Indrajit Mookerjee : The question we got from you, it's very difficult to answer this question because we don't know how others calculate. I would -- I will refrain from getting into the comparison with peers. The only thing that I can tell you is that if you look at the cost, if you at the yearly results, the material cost is...

Sudipta Mukherjee : 82%.
Indrajit Mookerjee : So it's 80%. If you look at it actually you look at 86 because you look at the Q4, but if you look at the yearly results which is the material, I think the material cost is INR2,879 crores and the total income is INR3587 so it's walks out to be 80.2%, but it's very [inaudible 32:46] for us to say what others are doing, I can only say that we are constantly working through variou s ways to bring down the cost.
Sudipta Mukherjee : So the product mix is also -- whic h contributes to the variation a nd in your company, I mean, we almost do all kind of along with the railway, the railway segment, it has been more because our railway orders were more and the type of product, it varies from 80% to 86% or whatever. In some companies, it may be less. We ca nnot comment on the others, but this is what is...
Indrajit Mookerjee : Actually, as to say that extending on that is, no, it will not be very fair to compare unless we be apple -to-apple comparison. So there are so many factors there beneath. But I can only assure you that in our company, we are very, very cautious and we are taking many actions for reduction of our manufacturing costs through higher productivity and lesser wastage.
Vishal Thakkar: And my next question is regarding the debt part. W e owe almost debt of around INR240 plus -- around INR 600 crores. Whereas when I look at your financial assets and current assets, we hold

investments and bank balance to a tune of around INR 860 crores.
Why not we repay some of the debt and reduce our interest costs so that our margin goes up and profitability goes up. So what we are doing about INR 860 crores we are already holding in terms of investments, bank balance -- cash equivalents, so many, INR 860 crores we are holding. Why not repay the loan?
Hemant Bhuwania : So Vishal, absolutely correct. So this balance what you are seeing INR 800 crores, this includes the funds which we have received during QIP 2 towards end of March which was line in the bank escrow account, and we could utilize this only in first week of April.
So just to update, in April, again, we have reduced the borrowing to the extent of INR 175 crores in first week of April. So the borrowings which we are seeing, the public result it further goes down by around INR 175 crores.
Going forward, as communicated during our road shows that, yes, we plan to make this a debt - free company in next 2 to 3 years' time. So we stand by that.
Vishal Thakkar: And last question is regarding demerger. Are we going ahead with the demerger?
Hemant Bhuwania : So Vishal, yes, we have applied to stock exchanges. They have given certain queries to SEBI. SEBI is yet to approve that. So once SEBI approves, then it would be decided -- we get an approval for that. We have also applied the NOCs from all the lenders. So we have got the NOCs from few of the lenders. A few of the NOCs are awaited. We expect that in another 10 to 15 days' time. And once eve

rything is available, we will take a call on this.

Moderator: Thank you. We have our next question from the line of Prateek Bhandari from AART VENTURES . Please go ahead.
Prateek Bhandari: I just wanted to understand where are we in terms of steel foundry production? What was the number in Q4?
Management: So steel foundry, Prat eek, you see, we have done the highest ever production, that is close to 35,100 metric tons against last year of 25,700 metric tons.
Prateek Bhandari: Against last year of?
Management: 25,700 metric tons.
Prateek Bhandari: 25,700. Okay.
Management: So there has been a growth of around 42% to 43% as compared to last year.
Prateek Bhandari: Okay. And you stated that we are targeting wagons production of around about 1,000 wagons per month. So where we were in terms of the wagons production in quarter 4?
Management: So quarter 4, we were close to around 850 mark. So if you see the entire quarter, the entire quarter, we delivered 2,300 -plus wagons in the entire quarter. And in the month of March, we delivered 850 wagons.
Prateek Bhandari: Okay. So delivered 2,300 -plus wagons, right, in the entire Q4?
Management: Yes.
Prateek Bhandari: Okay. Okay. And -- so like where are we seeing the margins going up for the financial year '25? What kind of guidance you would like to give in terms of the top line and the margins?
Sudipta Mukherjee : So Prat eek, forward -looking statement, we would like to refrain ourselves on commenting on that.
Prateek Bhandari: But there will be growth in all these segments that we can commit to you. So commenting on the exact number would be different . But yes, management has a plan for significant growth in all these sectors.
Prateek Bhandari: All right. Thanks a lot.
Moderator: Thank you. W e have our next question from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : Sir, what was our wagon production for the entire year FY '24?
Indrajit Mookerjee : It is 7,028 numbers.

Vaibhav Shah : Okay. And sir, next year, we are targeting 1,000 wagons per month from first quarter or from the second quarter onwards?
Indrajit Mookerjee : So we will achieve 1,000 -wagon mark for the capacity or the capability or the sale. We said that within a quarter is our target. And it depends on the combination and value and the mix of the wagon. So in numerics, it looks like it will be 12,000, it could be, it could be even more, or it could be in and around that or even less. £
So it depends on the market dynamics, what kind of private mix and orders we get and all. And

to answer you, we are targeting to achieve 1,000 -wagon mark within a quarter.
Vaibhav Shah : Okay. And sir, secondly, out of the 14,000 -odd wagons orders we have on the backlog, what would be the share of private orders out of that?
Indrajit Mookerjee : So it is in the range of today around 15%.
Vaibhav Shah : And sorry, in value terms?
Indrajit Mookerjee : In absolute value terms, it should be around INR 500 crores. And one thing to mention that for private orders, it is not like railway that they planned 2 year, 3 years before. It is a continuous process, and it keeps on -- the inquiries keeps on coming.
Vaibhav Shah : Sir, if I take 15% of share in private, so it comes roughly around 2,000 wagons and value you're mentioning is INR 500 crores. So the per w agon value compared only at INR 24 lakhs. So -- the math doesn't...
Indrajit Mookerjee : I said, around 15%. And it was, I think, the exact number, if you like to say, it is around 1,000 wagon order we have for private. And actually -- it was my mistake. You are correct, it is INR 800 crores, not INR 500 crores.
Vaibhav Shah : So INR 800 crores and the number of wagons is around 2,000, right -- 1,

500?
Indrajit Mookerjee : Yes.
Vaibhav Shah : Okay. And sir, lastly, overall, on the 7,000 number wagons for FY '24, we can see a broadly 20%-odd growth in next year, 20%, 25%?
Management: We will definitely able to grow. In fact -- I mean, to be specific, as I say, it could be even better. I mean we are doing every thing to outperform ourselves.
Vaibhav Shah: Okay. Thank you sir. Those are my questions.
Moderator: Thank you. We have a follow -up question from the line of Akash from Dalal & Broacha. Please go ahead.
Akash: Sir, I actually wanted to understand what would be your debt reduction layout l ike how much are you planning to repay in '25 this year, how much in FY '26? What the broad plan is?

Hemant Bhuwania : So Akash, yes, if you see currently, we have a debt what has been shown is INR 241 crores in long term and INR 388 crores in s hort term. Altogether, it's INR 630 crores about long term, short term. We have already repaid as we talked INR175 crores in the month of A pril. So the debt stands at INR 450 crores as of now. And the debt reduction, which we have done is mainly on account of long -term borrowings.
So lo ng-term borrowing from this INR 241 cror es has further gone down by INR 175 crores. So now that we have a very small portion of long -term borrowing and the balance is working capital. Working capital we wish to continue. Long -term borrowing based on the internal approval, we wish to pay within financial year '25. If not, definitely by financial year '26.
Moderator: His line got disconnected again. We have Akash's line back with us. I will reconnect him.
Akash: Yes, sir. That was helpful on the debt reduction plan. And secondly my question was on the margins front, sir, our competitors, Jupiter, Titagarh, they have done somewhere around 12% to 13%. So will we ever be able to touch those kind of margins?
Hemant Bhuwania : So Akash, yes, if you see the opening remarks that there were certain aberrations in the Q4 results because of our Rail Infra and Green Energy and also because of the written -off -- bad debt written -off we have taken. So if we remove these two numbers and we compare apple -to-apple with the freight car division to the freight car division of our competitors, I think we should be close to that number. Our EBITDA would be somewhere around 12.5% to 13%.
Akash: Sir, actually, if I remove that impact of INR 28 crores that you said, I think that somewhere back to 10% . 12% is still a bit far?
Hemant Bhuwania : How 10%?
Akash: So sir, basically, so we have done an EBITDA of...
Hemant Bhuwania : Akash, you're not considering other income?
Akash: Yes. I'm not considering other income.
Hemant Bhuwania : Okay. What I was saying is after considering the other income.
Akash: But other income will then to increase our base of income -- so then margins should even reduce further.
Hemant Bhuwania : So, Akash -- we further plan to improve on those numbers that we have mentioned. So the numbers which we showed, the EBITDA, including the other income is close to 9.5%, what has been shown in Q4. We'll further try and improve on this number.
Sudipta Mukherjee : So because we have the losses of like the other income. We also have the plus and minus effects because we saw also Q4 also have the carry forward losses and write -offs, all has come in one quarter. S o they nullify with each other, b ut I think your point is taken that the whole exercise is to go up on the percentage EBITDA.

And we are on the constant run for it. So if you look at it as a stand alone business, you will see that the EBITDA is rising, and we are obviously taking care of the other issues, other business areas which are affecting the core area. So that's the reason why we are talki

ng of demerger, we are talking of so many other thing s.

Akash: Got it sir. Thank you.

Moderator: Thank you. W e have our next question from the line of Dhavan Shah from Alfaccurate Advisors . Please go ahead.

Dhavan Shah : Yes, my question is on the gross margin front. So you mentioned that we did some capex and some manufacturing related some changes which will lead us to improve some gross margins. So what kind of improvements do we see from that initiative? And by when can we see numbers?

Sudipta Mukherjee : So this is a continuous process we are doing. If you have seen, I mean, the results quarter -to-quarter, it shows improvement. And the gross margins, even if you see that last 8 quarters, the average of this financial year, it has gone up. And we feel that it's continued to grow another -- I mean, the same product category, if we have to say, that it will be no less than the industry standard.

Dhavan Shah : So we did roughly the 20% to 25% gross margins also in the earlier years. So would it be possible to reach out to that number?

Sudipta Mukherjee : Absolutely, yes.

Dhavan Shah : By when can we expect that numbers?

Sudipta Mukherjee : So as I said, that is continuous quarter -to-quarter, we will see improvement, and you will see that happening in this financial year itself.

Dhavan Shah : Okay. In FY '25, so you are saying that we can reach to 22%.

Sudipta Mukherjee : Yes.

Dhavan Shah : Okay. And sir, one last thing is on the freight market share. What is our market share in the overall freight business?

Hemant Bhuwania : Typically.

Dhavan Shah : So I think there are 90,000 kind of wagon order. So what kind of market share for Texmaco?

Sudipta Mukherjee : So it is typically has bee n -- ranges between 25% to 30% t hat has been in last couple of years.

Dhavan Shah : Okay. 25% to 30% market share for Texmaco.

Sudipta Mukherjee: Yes.

Dhavan Shah: Thank you so much.

Moderator: Thank you. W e have our next question from the line of Rahul Jain from JM Financial PMS. Please go ahead.

Rahul Jain : Thank you for the opportunity. So I have two questions. My first question will be...

Sudipta Mukherjee : You have to be little louder, Rahul sir.

Rahul Jain : Sir, my first question will be -- I mean you are going to achieve this 1,000 wagons per month production in a quarter or so. And once this stabilizes and since the demand being so strong around 30, 35 wagons per annum procurement from the Indian Railways a nd private side. So do you look to expand your capacities in FY '25 or '26 to take 1,000 wagons -- higher production than what you are doing currently doing or targeting?

Sudipta Mukherjee : The answer is yes. I will use one simple narrative just to make you understand that where your company operates. So our market is the Indian Railway domestic market, the private specialized wagon market, the export market. So I mean, all of our verticals h ave the access to work beyond our country, and we work in US we work in Europe.

And we are continuously working to grow that market also. As Vice Chairman has mentioned in his introductory remark, that due to geopolitical reasons, there is a focus on Indian companies to come up. While we have a vibrant demand in domestic market, there are huge traction for good manufacturers and qualified manufacturers across t he -- I mean in Europe and in U S too. So having said that, we are working to expand our capacity and our footprint to grow our businesses -- I mean, much better than what we are today.

Rahul Jain : Sure si r. Sir, my second question will be, since you see a lot of opportunities in the export market, which are the components you are looking to cater to these opportunities? Also, if you can highlight new areas on the component side you are looking to develop t o expand the value chain which will thereby expand your re

venue streams in the coming next 2 years to 3 years?
Sudipta Mukherjee : So if you see that what is our, first of all, being in the territory where we are, we are a freight railcar manufacturer. So we are working to grow export of wagon, freight wagon per se, in totality, although there are huge requirement of components. I mea n all these exports works well where you are competitive because we are having global competition in and around it. And we are also working to supply components of the freight wagons.
While I say components of freight wagons, it includes fabricated and machine components, which are qualified for the European and American market, and also the castings. So these are the two areas. And along with that, so far, the new horizon is concerned, we are coming into other systems. I'm looking forward to come into other systems with our partners. So far, the freight wagon is concerned and maybe certain ecosystem of passenger mobility, too.
Rahul Jain : Sure, sir. Sir, one last question is what are your plans on passenger coaches side? Can you just highlight anything on that side?

Sudipta Mukherjee : We consider passenger mobility as a segment, not only the coaches making. So for making the coaches, you need certain kind of eligibility, but there are many other things also goes into it, which are very high value added. And in India, we feel there is a huge requirement to have that ecosystem in place, which is not enough in tune with the plan of the government. So we think that we want to build our capability at 360 -degree level, and we are working on it, again.
Rahul Jain : Can you highlight some of the components which you will be...
Sudipta Mukherjee : At this moment, it would be too early to comment until or unless I have a clear presence in something. You will get to know in the coming days. We are working on many things.
Moderator: Thank you. W e have our next question from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.
Mahesh Bendre : Sir, my questions have been answered.
Sudipta Mukherjee : Can you repeat, please? We can't hear.
Moderator: Sir, his questions are answered. We'll move on to the next participant. We have our next question from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : Sir, what are our capex plans for FY '25 and '26?
Indrajit Mookerjee : Hemant, capex plan.
Hemant Bhuwania : So we have done a capex of around INR 80 crores last year. We further plan to do a capex of around INR 80 crores in financial year '25 also. The entire fund has been tied up. This is basically the funds which we have received from QIP 1, that would be utilized. Certain portion has already been utilized and certain in would be utilized in financial year '25.
Vaibhav Shah : Okay. Sir, secondly, what would be our current wagon capacity as of March '24?
Hemant Bhuwania : So see, capacity, again, what Sudipta told, there is no capacity as such. What we have achieved? We have achieved our 7,000 -plus wagons in the entire year last year. Last quarter, we have achieved 800 -plus wagons. And from the same facility, we aspire to g row the production to another 25% to 30% very soon.
Vaibhav Shah : Okay. And sir, lastly, within the f reight car division, if you can just share the -- maybe the margin numbers for the Steel Foundry business. Were they around 35%, 35% mark?
Hemant Bhuwania : 35%?
Vaibhav Shah : EBIT margin in Steel Foundry business?
Hemant Bhuwania : EBIT margin in Steel Foundry business. Actually, we have merged the segment, Vaibhav that is not readily available. I'll come back to you on this separately.

Moderator: Thank you. We have our next question from the line of Chintan Patel from Abans Investment Managers. Please go ahead.
Chi

ntan Patel : I was just keen to know typically usually what are the considerations when we surrender any of the orders that the government gives?
Hemant Bhuwania : So, Chintan, if you can please come again. Your voice is -- your voice was too low. Can you just speak a bit louder, sir?
Chintan Patel : Yes. So typically, in the past, there have been times when we have surrendered some of the orders. Just wanted to know the -- what is the methodology or what is the criteria that is usually behind the surrender of orders?
Indrajit Mookerjee : Not some of the order...
Hemant Bhuwania : So it is not a question of some of the orders. If you know that railway first time came up with a long-term contract and the orders which were alluded was supposed to be supplied in tranches,

and it is called a severable contract.
So where if you do not -- I mean railway can also -- of course, in each contract, there is a term that railway can also reduce and you can also -- I mean, take care of the -- I mean, you can also try to amend the quantity. That's how, in that particular po sition, we found it prudent business decision to say, buy to a particular tranche of some quantity.
And today, we are producing more than the asking rate and we have got ridden of any liquidated damages of the railway contract by doing so, which is a positive side of the whole thing.
Chintan Patel : So lack of capacity or supply should not be an issue, right?
Hemant Bhuwania : We do not have lack of capacity or supply. I suppose I have a contract with you, where we both as a partner has the right to go out without -- I mean, affecting the relationship or the continuity of the business. So both can look into it for its own benefi t, right?
Chintan Patel : Right, right. And...
Hemant Bhuwania : If you also see at that point of time, we also wanted to have a proper ratio and a product mix into our manufacturing portfolio by performing in the private sector where you have better margins, I mean better value. And so we wanted to achieve the 70 -30 equation at least for the last financial year, and we have achieved that.
Indrajit Mookerjee : But that surrender was a judicious financial decision by us. It was a really judicious financial decision. It was not a knee -jerk decision at all.
Chintan Patel : Okay. Okay. And finally, 1 final question is with regards to the segmental, let's say, over the next 2 years, that's how most of the planning is then, do we believe the growth rates of foundry should be better than that of the freight car business?

Sudipta Mukherjee : It could be. We have plans around foundry to further expand. But if you see it is -- our foundry is one of the most efficient in the railway segment. And in the -- from the present infrastructure, we still believe to grow around 20% to 25% in this financia l year.
Chintan Patel : Okay. And this order book, which we have mentioned around INR 700 crores?
Hemant Bhuwania : One thing to add, I'm sorry, that if you see our part of the total production, I mean there is a opportunity, but which we want to respond positively in the export market for the foundry. It has a huge traction and customers are looking forward for a long -term contract. And for this financial year, at least we want to increase our export to more than 50%, whatever we have done in the last year. I'm sorry.
Chintan Patel : And the margin profile of foundry business is better than that of the wagon car business?
Sudipta Mukherjee : In export, it is yes. In domestic, it depends on the market rate, but we believe normally it's better.
Chintan Patel : Finally, this order book is executable over what period?
Hemant Bhuwania : Which order book?
Chintan Patel : The order book tha t you have mentioned around INR 8,000 crores, it's executable over what period?
Hemant Bhuwania : So this is something some contracts

are over the 2 years, some are for within an year. But a significant chunk would be done in this financial year itself.
Chintan Patel: Thank you. All the best.
Hemant Bhuwania: Thank you.
Moderator: Thank you. We have our next question from the line of Vishal Thakkar from Balaji Investments. Please go ahead.
Vishal Thakkar: Sir, follow -up question is there. As you mentioned, we are going at 1,000 wagons per month, that is what you're targeting. So looking at what we are presently doing around 850 wagons per month for the coming quarter and then 1,000 wagons for the entire yea r. So it comes to around 11,500 wagons for the coming year. So are we targeting this kind of numbers for this coming year? That is what you're giving guidance, rough guidance to the investors?
Sudipta Mukherjee : Sir, while we want to manufacture 1,000 wagons very soon, to have that feel we can make 1,000 and beyond. But at the same time, our main intention is to make the profitability better. So more than 1,000 wagons, we would look forward for a better combinatio n of wagons where we can give you better returns of our efforts.
Vishal Thakkar: No. So when I'm looking at your numbers, you said you like in this financial year, you manufactured 7,020 wagons. And with the guidance you are -- the target you're keeping, so it

comes to around 11,000 wagons. So are we looking somewhere around this kind of numbers? Or you're still not sure about giving this type of guidance?

Indrajit Mookerjee : While we said that we will be doing in this range of 1,000, it could be a little bit here and there, and the rest of it can be calculated. But we have to be very careful about giving a very proper -- we don't -- it's very difficult to give you a forecast i n a forum like this. So we would like to be careful and avoid giving a projection. But we would like to give our intention and our capability to do that.
So our production of 1,000 is a target production. This could be -- this could also depend on the profitability. Sometimes, you may have high profit product coming in. So with a lower rate, lower numbers, productivity. So we've got to really balance which we are constantly doing. So it could be in that region. So that's the best way to put it forward.
Vishal Thakkar: Okay. And there is one personal question I need to -- I have a request for you. There is one more group company of yours, which is based in Belgharia itself, Texmaco Infra. Can you have the management of that company to at least share the investor presenta tion to the investor because you're based in the same office and same place. So it's just a request to you if you can put forward that because we are investors in that also.
Indrajit Mookerjee : I don't think this is right forum, but I will keep your request very unofficially in the back of our mind.
Moderator: That was the last question for today. And I would now like to hand the conference over to the management for closing comments.
Indrajit Mookerjee : Okay. So I would like to thank all our investors for taking interest in the company. I would -- we would like to assure you that we are working very sincerely and very honestly to achieve what the number -- kind of numbers that we would like you to see. An d you -- our whole focus is to improve our production, to improve the shareholder value.
That's the whole objective with which -- the new team is right on. We have a very new energetic team, which is very dynamic. And we also keep on changing some of our strategies depending because of the market environment. Everything is not stagnant. So we also changed our strategy based on what we think is the best. So sometimes what we see now will change. But then if we do the changing, we would like to keep you all involved because after at the end of the day, we are here to increase the shareholders', s takeho

lders' value. That's one of the major purpose of our operations.
So I'd like to thank all of you for your interest in the company. I hope that we have been able to answer you satisfactorily. But one thing that I can tell you that we are absolutely -- we would like to tell you that whatever we tell you is honest, committ ed results and honest attempts of doing well.
There is one more -- there are two more areas which have not got touched upon here, and I would like to mention very strongly to you that, one is the area of the risk management. We have a very

new setup for risk management with very strong actions being taken with the Chief Risk Officer who is working with us now and -- to ensure that most of the risks are understood well in advance and we mitigate them.
And the second one is our care for ESG. As you would know that one of our foundry already moved to green power or moving into green power that's in Urla. We have similar actions in our other factory, in our other operations to move to green. We have a rene wable energy group now which is looking at various other opportunities to take care of that. Our governance is also a very major area.
So I would like to say that we are working also on water harvesting, rain water harvesting and so many other things. So in short, we would like to tell you that ESG and the ERM which is our patented terms of [inaudible 1:07:16]. These two are also very important activities which we are in and I have not been able to mention it because it didn't come. I forgot to say that in my introductory remarks, but I thought I rather -- be late rather than never. So thank you very much once again for your patient listening to our questions and your interest in the company.
Sudipta Mukherjee : Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

17th August , 2024
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Wednesday, 14th August , 2024 at 1:30 p.m. (IST).
The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2024/08/Q1FY25 -Result -Concall -Transcript.pdf .
We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
This is for your information and record.
Thanking you,
Yours faithfully,
For Texmaco Rail & Engineering Limited
K. K. Rajgaria
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q1 FY '2 5 Earnings Conference Call "
August 14, 202 4

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR AND VICE CHAIRMAN – TEXMACO RAIL & ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA –CHIEF FINANCIAL OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Texmaco Limited Q1 FY '25 Limited Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.
Mohit Kumar: Yes. Thanks, Shlok, and good afternoon. On behalf of ICICI Securities, I welcome you all to the Q1 FY '25 Earnings Conference Call of Texmaco Rail and Engineering. Today, we have with us from the management Mr. Indrajit Mookerjee, ED and Vice Chairman; Mr. Sudipta

Mukherjee, MD; and Mr. Hemant Bhuwania , the CFO. Without much delay, I would now like to hand over the call to the management for their opening remarks. Over to you, sir.
Indrajit Mookerjee: Good afternoon. I'm Indrajit Mookerjee, Vice Chairman of Texmaco Rail and Engineering. And I would, at the very outset, like to thank you for sparing your valuable time to listen to us in today's call. I also would hope that you have already had the opportunity to review our financial results and the earnings presentation, which has been uploaded in the Stock Exchange as well as on the company's website. I'm very pleased to inform you that we crossed many new heights. We achieved many, many new heights in the quarter just -- that we have just passed on the quarter about which we are going to talk.
It has been a very high successful for us as we have delivered the best financial and the operating metrics in our company's history for the quarter. During this period, we recorded our revenue from operations, which runs INR891.7 crores, showing a growth of 35.8% compared to Q1 same period last year, which is Q1 financial year 2023 -'24. This growth was primarily driven by upsize in wagon sales to both Indian Railways, private sectors and also the export with our capabilities to produce them in this period of time. We sold 1,967 units, reflecting a 48% increase from Q1 FY 2024.
You have must have noticed that the EBITDA of our operations is steadily increasing and we -- this quarter, which is Q1 FY '25 of the review, we reached an EBITDA of INR97 crores, representing a 62% year -over-year growth with a margin of 10.9%. This is a steady increase from quarter -to-quarter. Our PAT for the same period stood at INR40.2 crores which is reflecting 176% year -over-year for the same period last year. Both profitability and achievements, both profitability achievements also I'm pleased to say represent first quarter record levels in the history of the company.
The record first quarter revenues in wagon sales were successfully supported by our steel foundries which are located in Belgharia in West Bengal and Raipur in Chhattisgarh. In combination, our foundries produced and let up to the challenge of making 9,474 metric tons of costings for Railways and other components, which shows a growth of 4.4% from last year. Now I must tell you here that we are almost reached to the capacity. We have reached the capacity, we have debottlenecked and that's the best that we could ever happen that's

happening in the foundry business. The management has been enhancing operational excellence through restructuring the production lines, investing in capacity building, which is through balancing equipment and debottlenecking critical foundry lines.
These successes have been key enablers for our growth story. As you may recall, our stream foundries are one of the leading foundries in India whose p

roducts has achieved quality
acceptance by the Association of American Railroads, which is a very rare achievement and that's the reason why we can freely export to -- for use in the American rail industries.
Looking forward, our order book is very healthy, which stands at -- in the range of INR7,500 crores, of which freight car business contributes 60%. Of this 60%, 88% is from the Indian Railways. We are optimistic about how this order book will progress in the near term, given the government's commitment to rail the infrastructure through the national rail plan 2030.
In other words, the Railways are working the talk, and we are meeting up to the challenge.
From the private sector side, the freight car demand from corporate India is also expected to be resilient during economic momentum the country is currently experiencing. You have also noticed that we have made a significant achievement in the quarter by acquiring 100% of Jindal Rail and Infrastructure Limited for a consideration of INR615 crores and that happened in July 2024. We hope to close the entire transaction by within the next of 3 to 4 weeks' time.
This strategic transaction represents a multiplier of 8.1, which is expected to be completed in the coming weeks, as I said, this development in a step change in Texmaco's manufacturing platform and giving us the top most position, the leadership position in the industry.
In summary, we are quietly confident of Texmaco delivering significant value to stakeholders by its long -term focus on sustainable growth, operational efficiencies and technical innovations. And I think I will be falling short, if I don't say our new acquisitions has been a tremendous synergistic fit and also has given us access to new designs of wagons, which are going to be the future as the wagon design efficiencies and as far as the -- and as the Railways want more efficient wagons on track.
So with these few words, I'll be very happy to request our Managing Director, Mr. Sudipta Mukherjee and our CFO, Mr. Hemant Bhuwania to jointly address any question that you may have. I'm also available if you have any questions that I should be able to answer. Thank you very much for your patience hearing.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Jaina m Jain from ICICI Securities.

Jainam Jain: Congratulations on your great results. I had a couple of questions for the management. Firstly, starting with the margins. That is the margins in the quarter were quite lukewarm compared to the last 3 quarters. So what is the margin -- margin level one should look for? And is 9% a fair margin to look at?
Hemant Bhuwania: So hello, good afternoon. So if you see our -- hello, are we audible?

Indrajit Mookerjee: Yes. Hemant, I wanted you to address to the question.
Hemant Bhuwania: So if you see Q -o-Q margin, so last year, in quarter 4, we had an EBITDA of 9.5% for Texmaco Rail stand -alone, whereas if you see our Q1 results, in spite of there is a dip in turnover, the EBITDA has gone up. So in Q4 -- sorry, Q1 this year, we have reported an EBITDA of 11% -- close to 11%.
So moving forward, if you see, this will totally depend upon a number of wagons that is being executed over a period of time and the economy of scale. So we did around close to 2,000 wagons in quarter 1 of current -- in Q1 this year, and we expect from here onwards, there would be an upward trend in the execution cycle as well.
So as the execution goes up, you will even see a better EBITDA percentage going forward.
Sudipta Mukherjee: Just to add on Hemant. Sudipta here. So one is the numbers or the volume. And the other one is that we, as a manufacturer, are consciously focusing to be more efficient. So the combination we are choosing in terms of our order book and all t

his along with the volume with a strict focus on the qualitative and new type of wagons and why we have a better contribution in the coming days. So rather than, I mean, moving from a commodity thing to a combination of volume and new kind of product lines or better products for the market.
Jainam Jain: Okay, sir. And I had a further question for the tendering pipeline. That is how do you see the tendering pipeline for railway wagons coming in this year? And are you expecting some tenders in the near future?
Hemant Bhuwania: Yes. So if you talk about Railways, I mean, whatever the -- we hear on the procurement plan based on the long -term plan Railway has. So year -to-year, it is a little more than 30,000, which is being planned by Railways. And in this financial year, we have seen a small amount of order, which has come up, I mean, kind of a tender, which has come up which is within 2000. So the balance we expect to come up within this financial year itself and as it was an election year, so that maybe could be the reason that the thing is there, and we hear that the process is on to come up. Other than the Railway, there would be -- we also expect that there will be a very good pipeline for the private procurement, particularly in terms of the industry like steel, mining and cement.
Jainam Jain: Okay, sir. And what is the update on the demerger of the business?
Indrajit Mookerjee: What was the question sir?
Jainam Jain: What is the update in...
Indrajit Mookerjee: Yes, what is the update on?
Jainam Jain: Demerger of business?
Indrajit Mookerjee: Okay. Okay. Sorry, I could not hear you very well. I -- my apologies. Now we actually have gotten no objection from the statutory authority with the stock exchange for the demerger. But

there are various other issues are all connected which is like the banks and a few other -- few other problems, which legal issues, which we are currently handling with it -- handling it, because once we -- after we demerge also, we have to look at how the -- what the strategy of the new company is going to be and how it's going to move.
So all these are some of the things which required some more homework. In the meanwhile, we also have to discuss and finalize the arrangement with the banks because currently, we don't have the clearances from them with a counter guarantee, corporate guarantee, which doesn't make much sense to us. So we are discussing. So I think as soon as we come to a very clear position we will report. Currently, there is nothing more to report than what we have done last time. This is work in progress. It is WIP, work in progress.
Moderator: The next question is from the line of Madhu Bhandari from Nakoda Investments.
Madhu Bhandari: Sir, my question is that the demerger, which you are talking about, when is it expected that it will be done? Approximately 6 months, 1 year?
Indrajit Mookerjee: In any case, an NCLT process takes about 9 months to 12 months. And we have to go and apply which we haven't done because, as I said, that there are a few internal things which we are trying to sort out. So you can take that kind of a time span. It's very difficult to give a specific one. But normally, that's what it takes, as you know very well.

Madhu Bhandari: And sir, in this demerger, the shareholders' interest will be taken care of?
Indrajit Mookerjee: Obviously, that is the reason why it is in WIP, that is our prime consideration.
Madhu Bhandari: And takeover of Jindal, will be a subsidiary or it will be a part of any of the split?
Indrajit Mookerjee: Demerger. Actually, can I request Hemant to respond to this question more -- he will be able to answer more technically.
Hemant Bhuwania: Okay. So Madhu, hello, this is Hemant. So initially, yes, we will be acquiring 100% stake of Jindal Rail, and it will become a 100% subsidi

ary of Texmaco Rail. So we have signed the definitive agreement on 25th of July, and we expect the closing to happen within next few weeks' time. Once the closing happens, we expected, yes, before the Q2 results that this acquisition should be completed.
Madhu Bhandari: Yes, sir. Sir it will be 100% subsidiary of Texmaco Rail, understood. But when the demerger happen, then also, it will be 100% subsidiary or it will become a part of one of the demerger entity?
Hemant Bhuwania: No. So this will be a 100% subsidiary of Texmaco. This will be a part of Mother Texmaco Rail.
Madhu Bhandari: Okay. And, sir, the turnover that has been there, the progress that happened earlier, that turnover growth is not visible right now, sir.

Indrajit Mookerjee: Sudipta, you can answer to this question, Sudipta. You already had touched upon, but you can once emphasize.
Madhu Bhandari: And I had one more point, sir. I saw one of the video where double wagon, I mean, double, two-storeyed wagon, closed wagons, the Indian Railway is planning to transport through that electrical engine. So are we going to be part of that?
Sudipta Mukherjee: Addressing the first part of your thing, I think you are comparing with the results of the Q4 last year.
Madhu Bhandari: Yes. Yes, sir. Yes, sir. Yes, sir.
Sudipta Mukherjee: So I mean, historically, if you see that the Q1 normally maybe sometime it is lesser than that, and there are many reasons. I mean we had extreme weather, particularly in this quarter we have seen. We had the elections also around the corner and there were certain supply chain issues and there were certain design issues, which are external factors.
Secondly, if you see that your company very consciously putting effort to improve on the capabilities , so quarter -to-quarter or the yearly projection, whatever we have given you, we have no doubt that we will meet that and even we do better, and we'll make it up in the coming quarters. And being the first quarter after a very good performance on the last financial year.
Internally also, we have ventured into in developing certain process changes, production lines improvement and all this. So it has been a combined effort, I mean, combined result of whatever that in terms of wagon numbers, we may not have achieved higher than the Q4. But we can assure you on behalf of the management that you will see, it is well made up, and we are actually achieving whatever we have promised you.
Indrajit Mookerjee: In fact, Sudipta, sorry, to hold you. I think I wanted to also say that if you look at our July results, the July run rate is much higher than the run rate of the first quarter. Thanks. Sorry for interrupting.
Madhu Bhandari: No, thank you, sir. Thanks for the information. And my second point was the 2 stories wagons.
Sudipta Mukherjee: I'm coming to it. So it is called double stack container movement.
Madhu Bhandari: Yes, sir. Yes, sir.
Sudipta Mukherjee: Your company is already equipped to manufacture those wagons, and in fact, in the coming quarter, we will be supplying few such rigs to one of our customer. But loading double stack or not is a prerogative on which particular line it runs, but the wagon, yes your company is capable of, and we are supplying in the present quarter itself. And even -- we were -- off-line, we were talking about acquisition of Jindal Rail. So they were actually instrumental in developing this wagon. So we have a better bandwidth to supply these in the future compared to now.
Madhu Bhandari: Yes, that will be kind of a monopoly.

Sudipta Mukherjee: Hope, I mean, I would be more than happy if whatever encouraging words you were giving. So we will be in an advantageous position.
Moderator: The next question is from the line of Ch

intan Patel from A bans Investment Managers.
Chintan Patel: Sir, recently, we acquired Jindal Rail, can you tell us what is the manufacturing capacity of it?
Sudipta Mukherjee: I mean as per the railway capacity, I think they were in last assessed capacity a couple of years back, which Railway did was around 2,200. And but it is not a limitation to do more. And on a typical month, they have already crossed more than 200 wagons. So I mean, from a specialized in a combination perspective, I think that capacity can be even 60% to 70% improved without any further capex .
Chintan Patel: Okay. Understood. And sir, if we do the greenfield project for the same capacity, what kind of the investment will we require?
Sudipta Mukherjee: It's very difficult to mention because how can we figure out what would be the cost of the land, which part of the country it is? And most importantly, in our kind of business, I can only tell you that if anybody starts today to hit the market due to the process of compliance and proving out the product and having a kind of a developmental order -- the whole process may take 4 to 5 years' time.
Chintan Patel: Okay. And assuming the land parcel we have, so what kind of the capex we needed to put up a greenfield capacity?
Sudipta Mukherjee: It is difficult to mention which process we will go into. I mean what is your objective of the question, if you can be little candid, I will be better answering you.
Chintan Patel: So sir, we acquired the facility at around $687 million. So that is an investment we did. So if we are putting a greenfield capex , so what kind of the investment needed?
Sudipta Mukherjee: I can -- one sentence I can answer you that it may be lesser than that particular thing, but you have to appreciate what kind of asset it has. And also the opportunity comes with the business.
I mean, as I say that if you start today, so 3, 4 years or 5 years you are losing a ready business.
So this company is contributing to the balance sheet of the company positively with a very good margin from day 1.
Indrajit Mookerjee: I think I want to also add supplement to Mr. Sudipta Mukherjee, who explained it very nicely.
I also would like to complement the gentleman who asked this question because it's a very important and good question. And this was first thing in our mind before we decided whether to acquire or not. Actually, the IRR, the internal rate of returns are going to be much higher where you are in this business, as Mr. Mukherjee has, as our Managing Director has already said that you start with positive cash flow.
Now when you work to a new plan, you have to wait for cash flows to come after a few years.
And as you know, as you start discounting, what you get on today's NPV will be very low. So we -- this was a very, very important question. And this was the first thing that we discussed in

our Board before we will decide whether we should go for an acquisition or not. And this is far away better than the greenfield project.
And in addition, I also have to tell you that this just didn't come nearly with capacity. It came with good manpower, very strong design capabilities of that company. Some of our learned investors, a little while ago asked about certain double stack. So these are all various new designs, which are available with -- which were available with Jindal, which is now getting passed on to us. So there are lots of other benefits which we call synergies, they are hugely important to our industry.
And last but not the least. Just any land is not going to be useful. It's very difficult to get a land which is connected with the railway siding because the product goes on railway lines into the real railway system. It's just not anywhere in the middle of nowhere we put up a factory and then you cannot transport your product. So all these put tog

ether, it makes financial as well as nonfinancial synergies. I hope I have been able to answer your -- address to your very, very good question.
Chintan Patel: Okay. And sir, we acquired a 51% stake in Saira Asia, which is manufacturing interior for railway passenger mobility. And we just acquired Jindal Rail, which is a fungible for both freight and passenger wagons. So could you just share some outlook on that for passenger mobility, is there any plan to do some passenger wagons going forward as we are seeing some traction on a passenger side trains, especially Vande Bharat.
Indrajit Mookerjee: I could only answer you that your assumptions are very correct. We are -- the freight mobility is a part of Indian railway. But a major part is also is in the passenger mobility, which is also getting privatized because Railways are looking for private players to come in. And this is one of the building blocks towards our move to passenger mobility because whatever you make, you also need to have low cost, good quality components.
And Saira is actually a European company, which also holds a strong modern designs. And I think it is going to help us a lot in moving towards the field of passenger mobility. We just don't want to jump into it. We are very carefully moving into it so that we don't get into any unwanted risky situation.

Chintan Patel: Okay. Understood. And sir, just a last question. Can you share some outlook or financial outlook over the next 3 to 5 years?
Indrajit Mookerjee: The giving a financial outlook, I think, is going to be a challenge. Hemant, would you like to take on this question?
Hemant Bhuwania: Absolutely, so commenting on any forward -looking statement we would like to refrain. Sorry, so we wouldn't like to duck on this question, please. And I fully understand and we appreciate. I would -- we hope that you also appreciate that, yes, we are on our investor call, and we are barred to give a forward -looking statement over here.
Chintan Patel: Okay. Okay. Okay, sir, more like a vision.

Hemant Bhuwania: Sorry, we didn't get you -- can you come again, please?
Chintan Patel: So more like a vision, like what kind of sort of a vision over the next 3 to 5 years?
Hemant Bhuwania: Reason?
Chintan Patel: Vision, vision .
Indrajit Mookerjee: Well, we want to be the best -performing company in the freight car movement. We also would like to be in the areas of making components and our freight cars, we also want these to be sold not only to Indian Railway and private customers. We also have an eye on the global market. We said -- secondly, as I said, we would like to be on the component basis. We also like to be -- when I say component business, I really meant the costing products, foundries. So we are looking at increasing our foundry capacity because as I have mentioned in my opening remark that our foundry has the product acceptability in the U.S. And that's a very good -- very, very rare thing to happen for an Indian company to happen.
So we have a great demand from -- because of various geopolitical reasons. And last but not the least, I think you only have mentioned that we want to make our own strategic plans towards moving from freight to customer mobility. But we want to be very cautious so that our investors are not taken by surprise. And that's the reason I mentioned that particular terminology that we want to move like building up small building blocks and they make the whole thing.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So I just had one question. One looks at the segmental results. The Infra Rail & Green Energy segment actually has a negative EBIT this quarter. Is it because of some one -off or maybe certain projects which were at the closing stage and we had to make certain provisions there?
He

mant Bhuwania: Yes, you see our rail inf ra and green energy, which is mainly Kalindee Hydromechanical and Bridge. They had reported a loss of INR10.1 crores over EBIT. The main reason of it is that yes, there are a few legacy contracts which are being continued, which management has full focus on how do we close this contract, either close and complete or how can we short -close this contract. So we are fully on it. And hopefully, by next quarter, we should come up with some good news on short closure of one of the major contracts, which is currently a bottled -- currently bottleneck for Kalindee division. But yes, till such time, there are a couple of legacy contracts, which we have to live with.
Indrajit Mookerjee: I'd like to add Hemant on to your comments by saying that most of these contracts there are a huge amount of potential claims, which we have not yet got paid. So we are also very actively pursuing our efforts, efforts to realize this claim. And as you know that with the government complaints, it takes a long time to redo the change to reclaim and get the money. But we have very strong claims, and we have very strong reason to believe that they are really genuine ones, and we should be successful in the matter, the question is of time.
Moderator: The next question is from the line of Moksha Shah from Agility Advisors.

Moksha Shah: Just had one question. Are you planning to sell any of our lands to raise additional funds?
Hemant Bhuwania: So sorry, Mrs. Shah, you are not audible. If you can be loud, please.
Moksha Shah: Are we planning to sell any of our lands to raise additional funds?
Hemant Bhuwania: Are we to repeat your question, please?
Moksha Shah: Are we planning to sell any of our lands to raise additional funds? Land. Land.
Indrajit Mookerjee: This question is selling land to raise funds or not.
Moksha Shah: Yes. To sell additional lands. Yes.
Hemant Bhuwania: So Mrs. Shah, right now, there is no thought on selling of any of our land, which we have. In fact, in our opening remarks and few of the conversation, you must have heard that we have -- we are in the process of acquiring some of the -- one of the company Jindal Rail, wherein there is some extra parcel of land. So right now, we do not have any thought on selling any of the

land parcel.
Indrajit Mookerjee: No, no, we don't -- we e not selling any land, madam.
Moderator: The next question is from the line of Nidhi Shah from ICICI securities.
Nidhi Shah: My first question would be, how do you see the execution of wagons in the balance of this fiscal? How much and -- subsequently, how much of our order book that we currently have is deliverable post FY '26?
Sudipta Mukherjee: To answer you the first part, I mean, we are already on the run rate 750 plus in terms of Texmaco units are concerned. And we feel that will be better off and as per plan, we'll be able to maintain in the next coming quarters, we will increase the number. I've not got actually your second question.
Nidhi Shah: Second question was basically how much part of our order book is to be delivered after FY '26. So FY '26 onward. So FY 2025, as you mentioned your run rate.
Sudipta Mukherjee: As of now, whatever we have the contract in terms of rate rolling stock, it spreads over up to September 2025. And a few of those are, of course, may go up to another 1 or 2 months contracts.
Nidhi Shah: All right, all right. And also, what is the update on the modern value in tenders? And is this supposed to be delivered, what is the delivery time period of this one?
Sudipta Mukherjee: Madam, the tender has not come yet. So we do not know what will be the delivery time. There was a draft, which was initiated and kind of opinion seeking meeting happened last year in the roller board . So the whole tender was, I think, spread over for more

than 2 years. What would be the revised one, which is coming up, we do not know, but we have heard, I mean, as you have heard perhaps it is coming.

Moderator: The next question is from the line of Deepak, an individual investor.
Deepak : My first question is, in the previous con call, you have given the guidance to improve the EBITDA to 12.5% to 13%. Is there any hope to reach that target in this fiscal year?
Hemant Bhuwania: So yes, Deepak, certainly, that is the endeavor in which we all are working. So yes, the number which we mentioned, 12.5%, we should be able to achieve it in a staggered way within this financial years.
Deepak: Okay. Now my second question is any expected time line for the new fresh tender from the Indian Railways this year?
Sudipta Mukherjee: Deeper, I mean it is very difficult to guess, but we feel like you that it is due. And it should come up in any point of time, maybe within a couple of weeks or months.
Deepak: Okay. And what about the guidance you have given the guidance of 1,000 wagons.
Moderator: Please return back to the question queue. The next question is from the line of Ishita Lodha from S van Investments.
Ishita Lodha: My question is with respect to the previous participant question with respect to the Jindal acquisition that we did. I heard that the company produced 2,200 wagons last year. And you're planning to increase the capacity further by 60% to 70%, that implies almost 3,500 wagons of annual runway. Is my understanding right?
Indrajit Mookerjee: You have to repeat very quickly the question, please? Small part of it because it was very faint, your voice was very faint.
Ishita Lodha: Okay. So my question was with respect to the acquisition that we did. So I heard in the previous participant's answer that the target company had produce 2,200 wagons last year. And the company is trying to increase -- do some capacity augmentation there as well by 60% to 70%. So that means the target company can do 3,500 wagons of annual production. Is my understanding correct?
Sudipta Mukherjee: Yes. So the question was that how -- what should be the capacity we've seen. We said that without any capex, we feel in a given context that, that can be achieved. You are right.
Ishita Lodha: Okay. So this is no minimal capex requirement?
Sudipta Mukherjee: Yes.
Ishita Lodha: Okay. So this is through, sir, debottlenecking initiatives that the company might take? Or I mean, how is this?
Sudipta Mukherjee: Yes. You have seen in Texmaco also. I mean, whatever be the changes we have made in last few quarters, including the last financial year and all these improvements were done with minimal capex . It is all about the management efficiency and other tools.

Ishita Lodha: Okay. And what is the time line by which you are looking at this kind of capacity?
Sudipta Mukherjee: I cannot answer you now as Vice Chairman has explained you that couple of weeks will be

more required for us to complete the acquisition process. I mean when we will augment it, it will depend on the necessity of the market and definitely, whatever we are doing, the objective of the company, including all of its subsidiary is a clear focus to improve the efficiency. So the moment it is in our hand, immediately, we are in at it of everything. So I mean, to be specific, a date is difficult, but you can trust on us.

Moderator: The next question is from the line of Manish from LIC Mutual Funds. Please go ahead.

Mahesh: Sir, my name is Mahesh. Sir, most of my questions have been answered. Just wondering, I mean, going forward, what would be your monthly rate in terms of wagon manufacturing?

Sudipta Mukherjee: I mean, wagon figures, as I have also -- I mean, we tried to explain in the last management --

I

mean last investor call also, it depends on the combination and types of wagons. In general, the capacity, which is the commodity type of box and DCM kind of a wagon. So your company will be having a capacity more than 1,000 wagons a month. But again, when we come to the question of efficiency and when we come to the question of the tender which is supposed to come. What is the type of wagon the number of vehicle may vary, but the efficiency and the targeted turnover will be on focus.

Mahesh: Okay. So basically, size and the weight will be very different.

Sudipta Mukherjee: It may happen. It may happen because of the changed dynamics in the market, so sometimes some industry comes up as one of the learned gentlemen was mentioning about the double stack. So it depends on what kind of things will come, but we have consistent capacity now, suppose around to produce around 1,000 wagons. But if you see that we have been the most versatile company and making around 7, 8 types of products for the market which nobody makes.

So the focus of the company would be to improve on the efficiency. And I mean, top line, bottom line, both. But some months, sometimes you may see that it has gone up more than 1,000, sometimes you may see that it has gone up a little less than 1,000. So that hardly is going to affect the business prospect.

Mahesh: Sure. And sir, in last 1 or 2 months, there has been a correction in the commodity prices. So will this benefit us in terms of when you get the project?

Sudipta Mukherjee: So basically, if you see that in our railway, most of the items, even if the steel prices go down, but railway steels are specialized steels. So it doesn't go down to the tune the other steels or other commodity goes down. So it may have -- I mean, it goes up and goes down. But in railway orders, we are covered by PVC clauses, which takes care.

Mahesh: Okay. So all the -- I mean the wagon manufacturing, I mean, we have back -to-back -- either have a back -to-back arrangement or we have PVC clauses in the contract.

Sudipta Mukherjee: So for Texmaco, suppose we have -- I mean, as of now, 60% of our order book is railway and in terms of our turnover. So it's more than 80% -- 85% is our railway contracts. And it is covered under PVC. In private, of course, it depends on customers, I mean the type of product, whatever, but mostly, we try to take care of our interest in terms -- when we take the order in terms of the contracts.

Moderator: In the interest of time, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Indrajit Mookerjee: It's been a pleasure talking to you, and I would like to thank each and everyone who has shown interest in our company and have asked very, very pertinent questions. And these questions, some of them are very interested to us for our own growth and for our own introspection. So I would like to thank them, and I hope we and our team have been able to address to the queries, questions, our broad strategies, etcetera.

Only one point that I would like to mention is that I would like all of you to ensure that we have a very strong vibrating, energetic team and which is the team very focused to achieve the target. And our targets are to be the best -performing company in terms of various ratios. And it is just not being the largest company making the largest number of wagons.

But it is more important is how we optimize our product mix, how we reduce our cost, how we slowly migrate to new areas without creating jolts. So these are the various strategies which we have in our mind. And as we keep on having our quarterly, as you see our quarterly results, I hope you would see a gradual improvement.

We have seen that it's happening on the improvement in the numbers, on the ratios. And this has ha

ppened despite that the -- given we also had to take a loss in one of our divisions even then. So we also are having a very focus on the other companies, which is our EPC company, which is not doing as good as we wanted it to be done. So there is various issue, which we already have in our mind. So we will be able to discuss that in course of time. So hopefully, we have satisfied you with all your queries. And thank you for your patience hearing as well as sparing your time with us. Thank you.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes today's conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

30th October , 2024
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Monday, 28th October , 2024 at 11:00 a.m. (IST).
T
he same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2024/10/Q2FY25- Result -Concall-Transcript.pdf .
W
e would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
T
his is for your information and record.
T
hanking you,
Y
ours faithfully,
For Texmaco Rail & Engineering Limited
K
. K. Rajgaria
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q2 FY '2 5 Earnings Conference Call "
October 28, 202 4

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR AND VICE CHAIRMAN – TEXMACO RAIL & ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE – MANAGING DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA – CHIEF FINANCIAL OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. NIDHI SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Texmaco Rail & Engineering Limited Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference

is being recorded.
I now hand the conference over to Ms. Nidhi Shah from ICICI Securities. Thank you, and over to you, ma'am.
Nidhi Shah : Thank you. On behalf of ICICI Securities, I welcome you all to the Q2 FY '25 Earnings Conference Call of Texmaco Rail & Engineering Limited. Today, we have with us from the management, Mr. Indrajit Mookerjee, ED and Vice Chairman; Mr. Sudipta Mukherjee, MD; and Mr. Hemant Bhuwania, the CFO.
Without much delay, I would now like to hand over the conference to the management for their opening remarks. Over to you, sir.
Indrajit Mookerjee: Good morning to all of you. This is Indrajit Mookerjee. I'm the Executive Director and the Vice Chairman of Texmaco Rail & Engineering Limited. I'm delighted to welcome you -- all of you, for Q2 and H1 financial year '25 earnings discussion. We had a very action -packed quarter and we have achieved many goals, which we want to do. So I trust that you have already reviewed our financial results and accompanying earnings presentat ions, which are available on the stock exchanges.
A significant development in H1 FY '25 was the completion of our acquisition of Jindal Rail and Infra. Now we have named it as Texmaco West Rail. This acquisition marks an important and very significant step in Texmaco's strategic growth, enhancing our mar ket reach , establishing Texmaco as a leader in the freight car industry and also in the domain of new developed and advanced high -tech wagons. So this is one of the pursuits that we wanted to do, serving purpose of we being becoming a pan -Asia player.
And secondly, our pursuit for global excellence and be a baby step towards becoming a global player. Big integration process has advanced or has moved very smoothly with synergies being fully captured as per the expectations. The acquisition has also as I said before, increased our revenue share from the private sector freight cars, which as all of you will know, will lead us to have higher realization per car.
In Q2 FY '25, Texmaco achieved continued growth and operational progress. Revenue reached INR1,346 crores, while EBITDA was INR149 crores with an 11% margin. PAT for the quarter was INR74 crores, reflecting a 5.5% margin. For the first half of FY '25, Texmaco's revenue from operations amounted to INR2,434 crores, underpinning our growth -- growing market, market presence and robust demand across demand -- across the segments.
EBITDA for the H1 was INR272 crores with an 11.2% margin and profit after tax stood at INR133 crores with a margin of 5.5%. Operationally, we reached a new milestone in freight car

sales with 2,927 units delivered in Q2, of which 72% were for Indian Railways and the balance fulfilled private and export orders.
Additionally, our steel foundries in Raipur and Belgharia produced 11,156 metric tonnes of castings and railway components, making a year -on-year increase of 3.5% and highlighting our ability to meet rising demand while sustaining our leadership in the ste el foundry industry.
Now this growth is, as you all know, is limited to the capacity, and we are doing -- we are taking many actions of debottlenecking the foundries. In addition to that as you all know, that we also are in the process of building up a new foundry in Odisha.
Looking forward

, our order book is at INR8,200 crores with freight car business accounting for 72% of the same. With the added capabilities of Texmaco West Rail, we are very well positioned to further expand into the private wagon manufacturing space. Our strategic priorities for the remainder of FY '25 and beyond include enhancing operational capacity, expanding our international footprint and continuing to drive integration benefits with Texmaco West.
Notably, Texmaco has been awarded the 3 -star export house certification by the Government of India, affirming our role as a valued contributor to India's trade landscape. Texmaco remains focused on sustainable growth, operational excellence and strategic innovation to deliver long -term value.
As we enter the second half of the fiscal year, we are committed to strengthening our market position further in line with the industry developments. With these few words, I would request Mr. Sudipta Mukherjee, our Managing Director; Mr. Hemant Bhuwania, C hief Financial Officer, to address to you and take up any questions which may come to you. Thank you very much.
Sudipta Mukherjee: Thank you. Hi. Good morning, everyone. This is Sudipta Mukherjee and with me Hemant.
Hemant Bhuwania: Hello, good morning, all of you.
Sudipta Mukherjee: So I think the perspective is being -- and the achievements have been narrated quite aptly by Vice Chairman, Mr. Mookerjee. We'll be very happy to answer your questions together.
Indrajit Mookerjee: We are open for question and answer.
Moderator: The first question is from the line of Viran Patel from Balaji Investments.

Viran Patel: Congratulations for the fantastic results. We were not expecting this kind of results, but we have beat our expectations. So many congratulations on that front. Secondly, I have three questions to ask you. One is how we have funded Jindal Rail. So how -- from where the money has come, how we have funded it?
My second question is, I was going through your announcement dated 25th October, where you are looking to get into opportunities of real estate. So I just wanted to understand what -- where all we have land banks or how we are going to get into real estate fleet.

And the third question is how many wagons now we are producing per day or per month? So these are my three questions. I would be very happy if you reply to me.
Sudipta Mukherjee: Mr. Patel, just we couldn't hear the first question properly. While I could hear the Jindal Rail word, balance, we were not able to hear.
Viran Patel: I said how we have funded it, from where money from which -- have we borrowed the money or it is from internal accruals, how we have done it. The current balance sheet reflects that money has already been paid and the current liability is already accounted to on that side.
Hemant Bhuwania: To answer to your first question, the entire Jindal acquisition has been completed on 3rd of September. The fund has been remitted, and it was done through internal accruals from the company and certain portion from the QIP funds, which were there. So on the second and third question, our Managing Director, Mr. Sudipta, will answer to it.
Sudipta Mukherjee: So I think the second question was the enabling resolution for the real estate development. So you all know that we are in a process of restructuring the company and while we are in the trajectory of growth. So we thought that we have to take care of our redundancy and whatever the best utilization of various assets are possible in the way forward, we will put the company into more sound footprint.
So the company has many such lands which were never thought of being utilized as a part of production enhancement or any production facility there, and there is no possibility or rather could be a higher return can be faced if it could be developed or util ized on --

rather than
manufacturing.
So those redundancies, we want to convert it into assets and convert it into some good returns for the company in the way forward. So that's why we thought of having a kind of enabling resolution to get into. Otherwise, it's not like that we want to become a real estate company. It's only just to enable us to move ahead and start working on that.
And third, I think you mentioned about the wagon production, if I'm not mistaken. If you see that by H1, we have already manufactured around more than 5,300 wagons. So from there, at least this we will maintain and we expect that we'll be further improving upon in and around this. And you will get more better product mix, including the private and specialized wagons.
Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.
Nikhil Abhyankar: Congrats on a good set of results. Sir just Infra Rail and Green Energy segment continues to remain a drag on our profitability. So what is the -- and if I'm not wrong, we were looking to demerge this from our business. So what is the status over there?
Sudipta Mukherjee: So Nikhil, we have received the approval, and you know that these things require a kind of a process. In the last call also, we have mentioned. And we are committed for the separation of that wing so far and we are progressing with right earnest. So in the appropriate time as a significant progress happens, you will be able to know. And our -- as I say, right earnest, we are

very much keen to do it as fast as possible and we are on right track and right speed of the process.
Nikhil Abhyankar: Should we expect it to happen in FY '25?
Sudipta Mukherjee: Sir, of course, our intention is common with you, but you know that the government machineries and statutory obligations are there where it is very difficult for you and me to commit. But expectation is as aggressive as you have and we are with you in line .
Nikhil Abhyankar: Sure. Sir, and the second question is regarding the order inflow. So can you tell us what is the quantum of tenders which are open right now? And how much do you expect ordering from the railways in this year?
Sudipta Mukherjee: To be precise, Nikhil, this financial year, I think around the nature of the tender from railway has shifted to small, small, small tenders. And we have been actively taking in part in the wagons, which are higher remunerative and we can deliver. I can giv e you a glimpse that when the largest order came out, so our asking rate for railways was 600 wagons per month.
Now with the accumulation of further order, it has gone up to 800 wagons per month. But minded

that it is considering the fact the performance or the execution we have, and we are not incurring any liquidated damages in any Indian railway orders. So it is coming in, and we are just looking at the best basket of it.
In private, we have got good momentum. And we expect that certain large tenders will come up. And this year and middle of next year, we expect around 30,000 more wagons to come in, whatever we know about -- I mean, the tenders have come up and something is in the pipeline.
Nikhil Abhyankar: So 30,000 from the Indian railways plus there will be the private side.
Sudipta Mukherjee: It could be this 30,000 is an approximate figure, Nikhil, what we hear because as you will appreciate that it may be 26,000, it may be 28,000, it can be 32,000 also. So this is what we have certain visibility and we know some progress has happened.
And if you talk about private specifically, last year has seen the highest offtake of private wagons, which was around 17,000. So worst to worst, we feel that anything between 12,000 to 15,000 over and above 30,000 should be there in the market considering the government push in the infrastructure.
Moderator: The next question is f

rom the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: Congratulations on a very good set of numbers. So the only question I have is, of course, the GPWI scheme, if I understand, there was a ban, right, a few, I think, 1.5 years back. Have you heard anything on that on the same? Do you expect the ban to be lif ted in the next coming quarters?
Sudipta Mukherjee: Thank you for your best wishes. GPWIS was never -- I would refrain to use the word ban. There was a moratorium in between because what we hear or we have learned that there was a lot of approvals, which was accorded by the government and these approvals we re time bound.

Suppose government approves me to -- as a licensee to procure wagon and they give me time that till December 2025, I have to place the order or induct the wagons into the system.
So there were a lot of gap in that on the license issued and the offtake of the wagons. And that's why they put a moratorium and just to have perhaps a feel of it, somewhere we also have learned that there were certain kind of congestion because of the imp roper distribution of the routes. So it was a moratorium for the time being.
And in between, I think a lot of meetings government had initiated and the industry houses participated. And around -- we expected around 200 racks were supposed to be procured. Out of that, already we have started seeing a traction and kind of -- we expec t that within this financial year itself, in last couple of months, we have seen around 40, 50 racks already been ordered being placed.
And we feel that this momentum will continue till these 200 racks are being procured in spite of the moratorium because these licenses were issued earlier and the receipt state of induction perhaps is being decided. And Texmaco, your company is also a beneficiary of it. And I'm happy to let you know that we are turning out this GPWIS racks in the -- perhaps in the best possible time line to the market today.
Mohit Kumar: My second question, sir, is it possible to quantify the synergy we're expecting from acquiring the Jindal West Rail in terms of cost -- quantify the cost efficiency, if possible?
Sudipta Mukherjee: Cost efficiency is very high. That much I can say, and it will be complementary. And it's a very healthy situation because I cannot give you apple -to-apple because the product portfolio and the mixes are different. And that was one of the reasons of acquis ition of that company. And -- but we do not find any inefficiency for that company that which will drag, but it will be a complement on a higher side for Texmaco.
Mohit Kumar: Understood. Last question, is it possible to share the Jindal Rail revenue EBITDA in the first half, H1?
Hemant Bhuwania: So yes, Mohit, the H1, they made a total revenue from operation was INR426 crores and their PBT was INR63 crores, INR62.73 crores to be exact.
Sudipta Mukherjee: Mohit, just to add to you that if you see that we expect that we will be better off maybe even in the commodity wagon if we do apples -to-apples because our foundry capacity is going to be a complement to Jindal, which was never there.
Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisors LLP.
Aman Soni: My question is specifically on freight car division. We performed decent in this year in terms of volume. Can you help me to understand going ahead in next 1 or 2 quarters, what kind of order inflow do you see in this segment? And what kind of execution do we see here in second half?
Sudipta Mukherjee: So Aman, to answer you, I can only share our vision and ambitions because placing order is not in our hand, but seeing the momentum and the market, what we believe that we -- while we will maintain our position of percentages and rather we will grow on tha t in both the categories of

wagons, including export. And if you see that today, we are in a position, as Vice Chairman also mentioned, in a leadership position, and we have the highest capacity to cater to the Indian both railway and private as well as exports.

So to answer you in one sentence, we'll feel that the progress of order intake should be better. And our execution will at least remain in the same trajectory, and we feel that to excel in both the categories.

Aman Soni: Sir, by the end of this year, like by end of Q4, what kind of run rate do you see in the freight segment? Like in this quarter, we did around INR2,900 crores, right? So what kind of run rate do we see by the end of Q4, sir?

Sudipta Mukherjee: Sir, we have produced 5,300 wagon in a consolidated manner half yearly. If you multiply by 2 because we cannot go down, so it becomes 10,600. So we will be any time near to that or bit even a little better to that.

Aman Soni: So are you saying like H2 is going to be in line with H1 only? No growth will be there, right?

Sudipta Mukherjee: I said minimum, this is itself is a growth, maintaining this is also a growth. And we expect we'll do better than this. The H2, we expect that we will be doing better than H1.

Aman Soni: Perfect.

Sudipta Mukherjee: I cannot give you absolute figure, but it would be better. That's what we expect.

Moderator: The next question is from the line of Abhij eet from ICICI Securities.

Abhijeet : Congratulations on a very good set of results. The first question is on our capacity plans. Right now, if I understand correctly, the capacity is in the range of about 3,000 units a quarter. That is for the freight wagons. And for the quarter 2, the volume seems to have reached the peak utilization of about 95%, 97%. So in that context, sir, in H2 and in FY '26, what is going to be our capacity expansion plan?

Also a related question. So if we compare our gross block from Q4 to Q2, that has seen expansion of about INR400 crores and basically doubled. And that proportionate expansion has not been seen in revenue. So I mean, assuming Jindal Rail acquisition, the utilization for Jindal Rail capacity has not reached its peak. So how is the ramp -up going to happen in second half and FY '26 pertaining to Jindal Rail?

Sudipta Mukherjee: Abhij eet, thank you. I would like to answer the first part first and then maybe Hemant can touch upon a bit. And if anything is required, we can jointly answer. To answer you regarding the capacity, it is not in our mind actually, to be very honest, that we don't feel our capacity is 12,000 or 10,000 or 15,000.

Capacity of production is kind of elastic in terms of freight rolling stock when you have a decent infrastructure. It's a question of utilization with the right product mix that what is your business plan vision, what is the market and where you want to go .

So, so far, I can assure you so far Texmaco is concerned with all its three manufacturing units and the coming joint ventures which are coming, there will be no limitation in terms of flexibility, agility and capacity in terms of numbers of production of r olling stocks.

And even if you -- so unnecessary, we do not want to use our resource because we know that within the present setup even with a kind of requirement, we can do better. That's why you have seen that we are very keen and focused on expanding our export portfolio.

So these are -- I mean, to answer you, I don't -- we don't need any CapEx to do that. So these capacities, you can see that it's not a problem and not a challenge for your company. In terms of foundry, yes, it is important. And if you have seen that last 1 , 1.5 years, we have been continuously improving on the existing facility even from 30,000 to today's run rate in the half yearly, we have almost don

e 21,000 metric tonnes and which you even only multiply it will become 42,000 tonnes, which is also highest in the country.

And further to that, we have certain visions and ambitions to reach to newer markets, and we are setting up a new foundry in Odisha as in Vice Chairman's speech, he has mentioned. So I feel that this 10,000, 12,000 or 1,000 a month is a misnomer. Most impo rtant is what you do and what is the mix. Second part, Hemant, he was asking for some.

Hemant Bhuwania: Yes. The second part, you mentioned that there has been an increase in the property plant equipment that is on the CapEx part. Yes, there has been an increase, which is mainly on account of acquisition of Jindal Rail since you are seeing the consolidated r esults. So it includes the numbers of Jindal Rail. So Jindal Rail, the net fixed asset addition has been to the tune of approximately INR300 crores. That is why you see an increase in fixed assets.

Indrajit Mookerjee: In the gross block.

Hemant Bhuwania: Gross block.

Sudipta Mukherjee: Abhijit, have we been able to answer you or you have any doubt or any question?
Abhijeet : Sir, one thing related to this and also in continuation with the earlier participant's question on the synergies between the acquired company and Texmaco. So in that sense, it seems like the asset turnover, fixed asset turnover for Jindal Rail right now seems to be on a lower number compared to our existing business. So in that context, how is the ramp -up going to happen? And how are these margins and turnovers going to pan out going forward with the acquisition and the expansion panning out?
Sudipta Mukherjee: So Abhij eet, if you see, maybe I will not be able to -- or will not be able to give you a numeric number to the cause of this. But I just would like to remind you of a point that Jindal Rail suppose it has a 120 acres of land and 2 railway siding. And we are only to day in -- within 50 acres of it. And there, as I said, that increasing or having a better mix or reach to a better market is not at all a challenge. The balance land, we have other visions and plans going forward to gain fully utilize and create more value adds, not to expand for wagon perhaps.
Abhijeet : Right.

Sudipta Mukherjee: We have a few plans which we are working and progressively, we'll find that...
Indrajit Mookerjee: I'd just like to add to Sudipta's answer is that, see, the synergy from Jindal is not only restricted to cost. It's restricted to the market synergy because it has given us a tremendous reach to the private segments -- the private sector market, which have a higher realization. And we have now in a situation when we know which is going to be where -- which orders will go.
And secondly is that our capabilities are with the product is so high because it's going to be from generic orders to the generic wagons to the high -end wagons, and we are doing further development. So I think the market synergy and value capturing has bee n very high in addition to the numbers, which are very important to increase. And I think Sudipta was saying, sometimes product mix is more important than band numbers.
Moderator: The next question is from the line of Rahul Jain from JM Financial.
Rahul Jain : Congratulations on a good set of numbers.
Sudipta Mukherjee: Rahul, we have a problem to hear you. There is a background noise.
Rahul Jain : Congratulations on a strong set of numbers. My first question is your H1 production has been very strong. And with acquisition of this Jindal Rail, the production will increase, maybe...
Sudipta Mukherjee: Again, your voice is getting faint, Rahul. Kindly if you speak a little louder. We are not able to hear.
Rahul Jain : So sir, I was saying that your production has been very strong in H1, right? And with acquisition of Jindal Rail, can the production increase to

1,000 wagons per month plus? So can this go beyond that? And also, if you can highlight that your market share might increase because you might be able to provide additional wagons in the market. So can that be a case over the next 1.5, 2 years?
Sudipta Mukherjee: Rahul, I think, yes, you have captured the answer correct. In both the -- in all the questions, the answer is yes. We will have better market share. We have more agility to supply. We have multiple most variety of products to cater to the market. We have t he -- we believe that we have a very strong technical capability even to have a tailor -made and curated solution for the customers. And our numbers are not limited to 1,000 wagons a month. It is much beyond.
Rahul Jain : Can you give that number, if possible...?
Sudipta Mukherjee: No, I cannot give you that number because it depends on the mix you know. You are in the market since long. So you know that in product mixes determine the number. As I have tried to explain in Abhij eet's question that it can vary. I mean, if suppose something a new design comes up tomorrow.
So as a matter of a capable company, can I decide that it is more complex and I will only make 100 wagon a month? No. So we have to be capable. We have all the flexibilities to do much beyond 1,000 and product mix is important rather than having that numbe r.

Indrajit Mookerjee: Rahul, I'll just add -- this is Indrajit Mookerjee. I'll only amplify on Sudipta's point. And I think he made a very important point that our capabilities are there. We have the capability and flexibility to do anything from one to the other end. And that' s more important because once you have the capability, you can always use that capability when the opportunities come or when we develop opportunities ourselves. So that's more important than how many actually numbers we are doing. We c an do any numbers.
Rahul Jain : Right, sir. Got it. Sir, my second question is, so there will be higher private sector wagons supplied, which can have a higher margin. So can we see the -- your margins, which was around

10% operating margins, which was around 10% in H1, can this move to 12% to 13% over the next 1.5, 2 years with private sector wagons contributing more after the acquisition of Jindal Rail?

Hemant Bhuwania: So Rahul, absolutely, yes, what you mentioned, we all are working towards the common goal to increase the EBITDA margin, what the numbers you mentioned. And yes, we are hopeful that with the increased percentage of private portion in comparison to total su pply, the EBITDA should go up in the coming days to come.

Rahul Jain : Sure, sir. Sir, if you can highlight what is private sector wagons margins, if you can just split it up for us?

Hemant Bhuwania: So private is always better than what we have in terms of railways. And after private, we have export. Export is even better than what we supply to private. So that is how the pricing has been done and the contribution margin has been -- is generally defin ed in the industry purpose.

Rahul Jain : Sure, sir. Got it. Sir, how much was the export this quarter? And which products did you export?

Hemant Bhuwania: So export was on the 2 segments. One was on the freight car, we have exported to Africa. And second was export is on account of steel foundry, wherein we export railway castings to U.S. and Australia. The total number of export, I'll just...

Sudipta Mukherjee: We have also exported to Europe, wagon components, I mean, wagons into knockdown parts.

Hemant Bhuwania: And the total export number, yes, I have now, Rahul, it is INR185 crores in H1.

Rahul Jain : Sure, sure, sir. Sir, what are your plans for new products in the next 2 to 3 years, if you can mention that also because you have several land available after this Jindal Rail getting acquired?

Sudipta Mukherjee: So it

is progressive in nature, Rahul. And I mean, many, many things we are looking forward to. So far the -- I mean, maybe in railway segment and even beyond railway. So to be specific in this call is a little difficult for us. But you -- we know that you are very keen, I mean, with us, and we will keep on informing you as we progress.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre : Sir, you just mentioned that the new facility at Jindal, we have extra space where we can look out for new ventures. So I mean, over what period of time we will be able to hear something about the new business plans?

Sudipta Mukherjee: Mahesh, thank you for your best wishes. You know, I mean, being in the trade that we keep on working on something and what matures -- I mean, in the last two acquisitions, you have seen Texmaco's agility that when we found it is profitable, we committed to you and the market that we want to take up businesses, but not for the sake of it. But we want to make it a story that where we can really perform and take care of every stakeholders' interest.

So given on the right chance, we are working on various possibilities and we'll keep you updated. But to be specific now, it will be very difficult, but it can -- something may also happen very quickly, but defining time line is difficult, right?

Indrajit Mookerjee: Let me also add to Mr. Mukherjee's answer. See, if it is within the -- our present domain, then we have a very clear growth path, and we have a very clear growth direction. And that, I think we have mentioned it earlier also that we are trying and developing the component business, which ar e the components of the freight cars.

And that's why you must have seen that we are trying to -- and that's what Mr. Mukherjee has said that we are exporting freight car components in knockdown conditions, and we are talking -- and we also have an aspiration to take our export strength to be a global player of supply -- global supplier. And that's the reason why we are also very much concentrating on building up our global capability center.

We also are looking at revamping our foundry capacity by putting in a new foundry, which perhaps will be mostly export -oriented and will be going to the countries outside India and developed countries like U.S. and Australia, et cetera. So these are -- within our domain, we know that we have a very clear growth path. if you are asking outside the rail segment, then I think we'll have to wait for something to come up. Right now, we are not in a position to say.

Mahesh Bendre : Great, sir. And sir, the operating margins at the consolidated level around 9.8% for the last 2 quarters. Now given the -- I mean, the scale we are acquiring where our revenues are growing fast, some point of time, economy of scale needs to come up. So wil l this add into a substantial -- in terms of margins will add significantly over the next 2 years? Will it change the margin trajectory from maybe 10% to 12%, 13% kind of level, fuel and operating side?

Hemant Bhuwania: So Mahesh, yes, what you mentioned, yes, absolutely, we are working towards a common goal to increase our margin. So as I mentioned earlier also, since more and more execution on the private side is our endeavor. And as it happens, you will see definitely an improvement in the operating margin also.

Mahesh Bendre : Sure, sure. And sir, last question from my end is that the debt level -- net debt level has gone up with the acquisition. It's around INR800 crores now. So when we look out for new businesses,

new venture, is there any limit we have placed in terms of taking further debt on the balance sheet?
Hemant Bhuwania: So Mahesh, this will be too premature to answer that whether any further debt for the new acquisition or anything would be added to it. So

generally, we work on a debt equity of 70% - 30%.

So depending upon the case -to-case basis, the call would be taken by the management, whether to add debt to it and if the internal accruals are sufficient, whether to meet the funding through internal accruals for any future projects. So depending upon the future projects on a case -to-case basis, a decision would be taken Mahesh.
Moderator: The next question is from the line of Harshit, an individual investor.
Harshit: Congratulations on the great set of numbers. Sir, I had a couple of questions, if you can just help me. So firstly, could you give us an update on the global tender for modern wagons? So the order was more or less in process before the election, but actual ly took a backseat after the election. Any update on that, sir, if you could give us -- throw some light on that? And if there has been any kind of prequalification round for those wagons, sir?
Sudipta Mukherjee: Okay. Harshit, it's a point of -- I mean, it's a question which is very close to our heart. But I cannot be the spokesperson of Indian Railway, but I can only share with you the information I have in and around it. So last time, when it came, so of course, perhaps the -- whatever be the reason, it got on hold.
But now I think Indian Railway has done a significant kind of decision where they have decided that to send a kind of high -power delegation to -- from railways to Europe and America to go through a few companies to study that what are the kind of rolling s tock they use and what is the difference we have in India and what it calls for.
And I know it by virtue of the fact that perhaps a few of our associates are also getting visited. So maybe we expect and we hope -- wish that coming back, a proper specification maybe they will be again initiate to do. And from a market perspective and de aling with customer, I can say that there is a requirement of higher capacity and efficient rolling stock in the country and I believe that Indian Railway is very much conscious about it, but they are taking time because it would be a long journey because the maintenance regime will change and many new things, the life of the product will increase.
And so taking time is not a problem, but it has to come as the railway market is gaining momentum, and we are ambitious to make a more reliable, trustworthy, safe rolling stock. Third is in terms of eligibility, I'm not sure. But of course, government would love to work with inclusivity.
But I can say on behalf of your company that we are -- whatever be the eligibility criteria, so far if it is in line with all the global tenders done by other railways because we have started qualifying in many international tenders. So we have all the eli gibility and we have the capability to get into it because we are having our own bogeys with our joint venture partner, Wabtec. We have our wagon designs, and we have some American companies also with us associated. So brake system and everything.
So we are very well placed and keenly looking forward to something new and new design wagons. And irrespective, we are working on a few new designs for the market, considering there is a possibility of very good private sector investment of private wagon o ptic and DFCC

are also getting operational more and more. So we are very well positioned in this advanced type of guidance for the country.
Mahesh Bendre : Right, sir. Sir, just one follow -up question. So basically, there hasn't been any communication or indication from the government side around that for us, right, at the moment?
Sudipta Mukherjee: Nothing official about it. There was an advertisement of Pepsi, I believe.
Mahesh Bendre : Thank you, so much sir. That’s really helpful sir. That’s really go

od insight from your end and all the very best sir.
Sudipta Mukherjee: Thank you so much.
Moderator: The next question is from the line of Mahek from Agility Advisors.
Mahek: Yes. So sir, just wanted to understand more on the execution time line of the orders in the Infra Electrical segment. So we have close to INR1,700 crores of the order book and in H1 has been quite subdued. So if you could just highlight how -- what is the time line? And how are we

planning to increase the revenue generation in that segment?
Sudipta Mukherjee: So it is -- we don't consider it subdued, Mahek. If I spelled your name properly, I was not able to hear. So I think it is one of the most profitable segment of Texmaco. And we will do further better from here, and we are very confident about it. You will see much more better results on a year-on-year basis also or in the next quarter or the second half of the year.
Indrajit Mookerjee: We have also repositioned the entire electrical division. We have repositioned it from a purely railway play to non -railway play also. And that's paying up very, very -- that's paying up very profitably. We are very bullish on this division and particularl y the capability of the organization and its goodwill in the market.
Mahek: Okay. So any time line like is it a 3 -year order book or a 2.5, 4 -year order book? Any specific time line that is by when we need to complete these orders, the INR1,800 crores orders which we have...?
Sudipta Mukherjee: It's a INR1,700 crore order book we -- so every contract has its own this thing. And we can only say that the top line, you will see that it will multiply in the coming quarters and years. And it's a progressive nature so far the orders are...
Indrajit Mookerjee: And the orders are flowing in. And in fact, we are looking India as well as outside India. So all that is flowing in. I mean a little bit of patience, you will see this divisions completely what we are saying that we will be walking that down.
Sudipta Mukherjee: And along with -- as I mentioned about top line, but I must add that bottom line will be very strong of that business too.
Mahek: Okay. Understood. And sir, second question was if you could please provide a breakup of the volumes of wagons between Texmaco Rail and Jindal Rail?

Indrajit Mookerjee: So in terms of order book, you want to...
Mahek: No, volume, the wagons, yes, in terms of execution.
Hemant Bhuwania: So Texmaco Rail did -- Texmaco, that is Texmaco Rail and Engineering did executed an order of 4,410 wagons and Jindal Rail did 891 in H1 last quarter 2. And in quarter 2, Texmaco Rail did 2,443 and Jindal Rail did 484.
Mahek: So we can see a pickup in the volumes from Jindal from H2 as well, right? Because they do have good order book available?
Hemant Bhuwania: So yes, Jindal has a very good order book, but the type of wagon which they execute is not a commodity specific. It's a very -- it's a commodity -specific wagon. And it's a specialized wagon. So you won't see the number -- same numbers what Texmaco does and the same number what is being done in Jindal rail. So definitely, the numbers in Jindal Rail will be relatively lesser because they do specialized wagons and the lesser of commodity wagons.
Mahek: Okay. Okay. Understood. And sir, last question was we -- Jindal has a technology to produce double decker wagons. So how are we expecting any significant synergies due to that technology? Any good order book tenders which are available and we would be part icipating? How should we see that segment?
Sudipta Mukherjee: Mahek, thank you for asking this. So your -- both company, I mean, erstwhile Jindal now Texmaco West and Texmaco Kolkata, both are capable to produce double decker wagons. And we'll be happy to know that where the synergy comes from because we were the 2 c ompanies wh

o are part of the design of the double decker wagons. So Jindal owns a design, which is being called as ACC1, which is a one notch higher progressive technology than the erstwhile automobile wagon being procured by Indian Rail ways.
And ACC1 recently from a company called APL Vascor, we have got in September an order of 3 racks to deliver to them. And for Texmaco, Texmaco is in the final stage of approval from Indian Railway for designing ACC3, so which is again a different variety of a double -decker wagon.
And today is the most leading design in the market, which is going to be. And it could be a game changer because it can also accommodate tractors. And whatever be the shortcomings in the other type of designs, we have tried to take care of that, and it comes with a global flavor of safety and reliability.
So we believe that the automobile companies are where looking for an efficient logistics solution where they can reduce the carbon footprint in their company by doing so many trucks enter at the same time, they wanted an efficient logistic where they can r educe their logistic cost. So we will be having the most versatile portfolio of the next -generation automobile wagons to say, and we expect this segment will grow significantly in the coming quarters to come or the months to come.
Mahek: Okay. And this would be a higher margin product, right?

Sudipta Mukherjee: We expect, sir.
Mahek: Okay. Okay. And sir, last question. So the capacities which we...
Sudipta Mukherjee: We will get special type wagons. And definitely, these are special.
Mahek: Okay. Understood. And sir, sir, last question. The capacity which we have currently in the Texmaco rail, including the Jindal one, so what is the peak revenue which we can generate from the same? Any ballpark number?
Sudipta Mukherjee: Sir, again, to be very honest, this is the number we never think because any -- if I talk about any number, it only restricts me. We believe, I repeat that the product mix is the determinant of a number. And we are very much focused on our capabilities, an d we believe that we have no limitation to achieve any number for any of our work.
If you see that in H1, we have already achieved 5,301. If you multiply, it goes to around 10,600 wagon per annum but we expect that H2 would be better for the company. And whatever be the mix, we are irrespective, we will improve our numbers. That's what w e believe and we are working for. And in the coming days also, I mean, we want to continue to grow and bring better values for our stakeholders. I'm sorry for my roundabout answer, but because any number limitation actually, we do not want to rely upon.
Moderator: That was the last question. I would now like to hand the conference over to management for closing comments.
Indrajit Mookerjee: This is Indrajit Mookerjee once again. And I would like to thank all the -- all those present here for their patience and for their interest in your company. I can only close by saying that there has been action packed here, action packed half year, and we are strictly following what our strategies and tactical plans are. We are -- and that's what is giving us certain results.
So I think what we are doing is that -- we have a very structured plan. We are not doing anything which is -- which suddenly whimsically comes to our mind and we are following that path. And we continue to do that to add more and more value to our sharehol ders in the future to come.
And I would be very happy to share our plans wherever anyone wants can call me or our team.
And also, I would also welcome if anyone would like to come and see our facilities either here or in Texmaco West. So we are -- we have transformed ourselves to a p an-India player. We have transformed ourselves to be a player where we would be in a stronger mind with stronger product

offerings, offerings which others can't do it.
And also, we are getting future ready, not only in the freight car, but also the freight car component business. And of course, we are looking outside the freight car, but I think, as I said, that will gradually come.
So with these few words, I would like to offer our seasons greetings and happy Diwali to all of you. And I would expect that even better time to come when we meet next time. Thank you very much.

Sudipta Mukherjee: Happy Diwali to all of you.
Hemant Bhuwania: Thank you, and happy Diwali.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

7th February, 2025
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Monday , 3rd February, 2025 at 11:00 a.m. (IST).
The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2025/02/Q3FY25 -Result -Concall -Transcipt.pdf .
We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
This is for your information and record.
Thanking you,
Yours faithfully,
For Texmaco Rail & Engineering Limited
K. K. Rajgaria
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q3 FY '2 5 Earnings Conference Call "
February 03 , 202 5

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR
AND VICE CHAIRMAN – TEXMACO RAIL &
ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR –
TEXMACO RAIL & ENGINEERING LIMITED
MR. HEMANT BHUWANIA –CHIEF FINANCIAL
OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. ABHIJEET SINGH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Texmaco Rail & Engineering Limited Q3 and FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance in the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, that this conference is being recorded.
I now hand the conference over to Mr. Abhijeet Singh from ICICI Securities. Thank you, and over to you, Mr. Singh.
Abhijeet Singh : Thank you. On behalf of ICICI Securities, I welcome you all to the Q3 FY '25 Earnings Conference Call of Texmaco Rail & Engineering Limited. Today, we have with us from the management, Mr. Indrajit Mookerjee, ED and Vice Chairman; Mr. Sudipta Mukherjee, MD ; and

Mr. Hemant Bhuwania, the CFO.
I now hand over the call to the management for opening comments, post which we will host the Q&A session. Over to you, sir.
Indrajit Mookerjee : Good morning, everyone. This is Indrajit Mookerjee, the Executive Director and the Vice Chairman. I want to compliment you on the day of the Vasant Panchami. I hope today is a day, so it's a celebration all over in West Bengal.
On this happy note, I would like to take the pleasure of welcoming you to our Q3 financial year '25 earnings discussion. I hope by this time, you had the opportunity to review our financial results and the earnings presentation, which has been made availab le to stock exchange on last Friday.
Texmaco delivered a stable performance this quarter, navigating various operational challenges, while maintaining our business momentum. Texmaco recorded a revenue of INR1,326 crores in the quarter with an EBITDA of INR139 crores, which reflects a 10.5% margin. PAT stood at INR76 crores with a margin of 5.8%. For the first 9 months of FY '25, revenue from operat ions reached INR3,766 crores, driven by consistent flow of order and execution in the key segments. EBITDA for this period of 9 months was INR411 crores, which translates into close to 11% margin, while PAT stood at INR210 crores, reflecting a 5.6% margin. The performance highlights our continued momentum across its business segments, driven by operational efficiencies and favorable market dynamics and also a strong presence in the market.
In Q3 FY '25, we delivered 2,714 freight cars, marking a 54.6% Y -o-Y growth compared to same period last year when we did 1,756 freight cars. Our cumulative deliveries for the first 9 months of FY '25 stood at 8,015 freight cars, reflecting a 70% increase from the same period last year. This growth reaffirms our strong manufacturing capabilities and our ability to cater to the rising demand of freight cars. I apologize for the disconnection. I don't know why it -- how it happened, but we are in the -- I thought, we are in the age of supreme technology, so in the communication field, but I don't know, maybe AI had created some problem.

So I would not start from the beginning, I hope. So I will start from where I ended. So the performance in Q3 FY '25 was slightly lower than Q2 FY '25. So Q3 was slightly tad lower than Q2. And I think, we owe an explanation. And this happened, because the re were non -availability of wheelsets from Indian Railways.
As you know, that the wheelsets come from Indian railways, from Rail Wheel Factory. And those are used for the freight cars. So there was a shortage of supply during the quarter, and that pulled us down, but we tried to make it up as much as possible by do ubling up our production in the later part of the quarter. This also reflects on our strategic flexibility in managing our producti

on issues.
On the strategic front, I have to announce and I have to keep you informed that we had the approval from the Board for merger of Texmaco West Rail Limited with Texmaco Rail & Engineering Limited. For those who are not aware of the Texmaco Rail -- Texmaco W est, which is the company that has been acquired by us, which had the name of Jindal Rail Infrastructure Limited, and we renamed it as West -- Texmaco West, and we got the approval for merger in the last Board meeting on Friday, and we expect this is goin g to take about 6 to 8 months for the exercise to get over.
Additionally, as part of our business organization, we also decided to transfer the Infra -Rail and Green Energy, which is our EPC group primarily, as an ongoing business on a slump exchange basis into a 100% subsidiary of Texmaco Rail. It is expected that the transfer should be completed within 12 to 15 months' time, because it has to go through many regulatory processes. These steps align with our long -term vision to enhance operational efficiency and streamline our business structure.
Besides these two very important factors, there are many more advantages which these companies can get in future in development of business. Our financial strength has also been recognized. I'm happy to inform that our long -term bank facilities have been upgraded to CARE A, which is a notch improvement, one grade improvement, while the short -term bank facilities now hold a CARE A1 rating. This reflects our stable financial performance and strong fundamentals.
Looking ahead, we remain focused on driving operational efficiencies, enhancing capacity utilization and strengthening our presence in the market. With a healthy order book and strategic initiatives in place, we are confident about our growth prospects in the coming quarters.
I wish to thank you for your patient hearing and once again, apologize for the disconnection in between. We would be very happy to answer queries which you may have in this connection.
Mod erator : Thank you. We will now begin the question -and-answer session. First question comes from the line of CA Garvit Goyal with Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal : Sir, my first question is on the freight wagon side. If I look at your stand -alone numbers, these numbers are falling. And at the same time, if we look at the recent budget -- sorry, I missed the opening remarks, so I don't know whether you have commented on that. So in the recent budget,

there is no increase in the railing stock budget amount. So can you please put some color like, is it like, the TAM is not growing for us in the freight wagon side?

Sudipta Mukherjee : This is Sudipta Mukherjee. So I mean, to answer you, I have two, three things to say. As you have very rightly mentioned that, I mean, you have pointed out that it has not increased. So far, the numbers, we know, I mean, many, many things are yet to come out in the domain. There is in the budgetary allocation, perhaps, is around 7.5% approx increase on the overall outlay of the budget. It is around 2.96 what we had.

But as a rolling stock manufacturer and being in our domain, if you are talking specific to the wagon, so if you see that the momentum started on a long -term mission, and it has to span up to 2030 for the first milestone to achieve where the railway share in the logistics has to go around 47% plus, which was 26%. So from '23, '24, if we continuously see, the allocation of all rolling stock remained in and around INR40,000 crores to INR45,000 -plus crores.

So the heartening fact to us, being part of the ecosystem and one of the major stakeholders or a leading stakeholder is, there is no cut in that budget, and it is still in and around INR46,000 crores so far the railway estimation goes and as per informatio n available to us.

So it i

s not necessary -- I mean, let us be practical. It is not necessary to increase the budget allocation every time. We have to see that what was part of a long -term plan, whether that is -- that talk has been worked in or worked up to or not. So it is consistently being worked up to and no disruption being created.

So what is the point of our scale? So we took it as a very positive step, because there has to be a theme always. And in the whole growth plan, one engine cannot move. It has to be a holistic approach to the government -- I mean, to the government plan, wh atever we have for 2047 or Viksit Bharat or whatever. So if the country goes and the GDP has to grow, it has to have a holistic approach.

And our part of this share are completely intact. And that's why we are feeling, I mean, very secured, and we are at our momentum to -- momentum into the plan of the growth of the company and contribute to the development, whatever government looks forward to.

Garvit Goyal : Understood, sir. Secondly, on the order inflow side. So do you expect order inflow in the near term, particularly from the freight wagon side from IR?

Sudipta Mukherjee : I would like to point out to you, sir, that whatever was the -- I mean, based out of the plan per annum procurement, government further went out to give some small, small -- I mean, came up with various small, small orders, which were significant in nature , anywhere near INR10,000 to INR12,000 in between also, because if you see in '22, '23, order was issued for 3 years, which are going to expire in '25, '26.

Now the major order has to come. In spite of that, in between there is a feeling, government wanted to give in the rail infrastructure. So for infrastructure, we thought of -- I mean, the government thought of putting up new lines, doubling of the lines or whatever work. For that

matter, some special purpose wagons were also tendered and your company got a fair share of it. And we feel that the same momentum will continue.

And there are certain sectors, of course, you have also gone through the budget very carefully, like, when we are talking about coal, we are talking about mining, and give a boost to these industries. And for carrying those augmented material, you need spe cific solutions for rail freight rolling stock. And we feel that there will be a huge opportunity for us in addition to the government procurement in these sectors to supply wagons in the coming days.

Moderator: Our next question comes from the line of Chintan Patel with Abans Investment Managers.

Chintan Patel : Sir, can you give us a number of Jindal revenues for the quarter and number of wagons produced by the Jindal Rail?

Hemant Bhuwania : Yes. So, Mr. Patel, I will answer to that. So for the quarter ended, Jindal has done around 526 wagons and a turnover of INR265 crores. They have reported a PAT of -- sorry, PBT of INR35.72 crores. For the 9 months ended, they had done 1,417 wagons, a turnover of INR692 crores and a PBT of INR98.45 crores.

Chintan Patel : Okay. Got it. And sir, what is our steel foundry captive consumption as we have around 45,000 tons of capacity?

Hemant Bhuwania : So right now, we have a capacity of 48,000 metric tons and around 90% of the capacity is being

used captively by our Heavy Engineering and Texmaco West.
Chintan Patel : Okay. And when can we see the Odisha's steel foundry expansion will come on the board?
Sudipta Mukherjee : So the work is on in full swing and by middle of next year, will be operational …
Moderator: Your voice is breaking. The management voice is breaking.
Sudipta Mukherjee : Yes. So I said that, presently as Hemant has mentioned that we were doing around 48,000 metric tons. So from the present capacity and combining the new facility coming up, our total capa city would be 80,000 metric ton finished casting. And

many of those will be beyond the domestic requirement and it is targeted to certain specific markets, including overseas. And we are going to have the highest capacity in the country in our segment and perhaps the highest in the worl d.
Chintan Patel : Okay. And sir, regarding this our slump exchange towards the BEL. So what is your plan, once it will completed fully? So whether we are looking for the monetized EPC business or we are continuing with the operations?
Sudipta Mukherjee : Yes. I actually, I couldn't hear the question. What is your question?
Hemant Bhuwania : Could you please r epeat the question, please. In between, we couldn't hear you.
Chintan Patel : Yes, sure, sir. So sir, regarding that our Infra -Rail and Green Energy Slump Exchange to transfer in the BEL, our subsidiary, so this will complete in the 12 to 18 months. So what is your plan

with this business, whether we are looking for the monetize of this business or we are continue to do business -- are we continuing to operate this business?
Indrajit Mookerjee : We want to continue with this business. We see tremend ous future for the EPC business relative to Indian Railway. I think, you all have read the budget speeches also, where you find that, a lot of focus has been given to the activities like laying of tracks and signalling and coverage. And in all these areas, we have our unique credentials. One or two areas, maybe we are yet to acquire, but we are in a very advanced stage of acquiring it.
So answering your question, we want to focus on this business, and we want to profitably grow and show exactly what we had done for our freight costs of rapidly growing and becoming a prominent player. We also would like to do the same thing in the EPC business with a very strong management that we have.
Chintan Patel : Thank you, sir. That’s all from my side.
Moderator: Thank you. Next question comes from the line of Jainam Jain with ICICI Securities. Please go ahead.
Jainam Jain: Sir, my first question is, is the shortage of the wheel supply expected to be a problem for the remaining year as well? And is there any way we can hedge or circumvent this huge risk?
Sudipta Mukherjee : So what has happened, of course, that crisis was there, but railway has taken a pragmatic decision along with discussion with the industry that they have allowed us to use the imported wheelset.
So I was answering to the question of the wheelset problem. So I would like to point out to you, it is so far, so long it's resolved in the sense that for private wagons manufacturing, we used to import wheels and railway has given us permission to use tho se imported wheels into turning out of railway wagons with a replenishment basis up to April. And railway expects that by April, their supply will be, I mean, would be alright.
Jainam Jain: Okay. So sir, is there any limit to what percentage of consumption of the wheelsets which can be imported?
Sudipta Mukherjee : There was a time when there was a restriction. Now they have opened it up to April 2026.
Jainam Jain: Okay, sir. And where are we importing from? And how does it affect the cost?
Sudipta Mukherjee : So we import the approved -- there are approved sources from railways. It is mostly from China. And for the freight wagons, if you see, and there was a time , things used to come from Ukraine, but it is no more. So mostly, it is from China as on date.
Jainam Jain: Okay, sir. And sir, my second question is regarding the interest. Sir, the interest this quarter was much lower than the Q2. And my question is that, we have seen fluctuating interest levels this year. So what is the reason for that? And what can we expect for the next year?
Sudipta Mukherjee : Hemant, would you like to address this?

He

mant Bhuwania : So, the finance cost, if you see the last quarter, we reported INR32 crores. And this year also, we reported INR32.93 crores, which is almost the same. So we do not see any major variance in terms of finance cost. However, in terms of interest, last quarter, you see it was INR18.48 crores as against this year INR21.2 crores. The prime reason for this was that, there were certain -- we did acquisition of Jindal Rai l in the month of September. So we had a buffer. We had that buffer, because of which the CC limits to some extent were lying unutilized in Q2. So that is the reason you see that the finance cost has marginally gone up in quarter 3.

Sudipta Mukherjee : To answer the second part of the question that what is the plan for the future. So along with the efficiency of the operations, we have definitely clear focus on improvement in all those parameters, including cost and cost of various components of the busi ness. And we are hopeful that there will be good improvements in an around.

Jainam Jain: Sir, that answers my question. Thank you and all the best.

Moderator: Thank you. Next question comes from the line of Rajesh Bandari with Nakoda Engineers. Please go ahead.

Rajesh Bandari: Congratulations for the good numbers. Sir, I have a question. Are we into double deck wagons also?

Sudipta Mukherjee : Sir, your company is mostly in double deck wagons. And let me tell you that the old generation of double deck wagons is already made. New generation is of three types. It is called Act 1, Act 2, Act 3 . So we have the most order of Act 1 and is also the most expensive wagon order and we are delivering it continuously. Act 2 is our first time to develop and Act 3 is also our design. In double deck, small vehicles were not a vailable. Now, SUV demand is high in the country, so we had to bring new designs.

So, SUV can be used in both. And the most beautiful thing in Act 3 is that in that tractor, SUV , all these can also go. So now when it will boost in the agricultural field and then think about the situation when we are also having our double deck wagon which is also moving tractors and taking from one corner to the other part of the country. So these three things are being made by your company and we are also their design partners.

Rajesh Bandari: Yes, very good sir. And is it a closed type or open type?

Sudipta Mukherjee : It is closed , sir. Now what is it, that we maintain the car very delicately in our country, right? In that car, the car is maintained very carefully. Nobody feels safe. They will do some stone painting. So, design has certain lightness. In that, design excellence comes. Some of our ventilations are there, there are perforations. But it is not completely open.

Rajesh Bandari: This is done for vehicle. Any double -deck wagon for perishable?

Sudipta Mukherjee : For perishable, we need to think whether we need double deck or not . For perishable, sometimes you need refrigerated, right? So, for the first time, you must be knowing , that we made it for milk. Amul. Amul gave us the order and we have done milk tank refrigeration. We are hopeful that these specialized things will increase in the coming days. You will be happy to hear that our

entire design is getting centralized in a global capability center . We will be one of the most leading design hub in these concepts which you are talking about

Rajesh Bandari: What will be your approximate idea of your turnover in the next 3 years?

Sudipta Mukherjee : Sir, we can't predict the future like this.

Rajesh Bandari: Expected ?

Sudipta Mukherjee : We can't predict it like this. We can't quote a figure because you are such an informed shareholder, you know our bindings . But we can tell you that together we will grow very good. That's what we expect and we are working for it.

Rajesh Bandar

i: And is there any plan for Vande Bharat, Namo Bharat, Amrit Bharat, Metro?

Sudipta Mukherjee : There is a plan already. You know that we have taken an interior company. You will be happy to know that we have started getting the orders for the interior of the Vande Bharat sleeper . We are going to supply very soon. Some parties are already supplying.

Rajesh Bhandari : We are not making the entire coach.

Sudipta Mukherjee : We are coming in that. In that direction we have started now.

Moderator: Sorry for interrupting. Management your line is breaking. Can you just come little closer to the mic? Please go ahead.

Sudipta Mukherjee : Now , it's clear?

Rajesh Bhandari : Now it’s audible. One is we have in our internals second I am asking that the coaches which are there are we into coaches and metro trains also?

Sudipta Mukherjee : Sir we are not making now. We are waiting for the right opportunity when this kind of opportunity will come we will definite make. We are open to improve the company improve to move towards whatever we will do we try to do it efficiently and make it profitable. S o we are in discussion.

Moderator: Thank you. Mr. Bhandari please rejoin the queue for more questions. Next question comes from the line of Deepak Poddar with Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much for the opportunity. Sir, just a few things I wanted to understand.

Sudipta Mukherjee : Could you please speak a bit louder, Mr. Poddar?

Deepak Poddar : Okay. So first thing just wanted to understan d, we have an order book of INR 7,600 crores odd. So how many wagons that equates to?

Sudipta Mukherjee : It's not about all wagons. If you see that we have around 11,000 -plus wagon orders. And we have also 11,500 -odd order for wagon orders. So that is -- that cumulates to this thing. And there

are -- in our electrical division we have more than INR2 ,000 crores order. So we have other businesses if you see that also as cumulative around INR400 crores, INR500 crores .

Deepak Poddar : Understood. So in terms of wagons, it 11,500 and plus the other...

Sudipta Mukherjee : 11,500 is the vehicle number as on date.

Deepak Poddar : Okay. Great. And sir, you mentioned that the wheel set problem is resolved as of now. So can you throw some light, I mean, what sort of volume improvement one can see because we saw a dip in this quarter on a quarter -on-quarter basis. So some volume indication or understanding on in fourth quarter, what we are targeting and for FY '26, it would be very helpful ?

Sudipta Mukherjee : Mr. Poddar, I cannot comment on -- I mean on a futuristic numbers or a statement, but I can only stand by to the plan which company shared already with the investors earlier a nd we have given a guideline that time. So -- and we are very much confident to be maintaining and working to improve upon. That's what I can say.

Deepak Poddar : Sir, can you just please reiterate the guideline? I mean, what sort of guideline we have given?

Sudipta Mukherjee : We cannot do that. You can find it in -- with our partner. I mean, can guide you on that.

Deepak Poddar: Fair enough. That’s very helpful. I think that’s it from my side. Thank you so much.

Moderator: Thank you. Next question is from the line of Akash with Dalal & Broacha . Please go ahead.

Akash: Thanks for the opportunity. Sir, my first question would be on the other expense. Why do we see such a spike in the other expense this quarter on a sequential basis?

Hemant Bhuwania : So Akash, yes, there has been a hike in other expense. There has been certain initiatives taken by management for the future growth and the prospect of the company with the results of which you will see in the coming quarters, because of which the expen se you see has gone up from INR27 crores to around INR 35.98 crores.

Akash: So I me

an, holistically, I just wanted to understand what sort of an EBITDA margin should we take for model ling purpose going forward as well, w ill -- are this quarter's margins in the 10%, 10.5% would be the range we'll be working at?

Hemant Bhuwania : So Akash , on the EBITDA side, we have what numbers we have reported. We won't be able to comment on the forward -looking statement, b ut yes certainly we can tell you that from here onwards there would be growth which you will be seeing in quarter -- coming quarters too.

Sudipta Mukherjee : This is our endeavor to keep on growing.

Hemant Bhuwania : And this is the endeavor of the company that we keep on growing and you would -- can see a continuous improvement from here onwards.

Aakash : Understood, sir. And sir, just one question on the wagon production side. So I mean do you expect that in FY '26, we'll be able to produce more wagons than what we have been doing in FY '25?

Sudipta Mukherjee : We are I think -- I mean, if you analyze the numbers and in the trajectory, I mean then you can -- I mean the answer you will get immediately. Of course, it is on an improvement basis. And that is the expectation and that's the endeavor.

Akash : Understood. Okay. I just want to understand the margin of improvement. Would it be double digit or how much growth we can see in FY '26? Just an estimate ?

Sudipta Mukherjee : You go by the gui dance, I would suggest again, Akash. So these numbers are never being discussed in such a manner. So we are showing growth or our -- you can see the results whatever we are working in. And we can only say that your management is working relentlessly to improve upon all the fundamentals.

Hemant Bhuwania : Yes, it has shown historical growth and we'll continue to do that.

Akash: Okay, sir. Thank you.

Moderator: Thank you. Next question comes from the line of Deepak Sharma, an Individual Investor. Please go ahead.

Deepak Sharma: Thank you for the opportunity sir and c ongratulation on the good numbers. Sir, just one question is in the previous calls you have given the guidance of 12% to 13% margin in the 1 and 1.5 years. So it's already two quarters are passed. So you are expecting that in FY '26, we can achieve 12% to 13% EBITDA margin?

Hemant Bhuwania : So Deepak just two points over here. We do not foresee that we had given any forward -looking statement of 12% to 13%. However, to answer to your question the numbers which you are seeing over here is a consolidated number of Infra -Green Energy, Bright Powe r and Freight Car division. So if you see only the results of Freight Car division we have an EBITDA of

INRINR11.85 crores that is almost 12% over.
Deepak Sharma: Okay. And one question from the budget side. In budget, the Indian government has given a flattish type of allocation to railways. So do you think that you will get enough orders in FY '26, because the budget numbers are flat?
Management: So, Deepak some technical glitch we do not know how. Apologies for that. You may please continue with your question.
Deepak Sharma: The question is suppose you are doing INR10 in revenue in H1 and consistently in the past calls you are saying that H2 will be much better than the H1 . That means we can expect the quarter 4 number will be at least at par or better than the Q3?
Sudipta Mukherjee : That's the endeavor.
Deepak Sharma: Sorry?

Sudipta Mukherjee : I said that's the endeavor. We have been doing it from the -- you can see that we are always trying to improve upon the past. So, that's the endeavor of the management to do better.
Deepak Sharma: Okay. My last question...
Sudipta Mukherjee : Negative impact, we don't foresee negative impacts for the coming quarter. So hopefully...
Deepak Sharma: Okay. My last q

uestion is, what are the opportunities and threat you are looking for the FY '26 from the railway perspective?
Sudipta Mukherjee : Opportunities, I mentioned, Deepak, that we feel that there will be -- along with the railway, railway will continue to have their procurement plan, whatever they have done for a longer term.
And we feel that in the coming year, they may come up with large r -- I mean, with a large number tender again. And -- but that is the expectatio n.
But because as per plan, so far, last 3, 4 years, things are moving. So it is due. So naturally, it has to come. We also feel that the private sector investment will grow in the infrastructure, various things like minerals, coal, iron ore and this food grain and container movement, perishable, auto. So these things will get a very good momentum in the coming year. So these are the opportunities.
Threat, of course, is perhaps is a kind of an unknown thing that what would be the global dynamics in terms of the geopolitical situation, we do not know. But India, I think, is on a right trajectory. And of course, we are bullish about it. And your compan y has a kind of a risk mitigation while we are into almost all continents where we are steadily increasing our supply and customer base. That also comes as an opportunity and also comes as a risk mitigation.
And third point of risk mitigation, I would like to say is that the movement in the Rail Infra and the Electrification sector, our order book is very steadily growing, because we are consciously moving into that. The profitability is very good in that also . And we really want to harness that and make a complete bouquet of very good performing verticals within the company.
Moderator: Thank you. Next question comes from the line of Abhijeet Singh with ICICI Securities.
Abhijeet Singh : Sir, my first question is on the flat number of wagons in the budget for FY '26. So -- and the reduction of the number of wagons for FY '22, the revised estimate versus the budget estimate.
So in the light of these changes that have happened in the budget, how do we look at the mindset of the Indi an Railways and the government?
Like going forward, the initial plan to shift a majority share of the freight loading to railways from road, is there a delay or is there a change in mindset at the government level that we see right now and that could hamper the order inflows going forwar d for us? That's my first question.
Sudipta Mukherjee : Yes. I said that, I couldn't understand the first part of the statement made, which was included in the question, that it was perhaps was mentioned that some allocation has gone down in freight wagon. Could you please repeat that part, because I'm no t privy to any such information? So I want to know from you first.

Abhijeet Singh : Sir, I'm saying that for FY '26 budget estimate, the wagon number has remained flat at about INR38,000. That is the budgeted number. So in that context, do we see a risk to our order inflow going forward? Or is there a structural change in mindset by the Indian Railways as to the initial plan of shifting the freight loading from railways to roads? So is there a change in mindset that you see happening here and there?
Sudipta Mukherjee : No, we do not see any such shift in the mindset at all, because it is not sustainable. In railway, we have to move more and more for better connectivity. I mean, lesser number of logistic cost.
And for carbon emission, targets and everything for the global requirement. And I mean, we don't find any shift at all.
And if you see, I think if my data is correct, I mean, rail freight is one of the major income of

the government and Indian Railway, which is on a steady growth trajectory. Last financial year
also, I think it was around INR 1.88 lakh crore s, which is also a significant growth. So I f

eel it
has to continue. And whatever figure you have said, INR38,000 or whatever, actually, if we
calculate the national rail plan, so it comes around INR38,000 to INR40,000 per annum only.
And with the boost of the private investment, so which is a very, very healthy and on track, very
good thing for us.
Abhijeet Singh : Right, sir, Sir, and second question would be on the exports. Sir, right now, with the change in
the US administration and the policies that we have seen of late, sir, what is the kind of risk that
we anticipate to our business of -- particularly of castin g that we export generally?
Sudipta Mukherjee : So see, we do not know what tariff regime and all of these have to come. But we know that US
railroad is due for -- overdue for renewals. And we expect a huge momentum and investment
has to happen for that country to be better off. And they do not have eno ugh resources or sources
to have these things procured. And considering the relationship and the trend we see in the
geopolitical issues, I do not want to name any other country. We have -- we are very -- I mean,
well poised, and that's why we are gearing up for better numbers to give it to them.
And one of the major reasons also in our belief -- one is the demand in the market. To answer
you straight, we feel it will be fair for India, and it will grow. And so far coming back to us in
our capability question, we are efficient. We are cost effectiv e globally. So -- at quality standard -
wise also, we are competing with everybody. So we find -- we don't find much threat in and
around it.
Abhijeet Singh : Sir, are we also looking at opportunities that we might be able to capture? Once, if there are
tariffs applied to some other countries, let's say, which are doing business with them already. So
let's say, some other product line or something that we could capture in this event. So are we
looking at... ?
Sudipta Mukherjee : Yes, it's a very good point you have mentioned. It's all about the transportation cost and the
tariffs. And your company is absolutely flexible, and we are known for our good relations with
various global partners across the world. And if you -- I would al so like to give you a hint on
certain important criteria in terms of our selling of castings that we are -- we have our presence
in Australia, and that part is also going up. And in the mining sector rather than railway, we have

foray ed into. And we are -- I mean, we feel that it's a significant growth engine, domestic as well
as export.
Moder ator: The next question comes from the line of Balasubramanian with Arihant Capital.
Balasubramanian : Sir, out of this 11,500 wagons, how much comes from private wagons?
Sudipta Mukherjee : So, the total number of private wagons in 9 months is 2,67 9 numbers. So, if the prices is 25%
approximately, and railway is 75% as on date.
Balasubramanian : Sir, currently, we are importing wheel sets from China. So what would be the price difference
between Indian wheel sets and Chinese whee l sets?
Sudipta Mukherjee : It is a varying cost and it is almost competitive.
Balasubramanian : So, sir, what is the current price for wheel sets, we are importing. How much is the realization?
Sudipta Mukherjee : Apple -to-apple, there are various types of wheels. Apple -to-apple, it is almost same.
Balasubramanian : Okay, sir. Is there any price range, sir, like importing the wheel sets prices currently? Earlier it
would be anywhere between INR2.3 lakh to INR2.7 lakh per wheel set. Is there any changes
right now?
Sudipta Mukherjee : I've not got your question.
Balasubramanian : Earlier, the wheel set price is anywhere between INR2.3 lakh to INR27 lakh per set. Is that in
the same range or is there any price increase happened?
Sudipta Mukherjee : So, I think, it has come down , because the supply is more than the deman

d in the market
presently.
Moder ator: Ladies and gentlemen, we have reached the end of our question -and-answer session. I would
now like to hand the conference over to the management for closing comments.
Indrajit Mookerjee : Thank you very much. And I'd like to -- personally, we like to thank all the investors or all those
who are interested in knowing about our company. I could only say that we are not going to
disappoint you. We are -- our team is working as our Managing Dir ector, Sudipta Mukherjee
has mentioned, relentlessly to improve the performance. And you must be also watching it and
seeing it from distance - from the numbers. They are showing an upward trend in all the numbers.
If we'd look at the problem that, there's only one problem that we had , is that, we had a flat
numbers between Q2 and Q3, and that was because of an absolutely difficult situation that we
passed through, which was not within our control, which we discussed a lot in the conversations
that it was due to unavailability of some v ery key components for making the freight cars.

So you would see us growing. You would see us getting the best of the opportunity. You would also see that our acquisition is very strategic. We are developing and moving into better designs

of wagons. We also are looking into the private segments, which also you will see there is a phenomenal change has taken place.

We used to be 10% of our order on private, which has gone up to 25%. And there is a number that -- it's not that we're going to do all private wagons, but I think, we have almost come to an optimum number , that is the best, because there are many other advantages also of doing the railway wagons. So the railway, we are very interested in doing railway wagons. It's not that we would like to do only private. I think, we have come to a very healthy mix.

You also will see us growing in the other areas. That's the reason we have decided to demerge the EPC business, which is the Infra -Rail & Green Energy business. And you would see also some -- our foray into the very careful s tep into the passenger mobility. As you have seen strategically, we are moving through component supplies, like the acquisition we have made to buy a European company called Saira, where we make the interior. So it's a very careful step we are trading through . We don't want to take too much risk, so that we are in a position where we can keep on delivering without blips.

So with these few words, I'd like to once again thank all of you to be with us, and we all need your good wishes for us to succeed. Thank you very much.

Moder ator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

22nd May, 2025
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Saturday , 17th May, 2025 at 11:30 a.m. (IST).
The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2025/05/ICICISec -TexmacoRail -May17 -2025.pdf .
We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
This is for your information and record.
Thanking you,
Yours faithfully,
For Texmaco Rail & Engineering Limited
Sandeep Kumar Sultania
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited Q4 FY '25
Earnings Conference Call"

May 17, 2025

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR AND VICE CHAIRMAN – TEXMACO RAIL & ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE – MANAGING DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. KISHOR KUMAR RAJGARIA – CHIEF FINANCIAL OFFICER– TEXMACO RAIL & ENGINEERING LIMITED
MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Texmaco Rail & Engineering Q4 FY '25 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participants ' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar. Thank you, and over to you, sir.
Mohit Kumar: Good morning. On behalf of ICICI Securities, we would like to welcome all of you. On Q4 FY '25 Earnings Call of Texmaco Engineering Limited.
Today, we have with us from the management, Mr. Indrajit Mookerjee – Executive Director and Vice Chairman; Mr. Sudipta Mukherjee – Managing Director ; and Mr. Kishor Kumar Rajgaria – Chief Financial Officer .
Without much ado, I would now hand over the call to the Management for the opening remarks , which will be followed by Q&A. Over to you, sir.
Indrajit Mookerjee: Thank you, Mohit. Good morning, everyone. This is Indrajit Mookerjee. I am the Executive Director and Vice Chairman of Texmaco Rail & Engineering Limited . I am extremely pleased to welcome you to the earning call for the 4th Quarter and also our full year results for the FY '25.
At the very beginning, I would like to express gratitude from all of us from Texmaco and our team to all our stakeholders for your continued support throughout the year. I trust that you have had the opportunity by this time to review our results and the earnings presentation filed with the stock exchange.
Just to take you through a very few pivotal points , I would like to say that you will be very happy to know that Texmaco delivered a sterling performance for the year FY2025 on a consolidated basis , a year which is marked by strategic transformation across the organization.
During this year , our revenue from operation was at Rs. 5,107 crore , which indicates a growth of 45.8% as compared to the same period last year. This was due to an increased volume while realizations remained stable.
EBITDA was Rs. 525 crores with a year -on-year increase of 57.6% and a margin of 10. 3% PBT for the year was Rs. 345 crores , which indicates a year -on-year growth of 112.5% , and the

margin was 6.7%. (inaudible) Return on equity was 8.4%, which jumped from last year 's 4.9%, while return on capital employed was 16.2%, which showed an increase from 13.6% last year.
The performance underscores Texmaco 's continued growth driven by operational efficiencies , our a ctions in our defined strategic path and of course a very strong market presence. I wouldn 't be wrong in saying that for the year of FY2025 , we were one of the top most manufacturers of wagons, Freight Car s in the country.
For the full year , the company delivered 10,612 Freight Car s, which is 51%, which shows a 51% jump from 7, 028 cars in last year. The foundry division sales were at 41,500 to ns, which of course almost were at the same level as last year.
During the quarter , Texmaco established two strategic global partnerships. I thought of mentioning this because this sets the direction for where we are going for future. The first was with Nevomo , which is a European firm focused on predictive diagnostics and high -speed rail. The second partnership is with Trinity Rail, a leading US -based rolling stock manufacturer and I won 't be wrong in saying that one of the top few manufacturers in the world, which is focused on expanding opportunities in rolling stock and component manufacturing across North America and other international markets.

These partnerships mark an important step in Texmaco 's drive to enhance its position as a technology -led rail solutions provider. Both of these opportunities give Texmaco access to international markets. You also know that we already have a very strong leasing company, which is operating very profitably. That 's a joint venture, of course, with Touax of France.
To further strengthen the Texmaco 's component system divisions, your company is setting up a Global Capability Center , GCC, in Farida bad. The GCC will enable us to broaden our services, service offerings for our private sector 's customers, and just not limited to them, maybe to Indian Railways also, and enhance its footprint in the international markets through delivery of customized engineering solutions.
It is also going to be boosting our leasing companies by providing advanced designs. With this initiative, Tex maco is positioning itself as a comprehensive solutions provider, expanding its capabilities beyond Freight Car manufacturing and reinforcing its commitment to value -added, innovation -led growth. The GCC will also have some more activities. We are setting up a global supply system group , which will operate from the same center of Faridabad for supply of our design and maybe patented components to E urope and the U.S.
The proposed merger of Texmaco West Rail Limited, which was erstwhile Jindal Rail Manufacturing Company and business transfer of Infra -Rail and Green are expected to unlock

value , enhance organizational focus and streamline business operations across key verticals. Management views these strategic initiatives as very important steps in further aligning the business structure with long -term objective.
In recognition of Texmaco 's improved financial metrics and operational performances , I am happy to inform you that CARE Ratings upgraded company 's long-term and short -term facilities to CARE A and CARE A-1 respectively. The upgrade reflects an enhanced credit profile and increased lender confidence in Texmaco .
The Union Budget of 2025 and 2026 maintained capital outlay for Indian Railways at Rs. 2.5 lakh crore , reaffirming continued public investment in infrastructure development. In addition, the USA is a focused market for us for development through our partners Wabtec and Trinity.
I just wanted to say that you all must be aware that Wabtec and us already have a very successful joint venture manufacturing company in India manufacturing frictional brake products, brake and other allied products for Freight Car s. Our value proposition for U.S. will go much beyond the volatility of tariff charges because of our bringing in uniqueness in our offerings.
In India , continued public investment in this rail infrastructure remains a key growth enabler.
The Government of India 's long -term goal to increase the railway share in the national logistics from 27% to 45% by 2030 presents significant opportunities for the rail manufacturers. As part of this expansion, approximately 1.5 lakh wagons are expected to be delivered in the next three to four years. With a consolidated annual production capacity of 15,000 wagons, Texmaco is ready to capture its fair share of t his demand and contribute to the sector 's development.
In addition, our sterling performances of our Electric Infra Company, which is the Bright Power Division , as well as our demerger of the Rail Infra to focus our attention to the Rail Infra business are going to unlock values for Texmaco.
With these few words, I want to thank you for your patience , and I would like to open it for question and answer. I have with me our very capable, energetic Managing Director, Mr. Sudipta Mukherjee . We also have our CFO, who has just stepped into this job a few months back, Mr. Kishor Kumar Rajgaria . And three of us put together, we will be

very happy to answer your
queries, whatever they may be. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nidhi Shah from ICICI Securities. Please proceed.
Nidhi Shah: Thank you so much for taking my question. So , my first question is, why is there a decline in wagon production? Has there been any problems with wheel supply? We believe that the wheel

supply has improved since they have allowed imports for wheel supplies . So, was there any issues like that that have led to low production ?
Sudipta Mukherjee: Thank you for asking the question. Good morning. This is Sudipta Mukherjee from Texmaco . So, you mean to say for the 4th Quarter or any specific quarter ?
Nidhi Shah: For this quarter.
Sudipta Mukherjee: Okay . So, I don 't think that wagon production should be considered in quarter -to-quarter basis because it 's not like the production doesn 't happen like this in the few 50s and few 100s. You have to take it in continuity because if you have also seen that our share of private wagon rakes have gone up . And I mean , today , the share is around 65 railways, 35 is the private and the export market, you know. So , there are some long lead wagons or the different type of designs , which may have different supply chains and may have different lead time to procure. So , it will not be worth to see or evaluate the company 's performance based on a particular month or a quarter 's wagon numbers . That's our take .
Nidhi Shah: My second question would be, is there a possibility that we can beat FY '25 production numbers going forward in FY '26? What will production look like for next year given that we are now having a higher share for private wagons?
Sudipta Mukherjee: Yes, so we are definitely the focus of the company is to keep this momentum of continuous growth and in all the years as Vice Chairman has mentioned in his opening remark, we can only assure you that your company is doing everything to have a significant growth in all the associations and all the businesses of the company and is also looking beyond. And the answer is a strong yes.
Nidhi Shah: So, the private wagons , how much was the order execution for FY '25 for private specifically out of the total freight division revenue?
Sudipta Mukherjee: On year basis it was 35% of 10,600. So, over and above, if you specifically ask, so it may be around 2,000 something.
Nidhi Shah: And sir, lastly I wanted to know, how do you see orders inflow for FY '26 given that there are no large tenders from Indian Railways that have been floated as of now? Are you expecting any of these tenders to be out in the next one or two quarters? What will the orders inflow look like for next year?

Sudipta Mukherjee: We feel that the railway , I mean, we feel it is very much in the fray that the orders will come. Because what makes us very secure and enthusiastic about the whole scheme of things is government 's clinical , the clinical execution of the plan. I mean , the way things are moving

today , nothing is on the knee jar. So , there is a forecast that the order has to come , and if you see that the first tender which came, the largest tender, the validity of this is up to middle of next year.

So, there is enough time for the government to come up with the tender. And we have a very, very confident take on this, that there has to be a huge uptake by the wagons and the momentum will go on. And m ore than this, the private sector will look very bullish. Because the GDP has to grow and you see the primary infrastructure investment part is huge. Okay.

Now during this pause period, government initiatives were never idl e. What is encouraging that in the infrastructure rather

government tried to multiply it, decongest it and the work is going on further to decongest it. So , there will be a larger capacity to accommodate more inflow of optimum cap able rolling stocks into the system.

Nidhi Shah: Thank you , sir. So , I will get back in the queue for further questions.

Moderator: The next question is from the line of Prateek Jain from Green Portfolio Private Limited. Please proceed.

Prateek Jain: Hello sir, good morning.

Indrajit Mookerjee: Yes, good morning. You are audible.

Prateek Jain: Sir, as you mentioned about that strategic agreement with Trinity Rail Group and Nevomo , can you please tell me what is the expected timeline for commercialization of these partnerships and also about GCC , can you please elaborate?

Indrajit Mookerjee: So, if we talk about Trinity , the thing is, as is being mentioned, that we are coming up as in a Global Capability Center . The global capability center will have specifically two wings. One is the research innovation part of it, where we will do the new type of designs related to Railway rolling stocks and components and many other things for not only for India but for the globe. So that process will continue and which is basically a kind of looking forward and coming up on a continuous basis optimum solutions for the customer and to increase our reach to the global market.

Second part of GCC is the aggregation. So , we want to play in the game of the global sourcing partner for Trinity and many other companies sitting out of India. So , you see there is a traction and their global focus to India as a global sourcing hub. So , this is what is I think first one of its initiative where we are starting the process tangibly and the commercialization of the whole process, the transaction level you can see in th is financial year itself.

Regarding Ne vomo, Ne vomo has two set of things again. They have the MagRail technology , which is a kind of high -speed technology for rolling stock, primarily for passenger rolling stock. And this ecosystem, I mean globally, this you can see in Japan, in U.S., in some part of it. It requires certain kind of adoption, so far the policy is concerned.

We believe that India is a huge prospect, has a huge prospect of having few such systems to come in, in parallel to the present movement of the high -speed trains which government is working upon. But this ecosystem gives you an opportunity to go into newer propulsion systems like linear propulsion and all.

So, this linear propulsion can be worked out further below into the freight solutions and it is completely eco -friendly so far if you bring the solutions . So, it can even have the potential to somewhere in a loop to eliminate a kind of or relook into the present locomotive system. And it saves a huge energy.

So, we are in a process that the first focus we are trying to give this linear propulsion, self - propelled rolling stock mostly into the various ports, mines, and where we have a merry -go- round system to implement this. And we are in discussions with a few national as well as global such entities. And we have few global opportunities which are in hand . Something is in very advanced stage.

But also we feel very bullish about the Indian ports and mines because this system can increase the efficiency of handling of material to 20 % to 35% for better cargo handling. So , this is what we have started meeting people, talking people. And we are hopeful something will be starting very soon , perhaps within this financial year itself, with a pilot.

Prateek Jain: One more question. I want to know that increasing PPE of Rs. 450 crores, that is very large as compared to last financial year. Can you brief me about that? Is it because of the new found ry

plant or anything else?
Indrajit Mookerjee: Prateek ji, I am sorry. The first pa

rt of your question we could not hear properly. Would you
mind to repeat, please?
Prateek Jain: I want to know about that increase in P PE of around Rs. 450 crores. That is very significant if we compare it to last financial year. So , it is very big number, Rs. 450 crores. Can you brief about that? Is it because of that new foundry plant or anything else?
Indrajit Mookerjee: I am sorry, still we have not got your answer. What do you say as Rs. 450 crores?
Prateek Jain: PPE. Property , plant and equipment.

Sudipta Mukherjee: Yes, Mr. Prateek , this is basically because we have acquired the Texmaco West during the year.
Indrajit Mookerjee: So, it's about the Jindal Rail acquisition .
Sudipta Mukherjee: Yes, so previous year that figures were without Texmaco West. In the c urrent year , the Texmaco West PPE is included .
Indrajit Mookerjee: Sorry for forcing you to repeat because there was some voice mismatch in between.
Moderator: The next question is from the line of Akash Vora from Dalal and Broacha . Please proceed.
Indrajit Mookerjee: Mr. Vora, welcome.
Akash Vora: So, sir, my question is mainly on the margin spend , sir. Margins this quarter also has been a disappointment in spite of the private sector value is going higher up in our order book mix , as well as we being able to execute a higher number of wagons as well this quarter. In spite of that, our margins are mid-single digit. Ideally, all the other players in the industry are doing double digits, around 11 %, 12%, 13%. So, I mean, why are we struggling so much on that front, I mean?
Kishor Kumar Rajgaria: Yes, Mr. Akash, basically I think you are looking for Quarter 4 consol results. But if you see in Quarter 4 consol results , there are some elimination of dividends, interest received from Group subsidiary companies. So , that is why Quarter 4, this income of the Group subsidiary companies were spread ed over the quarters. But the dividend received in Quarter 4 , so this was neutralized . Otherwise , margin okay , there were some provisions done in Quarter 4. So that has impacted slightly .
Indrajit Mookerjee: The operating margin you were asking . Did we answer your question?
Akash Vora: Yes, I mean, thanks for the answer. But I still fail to understand why we aren 't able to compare with other peers, like Jupiter, Titagarh , who have consistently been clocking around double -digit margins for so many quarters now.
Sudipta Mukherjee: We have a double -digit margin only and it 's continuously on the upward trend and on the operating level we are no less.
Indrajit Mookerjee: See, our margin for the year 2024 -25 has been 10.3%. So , that is as Sudipta has said, it is up from 9.5% to 10.3% , which is last year 9.5% to 10.3%. So , we are on the upward trend. Q4 may give some an omalies because certain adjustments are done. So , the adjustments which Mr. Rajgari a has just now explained. So , I would request that look at the full year , which is showing an improvement.
Kishor Kumar Rajgaria: Over the last year.

Indrajit Mookerjee: Over the last year. This is, I think, in spite of the fact that our infra business did not make much profit. Actually, infra segment.
Kishor Kumar Rajgaria: Yes, it's similar to last year.
Indrajit Mookerjee: Last year. So , infra segment, so if you discount for that, then it will even further go up.
Sudipta Mukherjee: So, it is a kind of a composition of the businesses and while you are right that it looks like that it is lower , but the initiatives and decisions which is being taken by the management even to demerge the infra and the growth and the progress we are making operationally , so you will see much , much better in the coming days , going forward.
Moderator: It seems like the

participant 's line has got disconnected.
Akash Vora: No, no, thanks for the answer. That was my only question.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group . Please proceed.
Parvez Qazi: Hi, good morning , and thanks for taking my question. So , couple of questions from my side, I mean , taking out from the previous participant , when you look at Q4 results, we have seen an improvement in margins for the infra rail and green energy division, which I think at least till last quarter was making a certain losses. But simultaneously, as Kishorji mentioned, we have some reduction in profitability in the Freight Car division, maybe because of some one -off expenses.

So, my questions are one, what would have been the quantum of these one -off expenses or provision that we did in Q4 in the Freight Car division? And second, as far as the Infra Rail and Green Energy division is concerned, how do we see execution and profitability in FY '26?

Kishor Kumar Rajgaria: So, we have some one -time expenses , one-off expenses of about Rs. 20 crores to Rs. 25 crores , which includes provisions and some study we have done for the future . And relating to inf ra rail and energy division , our MD will take up.

Sudipta Mukherjee: So, Parvez , good morning. So, I mean the provision was primarily, see, we decided that there were certain slow -moving debtors and we decided that we have earned a good profit. So , while we are fighting and contesting the issues of LD, but being a safer si de and being upright, we have just made a provision in our balance sheet for that. And it was done, of course, mostly in the 4th Quarter , so it looks like that. That is one part of it.

Regarding ra il infra, if you see that when we have seriously taken up to dem erge, as you have pointed out, the losses have gone down , and we can only say that you will see significant improvement because it is difficult for me to give you forward -looking guidance at this point of

time. But this was the whole purpose that we have a very focused approach to revive that when we have huge positive traction so far the orders progress in the market and the government push to improve the infrastructure.

And you will find us not in the conventional EPC side . You will find us in the niche rail infra, and system and solution side, including signaling in the coming days more, domestic as well as into some very few prestigious international projects. So , this I can say this much, so I am saying you this much. Balance I think that, I mean , we will not desert any.

Parvez Qazi: Couple of more questions. One, of the total 10,600 wagons that we dispatched in FY '25, how much would have been produced in Jindal Rail? And second, I mean , about the wheel set availability issue, is that all sorted now or are there still some issues in terms of delivery by the Railways ?

Sudipta Mukherjee: So, Indian Rail ways was 65% of the total delivery and if you talk about the wheel set thing, if you know that RWF we used to get from and from private, historically we used to have certain inputs as well as sometime RWF also used to give . So, there is a huge push by the government to improve the production, I mean, indigenously within the country. So, there was a mismatch in the time for the project execution perhaps. So, that 's why there was a kind of uncertainty in between.

I will not say it has gone completely, and it has become good, no. The first quarter may look , I mean, it may remain for another few days. Although I am very happy to make a point that since last one week, the RWS supplies have significantly improved for everybody. And if this momentum goes on, then within a month or so, things should be of different shape, so far the wheel sets are concerned.

Regarding meeting the other crises of the private w

agon and all, there is enough wheels in the market . There is no shortage. But the problem is that, of course, these geopolitical issues and all of these are not within our control, the war situation and all. There had been a disruption in between , but things are getting normalized .

Moderator: The next question is from the line of Disha, an individual investor. Please proceed.

Disha: So sir, you mentioned about the two global strategic partnerships that you are doing with GCC. So, both ways you are expanding your market share in Europe and North America. So , how do we see exports ramping ahead? How much percentage of revenue do you expect exports to take up in the future, sir?

Sudipta Mukherjee: We would like to tell you that all the verticals of Texmaco, we want to follow a process that around , I mean , a significant percentage of the work depending upon on a case to case basis ,

25% threshold or 20% threshold maximum should be of our export market starting from a percentage of around say , 2% to 5% .

So, why this is a wide range? Because if I have to bifurcate today in our project, maybe it will be rail infra or all of these , it may be the things may be miniscule, but in our Rolling Stock and Casting division, the numbers would be much , much higher because they are already established. But as a matter of policy, we want to focus that all our verticals should have global excellence. And you know that in Texmaco, we have this proximity and world class joint ventures and customers , and we have the required certifications around for European market, U.S. market. So, we are very hopeful for significant growth.

Overall , if I have to say that of the main business today , suppose the core business that is rolling

stock and casting , which we call as a FCD division and the component division , so we have
achieved a ratio of 65 -35. And ideally in the near future, in the immediate future, we want to
make this ratio to at least 60 -30. And you may see a better traction, of course, in the way forward.
I mean, this is what is the immediate kind of thin g we are looking forward and working for 60.
Disha: Yes, and so given all the initiatives that we have taken, a 35 % to 40% CAGR is something what
we can assume for the next 2 to 3 years going a head ?
Sudipta Mukherjee: I am sorry, I was also speaking, I couldn 't hear you . Could you please repeat?
Disha: Yes, so I was saying with all the initiatives, can we assume like a 35 % to 40% CAGR for 2 to 3
years going a head ?
Sudipta Mukherjee: 40%, this 40% will be a combination of the, we believe, private market and export market. And
we feel it is possible to be done.
Disha: I am sorry sir, I couldn 't hear you. Could you please repeat?
Sudipta Mukherjee: Combining domestic, private and export, we feel 40% in the FC D division is possible to be
achieved.
Moderator: The next question is from the line of Mahesh Patil from ICICI Securities. Please proceed.
Mahesh Patil: Sir, my first question is in the opening commentary , you mentioned that the demerger of the
infra segment was on the cards again. Could you please help us with the timeline that you are
eyeing for that?

Kishor Kumar Rajgaria: Yes, we are currently filed the scheme with the Stock Exchanges . We got some queries which
we have replied. We are working with the NOCs , and we are expecting final approval in January
26.
Mahesh Patil: January '26, okay, sir. Sir, my second question is on the Jinda l Rail. Could you please give us
the revenue , EBITDA and PAT for Jindal Rail for FY '25?
Kishor Kumar Rajgaria: Yes, Jindal Rail turnover was more than Rs. 900 crores , and the PBT was about more than Rs.
125 crores.
Mahesh Patil: And sir, what are we doing? Any plans in terms of unlocking

the full potential here?
Indrajit Mookerjee : So you see that this again is like a unit of Texmaco. So all the manufacturing units are , of course ,
we are unlocking further potential s and the kind of , we have supposed today 3 manufacturing
units for rolling st ock a nd which combines, we feel that without much CAPEX reaching around
15,000 mark is not a problem. But more than the vehicle units , as I was pointing out in the initial
reply to one of our investor s that we are more concerned about enrichment of the types of product
which we make, which brings u s more value , the reach to customers because when we talk about
more exports, more private, it calls for more innovation and more qualitative output. So in that
way, intrinsically , internally as well as externally, we have a clear focus and a process which is
ongoing within the company for all the manufacturing units to reach that excellence and it is not
limited to the manufacturing units only, it is expanded to all the SBU and the management and
all the people as a whole.
Mahesh Patil : Sir, yes. Thank you . And my next question is on the components. So could you help us with the
components revenues in FY '25 and which segment does this get booked in? And a follow up
question, how do you think this will ramp up over the next few years?
Indrajit Mookerjee : We have two kind of components . We may have , I don 't know whether the bifurcations are
there. We have casting components; we have fabricated machine components. So as you know
that the Railway has, fabricated bogies also, casting bo gies also, so Kishor will give you the
figures now and then I will tell you how it is going to.
Kishor Kumar Rajgaria : Our foundry c asting revenue is about Rs. 750 crore plus and for other small hi -tech components
is more than Rs. 50 crores.
Indrajit Mookerjee : Now in the way forward.
Mahesh Patil : Sorry, sir, just one clarification , in which segment does this get booked in, sir?

Indrajit Mookerjee : Freight Car division. Now with regard to way forward , we have mentioned that we feel there is
a significant opportunity of growth of export to US and Europe and newer markets which we are
working and that is how one of the points we have mentioned that under GCC , we have a division
called GSS which the job is aggregation and act as a global sourcing agent from India. And that
is how we are trying to unleash newer markets, and we have a significant forecast of growth in
this. That is what we would like to say rather than, and I can 't give you clear guidance of the
figure, but I can assure you and commit we will se e significant growth within this financial year.
Mahesh Patil : Sure, sir. Thank you. Sir, my last question is on the Odisha foundry, if you can help us with the
progress and how much production of the foundry is expected to be captive?

Indrajit Mookerjee : As on date, we are more focusing on the unleashing of the present excellence, s o that was taken up. It is there , of course , in the very preparatory stage and if you see that this year we are going to produce at least more than 50,000 metric tons from our present capacity itself . So we want to be efficient in terms of our investment and sale. So the answer is that this focus is there more and what is and how that will be expedited . That is the call which we will be taking in the coming days.
Mahesh Patil : Thank you so much.
Moderator : Thank you. The next question is from the line of Sandeep Mukherjee from SKP Securities Limited. Please proceed.
Sandeep Mukherjee : Sir, thanks for taking my question . Sir, what is the reason for the receivable increase , trade receivable increase?
Kishor Kumar Rajgaria : Yes, there are two reason . One is this consol accounts are included which were not there last year. Second reason was , we got some imported wheel set at t

he last week of March, there was substantial sales to Indian Railway and private party, so because of that, debtors were higher for the March ending.
Sandeep Mukherjee : Sir, got it. My next question is, sir, what is the outlook for CAPEX for FY '26?
Kishor Kumar Rajgaria : Yes, we will be mainly focusing on improving the infrastructure. So our CAPEX will be like the last year only.
Sandeep Mukherjee : Thank you, sir. Can you help me with some book keep ing numbers of Hi-tech, Kalindee and Bright Power separately sir, the closing order book and the revenues and EBITDA?

Kishor Kumar Rajgaria : Yes, revenues are, I think it is mentioned there . Segment revenue s, you can get the details. Ye s, if you see 31st March '25 , the Freight Car was Rs. 4,300; Infra - Rail and G reen energy Rs. 438 and Infra - Electrical that is Bright Power Rs. 368 crores.
Sandeep Mukherjee : Can you help me with the EBITDA margin, sir, the PBT?
Kishor Kumar Rajgaria : PBT margin.
Sandeep Mukherjee : EBITDA is 16% for the Bright P ower.
Kishor Kumar Rajgaria : EBITDA is 16% for the Bright Power.
Sandeep Mukherjee : Yes, r ight. Well, that is the question. So Bright Power revenue was how much ? Rs. 400 something ?
Kishor Kumar Rajgaria : Rs. 368 crores .
Sandeep Mukherjee : So that is Rs. 3 68 crores, 16% EBITDA margin and the profit before tax and segment results have already given .
Kishor Kumar Rajgaria : Profit before interest and tax was Rs. 44 crores .
Sandeep Mukherjee : So which is more than 10% , is that r ight?
Kishor Kumar Rajgaria : Yes.
Sandeep Mukherjee : And what will be the closing order book for all the three ?
Kishor Kumar Rajgaria : Bright Power book is about Rs. 1,900 crores.
Sandeep Mukherjee : So how much is Bright Power ?
Indrajit Mookerjee : Rs. 1,600 crores.
Sandeep Mukherjee : Yes, sir. Thank you very much, sir.
Moderator : Thank you. The next question is from the line of Deepak Sharma , an Individual Investor. Please proceed.
Deepak Sharma : Hi, thanks for the opportunity , Dada. My one of the question s is what is the CAGR rate of freight market from the private and government sector both?

Indrajit Mookerjee : What is your question?
Deepak Sharma : What is the CAGR rate of freight market from the private and government sector both?
Sudipta Mukherjee : CAGR r ate for private and government . I think it will be a difficult question to answer, sir because there are certain fluctuations that is coming up. So we don 't know how it is going to emerge for the coming years , the CAGR rate . So if we have to make any comment, if we have to look at any numbers, those numbers may not be correct. So it is an unverified numbers because currently as you see that the orders are not yet come and likely to come. So there are certain elements of speculation in this for the fut ure. So this is the reason why we are giving a very roundabout answer, but obviously there is going to be growth.
Indrajit Mookerjee : The indication what we got to study is it was a little less than a 6% , what we knew, but to be specific in and around this is difficult.
Sudipta Mukherjee : 6% is pretty good because it is in line with GDP growth, ye s. But engineering, it may be a little lower than the engineering index, but this is a speculation.

Indrajit Mookerjee : This is the thing sometime some there are people who do give prepare this and sense in the domain where we get it. So on average , this was for the, I think freight rolling stock around.
Management : And we are sorry that we can 't give a specific answer to this, but as Mr. Mukherjee Sudipta says that it is going to be in line with the GDP growth.
Deepak Sharma : Another question is which one is hiring a higher EBITDA margin, private sector or government sector?
Kisho

r Kumar Rajgaria : Yes, obviously it is the private sector where margin is higher. But we have to have a combination because in the private sector your receivable takes some time.
Indrajit Mookerjee : So margin is higher in private sector where you have the kind because the input comes right from design to delivery . So there is an opportunity for you to work in the value chain. It is not a commodity product, then the margin is better.
Deepak Sharma : And my 2 requests from the management that please upload the PPT Investor presentation 30 - 40 minutes before bec ause we have to figure out some, because you know what I am trying to talk to you . Now, the second request is please give, can you please give any investor relation department contact details because I have contacted so many times . I this if I am not wrong 5-7 times , I have contacted with the IR partner, but I have to get any relevant answer from them. So please.
Kishor Kumar Rajgaria : You can call me.

Sudipta Mukherjee : Our Press Release makes it very clear. We have an Investor Relations company whose numbers are given . Also one can contact our CFO, Mr. Kishor Raj garia at kishor.raj garia@texma co.in and we ensure that we will be answering. His e-mail ID is kishor .rajgaria@texmaco. in and we are assuring that within 7 days you get answers from us .
Deepak Sharma : Thank you. Thank you, team .
Indrajit Mookerjee : And we also have our Investor Relations. You can also go through them. An vita Raghuram is our Investor Relations lady, and her numbers is already there in the Press Release.
Deepak Sharma : Sure. Thank you.
Moderator : Thank you. The next question is from the line of Devar sh Shah from Sunidhi Securities . Please proceed. Hello, Mr. Devar sh, I request you to unmute your line and then speak.
Devarsh Shah : Yes, sir. I had a question regarding the other expense. So if we see in Q3 and Q4, then the other expense has been spiked like it has grown around 50%. So what is the reason behind that?
Sudipta Mukherjee : Yes. Mr. Deva rsh, we mentioned now we have done some one -off provisions during the quarter 4 and some one-off expenses were there.
Devarsh Shah : And the second question is like we have faced the wheel set supply issue in past also. So if we see then the peers of your company are entering into wheel set manufacturing space , so is the company evaluating in -house production or any strategic partnership in this area ?
Indrajit Mookerjee : We are exploring various things, so the answer would be roundabout one. We are exploring various things including of course this also. But a mere crisis of certain things, like wheels on a particular moment, as an example, I am telling you, doesn 't make it a lucrative opportunity for a business proposition. So we have to look at and I can assure you that Texmaco, what we will be doing, which we will be very clear that we will not do anything on a knee -jerk and which could have a sustaina ble sense of business with reasonable profit, we will only enter into that business and there are many within Railways and even beyond Railways. Your company is looking forward to and very soon you will g et to know many things out of it.
Devarsh Shah : Understood, sir. And the third question is like, are we entering into the passenger rolling s tock like our Saira Asia partnership? So have you got any orders with respect to interior works of the passenger trains?
Indrajit Mookerjee : We are happy to let you know that since we had control of the company in the last 5 months, 6 months ' time, we could secure Rs. 23 crores of order and the majority of this is related to Vande

Bharat. And as I have mentioned you, I am assuring you that in all the verticals of Texmaco you will very soon, perhaps y

ou will also see S aira exporting products out of India.
Devarsh Shah : And with regarding to Te xmaco N ymwag facility, so it is going to be operational by FY '26, right? So what will be the incremental wagons manufacturing like what would be t he numbers of incremental wagons ?
Indrajit Mookerjee : Again, it will depend on the type of product . We want to make it a kind of a boutique and very premium sort of facility . And again, we have planned for multiple geographies. So I think if we

are thinking only in terms of vehicle number, again we are restricting ourselves from the opportunity of having a beautiful business case , but if you have to only s ee on a vehicle number because, just on a very lighter note I am telling , suppose one car manufacturer makes multiple types of car. So co mbining everything, of course we have to come to a mean you know , so if I have to say the mean, it will be around 2000.

Devarsh Shah : Understood, sir. And the last question is , like currently , we heard the news like the Cabinet approved around Rs. 18,600 odd crores of Railway multi -tracking project. So when can we expect the tender coming through the Indian Railways and can our companies EPC or electrical segment capitalize over these developments coming in future ?

Indrajit Mookerjee : The answer is yes, and it is not future. It is present and past , immediate past also. We are continuously getting lucrative orders. And as I have pointed out that in Rail Infra, our focus is the niche area s of the infrastructure of Ballastless track and with Ballast tra ck also, but more signaling integration, auto fare collection and on the technology part of it . And some more system and solution in and around safety is going to be added v ery soon in line with the government 's push towar ds safety and we believe we will soon become a very big, significant player in to the old domain . And so far, Bright Power is concerned , yes, we are getting continuous orders, and you can see that the order book has been more than doubled in last one year. And also to let you know that while we are growing in all these segments, we are also consciously de-risking our business es and that is how the percentages or proportion of the customer bases are carefully worked upon . In Bright Power also, while we have increased our dominance in railways, we have gone beyond railways and we have gone into the state electricity level also , in the city also which are very good orders, and we will continue to keep this momentum.

Devarsh Shah : Thank you for the opportunity, sir.

Moderator : Thank you. The next question is from the line of Amit Kumar, an Individual Investor. Please proceed.

Amit Kumar : Thank you for the opportunity, sir. Congrats on the good set of numbers . Sir, my first question is could you please provide the bid pipeline and expected order inflows in the next 2 years?

Indrajit Mookerjee : So figure is very difficult to say. What I can say to you that today in Indian Railway, we have a stake around 23% so for the Indian Railway orders are concerned. And if we combine with, if we talk about the private share, it is around 30 %-35%, so we have a plan, of course, to improve upon it on the percentage of share in both these markets while maintaining our internal ratios in that. And we have a kind of a thought process that in the coming 3-4 years, another 1 .5 lakh of wagons should be inducted in this. I think one can walk out from this, but it is very difficult for me to tell this much we will get because it happens in a tendering process .

Amit Kumar : And sir, m y second question is , I was studying the company , in past 5 financial years , I can see the Rs. 1,100 crores of EBITDA. But if I study the cash flow , in past 5 years, we have generated only Rs. 20 crores of EBITDA. And in FY ‘23, there was a negative cas

h flow under cover

approximately , this year also, there is a minus Rs. 47 crores of cash flow , so Rs. 1,100 crores of EBITDA and Rs. 20 crores of cash flow. So there is a huge miss, I cannot connect the dots , so why we are struggling to generate the ca sh despite of having a very great amount of EBITDA ?

Indrajit Mookerjee : Your question to us ?

Amit Kumar : Should I repeat my question?

Indrajit Mookerjee : No.

Management : Can you repeat it once?

Amit Kumar : Yes. So in the past 5 financial years , our cumulative EBITDA is approximately Rs. 1,100 crores and cash flow from operations for the past 5 years, cumulative, is near Rs. 20 crores . So I am unable to understand why you are struggling to generate cash flow from operations .

Indrajit Mookerjee : See, it is very difficult for me because, thanks for working out in this way. I do not have all.

Indrajit Mookerjee : Have you checked what is the increase ?

Indrajit Mookerjee : See, 5 years back we were doing something like about 3 000-4000 wagons. Today , we have done 10,000 wagons. So obviously we , I am just not trying to so rt of bring in an excuse, it is a very good question , we definitely will give you the proper answer, but I am just giving certain broad factors that our w agon production has gone up by 3x or 3.5x. So obviously , 3,000-10,000 there must have been absorption in the working capital . So I am not giving you an excuse or flimsy explanations. We will look into the actual number because it is a very good question. Then we also had substantial capital investment that we have made. We had also high leverages on the debts. So we paid back a lot of debts. So all these things we have to take into account. It is a very interesting question that why the internal cash flow generation has not been in line with the EBITDA and also along with it, we also have to give you , we have to look at a projection is that

is it the same trend going to continue for future or not? I don 't think so. I think we are over a pretty bad patch which we happen because of bad market situation , you know it and now we are we are in the upswing. So maybe it got absorbed because of that reason. But I am not giving you an answer. Really, it is a good question. We will prepare the answer.
Amit Kumar: Thank you. And my last question is, last year we had the fixed assets of Rs. 460 crores, this year we have fixed this of Rs. 1,000 crores . So our asset turn has declined. Last year , our asset turn was 8 , this year o ur asset turn is 5. So can we expect our turnover to increase substantially this year so that our asset turnover is approximately 6 -7 sort of kind of thing? So what can be o ur revenue guidance or top line guidance for FY '26-27, if you can give some idea so that our ass et turn can be m uch better or at least in line with the last Financial Year?
Kishor Kumar Rajgaria : Yes. Regarding the increase in fixed assets, it is mainly because of our acquisition of Texmaco West. So last year , Texmac o West was not there and this year we have added T exmaco West. So that is why our fixed asset has increased from , PPE increased from Rs. 428-Rs. 883 crores.
Indrajit Mookerjee: But it will keep on increasing, sir, because what will happen is normally when we make an inorganic acquisition, you pay certain times of multiplier, and the multiplier effect starts coming up only as time passes. But here, I must assure you that the Jindal had been an extremely good from the acquisition multiplier point of view. So answering your question , yes, the asset transformation into the o utput will start going up. It will steeply go up actually in course of time if we can do wha t we are planning to do.
Amit Kumar: So to the previous participant, you told there would be 40% growth in topline. So can I assume that there will be 40% growth in the topl

ine in FY '26?
Indrajit Mookerjee : What will happen in terms of giving you the number of what the growth will not be correct for me because after all there are certain regulations on this territory , you understand much better than me, so I think it will be , I will have to beg your pardon in this respect, but I can generally say that we are looking at good year, even the current one and the asset turnover issue will go up and it may touch back to almost the same number. What exactly the number is , we can 't give you right now, because it is dependent on future projections, but it will start steeply going up because this is all because of the multiplier effect , the EBITDA multiplier effect on the acquisition.
Amit Kumar: Thank you very much. All the very best.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Indrajit Mookerjee: I would like to once again thank all our esteemed investors and our friends for asking questions and showing interest in the company and what I mostly like is that some of the questions are so in depth, which means that you even studied better than us , what we have done on our balance sheet. So for which there are some questions that came in where we were , it was so good to ask such an incisive question. Also, I would like to thank because you all are asking question gives us more inspir ation to do well and also points out where some of the weak areas where we need to work. So we will do that . Before I conclude , I would like to say that in some cases we may not be able to answer your questions directly to the point and you understand some of these are because of regulatory reason. It is not that we want to avoid some questions, we want to be very transparent in telling you , no problem in answering past questions. Some of the future looking questions , I think we have to be little careful. S o I am sure you understand the market better than us and you would excuse us for not giving a direct answer . Once again, thank you very much for your time and for your questions. So Mohit, can I hand it over to you.
Mohit Kumar: Yes. Hello.
Indrajit Mookerjee: Yes, Mohit, I am handing over to you. I want to thank you also for organizing this investors ' call. I now hand it over to you, we can conclude.
Mohit Kumar: Yes. Thank you everyone for attending the call and that is it from our side. Thank you.
Indrajit Mookerjee: Thank you. Thanks to I-Sec also.
Mohit Kumar: Yes, Thank you. Moderator, p lease close the call.
Moderator: Sure. On behalf of ICI CI Securities Limited, that concludes this conference. Thank you for joining us and yo u may now disconnect your lines.
Notes: 1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference

Call: Aug 2025

19th August , 2025
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326
Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Thurs day, 14th August , 2025 at 11:00 a.m. (IST).
The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2025/08/ICICISec -TexmacoRail -Aug14 -2025.pdf .
We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.
This is for your information and record.
Thanking you,
Yours faithfully,
For Texmaco Rail & Engineering Limited
Sandeep Kumar Sultania
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q1 FY '2 6 Earnings Conference Call "
August 14, 202 5

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR AND VICE CHAIRMAN – TEXMACO RAIL & ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR – TEXMACO RAIL & ENGINEERING LIMITED
MR. KISHOR KUMAR RAJGARIA – CHIEF FINANCIAL OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Texmaco Rail & Engineering Limited Q1 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar, then zero on your touchtone phone. Please note that this conference is now being re corded.
I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.
Mohit Kumar: Yes. Good morning. Thank you. Good morning. On behalf of ICICI Securities, we welcome you all to the Q1 FY '26 Earnings Call of Texmaco Rail & Engineering Limited. Today, we have with us from the management, Mr. Indrajit Mookerjee Executive Director and Vice Chairman;

Mr. Sudipta Mukherjee , Managing Director; and Mr. Kishor Kumar Rajgaria , Chief Financial Officer.

Without much delay, I'll now hand over the call to the management for opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Indrajit Mookerjee: Thank you, Mohit. This is Indrajit Moo kerjee. Good morning, everyone. I'm extremely pleased to welcome you to our earnings calls for the quarter 1 FY '26. I trust that by this time, you had the opportunity to review our results and earnings presentations filed with the Stock Exchange .

I would like to make a few small comment to create the platform and then like to talk less and allow the interested investors to ask us questions.

So my brief includes that we would like to say that during the Q1 FY '26, we reported a revenue from operations of INR911 crores with an EBITDA of INR79 crores, reflecting a margin of 8.7%. And profit after tax has been INR29 crores, which has a margin of 3.2% of the revenue.

As of 30th June 2025, our order book stands at INR7,053 crores, providing a strong visibility for execution in the upcoming quarters. The other positive part is that this order book has combinations of prospects from various quarters and not only heavily tilted towards one business domain.

The decline in revenue was primarily due to the short supply of wagon wheel sets from Indian Railways, which has been incidentally a sector -wide issue and most of you may be aware that the shortage of the same and also restrictions on imports. However, wit h the situation is different now. I think we have gone over the crisis. And with the improvement of supply, we expect revenues to normalize in future.

Additionally, our Texmaco West, which was an acquired company, experienced also a temporary revenue dip in the last quarter because of certain holdup inspections by RDSO. I happy to say that we are also over that right now. So we are in full steam.

Texmaco delivered 1,815 freight cars during the quarter under review, which is Q1 FY '26 with the Foundry division achieving sales volume of 8,667 metric tons, supporting the production of

rolling stock. Despite challenges like wheels disruptions, the quarter saw very strong order inflows from both India and international markets, further reinforcing our position in the freight rolling stock sector.

The expansion of India's rail infrastructure and logistics modernization continues to be supported by substantial public investment with projects such as multi -tracking, high -density corridor expansions and the development of Gati shakti cargo terminals dr iving freight capacity growth. These developments offer a very promising outlook for logistics and rail services.

In line with these opportunities, Texmaco have strengthened its relationship with Indian Railways, securing multiple orders for and thus

demonstrating the company's commitment to --
for support of the Indian Railways infrastructure growth.

Incidentally, this also falls in line with the railway plan, which we say the budget that they had for the current year, where there has been large allocations of fund for the infrastructure development and will follow in line with our business opportuniti es fall in line with the same.

Additionally, significant orders for the manufacturing and supply of wagons reinforced our leadership in the freight rolling stock industry. This is a repeated achievement of ours to be the leader in supply of wagon -- numbe r of wagons to the country.

The sustained capital expenditure by Indian Railways in traction, freight and maintenance infrastructure further reinforces our demand. On the international front, Texmaco continued to expand. We have secured a major 20 -years maintenance contract in Africa for the manufacture and supply of wagons, along with traction -related orders in the Middle East.

These contracts are expected to enhance Texmaco's presence in the international markets, aligning with its broader strategy for global expansion. Our newly formed global capability center in Delhi, near Delhi also have been helping us in this cause for dev elop -- towards development of wagons, new wagons, efficient wagons.

Texmaco signed an Mo U with Rail Vikas Nigam Limited, RVNL, which is expected to enhance the company's capabilities in manufacturing, infrastructure and technology -driven projects. This has been a major boost to us -- to our future aspirations. These types of contracts can be us strategic partnerships to expand our international footprint also with specific focus on Africa, Australia and the Middle East market and strengthen our presence across the freight rolling stock value chain.

Furthermore, in recognition of our strong financial performance and stable growth trajectory in the past, CARE, the rating company have upgraded our long -term bank facilities rating to CARE A, which is a stable rating and reaffirmed our short -term rating a t CARE A1. These upgrades reflect the market's confide nce in our financial stability.

Overall, Texaco is committed to delivering integrated system services and solutions with a strong safety orientation, blending innovation with operations excellence to meet and exceed global standards. As we continue to leverage our operational strength, s trategic investments and global partnerships, we are well positioned to capture growth opportunities in both Indian and international markets.

So dear friends, I would like to conclude by saying that we look forward to a challenging as well as happy growth situations to continue barring the small aberrations. Having said that, I would like to conclude and thank you for your patient hearing. Mohit, w e are open to questions.

Moderator: The first question is from the line of Abhinav from ICICI Securities. As there is no response, I'm taking the next question from the line of Maitri Shah from Sapphire Capital. I think there is some technical issue. Just give me a moment. Sir, could you hear the participant?

Indrajit Mookerjee: No, we can only hear you.

Moderator: Okay. I am reporting their names, but they are not saying anything. I don't know what's wrong. Just give me a minute. -- the next question is from the line of Abhinav from ICICI Securities.

Abhinav : My first question is the decline in wagons was on account of shortage in supply from the supply from the Indian Railways. As you mentioned, that has been normalized now. So can you help us in terms of guidance for FY '26? Can it surpass the FY '25 levels?

Sudipta Mukherjee: This is Sudipta Mukherjee. So I mean, whatever we have the guidance for the year, we can -- we will stand by that. It's not going to affect the guidance otherwise.

Abhinav: Under

stood. Sir, second question is on the order pipeline in terms of both the private and the Indian Railways in the near term. How is it looking also for the international markets, you back certain orders during the quarter? How are the margins compared to the domestic orders?

Sudipta Mukherjee: Abhinav, so far the Texmaco verticals are concerned, in the core business, freight car division, it has this rolling stock as well as our foundry components. And we have this electrical infra and the rail infra business other than the other joint ventures. So in a consolidated manner, I can tell you that in all the fields, we find a lot of positive traction. And there are 3 entities from which we can expect order and normally the inflows come in.

One is railway. I mean, if we talk about the domestic market, we feel that we are in the execution mode of the last long -term contract. And in between, there have been many small, small contracts came in. But very soon, railway is coming up with their new requirements. So that momentum will continue. And we will -- we expect to see renewed demand from the private sector investment in the domestic market.

And also in the export as a strategy of Texmaco I mean, continuing with the leadership in India, we wanted to expand our reach to newer regions and horizons. That's also we find a huge focus on rail infra infrastructure improvement in various part of the c ontinent. And with Texmaco qualification, we have been able to participate in those today. And we feel that there will be a steady pipeline from there also in the coming quarters.

Abhinav: Understood. Sir, the final question is on the Mo U that was signed with RVNL. Can you throw some light in terms of value, what will be the contribution going ahead?

Sudipta Mukherjee: I can't throw light in that for various reasons. And you know that's a PSU and we can only say that it is for better synergy and to approach to certain product line and services, which are going to be, of course, as a possibility of being game changer for Texmaco.

Moderator: The next question is from the line of Maitri Shah from Sapphire Capital.

Maitri Shah : I had a few questions. First on the F CD side, we had a degrowth this quarter. So I was still expecting to grow about 35% to 40% for the year.

Sudipta Mukherjee: Sorry, your voice was not Yes, you are audible, but the voice was breaking. Please continue.

Maitri Shah: Okay. the FCD side, you have guided for 35% to 40% growth. And for the first quarter, we had a bit of a degrowth. So are we still on track to maintain this guidance?

Sudipta Mukherjee: I have answered in answering to Abhinav that our guidance, whatever we have given and in the public domain and also shared with the investors. So that will remain intact because the business which we are in, it is -- it cannot be determined on a month and a quarter basis. This is a cycle, and these are long -term things. And you have seen in last 2 years, that how we have grown. And we feel that's not enough. There is a huge room to grow for the company and the momentum will continue, and we stand by our commitment.

Maitri Shah: Also, how is Q2 shaping up? Are we seeing growth in more freight deliveries going from now on, especially in July and half of August?

Sudipta Mukherjee: It is on a right asking rate compliance that I can say to you. Whatever as per our plan, it is moving on in the -- as per the same run rate.

Maitri Shah: Okay. And for the EBITDA margins on the FCD side, we had guided for double digit for the full year. When do we think hitting those ranges in this quarter or maybe a quarter two?
Sudipta Mukherjee: So I think that we also had a promise that we will improve in the bottom line in the coming days. And except whatever you have seen in the last quarter, we stand by our talk that you will see upward moveme

nt towards lower teens, at least in the same.
Maitri Shah: Okay. And any like pipeline quantification you could give for the orders we're getting inquiries...
Sudipta Mukherjee: I mean I cannot give you the complete breakup for -- of course, you know for a reason. But what I can say that in all our verticals of the existing business, we have a very good and upward inquiry, and we are very close to even completing a few.
If you have seen that the last quarter was very good in terms of order intake, and we feel this momentum will continue in the coming quarters, and we will have enough orders in hand even for the next financial year in all the verticals. That's what is our target, and we are confident that we'll be in that journey very positively.
Moderator: The next question is from the line of Devarsh Shah from Sunidhi Securities.
Devarsh Shah: So my first question is, sir, out of 1815 wagons , how much has been contributed from Texmaco?
Sudipta Mukherjee: I think it was in the range of around 240.

Devarsh Shah: Okay. And would you like to comment like what would be the percentage share of private wagons in this quarter?
Sudipta Mukherjee: I think everything is being -- all these percentages are shared in our presentation. But normally, I think it is in the range of 75 -25 ratio, which is going on. I mean, whatever was there in the last quarter.
Devarsh Shah: Okay, sir. And what will be the difference between the rate of privates wagons and the normal wagons like which you give it to Indian railways. So is there any price difference?
Sudipta Mukherjee: There is no specific number I can quote to you. There is a price difference. The reason is for the scope of work because in railway wagons, it comes as -- sometimes as a bulk and it is more of a commodity type nature of product. And there, you have a wheel supply from railway on a predetermined price, which is variable on a quarter -to-quarter basis. On a private wagon, there are two types of wagons.
One is that you have a design, which is exclusively designed by RDSO, Indian Railway. And you have a turnkey execution contract, including all components and also the extended -- sometimes the services which you need to give to a private player. And anothe r is that suppose it is designed by Texmaco, and we execute turnkey, including all the BOQs. So this is how both things are different, the railway scope and the scope. So prices vary from one to the other.
Devarsh Shah: Okay, sir. So if I consider like a normal wagon to be in a range of INR30 lakhs, then we might charge a premium upon the private wagon. So can it be upwards of around INR45 lakh to INR50 lakh?
Sudipta Mukherjee: It depends on the type of the product, like it depends on the -- suppose if we say that we want to produce 12,000 wagons, so that measure is based on a commodity type of product. But when you have some exclusive types, so the price range of the private wag on today in India, I can give you a range. It varies from INR35 lakhs a wagon to around INR70 lakhs a wagon.
So because you see the private companies who wants to invest are the types suppose in automobile, in petroleum, cement movement, steel, -- and normally, the railway wagons remains on the coal, food grain and all of this. So there is a huge gap in the range . I can't have a specific one-fits-all answer.
Devarsh Shah: Okay, sir. Understood. So the range would be very helpful. And the last question is, when will the upcoming 40,000 tonne Odisha foundry get operational? Like is there any time line?
Sudipta Mukherjee: So there is no time line we have defined. We have -- if you have gone through our present Board the notes and the press releases we have done, we have tweaked it into -- we have divided it into two phases. The first phase your company is trying to do now is to ramp up in the existi

ng facility
out of Kolkata and Raipur and also debottlenecking the present capacity.
And depending upon the ongoing requirement, the infusion of the fund will be decided in Orissa because what we are more concerned and cautious about in the way forward is the return, which will be low -hanging and bringing us to prosperity first.

Moderator: The next question is from the line of Parth Shah from Morgan Stanley.
Parth Shah : Sir, can you throw some light on the JV to Texmaco? How is the demand? What is the

competition looking and how is the government pushing for initiatives in the leasing space?
Sudipta Mukherjee: Okay. So if you talk about JV of Texmaco, so I have to run you through a few of those. The first joint venture is with Wabtec Corporation, USA. And Texmaco and Wabtec, they have a joint venture factory in India out of West Bengal, Kolkata. And we have been manufacturing frictional items. That means more of a kind of brake equipment for the U.S. market and also rest of the world where Wabtec supplies those items.
Along with it, we have some dumping components like the drop gears and all of this, which we also sell in India. To tell you in a nutshell that this company and this joint venture has grown 100% over a period of last 3 years. And we feel that we will have a decent 15% to 20% growth minimum in the coming -- this financial year also.
Now coming back to another joint venture, which is a freight rolling stock leasing business. So Texmaco has a joint venture with a company called Touax from France, Europe. And we today hold around 15%, 20% of the market share. And because we were historic ally dealing on a very specialized niche market where more than scale, we were looking at the quality.
And this business has also grown on a pace of a decent 12% to 15% last couple of years. But now we feel with the rising demand in the freight rolling stock market by the private investment, we being one of the company who are there in the market with all t he bandwidth and having a kind of know -how and access to newer designs and services, we want to scale this business up also.
And we expect to grow this business significantly. I can't -- I will refrain to tell you a number now today. But I can promise you, sir, that we are looking at it very keenly to have a better growth rate compared to whatever 12%, 15% we had in the last fin ancial years.
Now another third joint venture, I would like to mention is a joint venture with one Slovakian company and the Czech entity called Nymburk. And that Texmaco and Nymburk is coming up with a specialized freight rolling stock manufacturing plant, which is goi ng to be the most modern of its kind with all world -class infrastructure.
And we expect to start operation of this plant in this financial year itself and maybe maximum by next quarter. And this particular initiative is also directed towards things, of course, to serve in the domestic market because we find there is a room for c ertain special kind of rolling stocks, which the solutions are perhaps not available.
And then with the maturity of the market, those things are going to come and also to serve to the European market. So these are the 3 joint ventures we had and have and this is what is the update.
I think I have been able to answer. If not, please ask me.
Parth Shah: Sir, only one question. The government is pushing for leasing coaches. But we see only a couple of players. So is there any development which you can... Let us know?

Sudipta Mukherjee: If we are talking about the freight rolling stock and if you talk about government, so I can refer you certain PSUs who are coming up with some leasing proposition like CONCOR, like CWC.
And if you are talking about the passenger mobility side of it,

of co urse, this joint venture doesn't do anything on that. And Indian Railway per se directly, I'm not aware of any leasing tender which has come. So you can guide me on that.
Moderator: The next question is from the line of Rajesh Bhandari from Nakoda Engineers.
Rajesh Bhandari : Sir, I have heard a lot about the freight for the wagons and all. I wanted to ask one thing, sir. We bought a specific item from Jindal Rail for INR650 crores. So after that, did we get any orders, sir?
Sudipta Mukherjee: Rajeshji, that was -- the acquisition that you did in Baroda, the manufacturing plant from Jindal, the Erstwhile, Jindal Rail , I think you are talking about that.
Rajesh Bhandari: Yes, yes, double -decker wagons, closed wagons.
Sudipta Mukherjee: Correct, correct, Rajeshji. So, Rajeshji, I am happy to let you know that we have received the order. And at that time, we used to make one type of automobile wagon. I had started it. And I had hinted to you, perhaps in the last call, that we are bringing more designs. So, in the last quarter, we got approval from RDSO for our own design for prototype manufacturing. And the beauty of this is that it is going to be the first double -decker wagon in the country which can carry an SUV from a luxury car to a tra ctor.
Rajesh Bhandari: Enclosed enclosure.
Sudipta Mukherjee: Yes, enclosed enclosure. And this will significantly change the automobile transportation map because, you know, this goes along with the planning of the country because the logistic cost of the tractor will be less, so it will also help the farmers.
Rajesh Bhandari: Yes, yes, now even Elon Musk has come. So, his cars will also go.
Sudipta Mukherjee: Yes, yes. To answer you precisely on the order, more or less, I can share that around 65 %-70% market share of this business. And our order for the next three quarters is in our hands. And we hope that this business will run there like a center of excellence.

Rajesh Bhandari: And in this double -decker, can't put anything like a commodity , like coal ?
Sudipta Mukherjee: To answer you, no such requirement has come yet. But if a plan comes, then someone can design everything.
Rajesh Bhandari: Because the dedicated freight lines, sir, a lot can go in the double -deck.
Sudipta Mukherjee: Yes, one has become a double -deck and the dimensions in the dedicated freight line are different. So, our design capability is that we can bring an optimized wagon in every commodity and we are working consciously on it. And our Global Capability Center, w e are working on 500 designs for India and also for the global market.

Rajesh Bhandari: Sir, in the continuation of this, I had a point that what can we expect now, turnover for FY '26, '27 and '28? Just expect ed.
Sudipta Mukherjee: Sir, Mr. Rajesh, it is difficult for me to mention here, but you know that we have already given guidance. And to give you a kind of trajectory, we are saying that we expect to grow from the top-line we did last year. And on a reasonable pace, keeping in l ine with the growth of GDP of India. And the second thing is that we are focusing on the bottom line that our improvement has been good since last year.
Rajesh Bhandari: Since we are into electrical infrastructure also, why are we not getting signals in the Kavach , sir?
Sudipta Mukherjee: We are working on it, we can only say this much now. But the thing is that there are many such things like Kavach and we are not there yet. But everything depends on its maturity . And Texmaco , in the last few years, we have taken a conscious effort to invest in proven things and work the talk. So it is not that it is out of radar, but we are working to have the right time for doing things. Not only Kavach , you can find a few other things also to come in.
Rajesh Bhandari: Just last question, sir. Do you have an

y passenger car? Just one last question …
Moderator: The next question is from the line of Akash Vora from Dalal & Broacha.
Akash Vora: Sir, firstly, I would like to understand how many wagons do we have in the current order book?
Sudipta Mukherjee: It is as on 1st of July, I think it is around INR8,500.
Akash Vora: 8500 right...
Sudipta Mukherjee: Yes.
Akash Vora: Understood. And sir, secondly, since you're talking about bottom line growth, sir. So two questions from my side. Firstly, sir, what kind of margins -- EBITDA margins are we targeting for FY '26? And secondly, earlier, you also spoke about a fresh tender coming from Indian Railway. So I mean, this is your discussions by when do you expect this to come around?
Sudipta Mukherjee: I have answered the first point about the EBITDA expectations. I said that we are targeting anywhere near lower teens. double digit. So that is what we -- I mean, as per the guideline, but I can't be very specific that what exactly we are -- I mean, we can .
Akash Vora: Sir, but actually, we have not achieved those margins even in the past 2 years... 2 years.
Indrajit Mookerjee: You are very right, but you must have also seen that we are progressing and achieving better every time last 2 years.
Akash Vora: Correct, correct, correct. So double -digit margin is very much.
Sudipta Mukherjee: Every time as we are in the right trajectory and we are -- we have significantly grown in last 2 years, and we are saying that we will -- some parameters, we have been able to do very good or

as per expectations and some parameters, we feel that if we can make it better, that's what I think the company is consciously working and we are talking about.
Akash Vora: Okay, sir. So 35%, 40% guidance is on the bottom line level, right, for FY '24?
Sudipta Mukherjee: Comment on a percentage. I think the guideline is disclosed thing with the investors. So we will -- we are as per that. And Second part of the question was Related to your railway tenders. So we cannot -- again, I'm sorry that I can't be so specific when i t is because I don't have that knowledge. But what we hear and what we know being in the business that it should be any time this year or within this financial year.
Indrajit Mookerjee: Yes. Generally, railways should require wagons. But when it's going to come is very difficult to say for us.
Akash Vora: Okay, sir. Sir, actually, I was trying to sir your guidance. But I mean, I don't think you have.
Sudipta Mukherjee: To give you a very specific straight answer that due to -- we don't envisage any lack of orders to fulfill our guidance. And I have maintained also and mentioned in this call also that we will have orders in all the verticals even beyond the guidance achie vement of this financial year, and there will be residual orders for the next financial year. So we have that thing in mind.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: So my first question is regarding the amalgamation of Texmaco West . So by when do we expect to get completed?
Kishor Rajgaria: Yes. We have got... I'm Kishore here. We have got the NCLT order, final order on amalgamation. Certified true copy has been applied. We will be expecting to get that in 10, 15 days. And then we will file with ROC and the amalgamation will be effective. It will be effective from 1st April 25.
Parvez Qazi: Sure. Secondly, on -- I think we had some orders in Bangladesh in the railway EPC segment. So just wanted to get some views on that. Has there been any progress there?
Indrajit Mookerjee: See, we are happy to say -- happy to tell you this Indrajit Mookerjee. We are happy to say that despite all the political uncertainties that's going on, we have finished project very, very successfully. And we have been -- we have received

acknowledgment a nd compliments for the same.
As far as the second project is concerned, which we expect to end it by March 2026, you can understand that given the present situation, it's a very challenging work, but I have to congratulate our strong team with great resilience that work is going on, o n the balance project at a very fast rate. And March '26, we expect to even complete the same. So it's been a difficult project for us. But I'm happy to -- I'm happy to say that the worst is over.
Parvez Qazi: Sure. And lastly, what would be our consolidated net debt, net debt?
Indrajit Mookerjee: I will direct this to Kishore to answer.

Kishor Rajgaria: Yes, it is similar to the March range. So it is about INR800 crores, the debt portion and then some cash balances are there. So it will be INR70 -- INR650 crores to INR...
Moderator: The next question is from the line of Sandeep Mukherjee from SKP Securities.
Sandeep Mukherjee : My question is like in the presentation, you have mentioned that the components and the railway castings is expected to grow to 3 to 5x over the next 2, 3 years. So sir, what is the strategy here and the revenue potential from the same?
Sudipta Mukherjee: So revenue potential, we have already mentioned which you have mentioned I mean, reading the guidance we have given. As I said that we are doing it in 2 ways, I can tell you. One is that with our extended reach to newer markets and I mean, independently as well as through our various partners through which we have the access of various markets.
And second is that we are getting into or working on into certain new product lines and for which you have -- you can correlate with our plan for foundry, as we have mentioned that we are doing a first phase and we have reviewed and debottlenecking our fou ndry and taking it to a level of 80,000 metric ton and 90,000 metric tons.
So these are the things through which we will be able to do it 3x and 5x. And we would like to recognize it as a different profit center. And it has -- I mean, if I have to tell you that whatever be there in the thing in the coming days, it has a potential to be a good profitable business line for the company.
Moderator: The next question is from the line of Ashok Shah from Eklavya Invesco Family Office .
Ashok Shah : Sir, over last many years or something, we are facing problem of sourcing wheel set in only single railway wheelmaking factory is unable to supply to all the manufacturers. So we have to source from outside China or Taiwan or somewhere where -- so why we a re not expanding in this line?
Sudipta Mukherjee: Okay. Last -- you have very quite rightly mentioned that last couple of years, we have found this problem. So it is a matter of -- it's a mix of a policy and a mix of a market situation actually. So last couple of years, also, we all have seen that how the production and the requirement have multiplied in terms of rolling stock for which wheels were required. So that is a point where for some odd private orders, there was a mix from railway supply as well as from import.
But as I say that the market dynamics is that there is no dearth of wheel sets in the world. And the pricing are also very competitive. So it's a kind of a mix and progress which is happening. And I mean, Indian Railway has also drastically improved the pr oduction. But again, the production of rolling stock by more. So -- and in between, of course, you see that no country and no nation is 100% self -reliant.
For something or the other, you have to depend on the other place to source your raw material or input or something. So with the present geopolitical situation, the situation may look like grave. But I think government is working very actively into it, and we stakeholders are also working.

So there are -- I mean, it's a very clear route through which a little I mean, with the time, all this will be taken care of. And as a company, if you ask us that why we have not invested on the wheel sets because that is one of the dilemma which definitel y where you put in money and where there is enough supply. So where we will sell those wheel sets.

Indrajit Mookerjee: Yes. Actually, one more point I can add to you, if you agree, if you permit me that we are constantly evaluating the business, the market. And if you find that it is worth investing money, we definitely will do that. But we cannot make any comment at this stage.

Ashok Shah: Sir, totally, it's imported from China or how it is imported?

Sudipta Mukherjee: It's not totally imported from China for the wheels for which Indian Railway gives us contract, Indian Railway wheel factory we source from there. And for the private wagon and export wagons, we import from China, not only China from international sources. It's not specific to China.

Ashok Shah: So recently, there was news that one company called metal forging has been approved by Indian Railways to manufacture waste. So are we approaching them or doing something to make it easy for us.

Sudipta Mukherjee: Sorry, I cannot comment about them. But as I think Mr. Mukherjee has also mentioned that we are evaluating if that situation arises that this is going to be one of the key and our investment into it is going to fetch us some good fortune, we will definitel y consider. We cannot comment right at this point in time. We have to also give you return. Otherwise, you as investor will not be happy.

Ashok Shah: Last suggestion, sir, can you organize a plant visit in Western India plant any because we have the largest number of shareholders from Western India.

Sudipta Mukherjee: Absolutely, yes. And not only in Western India, you have to visit also the East part of India. East and West, both we can organize you. I think please place your request with ICICI Securities, who is our partner. And once we have sufficient numbers, we wil l be very happy to host you in our Baroda plant as well as in Kolkata plant.

But please leave your request with ICICI and then I will come. I think we have an Investor Relations. I think Also -- I'm sorry, I've been changing my version. please be in touch with and we will be very happy to do this. Invite to all the participants whe n we organize. So I'm sending it, but all the participant of the call.

Indrajit Mookerjee: I'm sure we will do it.

Moderator: The next question is from the line of Rajesh B handari from Nakoda Engineers .

Rajesh Bhandari : Thanks for giving chance once again. Sir, we are increasing the capacity of our Casting Company. So are we giving these components for Metro and this Namo Bharat and Vande Bharat?

Sudipta Mukherjee: Rajeshji, again we get a chance to answer all your questions. I forgot to mention that we have started making Coupler for Passenger Mobility. And the expansion that is happening, along with Railways, we are targeting two new markets. One is Automobile and another is mining .

Rajesh Bhandari: Okay. Is it a good value addition?

Sudipta Mukherjee: We think it will be a good addition in the coming days.

Rajesh Bhandari: Because the requirements of Railways and Mining are different. Mining is more of consumable.

Sudipta Mukherjee: You are right.

Rajesh Bhandari: Approximately, on an average, what is the price per ton?

Sudipta Mukherjee: It would be wrong to tell the prices now. Because there are many specialized products in this. Wherever we are expanding, there is no commodity market.

Rajesh Bhandari: Okay. Because mining is more of a commodity market.

Sudipta Mukherjee: We are saying that what we are going to make, we are not expanding in a commodity mark

et.

Moderator: The next question is from the line of Vedant Sarda from Nirmal Bang Securities.

Vedant Sarda : As you mentioned many times, you are stick to on your guidances? Can you repeat the guidance you gave for the full year?

Sudipta Mukherjee: I don't want to repeat the guidance for all decency. And it is already published document and available with the investors. You can connect with our Investor Relations also if you have any queries to cross check.

Moderator: As there are no further questions, I now hand the floor over to the management for closing comments.

Indrajit Mookerjee: I would like to thank all the interested investors. It is your company, and we very much like answering to all the queries or all the inquiries that you had because after all, we all work for you so that give you additional value. And I -- with your good w ishes and with your support, we will continue to deliver results to you and add value to your holdings.

So having said that, the team of Texmaco from Sudipta Mukherjee, our Managing Director;

Kishor Rajgaria, our Chief Financial Officer; and me, Indrajit M ookerjee. I would like to thank all of you for your time, and you are most welcome any time to get in touch with our Investor Relations company and direct any questions that you may have.
And I assure you that you will get prompt answers from us. At the same time, we will also set up factory visits for whoever who would like to visit our factory, both in Kolkata and in Baroda. It will be a pleasure for us to host you. Having said that, than k you very much, and wish you a very good festive season.

Moderator: Thank you very much, sir. On behalf of ICICI Securities, that concludes this conference call. Thank you all for joining us, and you may now di sconnect your lines. Thank you.

Call: Nov 2025

15th November , 2025

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Wednesday , 12th November , 2025 at 11:00 a.m. (IST).

The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp -content/uploads/2025/11/ICICISec -TexmacoRail -Nov12 -2025.pdf .

We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.

This is for your information and record.

Thanking you,

Yours faithfully,
For Texmaco Rail & Engineering Limited

Sandeep Kumar Sultania
Company Secretary &
Compliance Officer

SANDEEP
KUMAR SULTANIADigitally signed
by SANDEEP
KUMAR SULTANIA
Date: 2025.11.15
16:11:49 +05'30'

“Texmaco Rail & Engineering Limited
Q2 FY '26 Earnings Call ”
November 12, 2025

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR
AND VICE CHAIRMAN – TEXMACO RAIL &
ENGINEERING LIMITED
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR –
TEXMACO RAIL & ENGINEERING LIMITED
MR. KISHOR KUMAR RAJGARIA –CHIEF FINANCIAL
OFFICER– TEXMACO RAIL & ENGINEERING LIMITED

MODERATOR : MR. AMIT GUPTA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Texmaco Rail & Engineering Limited Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone . Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Amit Gupta from ICICI Securities. Thank you, and over to you, sir.

Amit Gupta: Good morning, everyone. On behalf of ICICI Securities, we welcome you all to the Q2 FY '26 Earnings Call of Texmaco Rail & Engineering Limited. Today, we have with us from the management, Mr. Indrajit Mookerjee, Executive Director and Vice Chairman; Mr. Su dipta Mukherjee, Managing Director; and Mr. Kishor Kumar Rajgaria, Chief Financial Officer.

Without much delay, I will now hand over the call to the management for opening remarks, which will be followed by interactive Q&A. Thank you, and over to you, sir.

Indrajit Mookerjee : Thank you, Amit. Welcome, and good morning. This is Indrajit Mookerjee, Executive Director and Vice Chairman of Texmaco Rail and Engineering Limited. I would like to warmly welcome you all to the earnings discussion for the second quarter and first half of the financial year 2026. The financial results and presentations have already been filed with the stock exchanges, and you all must have taken a look at the same.

For the quarter, company reported a revenue from operations of INR1,258 crores with an EBITDA of INR132 crores, reflecting a margin of 10.5%, which shows a very gradual increase and profit after tax of INR64 crores at a margin of 5%, which is also an improvement. For the first half of the financial year, revenue from operations totalled at INR2,169 crores and EBITDA reached INR211 crores and PAT was at INR93 crores.

Texmaco delivered 2,334 freight cars during quarter 2 of FY '26, showing an increase of 28.6% compared to 1,815 units in Q1. The Foundry division achieved sales of 8,413 metric tons for the quarter.

The performance of H1 FY '26 was partially impacted by two main factors. Firstly, the short supply of wagon wheel sets, which affected both Q1 FY '26 and at the start of Q2 led to delays early in the quarter. The supply is now -- supply issue now has been resolved, and we expect production to return to stable lev els in the coming months to come. Secondly, the Foundry division was impacted by U.S. tariffs on exports, which led to decline in export sales during the quarter. You would be happy to know that we are taking necessary actions to circumvent any such extern al factors for the future.

As of 30th September 2025, the order book was valued at INR6,367 crores, providing a strong visibility for execution in the coming quarters. The order book includes both new and ongoing projects across freight mobility, traction system and rail infrastructure. During the quarter, company secured several key contracts, which have contributed to the order book and reflect ongoing demand for Texma co's products and services. These projects cover a range of offerings,

including freight wagons, rail and non -rail electrical infrastructure, ensuring continued business flow and stability in the near term.

A significant milestone achieved during the quarter was the successful completion of the amalgamation of Texmaco West Rail Limited with Texmaco Rail & Engineering Limited. This merger consolidates and brings the best of the desired synergy in our operation s, engineering, production and project delivery functions and streamli

nes execution across the business. The integration enhances our efficiency and positions for improved operational coordination as we move forward.

In addition, in line with the MOU announced in the previous quarter, we entered into a joint venture agreement with Rail Vikas Nigam Limited, RVNL. This strategic partnership focuses on rolling stock manufacturing, rail infrastructure projects and expandin g our presence in international markets. By combining Texmaco's manufacturing expertise with RVNL's project execution capabilities, the joint venture establishes a strong foundation for sustained growth and allows us to pursue larger scale opportunities in the rail sector.

Further, Texmaco has also signed an MOU with HORMANN Vehicle Engineering GmbH as a

partner of our Global Capability Center association to offer world -class passenger mobility designing services, including locomotives. The collaboration has potential for third -party design and manufacturing support where German engineering excellence meets Texmaco's manufacturing expertise. It marks a significant step towards delivering sustainable advanced rolling stock solutions for bo th the Indian and global markets, furt her enhancing our product development and manufacturing capabilities.
The sector continues to benefit from significant public investment. Indian Railways have recorded its highest ever first -half capital expenditure of over INR1.42 trillion with a strong emphasis on electrification, multi -tracking and safety systems. A key part of this investment is the adoption of the 2 x 25 kV overhead electrification system by Indian Railways. This system is expected to improve network effici encies, enable higher speeds and increase freight capacity. These investments are expected to drive demand all across for Texmaco's products and services, particularly in traction systems and rolling stock. As Indian Railways strengthens its position as a more sustainable and energy -efficient transport option than road transport, it is set to play a key role in country's green transformation. This shift creates substantial growth potential for Texmaco. The company expects stronger traction in the Rail and Infrastructure division as we intensify our bidding activity, supported by a favorable policy environment and increasing project visibility.
Looking ahead, Texmaco is focused on executing its growth strategy through an integrated operational base, expanding partnerships and a very clear road map. The company is committed to increasing its market presence, both in India and also in international markets while driving long-term growth through strategic partnerships, continuous innovation, improved efficiency and optimum utilization of resources.

At this point, I would like to thank all of you for your patient hearing. We are here with our Managing Director, Mr. Sudipta Mukherjee; and also our Chief Financial Officer, Mr. Kishor Kumar Rajgaria. We now open the floor for questions. Thank you very mu ch.
Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.
Rajesh Bhandari : Yes. Yes, Yes. Sir -- good morning, sir and congratulations for better results this quarter. Sir, I wanted to ask you something. We have a joint venture with RVNL. We have a joint venture with a German company also. The railway is expanding so much. We have also taken business from Jindal. Sir, in the next 1 to 2 years, what kind of expansion in the turnover can we expect?
Indrajit Mookerjee : Hello, Mr. Rajesh.
Rajesh Bhandari: Hello, sir.
Indrajit Mookerjee : We are meeting after the festive season. So, I would like to wish you and all the other investors a happy Diwali.
Rajesh Bhandari: Sir, I wish you also a happy Diwali.
Indrajit Mook

erjee : Yes, yes, yes. So, I mean, you said 1 year, so we actually…
Rajesh Bhandari: Sir, 1 to 2 years. Sir, 1 to 2 years.
Indrajit Mookerjee : So, in our growth path, it is like we multiply the top line and bottom line.
Rajesh Bhandari: Yes, sir.
Indrajit Mookerjee : In XMACO, we have adopted a mid -term and long -term strategy for a minimum of 3 to 5 years.
Rajesh Bhandari: Yes, sir.
Indrajit Mookerjee : The business we are doing now, we hope to grow in the core business and make our dominance and become a globally efficient and sought -after company. And even leaving this, we are working on some diversification related to railway, which is on the side of passenger mobility, on the side of locomotive.
And even leaving this railway, we are working on some other business line. And all that is in the strategy, like defense sector, renewable energy. So, in all this, your company is working very effectively. And we will do all these fractify by combining the overall. And we will also multiply in the top line from our last turnover. And bottom line, definitely in the coming days, you will get continuous good improvement, which is above the mid -team.
Rajesh Bhandari: Yes. Sir, the other one was that you have took Jindal business for INR 650 crores . How many orders did you get related to that, sir? And what is expected in the next 1 year, 2 years?

Indrajit Mookerjee : See, last year, we made about 11,000 wagons by combining both. This is the part of Texm aco. So, our Texm aco has four manufacturing units and one that is coming with European joint venture , right?

Rajesh Bhandari: Okay, sir. Okay, sir. If you look at the quantity, then we had reached nearly 1 ,000 per month already. So, it is not a challenge for us. So, we can make 15,000 -16,000 wagons in a year. And the support of the market, let's say , we have become a domestic market, which is the order of the Government of India.
We think that the private sector will grow very well in the coming days for a specialised group. In which Texm aco is in a clear advantage position because our design and expertise are far ahead. And we are consistently doing well in the market and getting good traction.
So, overall, by bringing Jindal and doing all this, which is our broader picture, which I said earlier, that we have to dominate in the core business, that to become big, we have to become one of the sought -after companies of the world. So, to that extent, we definitely got help. And our focus is on private export, we are getting its benefit in everything.
Rajesh Bhandari: It is a profitable thing ?
Indrajit Mookerjee : Absolutely.
Rajesh Bhandari: Yes, because we have spent about INR650 crores.
Sudipta Mukherjee : The Jindal -- Mukherjee , Indrajit Mukherjee was talking about ...
Rajesh Bhandari: Yes, sir. Namaskar, sir.
Sudipta Mukherjee : Namaskar, sir. The Jindal that has come with us, we got a very good synergy and we are getting a very good result. Because Jindal also makes specialised wagons.
Rajesh Bhandari: Yes, sir. Yes, sir.
Sudipta Mukherjee : But higher pricing, higher margin. It also has given us a strong presence on pan -India basis. There is such a big production base in Kolkata, now in Gujarat. And most importantly, its synergy is very good. So, the way we planned and did it, we are getting better results than that.
Rajesh Bhandari: So, there is a demand for their product ?
Sudipta Mukherjee : Yes, the demand is on the market, but the operating synergies are very high.
Rajesh Bhandari: Yes, yes, yes. Sir, there is demand as of now ?
Sudipta Mukherjee : Acquisition, there is a successful acquisition in one word.
Rajesh Bhandari: Yes, yes. Okay, sir. Okay, sir. Thank you, sir. Thank you.
Sudipta Mukherjee : And I will add one more thing.

Rajesh Bhandari: Yes, sir. Yes, sir.
Sudipta Mukherjee : You will see that it does not end here.
Rajesh Bhandari: Yes, sir.
Sudipta Mukherjee : In a very good strategic place, as Mr. Mukherjee has mentioned, which is in Gujarat.
Rajesh Bhandari: Yes, sir.
Sudipta Mukherjee : So, there is a lot of opportunity for our expansion there. Because the land bank is very high. And it is an industrial land and very strategically located. So, it is a very good return in future business synergy.
Rajesh Bhandari: Yes, sir. Yes, sir. Yes, sir. I wish all the best, sir.
Sudipta Mukherjee : Thank you so much.
Indrajit Mookerjee: Thank you. Thank you, Rajesh.
Rajesh Bhandari: Thank you, sir. Thank you, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian: Good morning, sir. Thank you so much for the opportunity. Sir, on the [wheelset 0:17:06] side, how is the supply side right now? And what are the specific variable indicators of normalized supply from Indian railways? And what is the current lead time for wheelset ? And how do you look at maybe in coming months for wheelset supply from Indian railways overall the industry perspective?
Sudipta Mukherjee : So, it has improved significantly. And as of now, there is no challenge we envisage in the supply of wheelset in terms of the lead time. So, it is a continuous process. And there is a llocation and dispatch from railway factory every day to all the wagon manufacturers, depending upon the performance and some other criteria that which kind of rolling stock they are supplying to Indian railways.
So, in that sense, in the near future and in this quarter and the coming quarter, as of now, there is no forecast of disruption. So, we feel that the momentum will continue and it will help in increasing the production and supply to Indian railways.
Balasubramanian: Okay, sir. Sir, foundry division witnessed a volume dip in Q2 because of the US tariffs. And how do you look at margin profiles in foundry business? And, like, is the growth in higher margin non -railway segments like auto mining , like, compared to the low growth areas? And also, we are targeting 3 x to 5x kind of growth in exports for next 2 to 3 years. Given this tariff impact, how do you look at that exposed export business? And which are the geographic we are focusing on that?

Sudipta Mukherjee : So, foundry business has remained one of the most lucrative business for Texmaco. Although, I mean, you have seen that in last couple of quarters . I mean, if you see last 2 years or so, we have unleashed the capability and capacity of foundry. And this is one of the, I think, the leading and largest sought -after unit globally. And which is a pride and it remains to be a pride.
In one or two quarter due to global situation does not make us shaken. Because our portfolio too is diversified. And definitely, if something suddenly happens, you get a hit and because you remain on that production continuity. But if you see that our portfolio we supply to Indian railway, yes, we supply significantly to US and for railways.
And other than that, we have also started making, I mean, supplying to mining. And it is not only in US, it is in also other part of the world like Australia. So, those things are growing. And you will be happy to know that we have added in our portfolio certain other boogies and couplers, which are not of Indian railway specification , but more of other global standards. And Texmaco has gone into that league of having their own product.
So, where we don't need to depend on the global sources to supply those , while we supply rolling stocks to the world market. So, you know that in India

it is broad gauge. But there are some other gauges like cape gauge, meter gauge, standard gauge. So, those things we are getting into. We have also got into the locomotive coupler in India. And I am happy to let you know that we are also -- we have also gone into the passenger train coupler.
So, all of these added and one of the very important business which is coming up for Texmaco is track renewal. I mean, you know weldable crossings which are Indian Railways in its infrastructure mission to upgrade the railway track has laid a huge significance and already demarcated money. And we are an approved developed source by railway. And our supply has started this quarter, last quarter. And we are significantly ramping up that.
To come to the export orders, we are -- I mean, in which region we are in? So we are in Africa, we are in U.S., we are in Australia and of course, other than the domestic supply. And this temporary problem of U.S. supply, we are very much actively working around it, and we are very much hopeful that in -- very shortly, we will overcome this problem, and we'll have a solution to get back to normalcy and make it better from there. So we are not worried at all on this course. And the margins remain very stead y and healthy.
Balasubramanian A. : Okay, sir. Sir, I think earlier guidance around 35% to 40% kind of growth for freight car divisions. And what kind of mix we can expect on the railways and the private side? And how is the demand coming from private wagons? Is there any shift we can expect in the near term? And is there any delay for tender pipelines?
Sudipta Mukherjee : So majority of the tender in the Indian railway, if you have seen that previous old tender, there are some outstanding with manufacturers. So perhaps I mean, the railway is weighing that when to come up with that. But so far, our -- I mean, whatever we kno w that it is expected to come at least within the last quarter of this financial year.

We are having sufficient order to execute even towards the middle or towards the third quarter of the next year. So -- and orders are continuously flowing other than railway also from private and export. And we feel that we will be able to see some very go od momentum on both of those.
And one thing I would also like to mention to you, you know that Texmaco also has a leasing joint venture and which, of course, other than the manufacturing and supply, they go to the leasing team, it comes a very good team for catering to the private companies in the domestic market. So we have a big hope that this synergy is going to help us a lot.
So in one sentence, we do not envisage any challenge to have good order book. But in terms of the growth, growth we would like to define by efficiency, not in terms of only wagon number volume. I have indicated that we can manufacture given a situation of 15,000, 16,000 wagons a year, so which is highest in the country and one of the highest in the world.
So it's never been -- it's not going to be a challenge with the capacity capability and versatility Texmaco has. We cater to all the specialized segments. And all the segments like cement, steel, if you see that is growing from a range of 4% to 6% CAGR and the economy is very buoyant in the country. So in near future, also beyond a year or two, we do not envisage any challenge.
That gives us strength to solidify our core business and put us in a very unique position to unleash this requirement. In terms of the growth guidance, we feel that we will continue to grow significantly, as I have mentioned in my previous answer in the to p and bottom line multipliers.
Balasubramanian A. : Okay, sir. Sir, net debt is around INR600 crores, and we also have a phased capex for foundry expansion and potential new initiatives. What is the anticipated peak net debt level over the next

18 to 24 months kind of range? And this capex is primarily funded through internal accruals or debt?
Sudipta Mukherjee : So I would like to put it to Kishor for the specifics, but I would just like to put you on a theme that when a transformation journey is on and a growth journey is on. So specific figures and ratios sometimes may not take us to the right conclusion. But we are in a position of a transition for a high jump. So one should take it from that perspective. That's just on a notional theme I'm just setting. I will request Kishor to answer this question.
Kishor Kumar Rajgaria : Yes. Considering the current businesses and foundry expansion, we would not be requiring much more debt. So it will be through the debt we already have and this balance from net accrual.
Balasubramanian A. : Okay. My last question is, what is the scope of work and initial opportunities pipeline for RVNL JV?
Sudipta Mukherjee : I didn't get you. Can you be a bit louder?
Balasubramanian A. : Sir, could you please quantify the initial opportunities pipeline, scope of work with RVNL JV?
Sudipta Mukherjee : So we have already outlaid the scope that what we want to do with RVNL and Mr. Mookerjee has mentioned it in his opening speech also. So I do not want to repeat it because there may be some other people who would like to answer. To give you a statement of this that we are in a process of finalizing the SHA while we are also working on the oppo rtunities parallelly.

So there is something which is going to come, which for a different market and different product portfolio, and on a complementary basis where Texmaco today is not there. And in one sentence, it has to be -- it will be a quantum growth opportunities in are as of railway infrastructure and rolling stocks, not in necessarily wagons.
Indrajit Mookerjee : Yes. I just want to supplement Sudipta sir, by saying that I will be -- we will be all hesitating to quantify. But as it has been said by Sudipta, it opens up vast avenues for us to play in the rail segment. So the future opportunities are very good. So I think as our investor, I'm sure you wil l be happy to know that we have made such a pathbreaking arrangement, pathbreaking agreement together.
Moderator: The next question comes from the line of Parvez Qazi from Nuvama Group. Please go ahead
Parvez Qazi : Thanks for taking my question. So my question was regarding our wagon order book. I mean in terms of number of wagons, what would be our wagon order book currently? And I mean, what are our thoughts about incremental new wagon tender both from railways as well as private sector?
Kishor Kumar Rajgaria : Yes, we are having current order book as on 1st October of about 6,500 wagons. And we are working on future opportunities, which Mr. Sudipta Mukherjee will explain.
Sudipta Mukherjee : Good morning, Parvez. Good to hear from you. I mean, in addition to what Kishor has mentioned in terms of the figures, I would like to say that to think of a 3 - to 4-quarter order book should be decent in terms of the 3 quarters order book, should be decen t in terms of the present scenario . Because if you see that in the domestic environment also, whatever order book is coming today, I mean, everybody wants a faster delivery. So the lead time of placing the order has come down drastically over the years, except the long -term railway tender, whi ch we have seen three years ago. And in terms of the volume, we will be having enough orders to follow our guidance. That's what we see, which was given earlier.
If you talk about the market share. I mean, our execution has significantly improved, and we are more than 30% today in the market, which is highest. And we believe that we will continue this momentum and would do better on this.
Moderator: Thank you. The next question is from the line of Ishita Lodha fro

m SVAN Investments. Please go ahead.
Ishita Lodha : So now that the short supply of wagon wheel sets are behind us and now production levels have become stable, and we have capacity of about 15,000 to 16,000 wagons in a year, and we have order book of also 6,500 wagons right now, and we are also expecting m ore tenders, so can we expect to sell 6,000 wagons in H2?
Sudipta Mukherjee : Not at all. So because these contracts are not exactly deliverables within this time line. And there will be some wagons, which will be also delivered by mid of next year.
Ishita Lodha : So how many wagons are you planning to sell in H2?

Sudipta Mukherjee : I cannot be specific because it cannot be said, but whatever you have seen in the last quarter, definitely no less than that, and we expect to better from there.
Ishita Lodha : Okay. So was the production in October higher than September month because the wheel sets supply has increased?
Sudipta Mukherjee : We don't go by month by month.

Ishita Lodha : Just a directional sense that the monthly production is high.
Sudipta Mukherjee : It is on an upward graph.
Indrajit Mookerjee : Yes, directionally, you will see that first quarter to second quarter, there is an upward direction.
Ishita Lodha : Yes.
Indrajit Mookerjee : That's a trend. But as you know, when you have a lower base, you have a higher percentage number. So when we have a higher base, the percentage number comes down. But we can assure you that our productions are going on the upswing.
And as I think Sudipta has very nicely explained to another investors that because of our efficiencies and because of our capacity, we are in a position to deliver quickly, which is a tremendous unique selling proposition that we have. That beats basically the industry that we can quickly deliver.
Ishita Lodha : What kind of opportunity are we looking from the tenders that are expected to come in Q4?
Sudipta Mukherjee : That's a speculation then I have to do. Because I can tell you that as far as the sales to international market and private market is concerned, it requires lots of marketing efforts, which we are doing very, very strongly. And also, we are looking at -- and also, I think somewhere -- some time back, we mentioned of our leasing arm because many private customers are now -- don't want to put in their -- make capital investment, they want on leasing. So that's another route from where the w agons come to us.
So we are doing lots of -- in fact, you would see that a percentage of private wagon as the percentage of the total wagon orders have been ramping up in our portfolio. So we are very strongly looking at that. We are very strongly looking at the export mark et. We have some export orders already, which is also path breaking. As far as the railway tender is concerned, we can only speculate. So I think it will not be fair to speculate on our behalf.
Ishita Lodha : Fair enough. Last question that in case of Jindal Rail, I heard that you mentioned that we have good synergy. So can you elaborate on this? How -- what is the cost savings that we are getting from this and how it is helping aiding our margins?
Sudipta Mukherjee : See, you have -- the synergies are in different ways. You have product synergy. So if you have some specialized wagons have to be made, then Jindal facilities very strongly can do that. There are also synergies of being a big buyer, you can negotiate with the vendors because you are a larger buyer for the bought out for whatever you buy as a components or as spares.

You also have the synergy of manpower because you can -- a lot of work like the design and a few other things can be done centralized. And that's why we formed the GCC, which is a global capability and design center. So we als

o -- the same establishment that GCC in Delhi also is a global supply center.
So these are all the synergies, which are actually mostly copybook synergies. Every acquisition, you first look at what are the synergies. And I think all these synergies were available when we were considering buying Jindal and now that we bought and we h ave spent 1.5 years, we see that all these synergies are getting satisfied and working out. And that's why you would see that gradually the numbers, the ratios are improving.
Moderator: Thank you. The next question is from the line of Vishal Thakkar from Balaji Investments.
Vishal Thakkar: First, my question is all about order book. What I see is for this current quarter, you have given guidance of INR6,300 crores of orders in hand, whereas it was INR7,000 crores last year -- last quarter. So that is a reduction in total order book. And my second question is about the QIP allotment you have done last year to a lot of FIs and domestic investors.
And when I see the shareholder list, I don't see any of these QIP people who have bought it are still holding the stocks. So why those people have sold it, what made them sell t he stocks immediately after QIP? And my third question is about -- for last couple of quarters, we are seeing INR1,000 crores to INR1,200 crores of sales every quarter. So why don't we do something about increasing the sales, this quarter -wise it has to grow substantially because last couple of quarters, this has been the scenario. S o these are the 3 questions, I would be very happy if you can reply.
Indrajit Mookerjee : Yes, very intelligent questions. I think I will only answer the second one. And the first and third one will be very amicably answered by our Managing Director, Sudipta Mukherjee. The second question was why the investors are -- they have not stuck to us i s an answer which we don't know. It's very difficult to say why an investor, because various investors, as you know, yourself is an investor.
So you invest for various purposes. Some people invest for long -term gain, some people invest for quick gains. So it's very difficult. Some people, of course, feel very thin that the company is not good. So if the third one is the reason, I can tell you that the future of the company is very strong.
I have already mentioned to it why it is strong because we are -- our -- our 5 -year plan, our

tactical plan are for wagons, for adjacencies, bringing in USPs in wagon, efficiencies in wagons, designs in wagons, private and export market. So -- and also, we are also strongly playing in our -- in the EPC business. So the market is very stable for us.

So answering the second question is that if some people -- if investors feel that the future is wrong, I think I would like to disagree as we see because we are always -- and constantly we are making our best efforts to stabilize the company so that it is very attractive for the investors. So if there are other reasons for the investors to -- not to remain with us, it is a very difficult question

for us to say why they go out, because there are strategies, I'm not aware of. So I would like to hand over to Sudipta sir to respond to question number one and three.

Sudipta Mukherjee : Okay. Thank you. So I just wanted to do in a combined answer because I mean, you see that last year we did a top line of around INR5,100 crores, which is significantly -- a significant growth on a year -on-year basis. Now in such a top line, our order book of 300, 400 here and there and which is a continuous -- I mean, which is continuous in nature and still maintain the position of growth and moving towards an improved direction should not be taken as a wrong indication.

It is not a question of capability. It's a question of overall scenario of what is available in the market and also our faster and quicker e

xecution. So the gap between this that how to make it better and how to get it, we are aware of this and we are -- you will definitely see the upward momentum or rather, I would say, a balanced momentum in terms of our growth trajectory of execution as well as an order inflow.

The second is that why we do not finish it quickly because as I said, that every contract has its own time line of delivery. So wherever it is possible, definitely would like to pr e-pone. Wherever it is not possible, so we cannot. Because it is a railway rolling stock, it has to line on an infrastructure. It is not like that I can dump it anywhere.

So it has to be in line with that. And if we have picked up our production, definitely, we have a few indications where customers are keen to take early delivery. And that's why I said that whatever momentum you have or growth you have seen in the last qua rter, we want to do -- remain on that or do better from there. And it's a continuous process. And definitely, if we have indicated that we are capable to do 15,000, 16,000 wagon, as a company we are looking forward to newer markets, newer horizons, newer c ontinents to fulfil that capability match.

Indrajit Mookerjee : Does answer your question, sir o r there's something else?

Vishal Thakkar: No, sir, I just want to add to it. My last question was about we are still stuck to that INR1,200 crores of quarter turnover. So are we going to jump from here? When can we expect that any jump happening in this -- getting out of this INR1,200 crores per quarter turnover?

Sudipta Mukherjee : So this INR1,200 crores per quarter is also -- you see that it is one of the highest compared to -- if you compare with a few quarters, then it's on a growth trajectory. We definitely believe we can do better from here in line with our growth trajectory.

Indrajit Mookerjee : We have different product mix to do that.

Vishal Thakkar: So do you maintain the guidance for the next couple of quarters, we'll be able to at least match at least 1,200 we'll be having or we will never go below this?

Sudipta Mukherjee : Sir, we have always telling that we want to do better from here.

Indrajit Mookerjee : I mean, to be very frank, we see growth. But as I mentioned a little while ago, when you have a high base, your growth percentage will not be very high. But it will be high. It will be growing. It depends a lot on the market.

Sudipta Mukherjee : No, one thing I would also like to add on your point is not only the -- don't only look at the revenue or the top line because we also equally want to focus on the bottom line, not only in terms o f -- we do not only want to be number one in volume, but we want to be efficient company where our return is more. Margins are higher.

Indrajit Mookerjee : I think for you, we are trying to be the best performing company instead of the biggest company. But in the process, we will also be biggest because today we are the biggest. We are the largest wagon producers with 31% market share. That is what Sudipta ha d just mentioned.

Vishal Thakkar: Last question about the debt...

Indrajit Mookerjee : You can any time ask us questions, send us questions we will be very happy to answer.

Vishal Thakkar: This is the last one. Are we expecting any additional debt because I think it's around INR800 crores, INR900 crores that we are sitting at now on net debt of around INR600 crores?

Sudipta Mukherjee : It can grow -- I mean, see, it is not -- as you have very rightly questioned and the answer is there in your question. I mean, it is -- sometimes it can be more, sometimes it can be less. While we are constantly looking at the data for efficient debt servi ce, but at the same time, on a -- we are

on a growth transition. So definitely, the first answer of your question that, yes, we may require.
Indrajit Mookerjee : See, oper

ating, we are -- our cash requirement is coming down because you would see that our receivables have come down, if you look at the balance sheet. So our operating cash requirement is getting more and more tighter and better because the ratio, if y ou look at the ratios, all the ratios, quick ratios and inventory turnover, you will find out that we have improved from last quarter to this quarter.
Now as Mr. Sudipta Sir has said that sometimes you may require fund for expansion, growth, capital. So that is a secondary part. But operating, we are getting more and more efficient. And you can check from these numbers, if you have any doubt, most welcom e to talk to Mr. Kishor Rajgaria or we have given an Investor Relations number. You can always talk -- send them messages, and I -- all three of us will be very happy to respond.
Vishal Thakkar: Thank you. That's it from me.
Moderator: Thank you. Th e next qu estion comes from the line of Dee ya Jain from Sapphire Capital.
Deeya Jain: So the INR6,000 crore s order book that we have, what is the execution time line for it?
Sudipta Mukherjee : We -- it's a mix of all businesses. So far, rolling stock is concerned, we feel that it can go maximum some of the residue may go up to the beginning of middle of next year. So far, the infrastructure contracts are there, it is -- I think we have around 18 , 20 months execution time line. So you can say it is 30%, 40% would be executed within this financial year, of the infra part of it, which is 50 -- around 40% of the over INR6,000 crores.
Deeya Jain: That will be executed by next year?
Sudipta Mukherjee : Yes.

Deeya Jain: And also, sir, our Saira Asia, which does like passenger coach interiors, where are we on that? Are we getting good profits from it?
Sudipta Mukherjee : Yes. So when we took over, you know that it was not operating and it did not have any business. We could have around a little less than INR30 crore s order in the last year after we took over. We are in a process of execution and well ahead of time. And we are happy to let you know that while we are serving Indian Railways and we are working -- got some orders for Vande Bharat and other stuffs related to that for the domestic market.
We are also being shortlisted for some -- by global measures for export. And we are hopeful that very soon, we'll be able to give you good news of a long -term service out of India to those European markets.
Deeya Jain: That's update. And can we expect EBITDA margins in the higher teens for FY '26 or still we are targeting lower teens?
Sudipta Mukherjee : We are not targeting definitely lower teens. But target is -- continuous target is to improve on the bottom line and to take it to higher teens. Yes, Texmaco is not going to do any business in the way forward or rather in other way. We are positively looki ng forward to certain growth businesses, while we have a strong focus to improve our present core business, take it towards the mid -teens and we are in process of adding a few growth businesses, which will take us beyond mid -teens. It will be on high teens in the coming quarters or coming years.
Deeya Jain: All right, sir. Thank you. All the best.
Moderator: Thank you. Th e next question comes from the line of Rajesh Bhandari from Nakoda Engineers . Please go ahead.
Rajesh Bhandari : Thank you, sir, for giving me once again the chance. Sir, I had a question related to debt. There are 2 -3 questions in the same question. For example, due to debt, the interest becomes around INR120 crores in a year. Secondly, the QIP that we took, the QIP people left. You told that you are giving it on leas e to some people.
So, sir, those who are being given on lease, why don't we make them a partner? Plus, instead of QIP, we can also issue rights. Then our finance cost will also be reduced in the proc

ess. Is that possible?
Sudipta Mukherjee: Yes, it is definitely possible. See, we move with a very clear financial strategy. So currently, we do not think that we should -- see, you go for a QIP normally with certain very clear objective in mind. We are not just retiring the debt and diluting the holding. It goes with certain growth opportunities, i mprovement in profitability, et c., particularly at the EBITDA level because at the EBITDA level only, you loo k at your operating efficiency.
That is before -- so we obviously are scanning it. In fact, we have a 5 years rolling plan in place. So currently, we do not think the time is mature for going for another QIP. On the contrary, if you would see that we are keeping on improving our cash flow by tightening t he operation.

So QIP is the easiest way to take some money and pay the debt. But instead of that, we are -- our debt equity ratio is very healthy. So this is the reason why we are c urrently not going for any QIP. We definitely will try and look at the other ways of fundraising when we go for some strong growth or strong reasons come up.
But we don't think it is necessary. On the contrary, I'm repeating, sir, that we are constantly looking at tightening our operations to squeeze out more money out of this.
Rajesh Bhandari : Yes, sir. And…
Sudipta Mukherjee: In the balance sheet, there is an improvement.
Rajesh Bhandari : Yes, there is. Sir, I did not mean QIP. The people whom you will give lease, wagons, etc. Make them your partner. So, their long term will be this.
Sudipta Mukherjee: Sir, there is one thing. Lease is not in our company. This is not part of our company. Okay. Leasing is a different company. In which we have a joint venture. With a very famous, well - known French company. The company is going to that company's book. Not i n our company's book.
But when we get something in the lease, we get to make it. Lease does not come in our company. We have nothing. The leasing company is giving us a lot of money. If you look at our consolidated results with the JV contribution. Because we are consolidating the leasing company. We are consolidating it. It is being done by a French partner. But we get a lot of cash from it.
Rajesh Bhandari : No, I just have this much point, sir. Our EPS is 3 to 4. EPS only eats interest?
Sudipta Mukherjee: That is the right thing. That is the right thing in the company. We are doing it for that. Don' you think the best way is to improve your operation first?
Rajesh Bhandari : Of course . That is there, sir.
Sudipta Mukherjee: We have to do this for you. So we will do it.
Rajesh Bhandari : And see, there will be more improvement. See.
Rajesh Bhandari : Yes, yes. According to what you have said, probably in next 2 years, it will be something totally different.
Sudipta Mukherjee: We are expecting. Your good wishes will be there.
Rajesh Bhandari : No, no, sir. Sure. There is a group in cash, sir. There is an advent group. Automatically it is going to be too good.
Sudipta Mukherjee: Thank you.
Moderator: The next question is from the line of Vishal Thakkar from Balaji Investments.

Vishal Thakkar: Sir, I missed one important part. Few quarters back, you came out with this disclosure about some land bank you have and you're going to convert into real estate development of Texmaco Rail. Can you enlighten me what is the status of that? And what is the land bank we are looking and the value of the land?
Sudipta Mukherjee: See, actually, what is it? We have restructured our operations very well. We have a wagon business. We also do hydraulic power station equipment. We make bridges. We have restructured all this business. By restructuring all this, we have seen that we have a land parcel. That p

arcel is in Kolkata.
The work that we used to do there, your non -wagon business, we can do it in another place by merging. For this, our land became free. So the land became free. For this, we have thought that we can develop that land. It is not that we are going into land bu siness. We are not going into land business. But that land became empty. For that, we have found a good point to monetize it. In fact just now one of our investors asked me about the fund. This will improve the fund flow a lot again. So...
Vishal Thakkar: What is the land bank?
Sudipta Mukherjee: This land bank is near Kolkata.
Vishal Thakkar: What is the total area, like how many acres?
Indrajit Mookerjee: It is 12 acres of land.
Vishal Thakkar: And roughly, what is the value should be around?
Sudipta Mukherjee: We cannot say the value because it is very premature to talk about the value right now, but the land is about 12 acres.
Vishal Thakkar: And when do you expect this to monetize?
Sudipta Mukherjee: We start the work. It will take time . You know that it will take 12 acres to develop.
Vishal Thakkar: So why don't we sell it right away and take the money and then cut off the debt instead of developing it?
Sudipta Mukherjee: We've looked at that, but we felt that developing is a better option than selling it because we get better value out of it. And we are not in dire need of cash at this point of time. Our debt equity

is fine. You have seen the ratio. It is one of the best, if not the best in the industry. We don't have any cash flow problem.
Vishal Thakkar: Okay. No, just to reduce the debt so that increase in EPS can be...
Sudipta Mukherjee: Yes, yes. It is possible. There are various ways you can reduce the debt. But we felt that we are not in a hurry to immediately sell it at a price, whatever you get. We are not in a distressed sell situation.

Moderator: The next question comes from the line of Hari Kumar, an Individual Investor.
Hari Kumar: Okay, sir. Two questions, sir. One is regarding this, we have huge capacities in wagons and we have Jindal and the NYMWAG JV is coming up. So are we envisioning any global push into the wagons business, sir?
Sudipta Mukherjee: Yes.
Hari Kumar: To derisk the domestic market?
Sudipta Mukherjee: No, Texmaco already dealing in -- I mean, we are the largest exporter of rolling stock from India. I mean I'm happy to let you know that this year, Government of India has given us award that in rolling stock and in heavy engineering, we are the number 1 in the country. So to -- I mean, this speaks about what we do. So, our market is domestic. In domestic, there is government and private. And till now, we have served around 16 -- 17 countries in the world. So -- and we are continuously focusing on the growt h of that business.
Hari Kumar: Is there enough demand to absorb our capacity in the international market, sir. Is there a lack of orders from the domestic market?
Sudipta Mukherjee: I didn't understand your question.
Hari Kumar: Is there enough demand in the international market, sir, to absorb our capacity? We don't have any domestic orders?
Sudipta Mukherjee: I still did not get it, but whatever I have understood...
Indrajit Mookerjee: What is your question?
Sudipta Mukherjee: Whatever I have understood, there are...
Hari Kumar: Is there enough international demand to absorb our capacity, sir?
Sudipta Mukherjee: Yes, yes, yes. That's what I have understood. So international demands are there. And because world over, there is a push to infrastructural development and to move to greener solution of transportation. So railway is one of the most greenest transportatio n and efficient transportation, which directly impacts the inflation and GDP growth.
So which I think there is a greater consciousness all over the world that w

e have to invest money.
And there is a lot of public investment, government investment towards that, which is helping the demand globally for rolling stock. The question is that how capable you are. And Texmaco, as I said, that we have done almost in all continents.
So we have the required certifications, capability and technical acumen to meet that demand.
And a significant portion, even if any, there is a -- somewhere -- some country, there is a low, we feel that we'll be able to make it up with good demand from the other part of the business -- I mean, export market.

Hari Kumar: The second question is regarding this 2 x 25 kV transmission. Like how is the government funding for that, sir, because it's a new segment. And are we in any monopoly situation or globally situation for sir, in that?
Sudipta Mukherjee: It's not a monopoly situation. Government has come up. I mean, you see that the electrification in India for railways is almost over. So this initiative in terms of the electrification, but this is an upgrade, which government is doing and the financial pl an and outlay has already been done.
The tenders have started coming, and we have started winning.
This is one of our -- and this business is growing significantly. So far, the electrical infra business of Texmaco is concerned, we have almost 2 years order book and the contributions are in higher teens EBITDA.
So I mean, although there is not a monopoly, but we have a very, very good, agile, efficient system or capability within the company to serve this, and this business will grow significantly throughout the network of Indian Railway. And here also, we are wo rking here in this sphere also, we are working for the export market, global market.
Hari Kumar: Thank you, sir.
Moderator: Thank you. In the interest of time, we will take this as the last question. And as there are no further questions from the participants, I now hand the conference over to management for closing comments. Over to you, sir.

Indrajit Mookerjee: Thank you very much. I would like to first express gratitude from all 3 of us, Mr. Rajgaria, Mr. Sudipta Mukherjee, our Managing Director and me for -- to all our investors for being with us.
I know that you have interest to the company, and I know that yo u would like to know what's happening to the company and how we are taking it forward.
So only thing that I would like to conclude by saying that come what may, the market, good, bad, fluctuating, cyclical, we are here for you to circumvent that and to take the business through irresp ective of the external factors.
And that's why the -- in the company, we make our strategies, we make our tactical plans. And I hope that we will not fail you. We will continue to deliver good results to you so that you feel comfortable remaining invested with us.
So with these few words, I would like to thank once again to all of you for your very patient hearing. Our investor relationships and our communication numbers are available with ICICI Security I -Sec. So through them, you are most welcome to address any qu estions, and we will be mor e than happy to answer to them.
Thank you very much, all of you.
Moderator: Thank you, sir. Thank you, everyone. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

13th February , 202 6

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code - 533326

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Monday , 9th February , 202 6 at 05:30 p.m. (IST).

The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp - content/uploads/2026/02/ICICISec -TexmacoRail -Feb09 -2026.pdf .

We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.

This is for your information and record.

Thanking you,

Yours faithfully,
For Texmaco Rail & Engineering Limited

Sandeep Kumar Sultania
Company Secretary &
Compliance Officer

"Texmaco Rail & Engineering Limited
Q3 FY26 Earnings Conference Call"
February 09, 202 6

MANAGEMENT : MR. INDRAJIT MOOKERJEE –EXECUTIVE DIRECTOR
AND VICE CHAIRMAN
MR. SUDIPTA MUKHERJEE –MANAGING DIRECTOR
MR. KISHOR RAJGARIA –CHIEF FINANCIAL OFFICER

MODERATOR : MR. HARSH SHETH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Texmaco Rail & Engineering Limited Q3 FY26 Earnings Conference Call hos ted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Harsh Sheth from ICICI Securities Limited. Thank you, and over to you, sir.
Harsh Sheth: Yes. Thanks, Rutuja. Good evening. On behalf of ICICI Securities, we welcome you all to the Q3 FY 26 Earnings Con call of Texmaco Rail & Engineering Limited.
Today, we have with us from the management, Mr. Indrajit Mookerjee, Executive Director and Vice Chairman; Mr. Sudipta Mukherjee, Managing Director; and Mr. Kishor Rajgaria, Chief Financial Officer. Without much delay, I'll now hand over the call to the man agement for opening remarks, which will be followed by the Q&A. Thank you, and over to you, sir.
Indrajit Mookerjee: Thank you. I'm Indrajit Mookerjee, Executive Director and Vice Chairman of Texmaco Rail & Engineering Limited. I'm meeting you this evening in the backdrop of a few significant events in the macroeconomics of India. The GDP growth has exceeded the projecti on and future looks to be promising. Manufacturing indices in most of the sectors have shown an increase. And the financial budget, which was placed on 1st of February, has been very promising with specific reference to the railway budget, which has got an increase of almost to the extent of about 10% to 12%.
And also, it indicates a long -term structural growth through infrastructure development, through safeties and through many other areas where we play or where we are going to play. And in addition to that, there are 2 milestone back -to-back FTAs with the 2 superpowers of the world, that is European Union and the U.S. The culmination of all these factors throw upon a humungous growth opportunity for the manufacturing segment in India, and we are going to be a part of it. While our Managing Director, Mr. Sudipta Mukherjee, will present the third quarter results, which are commendable under the challenging circumstances that the rail segments have passed through for various reasons.
We are also looking at various tangible short -term and long -term growth opportunities to gradually make ourselves more prone to the cyclicity of our core business. And this all will come up in Mr. Mukherjee's narration. I want to very clearly amplify that I am not meaning that we are moving away from freight business. On the contrary, we are making our business more robust with world -class manufacturing of wagons with world -class design.
We want to be a global player. We are happy to announce that we are in final stages of discussion with a few world -famous global majors in this area. And we are also strengthening our leasing business to attract private players. I think these are some of the very significant improvements which will come in course of time to strengthen our position in the core area in additio n to other businesses, which we will indicate to you.

So this would basically be our plan going forward, our way forward. I wish you will understand that a lot of hard work has gone in by our management team to continue to be the highest manufacturing company in the freight wagons and with the highest market share. We expect to deliver much more as time passes.
With these few words, now we have to get into the actual numbers of third quarter. And I would request Mr. Mukherjee, Sudipta Mukherjee

, our Managing Director, to take this with you. And then our team will be very happy to face any question and answers. Thank you.
Sudipta Mukherjee: Thank you, Indrajit. Thank you. Good evening, everybody. While in my deliberations, I would like to touch upon the various key aspects of the results as well as the way forward, we have envisaged for Texmaco 2.0.
So, coming to the quarter, for the quarter of FY 26, the company reported a revenue from operations of Rs. 1,042 crores. While this reflects a moderation compared to the same period last year, the performance needs to be viewed in the context of transient supply side disruptions and external headwinds affecting the sector and overall, as you all know, consideri ng the overall turmoil in the global scenario.
And EBITDA for the quarter stood at Rs. 102 crores, while profit after tax was Rs. 42 crores.
For the 9M FY26, revenue from operations amounted to Rs. 3,210 crores and EBITDA for the 9M period has been Rs. 313 crores. With an EBITDA margin of around 9.7%, while profit after tax stood around Rs. 136 crores.
These results capture the cumulative impact of operational challenges encountered during the year and particularly, of course, last couple of quarters across wagon manufacturing segment.

And also, you know that export business has also suffered due to the uncertain global scenario. The moderation in revenue during the quarter was primarily driven by lower wagon production levels in terms of the numbers of wagons produced arising from continued wheel set availability constraints across various types of wagon we were producing. And of course, a challenging export environment because last 3 quarters, we did not have anything to execute for the exports, which are actually commencing in this quarter, the fourth quarter of the financial year. The reduced turnover in the Bright Power divisi on also impacted quarterly revenues because in such a segment, you know that quarter -to-quarter, it cannot go up, it has its own cycle.

While revenues were impacted, the company maintained its cost discipline and operational efficiencies and fixed costs remained largely stable. As a result, EBITDA and PBT margins reflected short -term operating leverage pressures without any structural dete rioration in business fundamentals.

On the operation front, Texmaco delivered 2,027 wagons during Q3 FY 26, while the foundry division recorded volume of 7,646 metric tons. For the 9 M FY26, freight car deliveries stood at 6,176 units with the foundry Division achieved cumulative sales of 25,326 metric tons. The reduction in wagon deliveries of approximately 20% to 25% compared to the corresponding period last year is largely attributable to ongoing wheel set availability challenges, which we

faced from the Q1, which are now, of course, progressively easing, but not to the extent where we can improve it further.

But of course, the Texmaco mix of wagons remain favourable . And from the present quarter, there would be more numbers in private and as well as the export. The Foundry export business continued to face near -term pressures during the quarter, while you all know that there was a U.S. tariff pressure on us, which re sulted into 30% less export volumes compared to the corresponding quarter of the last year.

Despite these external headwinds, average realization per wagon has improved over the past 2 quarters, supported by a richer product portfolio, superior design integration and a more favourable product mix with a cost discipline, reinforcing our margin stability.

Now as I was mentioning about Texmaco 2.0 and to have a kind of vision in the way forward to have a 2x Texmaco created in terms of top line with a higher EBITDA margin in the coming 3 years. So we have made a strategic plan towards moving to that. And the strategy is, of course, to

strengthen the core businesses in and around our Foundry business, which have started looking good as well as strengthening the present freight rolling stock portfolio with reaching newer customers.

And as Mr. Mookerjee has mentioned that putting more impetus into the leasing business, which we are restructuring. We want to get into the following segments in the future, which is related to the financial outlay or the focus areas of the government in r ailway segment, including safety, which talks about Kavach. We are planning to getting into propulsion system and also into the urban mobility and metro and EMU coach manufacturing, including looking into the wheel set. And of course, there are a few other breakaway businesses other than being in the Railway segment, which also may include a kind going into iron pellet manufacturing and going into segments of mines. As on 31st of December 2025, the company's order book stood at Rs. 5,661 crores, providing a strong execution visibility for the coming quarters. The order book includes a balanced mix of projects across freight mobility, rail electrification and urban transit infrastructure, offering stability and diversity and a robust foundation for a sustainable growth as production normalizes.

The operating environment for the rail sector continues to remain supportive. The Union Budget 2026 - 2027, you all know, allocated a record Rs. 2.93 lakh crores. And with the segments of emphasis has remained in the infrastructure, which also include the electrification and a lot of outlay in terms of track capacity enhancement, including upward movement in mobility rolling stock segment.

These focus areas are expected to translate into sustained public investment across the network expansion of high -density routes. The policy environment aligned closely with Texmaco's strategic priorities as we love to say it as Texmaco 2.0. And with our s trong action plan in the coming days, which we will detail time to time to you over a period of year, we hope we'll be able to create and fulfill our dream of making 2x of today's size in coming 3 to 5 years' time.

On the ESG front, Texmaco remains deeply committed to sustainability and responsible operations. During the year, we commissioned a 10 -megawatt solar power installation at our Ola foundry in Raipur, significantly reducing our carbon footprint and advancing our renewable energy adoption.

Additionally, at our Belgharia foundry in Kolkata, we have successfully converted a high tension line furnace converted into LDO to LPG, which will lead to a further meaningful reduction in carbon emissions and also improving efficiency. In recognition of our operational practices and governance framework, CRISIL upgraded Texmaco's ESG rating from 50 to 51, placin g it in the adequate risk category.

ESG risk assessments and insights also assigned an ESG score of 43, reflecting a consistent progress across environmental, social and governance parameters the management have pursued very consciously. Looking ahead, Texmaco remains firmly focused on execu ting its growth strategy through an integrated operational base, strategic partnerships and continuous innovation.

As we leverage our operational strengths, expanding capabilities and global collaborations, we remain committed to disciplined execution, operational excellence, safety and adherence to global standards. With a strong emphasis on rail electrification, metr o rail, freight mobility and next-generation rail, we continue to work towards creating sustainable long-term value for all our stakeholders across Indian and international market and try to make our company an admirable entity to provide railway solutions and beyond. Thank you very much, and we would be happy to answer any questions.

Moderator: Thank you very much . The first question is fro

m the line of Sucrit Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit Patil : I have 2 questions. My first question to Mr. Sudipta is, looking ahead, how do you see Texmaco balancing between expanding wagon manufacturing, diversifying into engineering projects and protecting the profitability. As demand from railways and infrastruct ure evolves, what will guide your decision on which of these areas should get the strongest focus in the coming quarters? That's the first question. I'll have the second question after this.

Sudipta Mukherjee: Thank you, Mr. Pati l. As we have tried to explain to you, I will be more direct in this. So in terms of capacity, we have been delivering highest number of wagons to Indian Railways so far. And we can produce around 12,000 to 15,000 wagons, including various models. But this product mix were predominantly, of course, for a long -term contract from Railways remained more focused towards the Indian Railway. But we are consciously working to improve our KT I mean, in the Indian Railway, while we remain the highest supplier, but also trying to make a better mix of private and other export wagons.

And other than that, Foundry will remain a strong focus for us because you know that we have been one of the company who are the largest exporter of Foundry goods, which were a little bit into trouble due to tariff issues a couple of quarters. But I'm happy to let you know that the supply has already resumed this quarter, and we feel that we can multiply at least 2x in the coming 3 to 4 quarters' time.

While I say the figure, historically, we used to export around 5,000 metric tons. Now the asking rate or the schedule we have got of supply is around 7,500 metric tons, and we are in a process of working to take it towards 20,000 metric tons, which is a si gnificant growth in terms of the Foundry. Our electrical infra and other infrastructure division, where the government outlay of fund is huge, is turning around, and we look forward to have a very significant meaningful growth with higher EBITDA in the co ming quarters.

Other than that, as a few pointers I have mentioned to you that the company has made , I mean, we have worked hard to make certain strategies in and around wheel sets, the passenger mobility and also the safety where the government fund outlay is, I mean, consistent and rising.

So those will be our area of focus and make it into implementation and quickly make a plan to turn into kind of turnover generating machine other than we are getting into a global capability center, which is backed by huge capability expansion in way of im proving on providing the service of design and working for the company as well as beyond. That we want to start that in next 2 quarters, we believe we have got some orders. It will start generating income for the company.

And of course, we are also going for some breakaway businesses that we have thought of into the areas of iron pellets and mines, which will also give us an opportunity to connect our end customer who eventually buys rolling stock. And these are the areas w e feel are of significant growth areas, and we have our plan ready to generate income from it very quickly in few quarters' time.

Sucrit Patil : My second question to Mr. Kishor is along the same lines again. As Texmaco plans for the next few quarters, which financial signals or metrics will be most important in guiding your decision on cost control, working capital and capital allocation for the n ewer projects? How do you see these levers shaping the company's ability to protect the margins and deliver sustainable value as the railway and engineering business grow?

Kishor Rajgaria: Yes. We are continuously working on cost control and cost improvement. Even if you have seen our direct cost is slightly improving. So we are

reducing the cost. And going forward, we will be looking up on the businesses with better margins.

Sucrit Patil : Sir, can you just share some more insight on how are you managing this, just want to understand that particular thing?

Kishor Rajgaria: Yes, we are focusing on our major purchases, and we are having better control, better monitoring, better negotiations and reducing our purchase costs. And apart from that, we are also trying to moderate our fixed costs wherever possible.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, we are planning to get into propulsion systems, EMU and brakes and all. And I just want to understand what kind of investments we are going to make it. We are going to do it alone or we are planning with the partnership or JV to enter into these ar eas to get more clarity on that?

Sudipta Mukherjee: So a few things , I mean, the things are on a progressive stage, but right at this moment, I cannot be definite to you. But maybe before the next call, a few of these will be clear and will be communicated. Of course, somewhere we need a collaboration, which we are actively working. And somewher e we have an organic advantage.

And while we are planning all of this, we have kept our mind very clear that there will not be disproportionate outlay of capex is beyond our capacity, but it will be very sensible, robust and justified and will ensure bringing back to the value to the shareholders or EBITDA improvement on the best possible quickest way. So we have some innovative plans in mind. We'll come back to you time to time. We will get to know very soon.

Balasubramanian: Okay, sir. So I think our order book of Rs. 5,661 crores like what is the breakup like in terms of rolling stock, rail infra and non -rail segments? And for government tenders earlier estimated Q4 FY26 or Q1 FY 27. And is it in pipeline or we can expect more delays on that government tender side? And the tender is delayed because of wheel set supply issues, sir?

Sudipta Mukherjee: I'll just get you the last point of it that whether the tender is delayed due to wheel set or not, I don't think so. But it would be very difficult for me to comment that why it is delayed. We are very confident that railway requires specific wagons based on their mission to have higher model share of railways and which we have no other option but to go for. But we were expe cting last couple of quarters, but we still believe that it will be very soon coming in and wheel set cannot be constant for this.

Balasubramanian: Okay, sir. And sir, the breakup of order book in ter ms of rolling stock, rail infra?

Sudipta Mukherjee: Yes, Kishor is explaining to you.

Kishor Rajgaria: Yes. Regarding the wagon orders, we have about 3,000 numbers of wagons, about 1,400 private and 600 for export. So about 4,900 numbers of wagons, we are having orders in hand. Apart from that, we have for our rail electrification Rs. 1,500 crores worth of orders and rail infra, Rs. 511 crores.

Balasubramanian: Okay, sir. My last question, we have a partnership with like a Hormann Germany. I just want to understand how we are going to leverage a global rolling stock design and manufacture range? And what is the addressable market for passenger mobility solutions? And like what is our internal target to capture those opportunities?

Sudipta Mukherjee: So these are all building block initiatives Texmaco was working with a conscious mind to build the capability within the organization and to serve in a better state. So Hormann is a company you know they are as a design solution provider right from bogey to passenger train. So this helps us to get into the busi ness with much more confidence that we have a globally acclaimed company supporting us in the initiative. At the same time, we ex

pect that this will feature kind of revenue generation in terms of our global capability center, which we are working.

Balasubramanian: Yes. Sir, under the private wagon side, if you could share some sense on which are the sectors we are getting demand from, especially for private wagons. It's like cement, steel, if you could give some more details, espec ially on the private wagon side?

Sudipta Mukherjee: So your company is the most equipped company to make most number of varieties and serves all segments, like as you have very rightly mentioned, cement, steel, coal, container, petroleum, gas and automobile. And if you talk about that, which are the sectors which are the demand on

private in India, we find it in steel, cement and automobile currently.
And also, I'm happy to let you know that 2 types of multimodal wagons have come up in the Indian market. And that is a freight multipurpose wagon and a container multipurpose wagon.
And today, Texmaco is the only company who has produced successfully the prototypes and supplied for the design validation of that wagon.
FMP already has started generating revenue for Texmaco and the CMP, we expect a huge market and the policy to come around and is also going to be of heavy demand. So one is the 2 multimodal type and another is automobile, steel and cement. These are the ar eas we feel are going to grow significantly and also the container train wagons.
Moderator: The next question is from the line of Rajesh Bhandari from Nakoda Engineers.
Rajesh Bhandari: You had mentioned that our order book is Rs. 5,661 crores, in which you said wagon Rs. 3,000 crores, Rs. 1,400 crores and Rs. 600 crores for export, which order did you say is 1500 crores, sir?
Kishor Rajgaria: No, no. Our total wagon order is Rs. 2,200 crores and then apart from that, I said we have Bright rail electrification about Rs. 1,800 crores, rail infra Rs. 511 crores and others is about Rs. 1,000 crores.
Rajesh Bhandari: Okay. Okay. Okay. Sir, how far do you expect to benefit from the trade agreement and the budget?
Sudipta Mukherjee: We are hopeful, as I have mentioned in relation to our Foundry business in U.S. So we find it is in line with our ambition or target for which we were working last more than a year. So this is going to help us definitely in terms of taking the Foundry business to a different profit center and multiply our revenues. And also, you know that we have a European joint venture for wagon manufacturing.
And we are also now getting into a kind of work related to refurbish locomotive while we give a service to our overseas customers. So there are a lot of opportunities with Europe in terms of components. And also in our growth business, as I have mentioned, Texmaco 2.0, the items which I have mentioned may have a significant role of some European companies to work with us in the ecosystem.
Rajesh Bhandari: Sir, what can we expec t in the next two years? Turnover will go double for Texmaco?
Sudipta Mukherjee: I would like to say that we should be , as I say that the ambition is, of course, to make it 2x in next 3 to 4 years' time. But the actions you will see all of this around within next financial year's time.
Rajesh Bhandari: When will the situation of the wheel improve, sir?

Sudipta Mukherjee: So far, the government supplies are concerned, it is consistently getting better, but there are certain surprises, which are, of course, putting us in a difficult situation sometime. But I hope that it will continue to grow in terms of the railway is conce rned. And while we are focusing on improving our product mix of non -railway customer, and we feel that's how Texmaco will take care and solidify its position and for improved rolling stock , I mean, freight rolli

ng stock wagon.
Rajesh Bhandari: So next 2 quarters will be better?
Sudipta Mukherjee: I think better because one of the better thing is that we are starting our export wagon from the present current quarter again. So this is a good way of hope, and there is a good pipeline in the horizon, which is making us feel better and confident that we are moving in the right direction.
Rajesh Bhandari: Sir, I have a question. We have bought Jindal's technology in Rs. 650 crores. It's been two years, sir. So Rs. 180 crores is almost its interest. Have we earned anything on this Jindal technology for wagons?
Sudipta Mukherjee: It's not about Jindal technology, we bought it for synergies, which we have always mentioned that other than Texmaco, that is one of the company who were working on new designs of wagon and it had certain specific niche areas in which it was working. And I can say you that being part of Texmaco and it has further flourished. And we have a few leadership position today like in the automobile wagon in certain steel wagons.
And it is quite right on track. And the expansion which we have planned in and around it is definitely in the right direction. And the EBITDA percentages also we are earning from that is better. So we are avoiding to make any, per se, the railway wagon fro m there, but it has also added a flexibility in terms of our getting orders for private and export markets and delivering complex solutions.
Rajesh Bhandari: I have a question is sir, are we into Metro coach also?
Sudipta Mukherjee: We are planning to get in. It is on the agenda.
Rajesh Bhandari: But we are already doing furnishing?
Sudipta Mukherjee: So we have a furnishing company now. We have a design collaboration. We are getting into the bogey part of it. We are planning to go into the manufacturing of the passenger coaches also.
Rajesh Bhandari: Like Titagarh is doing?

Sudipta Mukherjee: Difficult for me to answer this. It's not like anybody, I can say that our model is different.
Indrajit Mookerjee: We can say what we are doing. It's very difficult for me. One of your questions, which you asked about Jindal, Kishor has an answer.
Kishor Rajgaria: In last 21 months, we have earned profit before tax of Rs. 230 crores after paying interest.
Indrajit Mookerjee: So it looks to be a very good buy, Rajesh ji.

Rajesh Bhandari: That is the indication?
Indrajit Mookerjee: If we do NPV, IRR will be good .
Rajesh Bhandari: When will Metro Coaches come? Passenger coach and all that?
Sudipta Mukherjee: We are taking actio n to work around it, Rajesh ji. It is difficult to say today.
Rajesh Bhandari: FY2026-2027 financial year?
Sudipta Mukherjee: Let us keep our finger crossed with your best wishes. Let's try it. Your company is preparing hard.
Rajesh Bhandari: Yes sir, that is there…
Moderator: Sorry to interrupt Mr. Bhandari. May we request you to please join the queue. The next question is from the line of Sunan B hunia, an individual investor.
Sunan Bhunia : Sir, I have only one question in my mind. So over the last 6 financial year, my company is having cumulative EBITDA of around Rs. 1,625 crores. But cumulative operating cash flow is only around Rs. 50 crores, sir. So in simple terms, we can see that EBITDA is growing, but not the cash. So in the future, what strategies my company is taking so that we can see the reflection of more operating cash flow compared to EBITDA ? That is my question.
Kishor Rajgaria: If you have seen in previous 6 years, so our turnover was very low. So we have increased our volume and also our requirement for working capital and this you have seen we have acquired this Texmaco West and all. So that is why in past, you are seeing most of the EBITDA we have used and our remaining cash flow is low. But going forward, we will be getting bene

fits out of
this. So operating cash flow will improve.
Moderator: Does that answer your question, Mr. Sunil. As there is no response from the participant, we'll move to the next question, which is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So a couple of questions from my side. First, I mean, the wheel set issue is now going on for more than a year. So currently, I mean, against your desired or against your demand, what is the quantum that you are getting from the government? I mean are we g etting 70% of our demand, 80%, 90%, where exa ctly is that number currently?
Sudipta Mukherjee: So if you see that as per the asking rate of the government wagon supply, it matches. But as per the asking rate or the performance company has shown, so in that level, it would be in the range of 60% to 65%.
Parvez Qazi: Got it. And secondly, your views on wagon tendering from railways, would you expect something to come in, let's say, first half of FY 27? Or do you think this can spill over to the second half of FY 27?
Sudipta Mukherjee: That will be completely a guess work, but my heart and head says both in a combined way that it should come up because you see that we as a country and the railway is very bullish about

improving the freight performance, which Honourable Minister has also remarked that railway wants to improve.
And while we have various challenges of track congestion and all of these, so many things are coming up. But we feel that to meet up the modal share, it is absolutely necessary to get into the finalization of the tenders. Which is also the quantity is such, whatever is required as per our understanding of the requirement to reach to 45% plus mod al share is not going to be small.
So it will be consistent over the next 5 to 7 years. And of course, quite rightly in the last budget, the focus was on decongesting the track and creating capability. It is understandable. But quite substantial work, I think more than 97% is the near appro ximately the achievement of the budget.
So we are hopeful that now it will come very soon. And I mean, of course, it seems a little overdue, but yes, it should come many anytime soon. But 3 months or 1 month is very difficult for me to say or guess.
One thing, Parvez, I would like to add is that there is a good traction going on, on the private sector, as one gentleman has pointed out because you know that to continue the momentum, we need to improve on the logistic efficiency of cement, steel and all of this and auto car. I mean, we are finding a great traction. And we feel along with the public spending money, there will be a lot of investments expected, right, starting from this year to the coming years from the private sector on wagon purchase. Th at's why we are also focusing very consciously on improving the

capability of our leasing business.
Moderator: Next question is from the line of Sandeep Mukherjee from SKP Securities Limited.
Sandeep Mukherjee: Sir, my first question is like what is the 9 M production volume at Jindal?
Kishor Rajgaria: Yes, it's about 900 wagons.
Sandeep Mukherjee: For the 9 months, sir?
Kishor Rajgaria: Yes, yes.
Sudipta Mukherjee: We were doing all specialized wagons there. And which are in nature of automobile wagons and some of the specialized steel rigs. So we cannot judge our performance in terms of the number of wagons produced. It is like something special.
Sandeep Mukherjee: Right, sir. And sir, my next question is like what is the 9 -month capex spend and next year target for the capex ?
Kishor Rajgaria: On 9 months, we have spent about Rs. 40 crores till now and Rs. 40 crores is under commitment.
Sandeep Mukherjee: For the next year, right, sir?
Kishor Rajgaria: No, this is for the 9 months, I'm saying. Next year, we are working on.
Sudipta Mukherjee: We would sp

end this year projected about Rs. 75 crores, Rs. 80 crores in that range.

Sandeep Mukherjee: Okay. Okay, sir. And what is the total debt on the books as of 9 months?
Kishor Rajgaria: Just a minute. It's about Rs. 800 crores.
Sandeep Mukherjee: Rs. 800 crores, yes?
Kishor Rajgaria: Yes.
Sandeep Mukherjee: Okay. And sir, finally, if I have heard you correctly, sir, the order book split is like 4,400 wagons in total and for electrification, it's Rs. 1,500 crores.
Kishor Rajgaria: Yes. Wagon, I said It's about 4,900 in number of wagons. And in volume, it is Rs. 2,140 crores in value.
Sandeep Mukherjee: And sir, electrification is around Rs. 1,500 crores?
Kishor Rajgaria: Rs. 1,800 crores.
Sandeep Mukherjee: Rs. 1,800 crores. And Kalindee is around Rs. 511 crores.
Kishor Rajgaria: Yes.
Moderator: The next question is from the line of Darsh il Jhaveri from Crown Capital.
Darshil Jhaveri : So just wanted to understand like how do we see FY 27 as like assuming the mega order from railway that's anticipated doesn't fruitify in the first half at least, so how do we see our run rate going on? Because we have a decently sized order book right now. But that, I think slowly has now our order like t hat would not even cover our full year revenue, right, from the way we are going right now. So just wanted to understand, sir, like how do we see FY 27 because even if the mega order comes, we will not be able to execute a lot of it in FY 27, right? So just wanted to know, sir, in terms of revenue and margin, how do we see that, sir?
Sudipta Mukherjee: So we have an order book in terms of freight rolling stock in this asking rate is nearly for 2 quarters. In the pipeline, of course, we find there is enough traction to have everything near a 2 - quarter capability. Beyond that, we expect there would be cert ain orders which will be a little long term, which will spread over the next financial year.
And in the next financial year, other than the rolling stock, we find that our foundry will come up in a different league so far the supplies or turnover or contribution to the bottom line is concerned as well as we also are very confident that our Infrast ructure division will come up with greater top line and better bottom line. And also a few of the new businesses will start generating money, which is in focus. So we'll be progressively reporting to you, and we are confident about this.
Indrajit Mookerjee: Yes. We don't expect that our wagon production will come down because we will keep on getting orders. Right now, as Sudipta says that we have part of the half of the year, we already have covered. And I'm sure we will get some more orders and our leasing business is being

restructured. So we have a great opportunity on private orders. We already have export orders, which are not there .
Sudipta Mukherjee: It's not in this book.
Indrajit Mookerjee: So in this book, it is not there. So we will have some export order, which is in the pipeline. We haven't got the confirmed order, but it's in the pipeline. So we see that wagon numbers will remain same. But in addition to that, we have special efforts by which the Foundry business will go up, which is Foundry as casting, not Foundry as backward integration. So this foundry is as a profit center. So we expect that volume will go up because there are customers getting lined up.

Some of it will be export also. In addition to that, as Mr. Mukherjee has already mentioned that there will be some nonconventional, which I will not say noncore, but I would say that other segments in which we are also developing. So that will take about 5, 6 months. So by this time, we have the wagon orders and already we have the wagon orders for next 6 months or so. So we'll have n

ew wagon orders, new wide -diverse business. So I don't expect that we will be doing anything worse.

Darshil Jhaveri : Okay. Okay. So even if the order flows are delayed by the Indian Railways, we expect FY 27 to be able to at least match FY 26, if that's something that you are looking ?

Indrajit Mookerjee: Projective right now, but I can only give you a projection. We can't give you numbers, but the projection.

Darshil Jhaveri : No, no. I'm just asking maybe qualitatively also, like...

Indrajit Mookerjee: Qualitatively, it's a challenging time, but we will make it. We expect to make it. I say we expect to make it.

Darshil Jhaveri : Yes, sir. And sir, just wanted to ask like have you released the presentation for this quarter because when we joined the call, I couldn't see it on stock exchange. So I just wanted to know about that because we have so many moving parts in our business, t hat's really helpful when we have a presentation.

Kishor Rajgaria: Yes, we will be uploading it by end of the day.

Darshil Jhaveri : Yes. Okay. Okay. Fair enough, sir. And sir, I just want to know like the new areas and everything that we are looking at, sir, so anything specific like when you want to say about the export side because European, we were talking a bit about refurbishment and everything also. But any big orders you can expect from the European government coming up, like any country, government orders or like do we have the capability? Or is there anything in pipeline regarding that? Because Indian Railways it's been slowing down, right? And when we have the capability and technology to serve the full world, any big order from any foreign country we're expecting, especially in wagons, sir?

Sudipta Mukherjee: The answer is yes. But I'm not able to disclose it right now that which part of the world. And that is related to export of rolling stocks. And a few of the things which we are also expecting, as we are trying to mention to you in indirect terms that we ar e hopeful on qualitatively that something , some newer areas and some new orders and some new arrangements , you will get to hear in a couple of weeks, I believe.

Moderator: Ladies and gentlemen, that will be our last question for today, which is from the line of Hari Kumar, an individual investor.

Hari Kumar: One major question from me, sir, regarding update on RVNL JV, which was expected to be very huge. And the second question, sir, regarding this infra segment, when are we expect to turn the corner, sir?

Sudipta Mukherjee: So the RVNL JV was done and the shareholder agreement is to be done. So both the teams are working k eenly, and we expect that we'll be able to close the loop very soon. And number two is electrical infra part of it is doing good, and it will continue to do good. And the other part of the infra, which is of infra green energy, that's also turning around.

So whatever aberrations we were seeing, it is from the legacy contracts. And as we have mentioned to you and assured you that is going to get over by next year, sometime, we are trying to close as fast as possible, particularly one of the projects, which i s due to geopolitical reason, we could not close it faster. But we are trying hard to finish to reach the finish line. And the balance, whatever is new happening is coming up very well. And we believe that by next financial year, it will start contributing positively.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Indrajit Mookerjee: This is Indrajit Mookerjee. Before Sudipta concludes the today's session, I would like to thank all our investors and all those who are interested in Texmaco for giving patient hearing. I know that most of you are a little worried because the wagon market seems to be not as

buoyant as it was about 2 or 3 years back. But we can assure you that here, you have a very active and dynamic management, and they are not leaving any stone unturned to change th e situation.

We are constantly working on to develop our wagon business and bringing in other business lines so that we can satisfy the expectations of our investors. And we continue to do that. We will continue to show our performance not only in terms of volume, but in terms of cost actions, in terms of productivity actions. So a lot of things are going in and gradually you would see some of them are coming. So having said that, I would request Mr. Sudipta Mukherjee who is putting , he and his team is putting all his best to turn around, to do well in this kind of a situation,

which I don't think is not going to be bad. It's going to , please keep hope, it's going to be good.
So I hand over to Sudipta.

Sudipta Mukherjee: Thank you. Thank you, Indrajit. Thank you, everybody, for your patient hearing and the very good thought -provoking questions. So only thing I can tell that in Texmaco management, we have very consciously worked hard.

We took a little time to weigh our ways because we never wanted to be flashy and only do something for the sake of doing it. And as Mr. Indrajit Mookerjee just mentioned that we wanted to be staying significantly relevant to the stakeholders. And we have a plan in hand and a task in hand with work plan actions written down around it.

And we spoke to you, gave you a hint because we wanted to always deal with transparently and convey our messages clear. While our focus will remain on the freight rolling stock business to make it more efficient with our design innovation and offerings to make it more competitive, cost compe titive, and earn higher EBITDA.

But at the same time, we are very, very keen and determined to get out of the cyclicality of the businesses and to grow. And in this buoyant economy, which is being paved by the government's various good initiatives and the unique global scenario today, your company is very keen to encash this situation.

And with our backup plan, I reiterate that we want to at least make it 2x keeping our finger crossed, getting into all the businesses in the most possible, cost -effective organic way to bring the value and pave the path for Texmaco 2.0, and which would be not far away. And I mean, we'll be continuously getting into the information, and we'll let you know time to time various developments we have achieved. Thank you for keeping faith on us, and we are here to deliver now.

Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Notes: 1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

2. Figures have been rounded off for convenience and ease of reference.

Call: May 2026

19th May, 2026

National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Symbol -TEXRAIL BSE Limited
P. J. Towers,
Dalal Street,
Mumbai – 400001
Scrip Code – 533326

Subject: Transcript of Investor Call - Disclosure under Regu lation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sirs,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of the transcript of the Conference Call with analyst / investor(s) held on Wednesday, 13th May, 2026 at 02:00 p.m. (IST).

The same has been uploaded on the website of the Company i.e. https://www.texmaco.in/wp-content/uploads/2026/05/TexRail-Investor-Meet-Outcome-13052026.pdf

We would also like to confirm that no unpublished price sensitive information was shared / discussed during the Conference Call.

This is for your information and record.

Thanking you,

Yours faithfully,
For Texmaco Rail & Engineering Limited

Sandeep Kumar Sultania
Company Secretary &
Compliance Officer

Encl: as stated above

“Texmaco Rail & Engineering Limited
Q4 FY '26 Earnings Conference Call”
May 13, 2026

MANAGEMENT : M R. INDRAJIT MOOKERJEE – EXECUTIVE DIRECTOR & VICE CHAIRMAN
M R. SUDIPTA MUKHERJEE – MANAGING DIRECTOR
M R. PRAMOD GUPTA – GROUP CHIEF FINANCIAL OFFICER
M R. KISHOR KUMAR RAJGARIA COMPANY CHIEF

FINANCIAL OFFICER
MR. SANDEEP BANKA – DEPUTY CHIEF FINANCIAL
OFFICER

MODERATOR : M R. NAVIN SAHADEO – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Earni ngs Conference Call Q4 FY '26 of Texmaco Rail & Engineering Limited hosted by ICICI Securi ties. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistanc e during the conference call, please signal an operator by pressing star then zero on your touch-tone pho ne.
I now hand the conference over to Mr. Navin Sahadeo fro m ICICI Securities. Thank you, and over to you, sir.
Navin Sahadeo: Thank you, Shailendra. Good afternoon, all. I welcome you a ll to the Q4 FY '26 Conference Call of Texmaco Rail & Engineering Limited. From the manage ment, we have with us Mr. Indrajit Mookerjee, Executive Director and Vice Chairman; Mr. Sud ipta Mukherjee, Managing Director; Group CFO, Mr. Pramod Gupta; Company CFO, Mr. Kishor Ku mar Rajgaria; and also the Deputy CFO of the company, Mr. Sandeep Banka. So without any f urther ado, I hand over the floor to the management for their opening comments. Over to yo u, sir.
Indrajit Mookerjee: Good afternoon, everyone. This is Indrajit Mookerjee. It's always been pleasure talking to you every quarter. This also will continue like this, and you will have more pleasure when we talk because of our advancing and our growth. So having said th at, I'd like to welcome once again to today's earnings call of Texmaco Rail & Engineering Limi ted. We shall be predominantly discussing the financial performance for the quarter just pas sed, which is the fourth quarter and the full year results of financial year '25-'26.
We will also discuss with you of our growth plan and so me of the milestones, which we are achieving or we are yet to achieve. The financial results a nd presentation materials have already been filed with the stock exchanges, and I'm sure that you ha d the opportunity to review them ahead of our discussion today. During quarter 4 FY '26, we de monstrated strong operational performance, reflecting the effectiveness of our focused exe cution, disciplined financial management and commitment to our long-term growth strategy.
In spite of various challenges, we continue to improve our operations, maintain stability and drive value for our stakeholders. We are steadily enhancing ou r position as the leading provider of rail and infrastructure solutions. And with the expa nding range of capabilities across manufacturing, engineering, rail systems, technology-dri ven services. These efforts reinforce our vision for sustainable growth and our dedication to mee ting the evolving needs of our clients and the market.
Having given a brief overview, let me take you through some of the important parameters or some of the important performance parameters of Q4 of FY '25, '26. We reported a revenue from operations of INR1,167 crores, although it's reflecting a 13.3 % compared to the same quarter last year, which you know, and we have explained earlier why it happened primarily due to the challenging marketing conditions. Despite these difficult co nditions, which all of you know, despite the revenue drop, the [Inaudible 0:04:38] resilien ce.
EBITDA for the quarter stood at INR116 crores, which is abou t 10%, which represents a year-on-year improvement of almost 1.2%. Profit after tax stood at INR58 crores, reflecting a PAT

margin of 5%, which also is an increase of 206 basis points compared to the same period last year. Additionally, direct expenses decreased 0.8% Q-o-Q, which really made us to turn out the starling performance, underscoring the success of our ef ficiency and effectiveness improvements.
These margin expansions highlight our ability to manage c osts effectively, improve profitability under these

circumstances. Now let me turn into the fina ncial year. In the financial year of 2026, we reported a revenue from operations of INR4,377 crores, which once again is a decline of 14% compared to the last year. From the profitability perspe ctive, EBITDA for the year was INR450 crores with an EBITDA margin of 10.2%, while profi t after tax was INR194 crores, translating into a margin of 4.4%.

In our conference, in our investors call earlier, we had mention ed that one of the very major impediments that we pass through is because of challenging positions -- in the supply chain with a special emphasis to availability of wheel sets, whic h hampered our performance in the quarter 1 of FY '25-'26. Performance during the year was impacted lower [Inaudible 0:06:53] as I said, because of supply chain issues.
And rail and green energy, which we normally call our Kali ndee division's performance. However, the good news is that the Infra, which is the electri fication business, which also we term as Bright Power division has grown by 66% to a revenue of INR6 10 crores with an EBIT margin of 10.8%, and it shows phenomenal growth for days to co me.
The company has remained focused on maintaining a str ong balance sheet, driving cost optimization. throughout the year. And as a part of this st rategy, our cash flow improved. The net debt decreased to INR444 crores, reflecting a disciplin ed financial management and a focus on reducing leverage. The net debt-to-equity ratio impro ved from 0.22 in FY '25 to 0.21 in H1 of FY '26 and further strengthened to 0.18 in the end of FY '26.
This consistent reduction in debt levels underscores o ur commitment to enhancing financial stability, ensuring long-term growth and improving sharehold er value. It puts us into a unique position to satisfy our growth aspirations for the coming years. On the operational front, we delivered 2,196 freight cars in Q4 of FY 2026, while the F oundry division recorded a total volume of 8,964 metric tons.
For the full year, company delivered 8,372 freight cars, whic h could be lower than last year, where we had a record numbers. But still, we are one of the top primary manufacturer of freight cars and possibly one of the high market shareholder. The Fou ndry division achieved a 34,000 metric ton performance. The performance of both the quart er and the year-wise was impacted strongly by global supply chain disruptions, which affect ed production schedules, shipping transportations on export.
Imposition of U.S. tariffs also destabilize some of our very strong business with the U.S. And these have had, no doubt, some amount of adverse effect on our volume, which, as you understand, could was beyond our control. There is one more su bject which I have to say to you

that you would have noticed from our published results that th e company has created a provisions for contingencies of INR700 crores from its free results.
We would like to talk about this before we discuss all other exc iting [Inaudible 0:10:20] around adjacencies and breakaway growth business. In context of ong oing geopolitical tension and trade uncertainties, which includes energy supply, shipping, tran sportation, supply chain, we have seen instances of large contracts not meeting their ex pected outcome due to these uncontrollable external factors.
Keeping in mind of the volatile and uncertain macroeconomi c situation, the company wanted to start the next phase of Texmaco or transformation of Texmaco, as you can call Texmaco 2.0 journey with adequate safety net. Accordingly, as a risk mitigation measure, our Risk Management Committee, Audit Committee and the Board and t he management decided that it would be most prudent to make a contingency provisions against any possible unforeseen circumstances. I must tell you that this has no cash impact because of this provision.
It is

an exercise in strengthening our balance sheet a nd improving our risk-taking capability as we bid to win large contracts. Overall, the company believ es the provision enhances financial resilience transparency, which is very important, long-ter m sustainability, while preserving visibility of the underlying operational performance and s upporting continued growth. In this respect, I also must say that there's a huge amount o f claims for our projects, which are pending. And these are the ones, which takes a little bit of time. So we n eed to hold some patience.
The company believes that this contingency provision is a maximum potential risk under the worst-case scenario, as we get more visibility of imp lementation of the ongoing and the future contracts and realizations of significant claims that it has in relation to the ongoing project, there will be scope for potential savings out of these continge ncy provisions. And I already have mentioned of some huge claims also, which are lying, whi ch we are working on with our customers.
You would also have noticed that the statutory auditors h ave thus qualified their report. This has been done only on account of provision being adjusted against the free reserves instead of taking it from the profit and loss account, which we think we're taking out of the reserves is the right thing to do and as the contingency provision is not relate d to any specific risk or within any specific time frame.
As we commence our journey for FY 2027 with a refreshed s trategic path, we are looking forward to scaling the railways business profitably even as we complement its cyclical nature

with nonlinear growth drivers across new and nascent industr ies. Dear investors, I think there are great stories to say because it's just a story, it 's reality. Our future looks absolutely strong, and we are sitting on a very strong solid foundation.
As we go forward, you will see that while we are excell ing our dependence on the wagon industry, we also are ensuring at the same time that ou r overdependence is reduced because of the cyclical nature of the industry. We thus have our s uccessful move into EPC projects, railway-related projects, adjacencies and also a few other rela ted growth areas.

And I think there is no one else, who should be able to narrate this to you other than the person, who is making it to happen. So I would like to hand it ove r to our Managing Director, Sudipta Mukherjee, to tell you what we are doing, how we have all as a te am agreed into a vision 2030. And this is just not a vision, it's becoming a reality day by day. You will hear more good news about it. So Sudipta?
Sudipta Mukherjee: Thank you. Good afternoon, everybody. It's always a pleasur e to connect with you. So you must have noticed or seen the document we have uploaded as a presentation and the vision and the way forward for the company. But to explain the rationale and to pass to you the underneath thinking, thought that we use this platform as a kind of interaction and a kind of speech from our end.
So I mean, of course, while we are continuously doing and growing in t he core segment and we are differently approaching it. So in the whole theme of i t, what we have identified that, of course, the predominant thing the freight rolling stock and its components, while we have a robust market, domestic market in India, but it always goes through such cyclicalities, which sometimes takes it upward and sometimes.
I mean, you need to take a back. So we, as a company, I me an, considering the present situation, we, of course, have to grow. And the theme which we have picke d for us is, of course, that we, as a company wants to grow in the top line at least 2x. And of course, one of the large and biggest focus that we wanted to have that we take our bottom line or the EBITDA percentages mid-

teen
and above.
So considering all of this, we took time and crafted very car efully after a thorough study, a kind of a plan, which we call that Texmaco 2.0, where we have c onsidered all kind of risks, which could come in and what is the volatility or whatever. And in that way, we have divided this theme into primarily 3 parts. One is strengthening the core . Why we need to strengthen the core because this is one segment. Of course, we admit that t here will be effect of cyclicality. But if we see that the relevance of railway cannot go away.
And in the present circumstances overall, such an eff icient and sustainable energy solution, where it has always a positive impact on the commodity p ricing or the GDP growth of our country. So it will always be relevant. And that's why we thought of focusing more and more on the capability of us and of course, derisk the business, whi ch we call as a strengthening the core.
So strengthening the core is, of course, will also involve certain inclusions of certain product lines, having the design and engineering capability and also to reach to newer regions. And second theme of the vision is, of course, this synergistic di versification in the way forward that how we take the company to multiples of the top revenue and the gr owth.
So there, of course, we have carefully analyzed that what i s going to change in the way forward and the fund flow so far the government expenditures are concerned. And we all know that there is a huge reliance and importance and fund allocation is happening in and around the safety and network of the railways and also in and around the passenger mobility segment. So in the whole ecosystem and while we have an infrastructural division, whic h is now has a tailwind of growth.

So we always have felt that rather than having [Inaudible 0:19:46] certain technology products within the company, which gives us leverage and advanta ge to work around the ecosystem and the supply chain. So while we are remaining dedicated to g ive a total solution in and around the passenger mobility or the railway safety network.
So there the focus is, of course, also to have the propulsi on and also to have this -- I mean, other power electronic items and also in signaling, including Kav ach and electronic interlocking, MSDAC, DPWIS. So all of this makes us a more complete and a strategic player, where we have more control over the ecosystem while we deliver or commit to deliver. Then of course, we felt that railway has always remain very efficient, lucrativ e, sustainable business vertical, while we

want to focus.
And continue to focus and work together, making us a pr ominent technology company in and
around that. We felt that in the whole process of it, we needed to also look for a kind of a breakout
diversification, which actually helps us mitigate a lot o f risks and we can always find out some
sunshine sector. And which is also on a technical maturity index, maybe sounds a little breakout,
but there is a lot of integration on the engineering side of it.
So we chose defense as part of it. Of course, we have focu sed on the digital business, while we
have launched our global capability center and that we have now -- of course, you all know that
we have launched a platform called Invariz.ai, which is powe red by ServiceNow, which is one
of the global largest company and also who works for companies like NVIDIA and all.
And we are taking the integration support of AI through tha t. And we are here to provide service
in and around the railway as well as the whole value chai n of a business to start with and then
we are going into different path to provide service all ov er the globe. So this remains the theme.
And as part of the Vision 2030 road map of the Texmaco 2. 0, so therefore, we are not only
strengthening our core business, but also inves

ting in the development of future-ready growth
engines. So in addition to our focus on the wagon and rai l infrastructure, as I have mentioned,
you can see that.
We are scaling up on the strategic opportunities, which i s emerging areas into the signaling
safety system, Kavach system, propulsion technologies, me tro and urban mobility. So these are,
of course, all you will agree that are expected to play a key role in the modernization of the
whole railway network.
And there is a huge global traction in and around that i f you -- along with it, just not to have a
transaction mindset, but to imbibe and the technology and develop the capability in and around
this and have a control over the ecosystem, which mak es us a distinct player in the whole system.
So we are proud to be an Indian company being in this hori zon and coming up as a global
solution provider, as a complete solution provider with a technology backup.
So I mean the theme remains very strong and our commitm ent to excellence supported by the
ongoing investments in technology and human capital that , of course, positions us navigate the
challenges and pursue the growth opportunities more ho listically. So these efforts are intended

to drive long-term value, which I think that will be very appr eciated and more of a bulletproof,
I think, for the interest of all the stakeholders and the comp any.
So in the way forward, of course, we are looking forward to ma ke this Texmaco 2.0 in new
avatar, which we, of course, want to achieve in the nex t 12 to 36 months. Thank for the patient
hearing. So of course, we can have questions-and-answers n ow.
Moderator: Your first question is from Koundinya Nimmagadda from Jefferie s.
Koundinya Nimmagadda: A couple of questions from my end. Firstly, on the wagon s ide of things, what is the kind of
visibility that you have with respect to new orders from railw ays? Is something being discussed
out there? Or is it like completely blank? I mean if you can throw some color on that before I
move on to the next question.
Sudipta Mukherjee: Thank you for asking. We believe very strongly that Indian Ra ilway or the Indian rail story will
remain robust. And I repeat that you all have seen that t here have been a significant large order
first time in the history of the country was awarded in the year 2022-23. And of course, due to
our execution rate because we remained the highest suppli er to Indian railways, so the railway
order portfolio, you may not may be hearing more, but it' s poised to come because you see as
per the National Rail plan, the kind of achievement India an d Indian railway wants to achieve.
So there is a huge requirement is going to come. And we belie ve that in near terms, it should be
no less than a range of 1.5 lakh to 2 lakhs wagons and it i s further getting boosted because last
1.5 -- I mean, 2 years rather. If the wagon order has not come, government has very carefully
worked to decongest the whole railway tracks, so many doubl e lines and corridors have been
announced.
And we are also happy to let you know that the WDFC and EDF C are also coming into operation.
Some of them are already into operation and the whole i ntegration will happen. So if the new
wave of the cycle is all poised for start.
So we have a great hope and it can come any time. So som etimes a little bit of silence is not a
bad news. So we always believe that a lot of work is happening behind, and you will see that
flow of orders will come in. Second is that government is also encouraging private companies
to invest and participate into the system. And there's a lot of traction.
I mean, in terms of -- if you see that the commodity lik e cement, steel, automobile. So everybody
wants an efficient system of transportation and everybody wants to have a sustainable way of
transportation and everybody wants to have a red

uction of logistic cost. So railway has remained
the most efficient solutions within the country. And I mean, a lot of investments are coming in and around it.
And a lot of private wagon orders are coming and railway is al so working to come up with a lot of policies for introduction of new design wagons. So in a c ombination and as a whole, it gives us a huge hope that there will be a good momentum of frei ght rolling stock procurement in the country for a longer term.

Koundinya Nimmagadda: Sir, just on the railway order, right, like have any bids been called out? Or is it something still not yet been there?
Sudipta Mukherjee: We have not seen any carving out. So we rather find it as a very strategic move because the whole national rail plan, I mean, as a layman, if we con vert it into the percentages of achievement target was made because that was the first disclosed p ublished document of the government that the railway motor share they wanted to have around 47% so for the whole logistics of the country, and we remain still at the 27%, 28% mark because all th e sectors are equally growing.
And if you see that off late recently Prime Minister has agai n asked people to go for railways.
So I mean, overall, the system is that -- I mean, say, those 3 l akh or 4 lakh of wagons could not be procured at a go. So there was a first stage, which ca me out around 1.3 lakh, 1.4 lakh of wagons from 2022 to '23. The balance start to come and whic h we believe will come very soon.
Koundinya Nimmagadda: Sure, sir. My second question is on your Vision 2030 plan. So I mean, see with respect to your diversification into wheels or even the metro and real est ate especially something like wheels, a couple of your peers have already ventured out there. D o you think you are a little late to the party there and there could be a potential oversupply scenario out here? What's the right to win here for the company, if you can elaborate a bit, please?
Sudipta Mukherjee: It's a very good question. First of all, the whole intent is not to copy. And our strategy to enter into the wheel segment is not being envisaged to play in t he same ground. So in the coming days, we will get to know. Of course, it helps us in our inter nal consumption, and there are some kind of assured offtake business opportunities we are working around .
So it's going to help us as a whole. And we see the busi ness in a different light and different playground perhaps.
Indrajit Mookerjee: Yes. We have considered the supply-demand situation, sir. As Sudipta said, we are just not jumping into a band wagon. So we have looked at the suppl y-demand and the product that we are going to be preparing or making it ready for -- is one of o ur designed movement to the railway adjacency. It's not come out of sudden day sort.
Sudipta Mukherjee: So I want to answer, I mean, in the strategy regarding your first point, of course, you have asked me specifically on the railway wagon -- Indian railway wago n order perhaps. But for Texmaco, if you have seen that we are also consciously focusing as a derisked percentage share that while we want to remain the leading position so far supply to Indian railways are concerned.
And at the same time, increasing our reach to other geo graphies and also to cater to the private segment is also the theme of the whole growth story. And I mean, today, I'm happy to let you know that our whole order book, if you analyze the wagon, so around 70% is from private. I mean this is, of course, whatever we are talking on the earnin gs call on 31st March.
But one of the recent few developments, I can mention that the company is progressing very strongly in the African continent. And, we had seen some m ajor order wins, including Cameroon, now South Africa, and we are expecting a few more. So for us, wagon orders for the

core business, I mean, we find that it is going to remain very, very niche and very close to our heart.
Moderator: The next question is from Parvez Qazi from Nuvama Group.
Parvez Qazi: So wanted some more details on the South African order that we announced yesterday. The order mentioned that we need to supply some 2,200 wagons, some 30 diesel locomotives by FY '28.
And there's also some 15-year maintenance partnership in volved. So a couple of questions on this. One, of this INR4,000-odd crores order, is it all to be delivered over the next 2 years? Or is there some maintenance component also included in this IN R4,000 crores order?
Sudipta Mukherjee: Parvez, so thank you for flagging the question. So it's a co mplete solution providing contract right from design to maintain the whole life cycle, which they define as 15 years. So to answer you, the pricing is inclusive of all of the rolling stock or the wagon and the maintenance of it for 15 years. And regarding delivery, yes, the delivery has t o be completed within -- as of now, as

per the letter of the award by the financial year end 2028.
But there could be some modifications depending upon the situa tion at the customers end. It may
be less also, it may be more also. So that provision is t here, but in terms of the delivery time. So
it is not based on us, but we are taking it as a financial year e nd 2028.
Parvez Qazi: So on this order, what kind of revenues do we expect to book over the next 2 years is FY '27 and
'28?
Sudipta Mukherjee: You know the order value. So definitely, that is going to be the bucket as of now.
Parvez Qazi: And lastly, who will do this locomotive part? I mean we ob viously have capabilities on the
wagon side. But for the locomotive production, do we tie up with or how will this be handled?
Sudipta Mukherjee: So we have our strategy and process in place. Now at t his point of time, we are not able to
disclose everything. But definitely, we have accepted th e award and definitely, we are eligible
to do that hence we got it. So you will come to know, and I will be ha ppy to -- I mean, once we
progress, we'll be happy to let you know.
Indrajit Mookerjee: See, right now, there is a little bit of disclosure issue. So we'l l come back to you.
Parvez Qazi: Sure. And just for my knowledge, I mean, I know our contracts with Indian railways have
commodity pass-through. Now considering that the global supply chain situation is quite
volatile, this contract also does it have raw materia l cost pass-through? Or is it a fixed price
contract?
Indrajit Mookerjee: So there is a lot of this kind of global -- this thing, a s I cannot be too specific now because it is
in an envelope of the total value. So many things in the w ay forward has to be worked out
because there is a lot of stuff involved into it, including localization and all. So all these things
are getting worked out. And to answer you very straight, the East is very well covered.
Moderator: The next question is from Mr. Karan from Asit C Mehta.

Karan: Hello. My question has been answered.
Moderator: The next question is from Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: Sir, just wanted to understand like with our current order book an d a new order, how would we
look at FY '27, as a whole year, sir, in terms of our revenue a nd EBITDA.
Sudipta Mukherjee: I mean we definitely envisage a growth in terms of top li ne and very good achievement in terms
of growth in the bottom line also. We cannot be too specific for a forward-looking statement.
But I can tell you that now we have also come out with a vision document that where exactly we
want to be. And definitely, this is not that it's going to happen only on the last year. So we see
that there will be incremental progress in the whole jo

urney, and you will find there is a
significant improvement in both.
Darshil Jhaveri: Sir, not anything specific, but in terms of margin like we' ve done around 9%. So we aim for at
least 10% to 11% in the next. Sir, how would the margin trajectory will be? I don't want any
exact numbers, but because the South Africa order has al so come up, so is that more margin
accretive? How could we just look at our PAT or EBITDA, whatever margin you were able to
disclose there?
Sudipta Mukherjee: You were right. And I'm so happy that you have narrate d it so nicely. And our Vision 30
document, I mean, whatever I have spilled out as a target or a vis ion that we want to 2x our top
line. But at the same time, we want to sustainably rema in on the -- I mean of the EBITDA. So
that is a journey, which we want to do.
And definitely, the answer is that you will see good impr ovement over and above whatever we
have achieved in this year, in the coming year. But to be specific forward looking, you can
appreciate you know that I can't speak on that.
Darshil Jhaveri: No worries about that, sir. And sir, just on the like in terms of our new products or something
like going into a lot of different segments. So number one, t o build that, will we need any more
capex that we have outlined? I think you've outlined INR200 crores for defense, but for metros
and everything will we need any more other capex. And with regards to that, sir like what about
our debt position will we increase that also? Or how y ou will try funding our new business capex.
Sudipta Mukherjee: So you have seen that we have significantly improved on t he debt position. And it is today, I
think, a little more than INR400 crores. And on our ratio, it is less than 0.2. And we are very
hopeful that we will generate a good amount of money out of the business, while we have our
growth plan intact. Yes, there will be requirement of cap ex and in spite of that capex, we expect
that our ratio should remain within the range and we will have a good trajectory not
disproportionate.
Darshil Jhaveri: Just wanted to understand like what's our Interest c ost in general because I think we are doing
around INR120 crores of interest for the full year, right? So j ust wanted to understand in terms
of interest -- what is the rate of interest that we are getting on receivables. We are also very A
plus bracket. So how can we focus on return reducing that, sir?

Sudipta Mukherjee: Yes. So Kishor will come back to you on the interest. On e point just I wanted to add on the capex side of it. Of course, you have seen now that the Boa rd has approved for INR200 crores capex for our defense business. So we'll be progressively assessing and doing the way we are going and eating to the market.
But I mean what we have seen that we will be coming ba ck to you and letting you know that what is the kind of capex we are envisaging. But on an en velope as of now, it should be within INR1,500 crores kind of.
Darshil Jhaveri: What period sir till 2030?
Kishor Rajgaria: Yes. See our finance cost also includes the bank guaran tee commissions charges. So that is not only related to interest.
Moderator: The next question is from Abhinav Bhandari from Bandhan AMC.
Abhinav Bhandari: Just jumping on this South African order once again. Just wan ted to understand, was it an internationally competitive bided order or a negotiated order? What kind of peers were there along with us if it was a competitively bided order? And what played to our strengths in winning this order? Just some more understanding on that.
Indrajit Mookerjee: I would rather love to mention to you because I'm also not pri vy to all the competition what our customer has chosen from. But yes, Texmaco is the only com pany in India who has the supply track record of 16 countries in the world. And we have the capability of

producing various
standard bogies and wagons of various gauges right fro m meter gauge, tape gauge, standard gauge, broad gauge and we have the credential of AR. We have the credential of other continents and our products are successfully running so far as the qua lification is concerned. And this is not the only order which Texmaco has won.
This is one of the largest, of course, in the history by a ny Indian company. But our products are already running in that sector successfully over the years and the ages. And when we go to such international competition, yes, we compete with Europeans, we compete with Chinese to name few. And sometimes, of course, you also have a local competi tion.
Abhinav Bhandari: Sure. That's helpful. And just some more understanding on if there are such similar prospects lined up for us or the Indian industry as such across the globe, jus t to understand on that piece.
Indrajit Mookerjee: So as I said that we work on multi-continent and we are already existing there and we have the qualifications. So definitely, I mean, Texmaco as a company will look forward and is engaged in various such business prospects. I can't talk about other s.
Moderator: The next question is from Sandeep Mukherjee from SKP Securit ies Limited.
Sandeep Mukherjee: Sir my first question is like to create a Texmaco to aligning with your vision of 2030. So how much capex incremental capex do you need, sir?
Sudipta Mukherjee: I think I have just answered it.

Sandeep Mukherjee: It was not audible actually. It was.
Sudipta Mukherjee: I said that, see we cannot predict a specific number, for e ntering into the defense business, now the Board has approved about INR200 crores. But this whole bucket can be -- I mean, we can predict a range of INR1,500 crores to INR2,000 crores as of now . But I said and we promise that as we progress in each, we come back to you and let you kno w what is the kind of estimation we have done. Because lot of stuff have to be done and it's in a progressive manner. And it could also have a very -- I mean, frequently, we have to come back to you and we will let you know.
Sandeep Mukherjee: And my next question is how much wagons are produced in Jindal means Texmaco West? How much wagons are produced?
Sudipta Mukherjee: So you have asked me actually, to be very honest, we hav e started looking at the vehicle numbers, which unit has produced because it's a unit of Texma co now. So we have to see that.
But on a consolidated number, I think this year, we have produced 8,000 -- what is the total [Inaudible 0:47:48] approx. or 8,350. So one thing I must tell y ou that, we as a company has started believing in that we have to come out of this ve hicle numbers because when we started talking about this, the whole industry was manufacturing commodity wagons, which railways initially first tendered, okay?
So now there is a whole metric change in the game. And I m ean, as I have said about the Texmaco story that in automobile, in steel, in cement, in alumina, in petroleum -- then all of the specialized wagons we are manufacturing and we are doing these export wagons to each wagon, food grain. So all of these are unique numbers. And at a point of time, I think we are making 11

types of wagons. So this was never really seen and because we have that kind of an infrastructure we are able to do.

So more than the wagon numbers for the vehicle units, what we are looking forward is the quality and the delivery we are making. So volume to value is the jou rney. I'm very thankful for you to ask this question. So that's the one of the fundamental the me of Texmaco 2.0. Whatever we will do, we will more look for value internally as well as externa l.

Moderator: The next question is from Mr. Navin Sahadeo from ICICI Securit ies.

Navin Sahadeo: Sir, 2 quick questions. One was regarding th

e South African order . Will it be fair to assume that a significant portion of the revenues will accrue larg ely in FY '28. I know you didn't give a precise answer to the previous question around this. Bu t at least directionally or to a large extent, is it fair to assume that since we have just receive d the order, a bulk of the revenues would be booked in FY '28 since our endeavor was to finish this or meet t his order by FY '28.

Sudipta Mukherjee: You are right. As of now, yes. And one thing just to mention to you that while that South Africa order is covering that, presently, we are charging Cameroon. A nd we are expecting few for this. We are exporting wagons to Cameroon now in this financial year primarily. That's also a substantial large order. And that also comes with maint enance. And we are also expecting a few more, which the delivery will also include in this year.

Navin Sahadeo: Understood. So just from a like run rate point of view, it se ems then that given the exit order book, it's possible that FY '27 can be a little softer v ersus '26 and '28 then can see a meaningful jump. Is that the correct understanding?

Sudipta Mukherjee: No. I said that we will grow in the top line and bottom line both in this financial year compared to last year. That's our work which is going on.

Navin Sahadeo: Understood. Second then, my question was around the announcemen t foray into defense segment. So I would just request to throw some more light into this as to what exactly are we trying to like do here, which verticals are we like looking at? And when can we possibly expect the first commercial order in this particular space?

Sudipta Mukherjee: So the company is into advanced stage of technology tie-ups into certain very strategic segments, which may include autonomous kind of vehicles and other s tuff. So if I apologize and I believe he will support me not -- I am not in a position to di sclose today in this call. But within a few weeks, you will get to know as things progress in each of this. The Board has, of course, sanctioned the budget because there are some outflow will also happen along with it. So we are pretty certain that in this financial year, we will see a positive step forward towards that.

Moderator: The next question is from Mr. Ashok Shah from Eklavyainvesco Family Office.

Ashok Shah: Sir, are we ready for any acquisition in the wheel sector if any private company is making it because wheels is always in demand and there is always short age.

Sudipta Mukherjee: While in all of the business segments, what we have indicated, we are open for meaningful collaboration and acquisition too. We are, of course, working on certain prospects. But if anything comes, we remain open.

Moderator: The next question is from Mr. Rupesh Tatiya from Long Equity Pa rtners.

Rupesh Tatiya: My question, sir, is on wheel set shortage issue that i ndustry was grappling with. Can you give some view about how this issue will play out in FY '27 and FY '28? Is it fair to assume that there will be no major shortage in, let's say, from second half of FY '27 once the large order comes?

Indrajit Mookerjee: I can answer you from the current macroeconomic scenario a nd the various steps government is taking. So as of now or the policy guidelines, what gover nment has. So the wheel we remain historically dependent on Indian railway supply because it was mandated for Indian railway ordered wagons. Now when the private is increasing, wha t is the policy decision government takes in terms of allowing us to import or they insist us bu ying. As of now, they say that Indian Railway has enough capacity and they can supply.

So we are yet to check this. And I mean we'll be very happy to not to import if things works out in that way. As of now, it's going smooth. There was off and on, it comes on, but there have been

a ramp-up in terms of the capacity by Indian Railway also. S o it's a kind of a mixed answer I do not have right now.

But for Texmaco, you see that we have as of now a good backup in terms of the private orders

and with the exports coming in, and we are not dependent e xactly on this crisis. So in that way, we should not encounter much as of now.
Rupesh Tatiya: The second question, sir, is the private sector in Ind ia, right, specifically I'm asking about India, what would be our market share? And can you give some idea a bout the opportunity?
Indrajit Mookerjee: So I think in the private sector overall target, we are in the range of anything around 40% as of now, 40% to 45% and it changes the scenario changes. But when it's more of a specialized type wagon, so our percentage has gone up. And so we feel that this continuity will remain, and we will improve upon if not remain here. I mean this is a good share because the volume in the private is increasing.
Rupesh Tatiya: But the size is like, let's say, 10,000 wagons a year in the pr ivate sector, sir?
Indrajit Mookerjee: It depends. There was around 10,000, sometimes it is 7,0 00. But we feel that on a consistent basis, it can remain in the range of 12,000 to 15,000.
Rupesh Tatiya: And then the final question, sir, I mean this large w agon tender that is expected in your assessment, what would be the latest time by which the tend er will be out? Q3 is latest. Is that a fair assumption to make?
Indrajit Mookerjee: First of all, sir, it may come at a go or it may be divi ded into a few tranches also. But the requirement will remain. Even if it comes at a go or if it comes every year, it hardly matters, but we know there is a need and requirement of consistent if I even divide it into year-wise. So there will be a requirement about 25,000 to 30,000 wagon for the coming 5 to 7 years. And even whatever wagons retires, that's also in the range of around 10,000 to 14,000 per annum.
So I mean, combining on a worst-case scenario, there shoul d be a requirement of around 25,000 to 30,000. That's what we feel to ramp up the railway share. And I feel that government is quite actively working. But when it will come, how it will come, wha t would be the priority, you and me, we are in the same state. We can't just comment on that.
Moderator: The next question is from Harsh Sheth from ICICI Securities.
Harsh Sheth: Sir, just a couple of questions. So firstly, on the real estate plan that we have mentioned in our results press release. So we have some land bank and we plan to develop a real estate project on it, and we have also created this new vertical. So if y ou could throw some light on how big this land bank is and what could be the size of opportunity?
Sudipta Mukherjee: So basically, it is that you can put it in a theme of l and bank unlocking. So there are so many unutilized things in and around. So for making our balance s heet stronger or to utilize it properly, I mean that was the whole theme of it, the real estate.
Indrajit Mookerjee: No, actually, it is supplementing Sudipta in addition to hi s question that we have reorganized and restructured our operations. As a result, we have some prime land, which has come up. It is

not a distressed sale of land. So it's just that it ha s come up, which is a good value. And the competency requirement for development of land is totally different from making wagons. So we decided that this will be a separate business division. And I don't think this division is going to be a long continuous one because we don't have that much of land. But whatever we have, we will start developing it.
As you know that there has been some issues on the land ce iling Act, et cetera, which I hear is going to be going out because today, there

is a press sta tement given by the BJP President, but whatever it happens. So when we come to that situation , we will start developing this land through our own development company. So this is a scenario. It 's not that we are selling land to sort of get money out of it. But since we have restructure d, we have got good land at premium places, why not we develop.
Harsh Sheth: And sir, secondly, on our last month's announcement of the la unch of Invariz and the foray into GCC. So I believe we had done a soft launch towards the e nd of 2025 in Faridabad. So just wanted more color on this. I mean, if you could.
Indrajit Mookerjee: It's a very interesting project. Actually, we have actuall y already launched an AI platform in collaboration with an international American company, which is also a partner of NVIDIA. So we have access to most of the cloud. And we will also h ave access to AWS and Microsoft of the cloud. Basically, this GCC will be working on portfolios inst ead of going into a huge amount of back-to-back, wall-to-wall kind of services, we will work on specific portfolios.
For example, the rail solutions, rail design. Then we als o will look into the CRM, the customer relation management. Then we'll also look into cost red uction in production we have also mentioned operations [Inaudible 1:02:17]. So this is going to be a very interesting one. We are also looking at the fertilizers used that how we can reduce wa ter consumption in field, how can [Inaudible 1:02:40], so it's an interesting this is not only for internal use. We are also going out to market. So we expect that this is going to be one of the majo r, major growth area for us.
Harsh Sheth: That was precisely the question. So is the primary goal to digitize our own internal

manufacturing process or largely of the Adventz Group or visi on to build a stand-alone commercial AI services business?

Indrajit Mookerjee: Ultimately, the vision is that it will be a commerci al AI. Right now, it is being anchored by Texmaco because there are a lot of internal work also w e need to do. However, it will be go to market, in fact, people have lots of opportunities. And we starte d already bringing in number of seats. We don't want too many number of seats, but as happ ening in today's GCC, everyone starting with an optimized number because as you have the AI, you can cut down on numbers of people. And that's exactly what we are doing. We have got a very strong team actually working for us. We have a very, very strong team on this.

Moderator: Ladies and gentlemen, we will take this as the last question for today's call. I now hand the conference over to management for the closing comments. Ov er to you, sir.

Indrajit Mookerjee: Well, this is Indrajit Mookerjee once again. And I'll have to thank the investors from the bottom of my heart because I know that you're asking these questi ons because you love the company and you want the company to prosper. And it is our duty as the operators of the company, as a management of the company to give you correct precise in formation. But I also have to say that somewhere we couldn't have given you the exact numbers that you want ed because we also are bound by certain guidelines with our partners, confidentia lity disclosures. So we also have to sort of do a we have to be something we balance walking.

While we want to satisfy with all your questions and tel l you what we are doing, but at the same time, somewhere we have to restrict certain disclosure of information. So if we have not satisfied you on this, then this was completely unintended. And plea se, I do apologize on behalf of all my colleagues and friends. However, you can see that your comp any is poised for growth. And we are transforming.

As you would have seen, we are transforming. We are reducing on to the risk of cyclical type of busi

ness. We are moving into the -- sustainability is one of our major areas that we are going because this sustaining growth is very important as you sta rt exporting because it becomes also very important from the environmental sustenance as well a s whatever we want to do, we want it for a long-term sustaining. We just don't want it to be j ust one opportunity and do it.

So everything is very well thought out. We had many, many ses sions of strategy before we came to this. We also have taken the services of the top management gurus of the world, the people who are considered to be the top most management advise rs, and they work mostly in the U.S. and Europe. And we also have interacted with them to sor t of see whether we are making any mistakes or not so that we don't have mistakes. Having said this, I wish to thank all of you for spending your time with us.

Moderator: Thank you.

Sudipta Mukherjee: Thank you, everyone.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Indrajit Mookerjee: Thank you.

Sudipta Mukherjee: Thank you.

Notes: 1. This transcript has been edited for readability and doe s not purport to be a verbatim record of the proceedings.

2. Figures have been rounded off for convenience and ease of referen ce.